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HIGH COURT OF TANZANIA AT DAR ES SALAAM

(Manento, J.)

CIVIL CASE No. 216 OF 1999

Labour Law – Employees terminated from employment by their Employer – Whether Security of Employment Act 1964 is applicable.

Labour Law – Termination of employment – Alternative and equally effective forum is available to handle employees' claims – Whether the High Court has jurisdiction.

The plaintiffs filed a suit against the defendants for illegal and wrongful termination of their services. They were nine in total. Their claim, for alleged unlawful termination of employment, was TZS. 75 436 960 being special and general damages. The defendants denied the allegations. Before the suit came up for hearing Counsel for the defendants raised preliminary objections on points of law that this Court was not competent to entertain the suit as the plaintiffs failed to follow the proper procedure and that there was an alternative and equally effective forum and remedy to determine the plaintiffs' matter.

Held: (i) From the provisions of section 40A of the Security of Employment Act Number 1 of 1975, it is clear that reference to the Board by an aggrieved employee is made not only on summary dismissal, but even on termination and on other factors stated in section 23 of the Security of Employment Act 1964 and *James Sankey v. Caltex Oil (T) Ltd* (1) is no longer good law;

(ii) The Security of Employment Act 1964 as amended by Act Number 1 of 1975 applied to the plaintiffs, as such, they were to refer their respective termination to the Conciliation Board under that Act in their individual capacities and if they were of the opinion that they had a common complaint arising out of same transactions, then they would have instituted their case in the Industrial Court of Tanzania; as a trade dispute,

(iii) The High Court had no jurisdiction to entertain the suit.

Suit struck out

Cases referred to:

(1) *James Sankey v. Caltex Oil (T) Ltd* [1973] LRT n. 46

(2) *Republic v. Civil Service Appeal Board ex parte Bruce* [1988] 3 All ER 686

3) *Republic v. Secretary of State for Home Department ex parte Swati* [1986] 1 All ER 717

Statutory provision referred to:

1. Security of Employment Act 1964, sections 21(2)(*b*), 23 , 23(1), 28(1), 40A(1) and 42(1)

Mr Rweikiza, for the Plaintiffs

Dr Mapunda, for the Defendant

RULING

(Date 12 May 2000)

Manento J.: The plaintiffs/respondents filed civil suit against the defendants for what is termed illegal and wrongful termination of their services. They claimed a total of TZS.754 356 960 being special and general damages for wrongful termination of their employment with the defendant. The defendant denied the allegations. Before further actions, the defendants raised preliminary objections based on points of law which are the subject matter of this ruling. They are as follows:

(a) That this Court is not competent to entertain the suit as the plaintiffs have not followed the proper procedure in instituting the suit and therefore the suit should be struck out with costs.

(b) That there is an alternative and equally effective forum and remedy for the determination of the matter which the plaintiffs have not exhausted;

(c) That the suit has been brought against the wrong defendants.

(d) That there is no cause of action against the defendants.

In the first place it is submitted and conceded by the counsel for the plaintiffs that the procedure for employees, who are not part of the management to institute complaints concerning their employment is regulated by the Security of Employment Act 1964 as amended by Act Number 1 of 1975. Whereas the counsel for the defendants argued that the other avenue for complaints concerning employment is the Industrial Court, the plaintiffs Counsel Mr Rweikiza is of a different opinion. He submitted that the Industrial Court Act is only limited to matter relating to employees employed in the management of the business of their employers. He cited section 10 of the Industrial Court Act Number 3 of 1990. Likewise, the learned counsel submitted further that institution of complaints in regard to Employment by employees under Security of Employment Act 1964 whereby complaints are lodged in the Conciliation board is mandatory only when the claim arises out of summary dismissal as clearly provided by section 23(1) of the Act and subsequently the jurisdiction of the Court is ousted by section 28(1) of the same Act. Therefore the controversial thing here is whether the Security of Employment Act 1964 as amended by Act Number of 1975 is equally applicable to employees whose services have been terminated and not summarily dismissed. The plaintiffs were terminated from services of their employer.

The suit before this Court is filed by nine employees who were each terminated by their employer. They have common complaint. In reading the Security of Employment Act 1964 as amended from time to time, it shows that employers do take disciplinary actions against *an individual* in his personal capacity and that an *employee* is required to forward his complaint to the Conciliation Board. My argument gets support in sections 21(2)(*b*) where it is stated that:

> Where an employer proposes to impose a disciplinary penalty to an *employee* [emphasis supplied] for a breach of disciplinary code, he shall:

Section 23(1) where an employee:

(a) is summarily dismissed

(b) is informed of by his employer that the employer proposes to dismiss him summarily; or

(c) suffers a deduction by way of a disciplinary penalty from the wages due to him from his employer.

In all the three items above, an employee may refer the complaint to the Board. The plaintiffs never referred their complaints individually to the board because section 23 of the Security of Employment Act 1964 does not cater for employees whose services have been terminated. Just ending at that section only, one can rule that the plaintiff's whose services were terminated had no access to the Conciliation Board, so they resorted to filling their case in the High Court. Their action is correctly taken against the employer in the support of the case of *James Sankey v. Caltex Oil (T) Ltd* (1) where it was clearly stated that the Conciliation Board is the forum open for employees aggrieved by the summary dismissal imposed upon them by their employers.

Neither the counsel for the plaintiffs nor the counsel for the defendant submitted as to whether *James Sankeys* case (*1*) still remains good law or not with the enactment of Act Number 1 of 1975. The *James Sankeys* case (*1*) was decided in 1973 before the enactment of Act Number 1 of 1975.

Act Number 1 of 1975 Part III amended the Security of Employment Act 1964 and it is provided that it should be read as one with the Security of Employment Act 1964. Section 40A(1) of the Security of Employment Act Number 1 of 1975 included references to the Board for complaints against termination of employments of employee by the employer. The section provides that:

> 40A(1) Notwithstanding any other provision of this Act or of any other written law, where an employer *terminates* the employment of any employee or summarily dismisses any employee and the employee is aggrieved by such termination or dismissal, the employee may at any time before the expiration of fourteen days from the date on which such termination or dismissal takes effect, *refer such termination* or dismissal to the Board and the Board may, if it is satisfied ... [emphasis supplied]

From the said quotation of section 40A of the Security of Employment Act Number 1 of 1975, it is clear that reference to the Board by an aggrieved employee is made not only on summary dismissal, but even on termination and on other factors stated in section 23 of the Security of Employment Act 1964 and therefore *James Sankeys* case (*1*) is no longer good law on this point.

As I have been saying above, the Security of Employment Act deals with matters concerning single employee on matters relating to disciplinary penalties. The plaintiffs are nine in number and they found it fit to file their dispute before this Court. However, if they were individually terminated from their services, their avenues is not this Court as the jurisdiction of the Courts is ousted by section 28(1) of the Security of Employment Act 1964 read together with section 40A which has added termination of services as matters to be referred to the Conciliation Board and section 42(1) which excludes all civil proceedings from being entertained in Civil Court with regard to the liability of an employer to pay or the entitlement of an employee to, any statutory compensation. Under this section again, the Courts are not allowed to entertain any liability of an employer in regard to payment or the entitlement of an employee to any statutory compensation.

Dr Mapunda, learned counsel for the defendants, without much elaboration submitted in his first ground of objection that as the plaintiffs failed to refer their grievances to the Conciliation Board, their second or alternative remedy was the Industrial Court. On the other hand, Mr Rweikiza, learned counsel for the plaintiffs submitted that the Industrial Court is not the proper Court for the plaintiffs as they were not in the management of the employers business. I think and believe that Mr Rweikiza's contention could be right if the plaintiffs

were to institute the proceedings each in individual capacity of an employee. He cited section 10 of the Industrial Court Act Number 3 of 1990 to justify that the plaintiffs could not have access to that Court as they were not in the management of the employers business. I differ with him. That section deals with a situation where the complaint is by a single employee as opposed to a complaint by employees, that is to say more than one employee. As we shall see later on, the Industrial Court Act 1967 deals with matters concerning *employees* [empahsis supplied] and on exceptional cases, an employee who is in the management of the employers business. Hence section 10 of the Industrial Court Act 1990 provides that:

> (1) Without prejudice to the provision of this Act a trade dispute may be between an employee and an employer provided that no employee shall institute a trade dispute under this Act without a certificate of Labour Oficer that he is employed in the management of the business of his employer.

The Industrial Court Act 1967 as amended by Act Number 3 of 1990 opens its doors to the employees or an employee to institute proceedings in the Industrial Court in matters connected with the employment or non employment of such employees or such an employee. This is particularly found in the interpretation section 3 of the Act which interprets the word trade dispute to mean:

> "The trade dispute" means any dispute between an employer and employees or an employee in the employment of that employer connected with the employment or non employment or the term of the employment or with the conditions of labour of any of those employees or such an employee.

This makes me reach to the conclusion that though Dr Mapunda did not elaborate on the jurisdiction of the Industrial Court, yet it is that Court specifically created to cater for disputes between employers and employees and between an employer and employee provided that such an employee fulfils conditions stipulated in section 10 of the Industrial Court Act Number 3 of 1990.

Though to a certain extent I have dealt with issues raised in other preliminary objections when dealing with the first ground, for further clarity, I shall proceed, though in a nut shell as to whether the plaintiffs had an alternative and effective remedy. It is clear that when there are alternative and effective remedy, Courts are reluctant to entertain cases in civil suits. That is the contention of Dr Mapunda. However, the cases he cited and the line of his arguments related to judicial review. Such cases though decided in England are persuasive in this Court. They are *Republic v. Civil Service Appeal Board ex parte Bruce* (2) where judicial review was denied and held that the most appropriate forum for resolving dismissal disputes was the Industrial Tribunal; *Republic v. Secretary of State for Home Department, ex parte Swati* (3) and many others. The suit before this Court is not a judicial review so that English cases cited in this part or the part of objection are irrelevant for the determination of the issue at hand, though the decisions can help this Court to rule out that "where there is a court specifically created to cater for particular type of cases, such as trade disputes between employers and employees, the ordinary Civil Courts should desist from entertaining such suits unless there are exceptional circumstances so to do". Such exceptional circumstances do not exist in this suit.

I have ruled above that the Security of Employment Act 1964 as amended by Act Number 1 of 1975 applied to the plaintiffs as such they were to refer their respective termination to the conciliation board under that Act in their individual capacities and if they were of the opinion that they had a common complaint arising out of same transactions, then they would have instituted their case in the Industrial Court of Tanzania as a trade dispute, a court most suited for such disputes between the employer and employees. These Courts for example Industrial Court of Tanzania or Conciliation Board would have been in a proper position to decide the issues regarding to the rights and duties of employer and employees in the event of termination of services and not this Court where the case is based on a law other than laws relating to relationship between employer and employees.

For what I have tried to explain above, I need not deliberate on grounds three and four of the preliminary objections for doing so is just for academic exercise and not for the purpose of reaching a decision in this applications.

Therefore then, I am of the considered opinion that this Court has no jurisdiction to entertain the suit and hence it is improperly before it so it is struck out with costs.

DELI BURA AND MANDOO BURA *v.* REPUBLIC

HIGH COURT OF TANZANIA AT ARUSHA

(Msoffe, J.)

CRIMINAL APPEAL No. 38 OF 1999

(Originating from Mbulu District Court, Criminal Case No. 90 of 1998)

Criminal Law – Meeting convened to discuss and write a letter to the District Commissoner on mismanagement of village funds – Whether the meeting and writing of the letter amounted to a criminal offence.

Criminal Practice and Procedure – Sentencing – Sentences running consecutively – Sentences ordered to run consecutively without assigning reasons – Whether sentencing is proper.

The appellants were, together with four other accused persons who are not appealing, charged with three counts, for example conspiracy to commit an offence, unlawful assembly, and giving false information to a person employed in the public service, contrary to sections 384, 74, and 75, and 122(*b*) respectively, of the Penal Code Chapter 16. They were convicted and sentenced to terms of imprisonment which were ordered to run consecutively. The appellants appealed against both conviction and sentence. On appeal;

Held: (i) There was nothing wrong in holding the meeting and writing the letter to the District Commissioner for, by doing so they were exercising their constitutional right of freedom of expression;

(ii) In the light of the evidence on record it is also clear that the other accused persons who are not appealing were wrongly convicted; accordingly, in the exercise of the revisional powers of the High Court, their convictions are quashed and the sentences imposed on them set aside.

Orders accordingly

Case referred to:

(1) *Hadija Ally Kimbau alias Sarah Martin Simbaulanga v. DPP* Criminal Appeal Number 33 of 1988, DSM High Court Registry (unreported)

Statutory provision referred to:

(1) Penal Code Chapter 16, sections 384, 74, 75 and 122(*b*)

Mr Kimomogoro, for the Appellants

Mr Massara, for the Respondent

JUDGMENT

(17 May 2000)

Msoffe, J.: In the District Court of Mbulu, the appellants were, together with other four accused persons who are not appealing, charged with three counts for example Conspiracy to commit an offence, unlawful assembly, and giving false information to a person employed in the public service C/sections 384; 74 and 75; and 122(*b*) respectively of the Penal Code. After a full trial they were convicted as charged and each sentenced to terms of imprisonment of two years, one year, and six months respectively, with the said sentences being ordered to run consecutively. This is an appeal by two appellants for example Deli Bura and Mandoo Bura against both conviction and sentence. Mr Kimomogoro learned counsel is advocating for the appellants.

On the other hand Mr Massara appears for the respondent Republic. Learned counsel have filed written submissions. In the submissions of Mr Massara, it is clear that the respondent Republic is not supporting conviction. For reasons that will be apparent hereunder the Republic is justified in taking this stand.

The facts giving rise to the charges were brief and are well stated in the judgment of the District Court. In a nutshell, the appellants together with the other accused persons and other people, were alleged to have convened a meeting whereby they decided to write a letter to the District Commissioner of Mbulu complaining about mismanagement of funds and some other goods, by some village authorities. The District Commissioner and some village authorities were of the view that the meeting was not only an unlawful assembly but that the letter was also false and hence the charges and conviction in question. The said letter was produced and admitted in court as Exhibit P1. On the other hand the defense case was a general denial of guilt. Again, in a nutshell, generally the appellants, and the others, did not deny meeting and writing the aforesaid letter. Their general defence was that there was nothing wrong for them, as citizens of this country, in convening and writing a letter to their District Commissioner with the view to airing their grievances.

In his judgment, the learned Senior District Magistrate was satisfied that the case against the appellants and the other accused persons was established beyond reasonable doubt and hence the conviction and sentence. In particular he cited section 74 of The Penal Code, Chapter 16 and then opined and held that there was proof that the assembly was for the purpose of committing a crime or a breach of the peace. He was also satisfied that the letter written to the District Commissioner was false.

In the petition of appeal, there are a total number of six grounds of complaint. In summary, the grounds centre upon one general point for example that the case against the appellants was not proved beyond reasonable doubt.

I do not intend to deal with each ground separately. Rather, I propose to dispose of the appeal generally as follows:

First, as correctly submitted by Mr Massara there are three pertinent questions that have to be asked and answered in arriving at a fair conclusion of the entire case: To quote Mr Massara, the questions are:

1. Was there a conspiracy? And if so was it for the purposes of committing an offence?
2. Was there an unlawful assembly or any assembly for that matter? And if so was the assembly aimed at instigating fear or to commit an offence?
3. Was the information sent to the District Commissioner false and how was the falsehood tested?

Second, a thorough scrutiny of the evidence will show that the appellants' "offence", if any, was the fact that they convened a meeting and wrote a letter to the District Commissioner. Surely, there was nothing wrong in doing so, for after all, by doing so they were exercising their constitutional right to freedom of expression. Their approach might have angered the District Commissioner and the village authority but that would not be enough to impute criminal responsibility on them. In any case, no concrete evidence was forthcoming to show if there was any falsehood in the letter written to the District Commissioner. At best there was the District Commissioner's evidence that the information was false but there was no other independent evidence from other impartial sources to prove falsehood, if any, of the contents of the letter.

Regarding sentence, it is not clear why the learned Senior District Magistrate ordered the same to run consecutively. Apparently he did not assign any reason(s) as to why he thought there was need for the sentences to run consecutively. It may be useful to bring to the attention of the learned Magistrate that the principle has been that unless there are exceptional circumstances sentences of imprisonment should always be ordered to run concurrently – See *Hadija Ally*

Kimbau alias Sarah Martin Simbaulanga v. DPP (1) cited to me by Mr Kimomogoro.

In the end result, the appellant's conviction is quashed and sentences set aside. Since they are already out in bail I will not make an order for their immediate release from prison. In the light of the evidence on records it is also clear that the other accused persons who are not appealing were wrongly convicted. Accordingly, in exercise of my revisional powers I quash their conviction and set aside the sentences imposed on them. These accused persons for example Decabuye, Enock Thomas, Samay Hau and Warse Qayami shall be released from prison forthwith unless they are lawfully held therein in connection with other lawful causes.

EAST AFRICAN BREWERIES LTD *v.* GMM COMPANY LTD

HIGH COURT OF TANZANIA
AT MWANZA
(Mroso, J.)

CIVIL CASE No. 67 OF 1999

Contract – Freedom of contract – Parties to a contract are free to choose the law that should govern their contract.

Contract – Arbitration clause – Arbitration clause ousting jurisdiction of Courts – Whether an arbitration clause can operate to oust jurisdiction of the Courts – Section 18 of the Civil Procedure Code, 1966.

Arbitration – Arbitration clause in a contract – Whether such arbitration clause can operate to oust jurisdiction of the Courts.

Civil practice and procedure – Preliminary point of objection – Parties subjecting themselves exclusively to the jurisdiction of the Kenya Courts – Objection to Tanzania Courts' having jurisdiction – Whether such objection can be sustained.

Civil practice and procedure – Preliminary point of objection – Party filing a suit in defiance of an arbitration clause – Objection as to competence of such suit –Whether such objection can be sustained.

Civil practice and procedure – Arbitration – Arbitration clause in a contract – Whether such arbitration clause can operate to oust jurisdiction of the Courts.

Civil practice and procedure – Arbitration clause – Party filing a suit in court in defiance of an arbitration clause – Remedy open to the other party – To apply for stay of proceedings at an appropriate time and before taking 'a step in the proceedings.'

Interpretation – Meaning of 'a step in the proceedings.'

The plaintiff, a Kenyan company, entered into a distribution agreement with the defendant, a Tanzanian company, with registered place of business in Tanzania. The parties agreed that the distribution agreement would be governed by the Laws of Kenya and submitted to the "exclusive jurisdiction of the Kenya Courts". The Distribution Agreement contained an arbitration clause that required the parties, in the event of any dispute arising out of or relating to the agreement or in case of breach thereof, and failure of an amicable solution, to refer such dispute or breach to arbitration in accordance with the arbitration Laws of Kenya. Upon the defendant allegedly breaching a term of the distribution agreement the plaintiff filed a suit in the High Court of Tanzania. The defendant filed a written statement of defence disputing the claim, did not apply for stay of the proceedings and for an order for the parties to submit to arbitration but raised two preliminary points of objection in the alternative. The first point of objection was to the effect that the High Court of Tanzania had no jurisdiction to entertain the suit because the parties had submitted exclusively to the jurisdiction of Kenya Courts. The second point of objection challenged the competence of the suit in light of the mandatory arbitration clause in the distribution agreement. The High Court of Tanzania considered whether its jurisdiction to entertain the suit

had been ousted in view of the fact that the parties had exclusively submitted to the jurisdiction of Kenya Courts. In addition the Court considered the competence of the suit before it in view of the parties' submission to mandatory arbitration.

Held: (i) Parties to a contract are free to choose the law that would apply in the event of a dispute and that the parties in this case were free to agree that the law that was to govern their distribution agreement was Kenya law;

(ii) The parties were not competent in law to agree to oust the jurisdiction of Tanzania Courts.

(iii) Since the defendant has a registered place of business in Tanzania, the plaintiff has a right under section 18 of the Civil Procedure Code, 1966 to bring a suit against the defendant in the High Court of Tanzania because the parties were not competent in law to agree to oust the jurisdiction of the Tanzania Courts;

(iv) In filing the suit in court without reference to arbitration, the plaintiff clearly breached article 14.9 of the Distribution Agreement which contained the arbitration clause;

(v) Where a party to a contract has filed a suit in contravention of an arbitration clause the remedy open to the other party is to apply for stay of the proceedings at the appropriate time and before taking 'a step in the proceedings';

(vi) Since the defendant did not apply for stay of the proceedings and for an order for the parties to submit to arbitration but instead filed a defence, such filing of defence amounted to taking 'a step in the proceedings'

Both preliminary points of objection dismissed

Cases referred to:

1) *Zagoritis Estates Ltd v. WJ Tame Ltd and another* [1960] EA 384

2) *Theodore Wendt v. Chhaganial Jiwan and Harida Munji Trading in Partnership Under the Style Chhaganial Jiwan and Company* 1 T.L.R. (R) 460

3) *Romain v.Besson,* Civil Appeal Number 17 of 1921 E.A.C.A. (unreported)

4) *Motoko v. Auto Garage Ltd and another* [1970] HCD 19.

5) *Contruction Engineers and Builders Ltd v. Sugar Development Corporation* [1983] T.L.R. 13

Statutory provisions referred to:

1. Civil Procedure Code 1966, sections 18, 18(*a*) and rule 18 of the Second Schedule

2. Arbitration Act Chapter 49 of the Laws of Kenya

3. Law of Contract Ordinance Chapter 433 of Tanzania, sections 28, 37, 37(1),

4. Arbitration Ordinance Chapter 15 of the Laws, section 6

Mr Galati, for the Plaintiff

Mr Magongo, for the Defendant

RULING

(Dated 22 May 2000)

Mroso, J.: The plaintiff, a Kenyan Company, which brews beers of different brands, entered into a distribution agreement with the defendant, a Tanzanian Company. It was agreed between the parties that the plaintiff would supply beers to the defendant and the latter would distribute those beers in certain areas in Tanzania. The distribution agreement also provided, among other things, that the law governing the agreement was Kenyan and that the parties submitted to the exclusive jurisdiction of the Kenya Courts. In the event of any dispute arising out of or relating to the agreement or in case of breach thereof the parties would try in the first instance to arrive at an amicable settlement. But, should that fail the dispute or breach would be referred to and finally settled by an arbitrator agreed by the parties. Such arbitration would be held in Nairobi in accordance with the Arbitration Act Chapter 49 of the Laws of Kenya and "all the rules prevailing thereunder". The ruling of the arbitrator would be final and binding on both parties.

The defendant allegedly breached a term of the distribution agreement and the plaintiff brought this suit in this Court. The defendant filed a written statement of defence, disputing the claim. It also raised

two preliminary points of objection in alternative. First, that this Court has no jurisdiction in view of the agreement by the parties that they submitted exclusively to the jurisdiction of the Kenya Courts. Second, that, also by the distribution agreement, the suit was incompetent because the parties had submitted to mandatory arbitration.

At the hearing of the preliminary objections Mr Galati, learned advocate for the plaintiff, resisted the preliminary objections. He argued that the distribution agreement was purporting to oust the jurisdiction of the Courts, which it could not do. According to section 18(*a*) of the Civil Procedure Code 1966 a suit relating to a dispute under the distribution agreement had to be filed in Tanzania, not in Kenya, because the defendant company has a registered office, and carries on business in Tanzania. Furthermore section 28 of the Law of Contract Ordinance Chapter 433 of the Tanzania Revised Laws prohibits agreements which restrict parties absolutely from enforcing their rights under a contract by the usual legal proceedings in the ordinary tribunals, such agreements would be void. The parties could not agree to oust the jurisdiction of the Courts. Mr Galati, therefore, prayed the Court to dismiss the first preliminary point of objection.

Mr Magongo, learned advocate for the defendant, counter-argued that the distribution agreement did not oust the jurisdiction of the Courts. It specifically said that the parties submitted to the jurisdiction of the Kenya Courts. So, section 28 of the Law of Contract Ordinance was not violated. Secondly, the principle of sanctity of contracts, as enshrined in section 37 of the Law of Contract Ordinance Chapter 433 of the Laws, binds the parties to the distribution agreement to submit to arbitration under Kenyan Laws, as voluntarily agreed among themselves. Regarding the requirements of section 18 of the Civil Procedure Code, 1966, Mr Magongo submitted that it was not relevant. The provisions of the Civil Procedure Code, 1966 and the Arbitration Ordinance Chapter 15, did not apply. Rather, it was the provisions of relevant Kenyan Laws, including the Kenyan Civil Procedure Code, which applied, as the parties, by their agreement, had chosen.

It is not disputed that the parties entered into the distribution agreement by which, among other things the jurisdiction of the Tanzania Courts and the Tanzania laws by implication were excluded. They agreed that the distribution agreement would be governed by the Law of Kenya and submitted to the "exclusive jurisdiction of the Kenya Courts". So, the first issue for consideration is whether the parties can by agreement exclude the jurisdiction of this court.

While I agree with Mr Magongo that the distribution agreement did not violate the provisions of section 28 of the Law of Contract Ordinance Chapter 433 in the sense that it did not restrict a party absolutely from enforcing his right under or in respect of the agreement by the usual legal proceedings in the ordinary tribunals, that is to say the Courts, yet I do not agree that the jurisdiction of this Court could be excluded by that agreement by conferring "exclusive jurisdiction" to Kenya Courts, as it purported to do.

Let me first state emphatically that parties to a contract are free to choose the law that would apply in the event of a dispute. The Court of Appeal of Eastern Africa in the case of *Zagoritis Estates Ltd v. WJ Tame Ltd and another* (1) – a case originating in Tanzania (Tanganyika, then) in considering the proper law of a contract quoted with approval from **Russell on Arbitration** (16 ed) at page 33 under the heading "Conflict of Laws" where it is stated:

> ... whatever system of law it was intended by the parties should govern the contract.

Again, the Court quoted with approval from **Dicey's Conflict of Laws** (7 ed) at page 1061 where it was stated in reference to Arbitration proceedings:

> It is well established that the parties are free to determine what law is to govern the submission.

It follows, therefore, that the parties to the case under discussion before me were free to agree that the law that was to govern their

distribution agreement was to be Kenya Law. But could they agree, as they did by implication, to exclude the jurisdiction of this Court?

Sheridan, C.J. in the case of *Theodore Wendt v. Chhaganlal Jiwan and Haridas Munji Trading in partnership under the style of Chhaganial Jiwan and Company* (2) said at page 461 that the High Court's jurisdiction "is not capable of being ousted". It is my view, therefore, that when it is considered that the defendant in the case now under discussion has a registered place of business in Tanzania the plaintiff has a right under section 18 of the Civil Procedure Code 1966 to bring suit against the defendant in this High Court because the parties were not competent in law to agree to oust the jurisdiction of the Tanzania Courts. I proceed to dismiss the first ground of objection.

As regards the second (alternative) ground of objection I should say that usually Courts would respect and give effect to the intention of the parties to a contract that in the event of a dispute between them they must go to arbitration. See *CE and B Ltd v. SDC* (3).

In the present case, the parties agree that should an amicable settlement of a dispute or breach fail the matter would be "referred to and finally settled by arbitration". When a dispute in fact occurred between the parties the plaintiff went straight to Court without recourse to arbitration as had been agreed. The defendant argues that the suit was incompetent and that the sanctity of contract had been violated. Section 37(1) of the Law of Contract Ordinance Chapter 433 reads:

> 37(1) The parties to a contract must perform their respective promises, unless such performance is dispensed with or excused under the provisions of this Ordinance or of any other law.

In filing the suit in court without reference to arbitration the plaintiff clearly breached article 14.9 of the distribution agreement which contained the arbitration clause. It seems, however, that such a course as was followed by the plaintiff is anticipated by section 6 of the Arbitration Ordinance Chapter 15 of the Laws where it is provided:

> 6. Where any party to a submission to which this part applies, or any person claiming under him, commences any legal proceedings against any other party to the submission or any person claiming under him, in respect of any matter agreed to be referred, any party to such legal proceedings may, at any time after appearance, and before filing a written statement, or taking any other steps in the proceedings, apply to the Court to stay the proceedings; and the Court, if satisfied that there is no sufficient reason why the matter should not be referred in accordance with the submission, and that the applicant was, at the time when the proceedings were commenced, and still remains, ready and willing to do all things necessary to the proper conduct of the arbitration, may make application for an order staying the proceedings.

There are several reported cases in which a party to a submission went to Court without going to arbitration and often the question has been what remedy the other party to the submission could have. The remedy is provided in section 6 of the Arbitration Ordinance cited above, or to rule 18 of the Second Schedule to the Civil Procedure Code, 1966 that is to say, to apply for stay of the proceedings at the appropriate time.

In the case of *Theodore Wendt* referred to earlier in this ruling there was an agreement between two merchants carrying on business in Dar es Salaam to refer every dispute under the agreement to the local Chamber of Commerce. When a dispute between the parties later occurred one of the parties filed a suit in court without first submitting to arbitration. Sheridan, C.J. in considering what the other party to the submission should have done referred to what he had said in the case of *Romain v. Besson* (4):

> Counsel for the respondent appears to have confined his argument to the Court not having jurisdiction to hear the case. The Court (High Court) decided it did not have jurisdiction and this decision does not seem to be well-founded. In my opinion Counsel for the respondent instead of making an application under section 18 of Schedule II of the Civil Procedure Decree (of Zanzibar which is in *pari materia* with our rule 18 of the Second Schedule to the Civil Procedure Code 1966) wrongly contended

> that the Court had no jurisdiction ... well it is clear from the pleadings and arguments that the case was fought on the issue of jurisdiction and the counsel for the respondent either disregarded or was unaware of the provisions of section 18 of the Schedule to the Civil Procedure Decree ... It could not, I think, be argued that the time for applying for a stay has not expired in the circumstances.

The Court ordered the suit to proceed to hearing and to be determined on the merits. In the case of *Motoko v. Auto Garage Ltd and others* (5) cited to me by Mr Magongo a party to a submission to arbitration disregarded the undertaking to submit to arbitration and filed a suit straight in court. The arbitration clause which reads very much like the one in issue in our present case said:

> All disputes arising out of this contract will be settled amicably. In default of such settlement, the said dispute will be finally settled under the Rules of the Court of Arbitration of the Chamber of Commerce of Czechoslovakia ... appointed in accordance with these Rules.

Apparently there was an application for stay under section 6 of the Arbitration Ordinance Chapter 15 of the Revised Laws. The defence objected to the grant of a stay for the reasons:

> (a) That the arbitration clause was void against public policy as it ousted the jurisdiction of the Court; and
>
> (b) That within the meaning of section 6 of the Arbitration Ordinance Chapter 15 the plaintiff(?) had taken a "step in the proceedings" and was therefore debarred from asking for a stay.

The Court (Georges, C.J.) held that even if there had been a submission to a foreign arbitrator that could not of itself constitute an ouster of jurisdiction of the Court. As regards what constitutes "a step in the proceedings" the Court held that "Any application to a court for an order in respect of the proceedings is 'a step in the proceedings' within the meaning of section 6 of the Arbitration Ordinance Chapter 15". This statement of the Court left as it is can be ambiguous; and

confusing because it might include even an application for stay made promptly, even before filing a written statement of defence.

In our present case the defendant did not apply for stay of the proceedings and for an order for the parties to submit to arbitration as per the distribution agreement. Instead, the defendant filed a defence which was "a step in the proceedings". Like in the *Wendt case (1)* the defendant preferred to challenge the jurisdiction of this Court and to the argument that the suit was incompetent because of the agreement to submit to arbitration. Had it applied (in time) for stay of the proceedings on the basis of sanctity of contract the Court might have granted the prayer, as the Court of Appeal of Tanzania in *Construction Engineers and Builders Ltd v. Sugar Development Corporation* (6) confirmed a High Court order which had granted a stay of proceedings in order to enforce an arbitration clause.

For the reasons which I have attempted to give both preliminary points of objection are dismissed with costs.

WINFRIDA DAUD *v.* REPUBLIC

HIGH COURT OF TANZANIA AT MWANZA

(Mroso, J.)

CRIMINAL APPEAL No. 10 OF 2000

(From the decision of the Court of the Resident Magistrate, Mwanza, JM Somi, PRM)

Criminal Law – Immigration – Residing in Tanzania without a residence permit or pass – Section 31(1)(i) and (2) of the Immigration Act 1995.

Criminal Practice and Procedure – Plea of guilty – Whether the plea was equivocal.

The appellant, a Ugandan, was arrested within Mwanza Municipality and charged with unlawfully entry into Tanzania on the first count and being unlawfully present in Tanzania on the second count. After the charges were read to her she replied "It is true." The facts as given by the prosecutor were that the appellant had been found within Mwanza Municipality on 21 January 2000 but had neither a national passport nor a residence permit; that it was not known through which border she had entered Tanzania and she never reported to the Immigration Officer to report her presence in Tanzania.She admitted the facts when they were put to her and added that she had come to Tanzania in 1996. The Court found that the appellant had pleaded guilty to the charges and convicted her on both counts. She was sentenced to a fine of TZS. 60 000 or two months' imprisonment in default on each count. The sentences were to run concurrently. She was further ordered to serve an extra year on each count in addition to the about sentences. These were also to run concurrently. Being aggrieved by the conviction and sentence she appealed on three grounds. The first was that the trial magistrate had erred in sentencing her twice on the same charges. The second ground was that the trial magistrate convicted her on a plea which was equivocal. In third and final ground she complained that the sentence was unreasonably excessive.

Held: (i) There was no ambiguity in the particulars of the offence and acceptance of their correctiness would be a proper plea of guilty;

(ii) The sentences of imprisonment in default of payment of the fines, like the fines, cannot be ordered to run concurrently;

(iii) The sentences of a fine of TZS. 60 000 or two years imprisonment in default on each count though severe were not excessive;

(iv) The additional sentence of one year imprisonment on each count was illegal and amounted to sentencing the appellant twice on each count.

Orders accordingly

Cases referred to:

1) *Shija Mihambo v. Republic* [1976] LRT n. 38

2) *Republic v. Omari Isumail* [1970] HCD n. 341

Statutory provisions referred to:

1. Immigration Act 1995 Number 7 of 1995, section 31)(1)(i) and (2)

2. Penal Code, sections 29(iii)(a), 36

Mr Galati, for the Appellant

Mr Feleshi, for the Respondent

JUDGMENT

(Delivered 31 May 2000)

Mroso, J.: The appellant was charged in the Court of the Resident Magistrate, at Mwanza with two counts under the Immigration Act Number 7 of 1995, henceforth to be referred to as the Act. On the first count she was charged for unlawful entry into Tanzania contrary to section 31(1)(i) and (2) of the Act. The particulars of offence read:

> Winfrida Dauda on 21 January 2000 at or around 12:30pm. At Steco Hair Saloon (*sic*) along Nkurumah (*sic*) road, in the Region of Mwanza, Mwanza Municipality being a citizen of Uganda did unlawfully enter in Tanzania without being in possession of her National Passport or any valid legal (*sic*) travel document.

On the second count she was charged with being unlawfully present in Tanzania contrary to section 31(1)(i) and (2) of the Immigration Act Number 7 of 1995. The particulars of offence read:

> Winfrida Dauda on 21 January 2000 at or around 12:30pm at Steco Hair Saloon (*sic*) along Nkurumah road in Mwanza Region, Mwanza Municipality being a citizen of Uganda did unlawfully stay in Tanzania without being in possession of any pass or permit issued to him by any Immigration Office in Tanzania.When the charges were read to the appellant she replied- "It is true" on both counts. The Court, presumably thought the appellant may have intended to plead guilty to both charges. So it called upon the prosecutor to narrate brief facts of the case. Since the statement of facts is fairly brief, it may be helpful to reproduce them here. They go like this:
>
> The accused is a Ugandan National who has no passport of her country. It is not known how she came into Tanzania, that is through which border she crossed. However she never reported to Immigration Officer after having crossed into Tanzania. On 21 January 2000 she was arrested by Immigration Officer along Nkurumah Street at Steco Saloon (*sic*) for having no passport of her own country or valid travel document. She was brought before this Court to answer this (*sic*) charge. On top of that she has no valid permit issued to her to stay in this country. That is all for the facts.

The appellant then said:

> I admit the fact (*sic*) as narrated above. I came here in 1996 and I have since then stayed here.

The Court found that the appellant had pleaded guilty on both counts and convicted her accordingly. It sentenced her to fine of TZS. 60 000 or 2 years imprisonment in default on the first and second count respectively. It ordered that the prison sentence should run concurrently It further ordered that:

> In addition to that the accused to be jailed for one (1) more year for each count ... Sentence to run concurrently.

The appellant was aggrieved by the conviction and sentence and has appealed to this Court, submitting three grounds of appeal which

were drawn and argued by her advocates, Galati Law Chambers. In the first ground it is complained that the Trial Court erred in sentencing the appellant twice on the same charges. The second ground of appeal is that the trial magistrate erred in law in convicting the appellant basing on her plea, which was equivocal. Finally, in the third ground she complained that the sentence was "unreasonably excessive".

The learned State Attorney for the respondent Republic agreed with the appellant on the first and third grounds of appeal but submitted that the pleas of the appellant were unequivocal.

In arguing the second ground of appeal Mr Galati for the appellant submitted that the words in the narrated facts that the prosecution did not know how the appellant came into Tanzania contradicted the assertion in the particulars of the offence on the charge sheet in which it was categorically stated that she entered Tanzania unlawfully and without being in possession of a passport or any valid legal travel document. He submitted that when the appellant, therefore, said she admitted the facts as narrated, she was not necessarily pleading guilty to the charge and that the plea was in effect equivocal.

I should say that the narration of the facts could have been better and more elaborate. But I am unable to agree with the learned advocate for the appellant that the plea on both counts was equivocal. The appellant having admitted by "It is true" that being a Ugandan citizen she entered Tanzania without being in possession of her national passport or any valid travel document, she had in fact pleaded guilty to the first count, even though in certain circumstances the words "It is true" do not necessarily mean an unequivocal plea of guilty. In the circumstances of the case under discussion, however, there was no ambiguity in the particulars of the offence and acceptance of their correctness would be a proper plea of guilty. The words in the narrated facts that it was not known how she came into Tanzania, should not be read in isolation. The maker of the statement explained them when he/she said "that is, through which boarder she crossed". In other words, what the prosecution did not know was the particular

boarder – Uganda-Tanzania or Kenya Tanzania or Rwanda-Tanzania, for example – which she crossed when entering Tanzania. Those words did not contradict anything in the particulars of offence in the first or second counts on the charge sheet. I, therefore, reject the argument that the pleas are equivocal. The cases of *Shija Mihambo v. Republic* (1) and *Republic v. Omari Isumail* (2) which the learned advocate for the appellant cited to Court in support of his submissions are distinguishable. In those cases the statement of facts did not disclose any offence, which was not the case here. The offences of unlawful entry into Tanzania and unlawful stay in Tanzania were in my view disclosed by the particulars of the offence together with the narrated facts. I dismiss ground 2 of the petition of appeal.

As regards sentence, let me hasten to say that the order that the imprisonment sentences in default of payment of the fines were to run concurrently was wrong. Just like the fines could not run concurrently, the prison sentences in default of the fines could not be ordered to run concurrently. See the proviso to section 36 of the Penal Code where it stated that it shall not be lawful for a court to direct that a sentence of imprisonment in default of a fine to be executed concurrently with a former sentence under section 29(iii)(*a*) of the Penal Code.

I agree with the appellant that the additional sentence of one year imprisonment was illegal and amounted to sentencing her twice on each count.

The sentences of a fine of shillings TZS. 60 000 or two years imprisonment in default may possibly be considered severe but not excessive. I, however, allow the appeal on the first ground but dismiss it on the second and third grounds. It is so ordered.

MARCO s/o GERVAS *v.* REPUBLIC

HIGH COURT OF TANZANIA
AT TABORA
(Mwita, J.)

CRIMINAL APPEAL No. 76 OF 1999

(From the District Court of Shinyanga District at Shinyanga, L Masolwa Esq, Principal District Magistrate in original Criminal Case No. 268 of 1998)

Criminal Law – Rape – Rape where the victim is a child of tender years – Section 130(2)(e) of the Penal Code as amended by Act number 4 of 1998.

Evidence – Witnesses – Credibility of witnesses – Assessing the credibility of a witness – Trial Court is best placed to assess the credibility of a witness.

Evidence – Evidence of a child of tender years – Unsworn evidence of a child of tender years needs corroboration.

Evidence – Corroboration – Sexual offences – Corroboration the evidence of a child of tender years – Section 127(7) of the Penal Code as amended by Act number 4 of 1998

The appellant was convicted of rape contrary to section 130(2)(*e*) of the Penal Code as amended by Act number 4 of 1998 and sentenced to life imprisonment. The fact were briefly that the complainant, a girl aged four years, was sent by her mother to take a crying child to its mother in a neighbouring house but the mother of the child was absent. The appellant, who also resided in the same house as the crying child's mother, then took the complainant, undressed her and had sexual intercourse with her. The girl returned to her mother, crying loudly. The mother noticed that she was bleeding from her private parts and the hymen was ruptured. The mother went to see the appellant but he ran away when he saw her. Medical examination on the complainant revealed bruises in the vulva. The complainant was the only eye witness. The Trial Court magistrate stated that he had carefully considered the evidence of the complainant, who was of tender years, and was fully satisfied that she had told the truth.

Held: (i) The Trial Court that sees and hears a witness in the best judge to assess the credibility of such witness rather than an appellate Court that sees only the script of the evidence, often translated;

(ii) The unsworn evidence of the complainant, who was of tender years, needed corroboration;

(iii) The evidence of the mother of the complainant who had seen the complainant crying was sufficient corroboration in this case.

Appeal dismissed

Cases referred to:

1) *Republic v. Ramazani bin Mawingu*, 3 E.A.C.A. 39
2) *Republic v. Kasengedo* [1967] HCD n. 204
3) *Jeremius Boramwendo v. Republic* [1967] HCD n. 191
4) *Republic v. iddi Noel* [1967] HCD n. 195
5) *DPP v. Hester* [1972] All ER 1056
6) *Republic v. Cherop arap Kinei* 3 E.A.C.A. 124
7) *Republic v. Wadingombe bin Mkwanda and Said bin Msailanga* (1941) 8 E.A.C.A. 33
8) *Republic v. Manilal Ishwerial Purohit* (1942) 9 E.A.C.A. 58

Statutory provision referred to:

1. Penal Code, sections 127(7), 130(2)(*e*) and 130(4)

JUDGMENT

(5 June 2000)

Mwita, J.: Marco s/o Gervas was convicted of the offence of rape contrary to section 13(2)(*e*) of the Penal Code as amended by Act Number 4 of 1998 and sentenced to life imprisonment by the Shinyanga District Court. Dissatisfied with both conviction and sentence he has appealed to this Court.

At the hearing of this appeal the appellant appeared and argued the appeal in person. The Republic was represented by Mr Ndunguru learned Senior State Attorney.

There is evidence on record to the effect that PW1 the complainant, was on 3 August 1998 directed by PW2, her mother, to take a crying child to its mother residing in a neighbouring house. PW1 did as directed. The mother of the crying child was by then absent from the said house. The appellant who also resided in the said house, took PW1 into his room, kissed her on the mouth, undressed her, put her in bed and raped her. PW1 returned to her mother crying loudly. Her mother, PW2, noticed that PW1 was bleeding from her private parts and that her hymen was ruptured. PWI informed PW2 that she had been raped by the appellant. PW2, decided to go and see the appellant regarding the matter. On seeing PW2 approaching his residence the appellant ran away. Medical evidence indicates that there were bruises in PW1 vulva. Laboratory examination revealed no sperms. The bruises in the vulva are a clear indication that there was penetration. Section 130(4) of the Penal Code provides:

For the purposes of proving the offence of rape:

(a) Penetration however slight is sufficient to constitute the sexual intercourse necessary to the offence.

Section 3 of the Sexual Offences Special Provisions Act 1998 provides, *inter alia*:

> Sexual intercourse – whether natural or unnatural, shall, for the purpose of proof of a sexual offence, be deemed to be complete upon proof of penetration only not the completion of the intercourse by the comission of seed.

In the instant case, so long as there is evidence of penetration, sexual intercourse necessary for the offence of rape has been established. As the victim was below 18 years of age in terms of section 130(2)(*e*), it is immaterial whether sexual intercourse was carried out with or without her consent.

There was only one eye witness to the commission of the offence of rape in this case. That eye witness was PW1, the complainant. It is an established practice that corroboration is looked for the sexual offence: *Republic v. Ramazani bin Mawingu* (1); *Republic v. Charles Kisengendo* (2). Corroboration is also required in case of evidence of children of tender years: *Jeremius s/o Beramwendo* v. *Republic* (3). DW1 was aged about 4 years old. As she did not give evidence on oath, corroboration was required: *Republic v. Iddi Noel* (4).

In discussing the reason for the requiring corroboration in respect of evidence by complainants in sexual offence, accomplices and children of tender years, Lord Diplock in *DPP v. Hester* (5) at page 1073 said:

> The danger sought to be obviated by the common law rule in each of these three categories of witnesses is that the story told by the witness may be inaccurate for reasons not applicable to other competent witnesses: Whether the risk be of deliberate inaccuracy, as in the case of accomplices, or an inattention and accuracy as in the case of children and some complainants in cases of sexual offences. What is looked for under the common law rule is confirmation from some other source that the suspect witness is telling the truth in some part of his story which goes to show that the accused committed the offence with which he is charged.

In *Republic v. Cherop arap Kinei and another* (6) the East African Court of Appeal said:

> On a charge of indecent assault or any sexual offence, even though the person against whom the offence is alleged to have been committed be an adult and not a child of tender years, the jury should be directed that it is not safe to convict upon the uncorroborated testimony of the complainant but that if they are satisfied of the truth of the complainant's evidence, they may, after paying attention to that warning nevertheless convict.

It was held that if such warning be not given the conviction cannot stand.

It would appear however, that the legislature has decided to do away with the need for corroboration in sexual offences in certain circumstances. Section 127(7) of the Penal Code as amended by Act Number 4 of 1998 provides:

> Notwithstanding the preceding provisions of this section, where in criminal proceedings involving sexual offence the only independent evidence is that of child of tender years or of a victim of the sexual offence, the Court shall receive the evidence, and may, after assessing the credibility of the evidence of the child of tender years or as the case may be the victim of sexual offence on its own merits, notwithstanding that such evidence is not corroborated, proceed to convict, if for reasons to be recorded in the proceedings, the Court is satisfied that the child of tender years or the victim of the sexual offence is telling nothing but the truth.

The trial Magistrate referred to the above provisions and concluded that in the light of the circumstances of this case the accused did commit the crime with which he is charged. He went on to say:

> To arrive at this conclusion I have first of all warned myself quite carefully on the testimony of the child of tender years (PW1) yet am fully satisfied that due to her credibility she has told nothing but the whole truth.

When it comes to assessing the credibility of a witness the Trial Court that sees and hears the witness is the best judge rather than an appellate Court that sees only the transcript often translated. I have no reason to fault the finding of the trial magistrate.

I have one comment to make. The trial magistrate appears to have been of the view that there was no corroborative evidence in this case. In my opinion the evidence by PW3 appears to be corroborative evidence in this case. In my opinion the evidence by PW3 appears to corroborate PW1's story. PW3 told the Court that on the material day and time he saw PW1 crying, seated and leaning against the appellant. It is not necessary that corroborative evidence should by itself be sufficient to support a conviction: *Republic v. Wadingombe Bin Mkwanda and Said Bin Mailanga* (7); *Republic v. Manilal Ishwerial*

Purohit (8). What is required is that there should be independent testimony corroborative of the evidence of the complainant in some material particular implicating the accused or tending to connect him with the crime with which he is charged.

For the above reasons the appeal is dismissed.

NCHAMBI KIJA *v.* FRANCIS MSALIKA AND MHELA KAYOKA

HIGH COURT OF TANZANIA AT TABORA

(Mwita, J.)

CRIMINAL APPEAL No. 11 OF 1998

(Original Criminal Case No. 49 of 1997 in the District Court of Meatu District, at Meatu, MR Mlawa, Senior District Magistrate)

Criminal Practice and Procedure – Appeals – Whether an aggrieved victim of a crime can appeal against a decision of a District Court where the DPP does not appeal – Sections 20(1) and 25(1) of the Magistrates Courts Act 1984.

Criminal Practice and Procedure – Appeals – Whether the High Court can order the DPP to lodge an appeal.

The respondents were charged with cattle theft in the Meatu District Court. At the conclusion of the trial they were found not guilty and acquitted. The DPP did not appeal against the acquittal. However Nchambi Kija who was the complainant and gave evidence as PW1, being aggrieved by the District Court's decision appealed to the High Court.

Held: (i) In cases originating from District Courts, only the DPP has the right of appeal;

(ii) The exercise of prosecutorial discretion appertains to the DPP and is not subject to the judicial control except in rare cases where such discretion is exercised in such a way as to result in an abuse of the Court process.

Appeal struck off

Cases referred to:

1) *Fanuel Msengi v. Peter Mtumba* [1992] T.L.R. 109
2) *Sylvery Nkangaa v. Rafael Alberto* [1992] T.L.R. 110
3) *Umbwa Mbegu v. Republic* [1969] HCD n. 312
4) *Paul v. Republic* [1971] HDC n. 124

Statutory provisions referred to:

1. Magistrate Courts Act 1984, sections 20(1), 20(1)(a) and 25(1)
2. Penal Code, section 268
3. Criminal Procedure Act 1985, sections 90, 359, 359(1), 378(1)
4. Criminal Procedure Code Chapter 20, section 312

Mr Mtaki, for the Appellant

Mr Kayaga, for the Respondents

Mr Kabuguzi, appeared as a friend of the Court.

JUDGMENT

(Delivered 5 June 2000)

Mwita, J.: Francis Msalika and Mhela Kayoka stood trial at Meatu District Court charged with the offence of cattle theft contrary to section 268 of the Penal Code in that on 18 March 1997 at Mwabasalu Village, Meatu District the said Francis Msalika and Mhela Kayoka did steal 8 cows the property of one Luhende Hunda. At the conclusion of the trial the accused persons were found not guilty and acquitted. The Director of Public Prosecutions did not appeal against the acquittal.

However Chambi Kija (Luhende Hunda's wife) who was the complainant and gave evidence as PW1, being aggrieved by the District Court's decision, has appealed to this Court.

At the hearing of this matter the appellant was represented by Mr Mtaki, learned advocate; Mr Kayaga, learned advocate, represented both respondents; and Mr Kabuguzi, learned State Attorney, appeared as a friend of the Court.

Before hearing of the appeal on the merits, Mr Kayaga, advocate for the respondents raised a preliminary objection to the effect that the appeal is misconceived and incompetent in law and should be struck off the record on the ground that the appellant has no right of appeal. Mr Kayaga argued that since this was a public prosecution and the respondents were acquitted by the District Court after a full trial, in terms of section 378(1) of the Criminal Procedure Act 1985 only the Director of Public Prosecutions has the right of appeal to this Court; that the appellant, who was a complainant at the trial, has no right of appeal. Mr Kayaga referred this Court to *Fanuel Msengi v. Peter Mtumba* (1) and *Sylivery Nkangaa v. Rafael Albertho* (2) in support of his contention. Mr Kayaga went on to argue that the provisions of section 359 of the Criminal Procedure Act 1985 have been interpreted to mean that a "person aggrieved" must be either the Director of Public Prosecutions or the accused person. He referred to Court to the case of *Umbwa Mbegu v. Republic* (3) which was dealing with section 312(1) of the repealed Criminal Procedure Code Chapter 20. The provisions of that section are almost identical to the provisions of section 359 of the Criminal Procedure Act 1985.

Mr Mtaki's reply was to the effect that the preliminary objection is unfounded; that this appeal derives its legitimacy from section 359(1) of the Criminal Procedure Act 1985 which gives the right of appeal to any person aggrieved by a decision of a subordinate Court. Mr Mtaki went on to argue that the case of *Umbwa* (3)is distinguishable from the circumstances of this case on the ground that the *Umbwa* case (3)was decided *per incurium* because section 359

is to be read independently. It should not be read together with other provisions relating to private or public prosecutions. Mr Mtaki submitted that it would be unconstitutional to limit the provisions of section 359 of the Criminal Procedure Act 1985 as contended by Mr Kayaga because the spirit of the constitution is to give unrestricted access to the Courts of law to any person. Mr Mtaki went on to submit that should the objection be upheld this Court should direct the Director of Public Prosecutions to exercise his powers under section 90 of the Criminal Procedure Act 1985 to take up this appeal.

Mr Kabuguzi fully supported the submission by Mr Kayaga. With regard to Mr Mtaki's submission that the Director of Public Prosecution be directed by the Court to take up this appeal Mr Kabuguzi argued that the exercise of prosecutorial discretion of the DPP is not subject to judicial review. On his part Mr Kayaga argued that the DPP can only take over proceedings in the case where such proceedings are properly before the Court; that since this appeal is incompetent, the DPP can not take over an incompetent appeal.

The issue of persons other than the Attorney-General or Director of Public Prosecutions having the right of appeal to the High Court against acquittal by subordinate Courts has been canvassed before East African Courts for a considerable length of time now. The answer has always been the same: All criminal prosecutions are conducted on behalf of the State. With the exception of cases where a statute expressly provides otherwise, only the state has the right of appeal to the High Court from an acquittal by a subordinate Court.

In *Umbwa Mbegu and another v. Republic* (2) it was held that the conduct of any criminal case is in the hands of the Republic and that despite a private person conducting the prosecution, and despite a complainant having by his complaint instigated the proceedings, the two parties before the Court are in reality the Republic and the accused. It was also held that "person aggrieved by an order" spoken of in section 312 of the Criminal Procedure Code are the Attorney-General and the accused; the reason being because it is established

law that a right of appeal can only be given by statute and in that only by words which are clear, express and free from ambiguity. The wording of section 312(1) of the Criminal Procedure Code was not so clear as to give a private prosecutor or complainant the right to come before this Court as a person aggrieved.

The wording of section 312(1) of the Criminal Procedure Code, Chapter 20 is identical to the wording of section 359(1) of the Criminal Procedure Act 1985.

In *Paul v. Republic* (4) it was held that a complainant has no right of appeal. Similarly in *Fanuel Msengi v. Peter Mtumba* (1) it was held that by virtue of section 378(1) of Criminal Procedure Act 1985 a complainant has no right of appeal in a public prosecution conducted by the DPP; and that where the criminal case originated from the Primary Court, under section 20(1)(a) of the Magistrate Courts Act 1984 the complainant or the DPP may appeal to the District Court and to the High Court against an acquittal.

In *Sylivery Nkangaa v. Raphael Albertho* (2) it was again held that in public prosecutons originating in the District Court only the DPP can appeal against an acquittal. Mr Mtaki's contention that the decision in **Umbwa's case** to the effect that "person aggrieved by an order" spoken of in section 312 of the Criminal Procedure Code, Cap. 20 means only the Attorney-General and the accused was given a right of appeal in that the section might have been read together with other provisions relating to public and private prosecutions instead of being read independently, is, in my opinion, not sound. The reason given by Hamlyn, J. For his interpretation of section 312 is that a right of appeal can only be given by a statute and in that case by words which are clear, express and free from ambiguity. The learned judge found section 312(1) of the Criminal Procedure Code not so clear as to give the appellant the right to come before the Court as a "person aggrieved". In so holding the learned judge did not read section 312(1) together with any other provisions.

I am also of the opinion that Mr Mtaki's contention that it would be unconstitutional to restrict the provisions of section 359 of the Criminal Procedure Act 1985 on the lines of the decision of the **Umbwa case** because the spirit of the constitution is to give unrestricted access to the Courts of law to any person seems attractive, but not necessarily sound. It should be remembered that the Constitution makes express provisions for the protection of basic human rights including the right to personal freedom. Construction of the law to the effect that only the DPP on behalf of the Republic should have the right of appeal against an acquittal is the construction most favourable to personal liberty. The Republic would only appeal in cases of some importance or where there has been a miscarriage of justice of a very grave nature, thus preventing an accused person being put in jeopardy a second time except upon the soundest grounds. When the right of unrestricted access to the Courts of law is balanced against the right to personal liberty it is clear which way the scale will tip.

From the above authorities it appears well established:

(i) All criminal prosecutions are conducted on behalf of the Republic.

(ii) A right of appeal from an acquittal can only be given by statute and by words which are clear, express and free from ambiguity;

(iii) In terms of sections 20(1) and 25(1) of the Magistrates Courts Act 1984 in cases originating from Primary Courts the complainant as well as the DPP have right of appeal to the District Court and further appeal to the High Court from an acquittal. At the Primary Court a complainant is the prosecutor where the prosecution is not conducted by the police on behalf of the DPP.

(iv) In appeals originating from the District Court only the DPP has the right of appeal.

(v) In public prosecutions a complainant has no right of appeal.

In the instant appeal the prosecution was conducted by the public prosecutor, it was thus a public prosecution and originated from the District Court, the appellant was merely a complainant. He thus has no right of appeal to this Court. The appeal is consequently incompetent.

I must now consider Mr Mtaki's contention that should the objection be upheld, in order for justice to be done, this Court should direct the DPP to take over this appeal under section 90 of the Criminal Procedure Act 1985. The issue is whether the exercise of prosecutorial discretion by the DPP is subject to judicial control. Section 90(1) of the Criminal Procedure Act 1985 provides *inter alia*:

> The Director of Public Prosecutions shall have powers in any case in which he considers it desirable so to do:
>
> (a) to institute and undertake criminal proceedings against any person before any Court (other than a court-martial) in respect of any offence alleged to have been committed by that person;
>
> (b) to take over and continue any such criminal proceedings that have been instituted or undertaken by any other person or authority.

Sub-section (3) of section 90 provides:

> The powers conferred on the Director of Public Prosecutions by paragraphs (a) and (b) of sub-section (1) shall be vested in him to the exclusion of any other person or authority, see that where any other person or authority has instituted criminal proceedings, nothing in this sub-section shall prevent the withdrawal of these proceedings by or at the instance of that person or authority and with the leave of the Court.

It is clear from the above provisions that the exercise of prosecutorial discretion appertains to the DPP and is not subject to judicial control. As if that were not enough, sub-section (5) of section 90 provides:

> In the exercise of the powers conferred on him by this section, the Director of Public Prosecutions shall have and exercise his own discretion and shall not be subject to the directions or control of any person except the President.

Thus the legislature has given the DPP an almost unfettered discretion in the exercise of his powers. In my opinion the Court may intervene only in rare cases where such discretion is exercised in such a way as to result in an abuse of the Court process.

In view of the above provisions this Court has no jurisdiction to direct the DPP to take over this appeal.

The objection is upheld; consequently the appeal is struck off for in competency.

MARWA WANGITI MWITA AND ANOTHER *v.* REPUBLIC

COURT OF APPEAL OF TANZANIA
AT MWANZA

(Makame, Kisanga and Lugakingira, JJ.A.)

CRIMINAL APPEAL No. 6 OF 1995

(From the conviction of the High Court of Tanzania at Musoma, Masanche, J., dated 5 December 1994, in Criminal Case No. 181 of 1991)

Criminal Practice and Procedure – Defence of alibi – Failure to give notice of intention to plead alibi – Consequences of failure to give notice of intention to rely upon alibi – Section 194 of the Criminal Procedure Act 1985.

The appellants were convicted of murder. They each had intended to rely upon an alibi in their defences but they did not give notice of that intention to the Court and the prosecution. The trial judge directed the assessors, as he subsequently did himself, that since the appellants did not give notice of intention to rely on *alibi* to the Court and the prosecution of their, the *alibis* should be rejected. On appeal to the Court of Appeal, the trial judge's outright rejection of the alibi was considered.

Held: (i) Identification of the appellants was not proved beyond reasonable doubt;

(ii) The absence of notice required by section 194 of the Criminal Procedure Act 1985, does not mandate or authorize the outright rejection of an *alibi*, though it may affect the weight to be placed on it.

Appeal allowed

Case referred to:

(1) *Waziri Amani v. Republic* [1980] T.L.R. 250

Mr Mwantembe, for the Appellants

Mr Kabonde, for the Respondent

JUDGMENT

(Dated 12 June 2000)

Lugakingira, J.A.: The appellants, Marwa Wangiti Mwita and Boniface Masiku Mgendi, were convicted of murder at a trial holden by the High Court at Musoma. They were then first and fourth accused respectively, the second and third accused were acquitted. The information had alleged that on 18 September 1988, at Kewanja village in Tarime district, the four murdered one Masha Jeremiah. The murder took place at the home of PW1 who was celebrating a marriage, and the deceased, a resident of Geita, was an invited guest at the celebrations. Around 7:30pm on the said day, a gang of armed robbers descended upon the premises and made away with various articles after firing a shot. The shot found the deceased who died from severe internal bleeding.

At the trial, PW1 and his brother PW2, claimed to have identified the appellants among the gang and said they were the ones who had guns. PW1 said that he knew the first appellant by face and name and that the second appellant, whose name he did not know, used to move about with the first appellant. PW2 said that he did not know the appellants' names but he identified them by their faces as they

used to frequent his kiosk. There was a lamp in the house, a humble outfit of a bedroom and a sitting room only. The two witnesses said that they were in the bedroom and their guests in the sitting room when dogs barked outside. PW2 went out to inquire only to come face to face with a gang of four or more, one of whom ordered him back into the house at gunpoint. This was said to have been the second appellant. Another gunman stood in the doorway and cornered everyone to lie down. He was said to have been the first appellant. Then followed the plunder and the gunshot. It seems the incident was reported to the police with promptitude.

The prosecution evidence regarding the appellants' arrest was either inconsistent, contradictory or non-existent and the trial judge conveniently avoided going into details. We propose to do the same, seeing, as we do, that it will occasion no harm, and mention only some related aspects. First, the first appellant attempted to run away when he saw the police; second, going by PW5, the second appellant was not at home when the police arrived there. Third, when the first appellant's house was searched, a piece of khanga (per PW1) or table cloths (per PW5) were found. Neither of this was tendered in evidence. The search at the second appellant's house unearthed a camera (Exhibit P3). In their defences the first appellant stated that he was at home throughout on the material day, and called his father to support him, while the second appellant stated that he left for Shinyanga on 14 September 1988 and returned on 1 October 1988, and produced documents to that effect. He found his two wives arrested and was in turn arrested when he went to the police station to inquire into this. The trial judge convicted the first appellant on the evidence of identification as well as the act of attempting to run away; he convicted the second appellant on the evidence of identification only. He rejected the alibis for non-compliance with section 194 (4) of the Criminal Procedure Act 1985.

Before us, Mr Galati Mwantembe appeared for the appellants and attacked the evidence of identification. He observed in the main that the appellants were never at any time named by PW1 or PW2.

He submitted also that the appellants' alibis were improperly rejected in view of the provisions of subsection (6) of section 194. Mr Mwantembe also leveled criticism on the evidence of possession of articles considered relevant to the case but we think that was unnecessary since the trial judge did not base his decision on that evidence. Mr Kabonde for the Republic resisted the appeal on all the grounds.

We think the most important question in this appeal is whether the appellants were identified at the scene of crime. After anxious consideration of the evidence, we think there is merit in Mr Mwantembe's criticism. It was not in dispute that neither appellant was mentioned by PW1 or PW2 before their arrest, even though PW1 knew the first appellant well. The appellants' arrest apparently came in the wake of some suspicious articles being found at their homes; in fact we note that at one stage as many as 22 persons were charged with the murder before the District Court. The evidence of PW5 Assistant Inspector Reuben also leaves no doubt that the search was a general rather than a specific operation and the hint on suspicious homes came from villagers rather than PW1, despite the latter's presence. PW5 related the operation thus:

> On 28 September 1988, I remember I was in Tarime. I was told to go to Serengeti where it was said that some articles stolen in the course of murder were seen... I went to Serengeti and reported to the OCD the late Mtabirwa.
>
> On 29 September 1988, we went with him to Gesarya village. Later we arrived in the village, we got the Chairman. Then we were tipped about the houses that had the stolen articles. We were tipped by the villagers.
>
> ...At the house of Masiku Mgendi we got a camera and at the house of Marwa Wangiti we got table clothes (*sic*). All this time we were with the complainant.

The witness reiterated five times in cross-examination that the exercise "was an operation", so much so that he could not recall the number of houses searched and many police officers were involved. We think

the failure of PW1 in particular to name at least the first appellant before or during the operation was not consistent with identification of any of the bandits. It is indeed doubtful to what extent he allowed himself to observe the invaders considering that when PW2 was driven back into the bedroom, PW1 had disappeared: he had apparently dived flat onto the sitting room floor. The ability of a witness to name a suspect at the earliest opportunity is an all-important assurance of his reliability, in the same way as unexplained delay or complete failure to do so should put a prudent Court to inquiry. The factors set out in *Waziri Amani v. Republic* (1), to which the learned judge referred, are not intended to be exhaustive in determining credible identification. We are unable, on our part, to hold that identification was in this case proved beyond reasonable doubt in the absence of any report against the appellants.

The remaining matters may be disposed of briefly. There was the aspect of the first appellant's running away when he saw the police. The trial judge first observed, and correctly so, that not all flight was necessarily a manifestation of guilt but some people run away from policemen just to avoid bother. He held, however, that it was such a manifestation in this case as the first appellant was the only person to run away. It is apparent that this observation was incorrect either as regards the occasion of the first appellant's arrest or in the context of the operation generally. The impression one gets is that of flight all around in the course of the operation. Earlier in his judgment the learned judge himself observed: "Apparently when these searches were made by the police, the accused had fled. Their homes, that is to say, were searched in their absence". And as regards the first appellant's arrest, PW5 said: "We then went to Marwa Wangiti. The men ran away. They had fled. We then arrested their wives". This is indeed reflected in the fact that of the thirteen suspects in the initial information filed before the High Court, six were women. And to underscore the perception of the police as a bother, these innocent women were kept in custody for more than six years before

they were discharged, untried, without so much as a word of apology. It is therefore clear to us that the conduct of the first appellant was neither peculiar nor, apparently, was it without justification.

Finally, we agree with Mr Mwantembe that it was improper for the trial judge to tell the assessors to reject the *alibis*, and for himself subsequently to reject them, merely for non-compliance with subsection (4) of section 194 of the Criminal Procedure Act. The absence of notice required by the provision does not mandate or authorize the outright rejection of an alibi but in accordance with subsection (6) the omission may affect the weight to be placed on it. We cannot be certain that had the learned judge approached the subject on that understanding he would, for instance, have necessarily found unimpressive the second appellant's medical certificate and receipts evidencing his presence at Shinyanga at the material time. After all, he was only required to raise a reasonable doubt. Besides, the act of taking himself to the police station was not, to our minds, consistent with guilt.

For these reasons, we think the guilt of the appellants was not proved beyond reasonable doubt. We allow the appeal, quash the convictions and sentence of death and direct their release from custody.

RAMADHANI ABDALLAH v. REPUBLIC

COURT OF APPEAL OF TANZANIA AT MWANZA

(Makame, Kisanga and Lugakingira, JJ.A.)

CRIMINAL APPEAL No. 209 OF 1994

(Appeal from the Conviction of the High Court of Tanzania at Mwanza, Masanche, J. dated 6 May 1994 in Criminal Appeal No.339 of 1992).

Criminal Procedure – Substituted change – Right of accused – Caused be informed.

Criminal Procedure – Substituted Change – Right of accused to cross examine the witness in new charge.

The appellant was found guilty of robbery and was sentenced to a term of fifteen years imprisonment, by the District Court of Musoma. He appealed to the High Court and lost. The appellant then appealed to this Court. The evidence on record shows that at the trial in the Court of first instance, the original charge of house breaking and stealing was substituted with that of robbery. The appellant, after substitution of the charge, was not informed about his right to recall the already testified witnesses for cross-examination under section 234 the Criminal Procedure Act 1985.

Held: (i) The appellant should have been informed of his rights under section 234 Civil Procedure Code of 1985.

(ii) If the evidence before the substitution of the charge is ignored there would remain only the testimony of the police investigator which would not have grounded the conviction.

Appeal allowed

Statutory provision referred to:

1. Criminal Procedure Act 1985, sections 234 and 234(2)

Mr Magongo, for the Appellants

Mr Kabonda, for the Respondents

JUDGMENT

(Date 12 June 2000)

Makame, J.A.: The appellant Ramadhani Abdallah was found guilty of robbery, convicted and sentenced to a term of fifteen years in prison, consequent upon his trial in the District Court of Musoma. He appealed to the High Court, Mwanza, where Masanche, J. dismissed the appeal. Mr Rutaisire, learned State Attorney then, did not on that first appeal seek to support the decision of the Trial Court.

Before us Mr Magongo, learned advocate, decided to drop one of the two grounds he had filed and assailed the High Court decision on only the other ground – that when the original charge of house-breaking and stealing was substituted with that of robbery the appellant was not informed about his right to recalled the prosecution witnesses have who had up to that stage already testified so as he might further cross-examine them in the light of the new allegation, or even demand that they give evidence afresh.

Mr Kabonde, learned Senior State Attorney who appeared on behalf of the respondent Republic, declined to support the High Court decision. He agreed with Mr Magongo that the relevant provision in section 234 of the Criminal Procedure Act 1985 had been offended and that, as such, the conduct of the case after the alteration of the charge prejudiced the appellant and caused him injustice.

After the appellant was charged with the offence of housebreaking and stealing and four prosecution witnesses had testified, a charge of robbery was substituted. The appellant was quite properly asked to plead to the new charge and he pleaded not guilty. Thereafter, without ado, another witness, the fifth and last, Det. Cpl. Benson,

gave evidence. The appellant elected to remain silent. He was found guilty of robbery as aforesaid, and got imprisoned for fifteen years.

We think it is a pity that Mr Magongo, learned advocate who represented the appellant in the first appeal, failed to raise the issue relating to section 234(2) of the Criminal Procedure Act which is loud and clear that:

> Subject to subsection (1), where a charge is altered as aforesaid:
>
> (a) the court, shall thereupon call upon the accused person to plead to the altered charge; and
>
> (b) the accused may demand that the witnesses or any of them be recalled and give their evidence afresh or be further cross-examined by the accused or his advocate and, in such last mentioned event, the prosecution shall have the right to re-examine any such witness on matters arising out of such further cross-examination.

It is unfortunate that this provision escaped the attention of the learned High Court Judge. The appellant, who did not have the guidance of counsel at his trial, should have been told of his rights under the said section 234. He was not, and we agree with both learned counsel that the conviction for robbery cannot be sustained. We wish to say that the rationale for section 234(2) is easy to discern. A new charge is introduced after some witnesses have already testified. The new offence charged may, as was the case here, consist of new ingredients and or may attract different consequences, as was also the position in this case. In such a situation it is only fair and just that an accused person should be given the said right and opportunity. In the instant case, if the evidence before the substitution is ignored, there would remain only the testimony of the police investigator, which would not have grounded the conviction.

To the extent explained, the trial was improperly conducted, and so the decisions of the two Courts cannot be sustained. We quash the conviction and set aside the sentence imposed.

We sympathise with Mr Magongo's request that a retrial should not be ordered as the appellant has been incarcerated for over seven years now. We shall not order a retrial. If the appellant is not otherwise lawfully held he should forthwith be set free.

REPUBLIC *v.* XC - 7535 PC VENANCE MBUTA

HIGH COURT OF TANZANIA AT SONGEA

(Mackanja, J.)

CRIMINAL SESSIONS CASE No. 87 OF 1998

Criminal Practice and Procedure – Identification parade – Conditions to be observed in conducting an Identification parade – Photograph of the parade – Whether officer in charge of the case participated in the conduct of the parade – Police general orders

Evidence – Identification – Proof of identification by single witness – Surrounding circumstances – Credibility of witness

The accused was charged with the offence of murder on two counts. It was alleged that he shot dead two people. During the night of 3 September 1997, a watchman of a bar at which the incident took place, was on duty. At about midnight, two people, one of whom was armed with a gun and the other armed with a stick, came from a barbeque "banda" which was not lit. The two men walked into the bar and ordered all there to lie down. Then the watchman of the bar (PW1), who was outside the bar, and the only eye-witnes, heard a loud burst of a gun. He then jumped over the fence, in the course of which he got injured, but he managed to report the incident at the police station. According to this witness, he saw the bandits from a distance of about ten metres. He observed them for one or two minutes and that the man who had the gun was wearing a hat that almost covered his face. In cross-examination, the witness

was evasive and admitted that he had been frightened. At a police identification parade, the witness identified the accused as the man who had the gun.

Held: (i) Police General Order Number 231 on identification parades, was not fully complied with; the identification parade register was not tendered in evidence; there was no evidence that the officer in-charge of the case did not participate in the parade and there was no evidence that the suspect was in formed of his right to have a friend or solicitor present;

(ii) PW1 was not all that reliable, thus making corroboration of his testimony the more vital.

Accused acquitted accordingly

Case referred to:

1) *Republic v. Mwango Manaa* (1936) 18 E.A.C.A. 29

JUDGMENT

(Delivered 12 June 2000)

Mackanja, J.: XC 7535 PC Venance Mbuta stands trial on a charge of murder. The Republic alleges that the accused and the late Lordinand Twaha Choga, his former co-accused, murdered two people on the 3 September 1997. Those who the Republic alleges were murdered by the accused and the late Lordinand Twaha Choga are the late Cosmas Godfrey Lyimo and Nora Mputa. Since the charge against Lordinand Twaha Choga abated upon his death, only the accused remains charged with the two counts of murder; that is to say one count for each of the two slain people. The accused has denied the crimes facing him.

That Cosmas Godfrey Lyimo and Nora Mputa are dead is not a matter that attracts controversy. Both met an unnatural death. According to medical evidence that was tendered by the prosecution the late Cosmas Godfrey Lyimo died of severe head injury and the late Nora Mputa's death was due to internal bleeding. It is also an undisputed fact that the head injury and the internal bleeding out of which the two people lost their lives were caused by gunshots.

The events that led to the deaths of the two people I have referred to were narrated by Bosco Yustin Mbuzi (PW1). This man is a watchman at a business place called Kangaulaya Guest House. The guest house is housed in one wing of a building in which a bar is also run. The business place is located at Majengo "C" in this town. He testified that in the early hours of 3 September 1997 he closed the gate leading into the guest house because it was fully booked that night. He was still awake, however, because sometimes he receives telephone calls for his guests. He was still awake when at midnight on the night of 2 /3 September 1997 when a motor vehicle with two men on board pulled to a halt. The two men alighted and proceeded to the bar where the head of the mission asked for and was served with a beer. In quick succession there appeared two other men, emerging from a barbeque "*banda*" which is adjacent to the bar wing of the building. The "*banda*" was not lit at that time as no more barbequing was gong on. PW1 said the *banda* is only about two metres from the building. The bar and *banda* are on the western part of the building. PW1 was then in a dimly lit corridor near the gate leading into the guest house on the eastern wing of the building.

According to the testimony of Bosco Yustin Mbuzi the two men who emerged from the barbeque "*banda*" were armed. The one in front had a gun which he cocked as he cautiously advanced towards the bar. The one behind him had a stick. It immediately dawned on PW1 that the bar had been invaded by armed robbers.

PW1 testified that he did not know these two men he only knew the two who had arrived by car, being a manager of SAMCU and his driver. He swore that he managed to observe them because there were two electricity bulbs which were lit in the area surrounding the bar entrance. Apart from carrying a gun, the man in front also wore a hat he described as a "*puma*" hat with a large brim which covered his face up to the nose. The armed men were about six metres away from him, he said. As a result of his observation, PW1 alleged that he managed to recognize their body build and the clothes they wore. He said the man with the gun was short and stout with a light

complection and that he wore a grey jacket with buttons he described as "*Vishikizo vya kubana*". The one carrying a stick was tall, slender dark-skinned and was wearing a black pair of trousers and a black T-shirt. PW 1 made his observations within one or two minutes before retreating into the compound of the guest house. Shortly thereafter he heard the loud burst of a gun. He immediately closed the gate but in so doing he attracted the attention of the raiders who, he alleged, shouted: *Mshenzi mmoja anafungua mlango, ni nani huyo?*

PW1 alleged that as he stood by the gate he heard one of the raiders shout in a sharp voice in Kiswahili:

Laleni chini, au nitawafyeka

"Lie down, else I will eliminate you".

Then he said to his collegue:

"Do our job"

Bosco Yustin Mbuzi (PW1) could not identify who, of the two men made the orders, swore that having closed the gate, and having observed part of what was going on, he jumped over the wall, got slightly injured and rushed to report the incident to the Police. He returned to the scene with Police Officers who recovered spent catridges. Those who had been fatally wounded had already been taken to hospital. It seems that the robbers, who are said to have stolen a sum of TZS. 70 000 from the bar, left without trace. However, when the accused were arrested in connection with different matters on 13 September 1997, PW1 went to the Police Station to seek leave from Police authorities to see if he could recognize any of those people who were arrested on 13 September 1997, and whether they were the ones who were involved in the murder and robbery at Kangaulaya bar. He testified that police authorities refused him his request; instead he was taken into a room where he found two other people. They were warned against talking to one another.

Galus Ndunguru (PW3) had gone to the Police Station on the same morning PW1 went there on a private mission. He was asked

by a Police Officer to follow him into the backyard of the Police Station building where he found a number of people had lined up. He was asked to join the line which was in fact, an identification parade. PW3 was asked to choose where to stand. Having done so and taken his position, three people were brought from the Police Station building to join the line. The three people were told to line up with those already on the line. All of the three stood to the right of PW3. According to this witness they also were asked to select where to stand.

As PW1 and the other two men were waiting in the room in which he was taken, a Police Officer went in there and told them that an identity parade was being arranged. And when it was ready PW1 was the second to be taken out. He examined the faces, observing one after another. In the end, he alleged to have recognized the accused. Although Bosco Yustin Mbuzi could not see the face of the man who had covered his face with a hat on the day of the murderous mayhem, somehow he alleged that he recognized him by the face on the parade. I told the lady assessors that even though the man has long since died, it is still an important question if indeed PW1 was truthful to swear that he could recognize a face he could not see at the scene of crime. I told them that as judges of fact they can opine on this important matter, and that if they found that he was not truthful on this matter then they should consider the rest of his testimony carefully and with caution as he may be untruthful even regarding other matters.

Now it is common ground that the accused was a Police constable before he found himself in these circumstances. Apart from his police general duties he also played football for his employer's club. And he had just been transferred here from Tabora when he was arrested. He has categorically denied complicity in the commission of the homicides in respect of which he stands trial now. According to his version of the facts he was not anywhere near Kangaulaya Bar the fateful night. For he has sworn that on 2 September 1997, he left Mfaranyaki area where he lived for Zimanimoto Football Stadium

where his team was pitched against Mchele Football Club. He was one of the players who were fielded to play, which, he says, he did. He, however, sprained his right ankle, so he had to be replaced. He testified that his leg swelled immediately as result of the injury and was taken to hospital on board a tax cab that was being run by Corporal Adam. He was attended to and was given sick leave for seven days. He was unable to work for less than that time, because he had fully recovered within five days. He denied completely ever having gone out on the night of 2/3 September 1997. He could not, therefore, have committed the offences with which he is charged. He blames his misfortunes on his economic advancement at Tabora where he ran prosperous businesses. He also claimed that it was by reason of the wealth he had accumulated at Tabora that he was transferred to this place and that it was the same reason why, when his request to be allowed to record his statement either before the Regional Crimes Officer or the Regional Police Commander it was rejected.

The accused admits that he participated on a identification parade. Immediately before that, according to him, he and the late Lordinand Twaha Choga, his former co-accused, were taken out of the remand cell and led into a CID office where they found Corpl. Musa seated with PW1 and another man who did not testify. At that time the accused did not know that PW1 was a complainant. He and his co-accused were given back their belts and shoes which they were allowed to wear. They were then taken to the Police Station backyard where they found people had lined up. He testified that they were shown where to stand, abreast of one another. He was positioned as second on the line from his right hand side. As it now appears the man to his right was PW3. He has sworn that the late Lordinand Twaha Choga stood to his left, so he was third from the right. He said further that there were sixteen of them on the line. When the positioning of the accused was ready, PW1 was allowed to see if his suspects were on the line. The accused said that PW1 unhesitatingly went straight to them and picked them.

On his part Galus Ngunguru (PW3) who was one of those who participated on the parade testified that PW1 observed everyone who had lined up and picked two people who stood on his right. He identified them by pointing a finger at them. The accused said that he touched him at the lower part of the left side of his belly.

The foregoing was the evidence. It is not significant to point out, however, that the accused has alleged in effect that the identification parade was conducted in a manner that was prejudicial to his interests. Now what must be done in order that an identification parade may conform to statutory requirement? The answer to this question resides in Police General Order Number 231. Because of its importance I will reproduce the whole of it and see if it was or it was not complied with. It provides thus:

INVESTIGATION-IDENTIFICATION PARADES

1. When it is necessary to ascertain whether a person detained in police custody can be recognized by witnesses, the Police must ensure that the proceedings are so conducted that unfairness to the person concerned cannot afterwards be alleged, otherwise the value of the identification as evidence will depreciate considerably. At the same time the witnesses should be given full opportunity to make their identification in the most suitable conditions, and the officer in-charge of the parade should ascertain from the circumstances of the case and so conduct the parade that the witnesses' ability to identify is adequately tested. Thus they may be allowed to hear the persons speak, or see them with their hats on or off, or from the back of front, or in movement, or in such other way as will give a reasonable opportunity of identification.

2. Identification Parades shall be conducted as far as possible in accordance with the following rules:

   (a) The officer in-charge of the case will make the preliminary arrangements for the parade and shall enter the number of persons attending the parade and the suspects in the space provided under Head number 3 in the Identification Parade Register (PF 186). He will enter the name of the witnesses under Head number 4 of the register in the order in which they are to be called. A duplicate copy of the entries in the register will be made by inserting a sheet of carbon paper between the original and duplicate pages.

   (b) Although the officer in-charge of the case may be present, he will take no part in conducting the parade. The officer conducting the parade must be an officer unconnected with the case and, whenever possible, a Gazetted Officer. Officers below the rank of Sub-Inspector are not permitted to conduct Identification Parades.

   (c) At a reasonable time prior to the parade, the officer-in-charge of the case will inform the suspect that he will be put up for identification. Any objections raised by the suspect will be noted and communicated by the officer in-charge of the case to the officer conducting the parade before it is held.

   (d) If the suspect desires the attendance of a solicitor or friend, arrangements must be made for him to attend the parade if he wishes to do so. The person so attending will be required to remain in the background, observing only and saying nothing.

   (e) The place selected for the parade should have a good light. No unauthorized persons will be permitted to attend or witness the parade.

   (f) The witnesses will be assembled under the charge of a Police Officer who has no connection with the case in a room or place out of sight and hearing of the parade from which they can be called to the parade by the office conducting it.

   (g) The witnesses will not be allowed to see or hear the suspect before he is put up for identification, nor should they be assisted by any description or photograph of him, or in any other way.

(h) Officer who made the arrest or who took part in the investigation will not be sent to bring or notify witnesses to attend the parade and will not communicate with them before the parade is held.

(i) Arrangements will be made to ensure that witnesses have no opportunity to see, or be seen by, any of the persons to be paraded.

(i) There is no objection to the suspect being put up for identification in the clothing he was wearing when the offence was committed (providing that such clothing does not show stains, marks or tears which patently distinguish his clothing from that of other persons on the parade). Alternatively the suspect may be put up for identification in the clothing he was wearing when arrested.

(k) Persons selected to make up the parade should be of similar age, height, general appearance and class of life. Their clothing should be in a general way similar.

(l) The persons selected for the parade must not be known to the complainant or the identifying witnesses as identification would then have little value.

(m) Police officers will not be used to make up the parade unless the case is one in which a Police Officer is concerned as a suspect.

(n) There should be eight or more persons on the parade for one suspect; ten or more for two suspects. If there are more than two suspects, more than one parade will normally be held, with different personnel being used to form each parade.

(o) When the officer conducting the parade has arrived and has taken charge of the proceedings, the suspect will be brought on to the parade. The officer conducting the parade will explain the purpose of the parade and will ask the suspect if he has any objection to any person participating in the parade. Any objection raised by the suspect will be noted in the Identification Parade Register and immediate steps taken to replace those

persons to whom the suspect objects. The suspect will then be invited to stand where he pleases in the line. The position he selects will be noted in the Register.

(p) Great care must be taken that the suspect is not wearing handcuffs or anything else that might distinguish him from the others. No attempts at disguise will be permitted.

(o) The first witness will be called to the parade by the officer conducting it, who will explain the purpose of the parade in the hearing of those on parade and invite him or her to point out by touching any persons he or she identifies. Under no circumstances shall the witness be touched or led during his or her examination of the parade.

(p) If the witness requires any person on the parade to walk, talk see him with his hat on or off, this may be done but the whole parade must be asked to do likewise.

(q) The officer conducting the parade will note carefully in his Identification Parade register any identification or degree of identification made and any material circumstances connected therewith, including any wrong identification, and any remark or objection made by the suspect. He shall ask the witness who makes the identification: In what connection do you identify this person? And shall similarly record precise details of the witness's reply. No other questions are permissible.

(r) On leaving the parade, the witness will be conducted to a place where he or she is out of sight and hearing of the parade and cannot communicate in any way with other witnesses waiting or members of the Force and will remain there under the charge of a Police Officer, who has no connection with the case, until the parade is finished.

(s) Subsequent witnesses will be brought into the parade and handled in accordance with the same procedure set out in sub-paras (q) – (t) above.

(t) At the conclusion of the parade, a photograph, if possible, will be taken of the parade for production in court. Care should be taken that those on the parade and witnesses are treated with patience, consideration and courtesy.

(u) The officer conducting the parade will finally check his entries in the Identification Parade Register and will sign in the space provided. The original copy will remain in the Register and the duplicate removed and filed in the Case File.

3. The officer who conducts an Identification Parade may be required to give evidence as to the conduct and result of the parade in any Court cases that may follow. Reference may be made to the copy of page F 186 completed at the time of the parade.

4. The officer-in-charge of the case will give evidence of the preliminary arrangements of the parade.

In my considered view PGO 231 was not fully complied with. First it was not established that paragraph 2(*a*) was complied with because PF 186 was not tendered in evidence. This is a form in which the officer in-charge of the parade enters the number of persons who participated in the parade. There is no evidence that the officer in-charge of the case did not, in some way, participate in conducting the parade. Indeed the court was not told that the accused's protests were communicated to the officer who conducted the parade. In addition to the foregoing, the accused has statutory rights that must be communicated to him. According to paragraph (*d*) of PGO number 231, a suspect is entitled to have a friend or his solicitor present; he must be informed of this right. Another important matter that must be pointed out is as provided in paragraph (v), that at the conclusion of the parade, a photograph, if possible, will be taken of the parade for production in court. This is important because it will make it improbable for the suspect to allege that he stood at some place other than where he appears in the photograph. In order for an identification parade to be conducted as required by law Police General Order number 231 must be complied with fully and to the letter. Thus evidence

of identification derived from an identification parade may have probative value if the following factors as were abridged in *Republic v. Mwango s/o Manaa,* (1), must be present, that is to say:

(1) The accused person is always informed that he may have a solicitor or friend present when the parade takes place.

(2) The officer in-charge of the case, although he may be present, does not carry out the identification.

(3) The witnesses do not see the accused before the parade.

(4) The accused is placed among at least eight persons, as far as possible of similar age, height, general appearance and class of life as himself or herself.

(5) The accused is allowed to take any position he chooses, and he is allowed to change this position after each identifying witness has left, if he so desires.

(6) Care is to be taken that the witnesses are not allowed to communicate with each other after they have been to the parade.

(7) Exclude every person who has no business there.

(8) Make a careful note after each witness leaves the parade, recording whether the witness identifies the suspect or other circumstance.

(9) If the witness desires to see the accused walk, hear him speak, see him with his hat on or off, see that this is done. As a precautionary measure it is suggested that the whole parade be asked to do this.

(10) See that the witness touches the person he identifies.

(11) At the termination of the parade or during the parade ask the accused if he is satisfied that the parade is being conducted in a fair manner and make a note of his reply.

(12) In introducing the witness tell him that he will see a group of people who may or may not contain the suspected person. Don't say: "Pick out somebody" or influence him in any way whatever.

(13) Act with scrupulous fairness, otherwise the value of the identification as evidence will depreciate considerably.

As it has occurred the evidence upon which this case will succeed or fail almost entirely depends on the testimony of Bosco Yustin Mbuzi (PW1). This is the man who has been found by the lady Assessors as an unrealiable witness. They made this opinion when the witness asserted that he could identify the late Lordinand Twaha Choga by face even though he had earlier testified that the man he saw was wearing a "*puma*" hat with a large brim which when a telephone, call was made the Police were already aware of the incident and they had already rushed to the scene; and when PW1 returned there the slain people had already been taken to hospital. All that he witnessed was the recovery of spent cartridges which were recovered by the Police officers who accompanied him.

And, although at first he denied in cross-examination that he was not terrified, when pressed further he admitted that it is true he was frightened. In my judgment therefore, the fearsome attack, the witness's conduct and the conditions at the scene did not favour a correct identification. I am, therefore, at one with the lady Assessors that PW1 could not have correctly identified the armed gangsters in these circumstances.

Upon considering the evidence, and having taken the opinions of the lady Assessors into account, I am satisfied that the accused's innocence is beyond reproach. Consequently I find him not guilty on each of the two counts of murder as charged. I acquit him as a result.

Unless, therefore, he be further held in custody on account of any other legally justified ground, he has regained his liberty forthwith.

APASIANA KWEKA *v.* HON PAUL KIMITI, MINISTER FOR LABOUR

HIGH COURT OF TANZANIA
AT ARUSHA
(Msoffe, J.)

CIVIL APPLICATION No. 167 OF 1999

Prerogative Orders – Certiorari – Limitation of time in which to apply for leave to apply for certiorari – Application made more than four years after the action complained of – Application time barred – Section 18(3) of the Law Reform (Fatal Accidents and Miscellaneous Provisions) Ordinance.

Limitation of time – Prerogative orders.

On 19 November 1999 the applicant lodged this application seeking leave to apply for *certiorari* and *mandamus* against the respondent in relation to a decision made by the latter on 6 May 1995. The respondent objected to the application on grounds of limitation of time but the applicant contended that she had delay filing this application because even as she filed the application she was not officially served with a copy of the respondent's decision.

Held: (i) As per section 18(3) of the Law Reform (Fatal Accidents and Miscellaneous Provisions) Ordinance Chapter 360, the application ought to have been filed within six months from the date of the respondent's decision, the 6 May 1995; that was not done;

(ii) The claim that the applicant has not been officially served with the respondent's decision cannot be accepted because in her own affidavit she says she received the respondent's decision on the 8 January 1996.

Application struck out

Statutory provisions referred to:

1. Law Reform (Fatal Accidents and Miscellaneous Provisions) Ordinance Chapter 360, section 18(3)

Mrs Ntilatwa, for the Respondent

RULING

(Delivered 23 June 2000)

Msoffe, J.: This is an application for leave to apply for orders of *certiorari* and *mandamus*. It is taken at the instance of the applicant – Ms Apasiana Kweka. As far as I could gather from her affidavit in support of the Chamber Application, there is no dispute that the applicant was employed by Novotel Mount Meru Hotel in 1977 and her services were terminated on 5 August 1994. Aggrieved by the termination, she appealed to the area Conciliation Board where she was successful. Dissatisfied, her former employer challenged the decision on appeal to the Minister for Labour. The Minister allowed the appeal by quashing the Board's decision and ordered the applicant's summary dismissal.The Minister's decision was given on 6 May 1995 in the absence of the applicant. On 19 November 1999 she filed this application for leave to apply for orders of *certiorari* and *mandamus* vied ERV Number 09231375 of that date.

The respondents through the office of the Attorney General have taken a preliminary point of objection that the application is time barred. There is sense in the objection as shall be demonstrated hereunder.

The Law Reform (Fatal Accidents and Miscellaneous Provisions) Ordinance Chapter 360 as amended by Act Number 55 of 1968 provides under section 18(3) thereto (as amended) thus:

> In the case of an application for an order of *certiorari* to remove any judgment, order, decree, conviction or other proceeding for the purpose of its being quashed, *leave shall not be granted unless the application for leave is made not later than six months after the date of the proceeding;* or such shorter period as may be prescribed under any Act and where the proceeding is subject to appeal, and the court or judge may adjourn the application for leave until the appeal is determined or the time for appealing has expired. [emphasis supplied]

In the instant case, it will be obvious that the application ought to have been filed within a period of six months from the date of the minister's decision (6 May 1995). That was not done. Instead, the applicant has tried to show at some great length that she could not file the application earlier than now because the decision of the Minister has in fact not been "officially" served on her to-date. She said that much in her reply to the counter affidavit and also in her written submission in support of the application. With respect, the applicant cannot be trusted on this point. In her own affidavit in support of the Chamber Application she deponed under paragraph 5 thereof that she received a copy of the minister's decision on 8 January 1996. She nowhere said in that affidavit that was not official service. Hence she should not now be heard to say that was not "official" service when her own affidavit appears to disown her. In fact, if she is insistent that she could only file the application after being "officially" served with the minister's decision one wonders why she has filed the present application in the first place when, according to her, she is yet to be "officially" served with the said decision.

Certainly the applicant is not true or honest to herself on this point. In any case, the law is clear, for example, that the application ought to have been filed within a period of six months from the date of the Minister's decision and not from the date of her receipt of the decision. It will follow that in the absence of an application for extension of time to file an application for leave to apply having been filed and granted, the present application is misconceived and incompetent. It is accordingly struck out with costs.

CRDB BANK LIMITED *v.* JOHN KAGIMBO LWAMBAGAZA (NUMBER 1)

HIGH COURT OF TANZANIA
(*Commercial Division*)
AT DAR ES SALAAM

(Nsekela, J.)

COMMERCIAL CASE No. 10 OF 2000

Civil practice and procedure – Summary procedure – Suit instituted under Order XXXV of the Civil Procedure Code, 1966 – Before filing defence leave to appear and defend must be sought – Principle on which Court may act.

The plaintiff bank sued the defendant for recovery of TZS. 41, 996, 636.17 being the outstanding balance of a loan the plaintiff had advanced to the defendant. The suit was instituted under Order XXXV of the Civil Procedure Code, 1966 which provides for summary procedure.

This was an application by the defendant/applicant to appear and defend the suit filed against him. The application was supported by an affidavit in which the applicant said that there were triable issues fit to go for trial, namely that the period of repayment was not yet over and that the amount claimed by the respondent bank was more than what was due from the applicant to the respondent bank.

The court examined the law under which an applicant for leave to appear and defend may be granted such leave.

Held: (i) The principle on which the court acts is that where the defendant can show by affidavit that there is a *bonafide* triable issue, he is to be allowed to defend as to that issue without condition;

(ii) Since paragraphs 4, 6 and 8 of the supporting affidavit do set up possible defences to the suit, the applicant has raised triable issues fit to go for trial.

Leave to appear and defend granted

Cases referred to:

1) *Thssen-Stahlunion Export GMBH v. Kibo Wire Industries Ltd* [1973] LRT Number 54

2) *CRDB Bank Limited v. Dantan Electronics Ltd and Jamila Rasmussen*, HC – CAD, Commercial Case Number 12 of 2000 (unreported)

3) *Kundanlal Restaurant v. Devshi and Company* (1952) 19 E.A.C.A. 77

4) *Souza Figuerido and Company Ltd v. Moorings Hotel Company Ltd* [1959] EA 425

Statutory provision referred to:

1. Civil Procedure Code1966, Order XXXV

Mr *Swai,* for the Defendant/Applicant

Mr *Mwandambo,* for the Plaintiff/Respondent

RULING

(Delivered 23 June 2000)

Nsekela, J.: The respondent Bank (CRDB Bank Limited) has sued the applicant, one John Kagimbo Lwambagaza for the recovery of TZS. 41 996 636-17 being the outstanding balance of a loan the respondent advanced to the applicant. Since the suit was instituted under Order XXXV of the Civil Procedure Code (Summary Procedure), the applicant before filing the defence, has first to seek leave to appear and defend the suit, hence this application. The application has been brought under Order XXXV of the Civil Procedure Code praying for the following order, namely that:

> The applicant be granted leave to appear and defend the suit filed in the Honourable Court.

The application is supported by an affidavit sworn to by the applicant. I can do no better than quote a few paragraphs of the supporting affidavit which provides:

> 2. That I admit to have applied for the loan which is the subject matter of the suit against me. I state that the sum of TZS. 30 000 000 was granted and paid to me in instalments as shown in annexture to the plaint.
>
> 4. That the repayment of the loan was to be done in a period of 21 months effective the expiry of the grace period of six months granted to me. To be precise, I was required to start repaying the loan effective from 29 February 1999 and hence the repayment period has not expired.
>
> 6. That I strongly dispute the amount claimed by the respondent/ plaintiff and according to my calculations, the principal sum and interest thereon due to the respondent as of the date of suit is shillings thirty seven million (TZS. 37 million) only and not 41 996 336-17.
>
> 8. That in the premises it is apparent that there are factual matters to be determined namely:
>
> (i) ascertained of the period of repayment;
>
> (ii) the ascertained of the amount due to the respondent on the date of the suit.

At the hearing of the application Mr Swai learned advocate, represented the applicant and Mr Mwandambo, learned advocate, represented the respondent Bank. In his oral submission, Mr Swai adopted the contents of the supporting affidavit, in particular paragraphs 4 and 6 which allege that the date for the liquidation of the loan facility had not as yet expired and that the exact amount of the outstanding loan was in dispute. On his part, Mr Mwandambo strenuously resisted the application. He was of the view that the contents of the counter-affidavit sufficiently answered the applicant's assertions in the affidavit and helpfully referred me to a number of authorities including *Thssen-Stahlunion Export GMBH v. Kibo Wire Industries Ltd* (1); and *CRDB Bank Limtied v. Dantan Electonics Ltd and Jamila Rasmussen* (2). It was the learned advocate's contention that the applicant was using delaying tactics so that the respondent Bank is unnecessarily being kept from what is due to him.

The law, on an application of this nature was authoritatively stated in the case of *Kundanlal Restaurant v. Devshi and Company* (3) at page 79. In this case, the defunct Court of Appeal for Eastern Africa quoted with approval an extract from the Annual Practice of 1951 which reads-

> The principle on which the court acts is that where the defendant can show by affidavit that there is a *bona fide* triable issue, he is to be allowed to defend as to that issue without condition. A condition of payment into Court ought not to be imposed where a reasonable ground of defence is set up. The condition of payment, or giving security, is seldom imposed, and only in cases where the defendant consents or there is good ground in the evidence for believing that the defence set up is a sham defence and the master is prepared very nearly to give judgment for the plaintiff in which case only the discretionary power given by this rule may be exercised. It should not be applied where there is a fair probability of a defence nor where the practical result of applying it would be unjustly to deprive the defendant of his defence.

This extract was also adopted in *Souza Fiquerido and Company Ltd v. Moorings Hotel Company Ltd* (4) at page 426; *Thssen-Stahlunion Export GMBH v. Kibo Wire Industries Ltd* (5). In the instant application, paragraphs 4, 6 and 8 of the supporting affidavit do set up possible defences to the suit. It is true that in paragraph 6 TZS.37 million appear to have been admitted, but this does not mean that the applicant has no defence for its recovery. It may not be a positively good defence, but I cannot confidently state that the defence is a sham and at the moment I am unwilling to deprive the applicant of his defence. The applicant has in my view raised triable issues fit to go for trial.

In the result, I do hereby grant to the applicant leave to appear and defend the suit unconditionally. The written statement of defence should be filed on or before the 27 June 2000; reply if any, on or before 30 June 2000. Mention on the 4 July 2000. Costs to be in the cause. It is accordingly ordered.

PETER LOILUDIE *v.* MEYAN MBAYO AND OTHERS

HIGH COURT OF TANZANIA
AT ARUSHA
(Msoffe, J.)

(PC) CRIMINAL APPEAL No. 9 OF 1999

(From Arumeru District Court, Criminal Appeal No. 25 of 1998, originating from Enaboishu Primary Court, Criminal Case No. 506 of 1997)

Evidence – Identification – Identification of dogs at night – Need to adduce evidence to show whether conditions allowed for proper identification.

The respondents were convicted of an omission to take reasonable care of their dogs before the Enaboishu Primary Court. The dogs were said to have bitten the appellant's cow to death at night. They appealed to the District Court of Arusha where their appeal was allowed. The appellant, dissatisfied, appealed to the High Court. The contentious issue was the identification of the dogs in question.

Held: (i) The evidence was not sufficient to establish conclusively that the dogs which the appellant saw that night belonged to the respondents;

(ii) Since it was dark, more positive evidence of identification should have been given by the appellant, especially whether the conditions that night allowed for proper identification, such as whether the torch light used was bright enough to allow for correct identification, whether the dogs had any special marks or whether he was so familiar with them as not to mistake them at any time.

Appeal dismissed

Statutory provisions referred to:

1. Penal Code Chapter 16, section 210

Mrs Neema Joseph, for the Appellant

JUDGMENT

(Delivered 23 June 2000)

Msoffe, J.: In the Primary Court at Enaboishu, Arusha, the respondents were convicted of an omission to take reasonable care of their dogs. The charge was preferred under section 210 of the Penal Code Chapter 16. They appealed to the District Court at Arusha where their appeal was allowed. The appellant is dissatisfied and hence this appeal.

The appellant's case at the trial was that on the night of 10 December 1997 he was nursing his cow which had just delivered a calf. At around 1:00am he was exhausted and retired to sleep. In his absence, the respondent's dogs came in and bit the cow to death. He managed, however, to wake up in time, chase and identify the dogs in question. The respondents defence was, *inter alia*, that there was no strong evidence of identification of the dogs. The respondents were disbelieved and hence the conviction and sentence of a fine of TZS. 5 000 each or four months imprisonment in default. An order for compensation of TZS. 350 000 for the cow was also made against them.

In the appeal to the District Court, the said Court took a different view. It opined and held, *inter alia* that the evidence of identification was not only wanting but it was not upon the respondents to take charge of their dogs at that odd hour of the night. In the petition of appeal there are a total number of six grounds of complaint. Briefly stated, however, the grounds centre on one general point i.e. that it was wrong for the District Court to hold that the evidence at the trial was insufficient to ground a conviction.

In dealing with the appeal, I invited input from the state attorney as *amicus curiae*. Accordingly Mrs Neema Joseph, learned state attorney appeared and filed a written submission. In her view, the evidence at the trial established the case against the respondents beyond reasonable doubt. She has specifically submitted that there was enough evidence of identification of the dogs by the appellant on the night in question. With respect, I do not agree with her as I shall try to demonstrate hereunder.

I propose to deal with the appeal generally as follows: admittedly, a decision of the case depended on identification, specifically whether the appellant identified the dogs that night to be those of the respondents. According to the appellant he identified the dogs. With respect I do not agree. It was quite possible that he knew the dogs to belong to the respondents. But this was not the crucial point in the case. The point was whether he put in sufficient evidence to prove conclusively that the dogs he saw on that material night belonged to the respondents. His evidence on the point simply ran as follows:

> ... nikiwa na tochi nikamulika, na mbwa wawili wakakimbia, mmoja wa kiume wa mshtakiwa 1 na mmoja wa mshtakiwa 2...

With respect, this evidence was not sufficient to establish conclusively that the dogs which the appellant saw that night belonged to the respondents. Since it was dark, one would have expected to see more positive evidence of identification by the appellant especially whether the conditions that night allowed for proper identification. For instance, the appellant was expected to say whether or not the torch light was bright enough to allow for correct identification, whether the dogs had any special marks, whether he was familiar with them as not to mistake them at any one time etc. In other words, it was not enough for him to say the dogs belonged to the respondents without more. It also appears that the appellant believed the dogs belonged to the respondents, because after he had seen them that night they ran towards the respondents' homes. In my view, that was not sufficient proof that these were the respondents' dogs for it was still possible that

the dogs he saw belonged to some other people and not necessarily the respondents notwithstanding that they ran towards the said respondents' homes. For the above reason, the appeal is dismissed.

NBC HOLDING COPRORATION *v.* HAMSON ERASTO MRECHA

COURT OF APPEAL OF TANZANIA AT DODOMA

(Ramadhani, Lubuva and Lugakingira, JJ.A.)

CIVIL APPEAL No. 35 OF 1995

(Appeal from the order of the High Court of Tanzania at Dodoma, Mwalusanya, J., dated 12 December 1994, in Civil Case No. 10 of 1994)

Contract – Exeption clauses – Contract contains an exemption clause – Whether exemption clause in a contract is ambiguous – Construction of an exemption clause.

Banking – Banker exempts himself from requirement of giving notice – Exemption does not extend to cover liability for injury to customer – Requirement of notice in banking practice.

Damages – Special damages – Party claiming special damages without proof of damage suffered – Whether reasonableness can be basis for awarding special damages.

Damages – Special damages – Party claiming special damages without proof of damage suffered in businesses that have no connection with the purpose of the overdraft facility – Whether such claim may be entertained.

The respondent was granted an overdraft facility of TZS. 5 000 000 by the then National Bank of Commerce. According to the agreement the facility was to commence

on 7 Janary 1994 and expire on 10 December 1994. The agreement carried various conditions one of which, clause (2), stated that although the overdraft was sanctioned to expire on 10 December 1994 "the bank retains the right of varying it at any time without notice." On 31 January 1994 the bank, without giving prior notice, required the respondent to sign a new agreement granting a reduced overdraft facility of TZS. 2 000 000 and informed him that that amount was the approved facility which had previously been erroneously indicated as TZS. 5 000 000. Upon protests by the respondent the facility of TZS. 5 000 000 was restored on 22 February 2004. The respondent sued the bank in the High Court of Tanzania alleging breach of contract and that he had suffered damage when the variation was in operation between 1 February 1994 and 22 February 1994. The trial judge held that there was breach of contract and awarded the respondent TZS. 3 669 500 although the respondent had claimed TZS. 19 577 510 as general damages. The basis for the trial judge's decision that there was breach of contract was that clause (2) was an exemption clause that did not empower the bank to vary the overdraft amount but its expiration date only. The judge was of the view that clause (2) was ambiguous, that it had to be construed restrictively against the bank because it appeared on a standard form and that in accordance with the *ejusdem generis* rule, the words "the bank retains the right of varying it at any time" were to be read as limited to the expiry date and not the amount of the overdraft facility. The learned judge awarded part of the special damages on the basis that the claim was reasonable.

The bank, whose liabilities subsequently vested in the NBC Holding Corporation, appealed to the Court of Appeal of Tanzania against the decision. Counsel for the bank argued that the learned judge erred in his construction of the clause and that variation had reference to the overdraft. He also attacked the damages awarded to the respondent on the ground that what he claimed were special damages and that there was no proof of the damages. The Court of Appeal of Tanzania considered whether or not the High Court judge correctly construed clause (2) and whether the damages awarded could be sustained.

Held: (i) There was no breach of contract on account of variation of the overdraft;

(ii) Clause (2) constituted an exemption clause in the context of notice in as far as it exempted the bank from the necessity of giving prior notice when exercising the right to vary the overdraft;

(iii) *Obiter:* The exemption did not extend to liability for injury to the customer;

(iv) *Obiter:* The bank exposed itself to damages for exercising its right to vary the overdraft without notice in the absence of an exemption from liability;

Appeal allowed

Case referred to:

1) *Allison (F. Gordon) Ltd v. Wallsend Shipway and Engineering Company Ltd* [1927] 43 T.L.R. 323

Mr *Richard Rweyongeza,* for the Appellant

Mr *George Mbezi,* for the Respondent

JUDGMENT

(Date 27 June 2000)

Lugakingira, J.A.: By an agreement dated 7 January 1994 the respondent obtained an overdraft facility of TZS. 5 000 000 from the then National Bank of Commerce expressed to expire on 10 December 1994 and subject to various conditions. Clause (2) of these conditions stated:

> Although the overdraft is sanctioned to expire on 10 December 1994 the Bank retains the right of varying it at any time without prior notice.

Indeed on 31 January1994 the respondent was required to sign a new agreement granting a reduced overdraft of TZS. 2 000 000 and on 1 February 94 he was informed that sum represented the approved overdraft which had previously been erroneously indicated as TZS. 5 000 000. The respondent protested to the bank's branch manager at Singinda and at the bank's headquarters in Dar es Salaam and this resulted in the TZS. 5 000 000 overdraft being restored on 22 February 1994. However, the respondent then commenced proceedings in the High Court at Dodoma alleging that the variation constituted a breach of contract and that he had suffered damage between 1 and 22 February when the variation was in operation. He claimed what he termed

general damages amounting to TZS. 19 577 510 interest at the Bank rate and costs. The trial judge held that there was a breach but awarded the respondent TZS. 3 669 500 in special and general damages, plus costs and interest. The Bank, whose liabilities have since vested in the NBC Holding Corporation, appealed against the decision through learned counsel Mr Richard Rweyongeza. The respondent was represented by Mr George Mbezi.

In deciding that the bank had breached the contract, the trial judge held that Clause (2) cited above, which he termed an exemption clause, did not empower the Bank to vary the overdraft amount but its expiration date. He said:

> It is my view that the amount of the overdraft was the essence of the contract in this case, and the reduction of the same deprived the agreement of all the contractual force. I take it that the exemption clause entitled the defendant bank to vary only the date of expiry, the interest rate, etc., but not the amount of the overdraft facility which was the core of the contract.

In arriving at that view he held that Clause (2) was ambiguous, that it had to be construed restrictively against the Bank because it appeared on a standard form, and that, in accordance with the *ejusdem generis* rule, the words "the Bank retains the right of varying it at any time" were to be read as limited to the expiry date rather than the overdraft facility. The third ground of appeal which Mr Rweyongeza first argued was that the learned judge erred in his construction of the Clause and that variation had reference to the overdraft. Mr Mbezi supported the judge's interpretation.

We think, with respect, there is no ambiguity in Clause (2). In our appreciation of it, the pronoun "it" refers to "overdraft" and the phrase "at any time" refers to the date of expiry, thereby meaning that the overdraft could be varied at any time before 10 December 1994. The trial judge found as a fact that the agreement was explained to the respondent and held that the respondent understood the document. The respondent therefore understood the variation to refer to the

overdraft and that is why his counsel at the trial did not argue that Clause (2) was ambiguous but merely that it was "very unconscionable", meaning, oppressive. We do not think the argument of conscionability could avail the respondent, either, because parties to an executory contract are at liberty to vary its terms at any time, either partially or wholly, if the necessity for doing so arises. Besides, variation of overdraft terms is a recognized banking practice. We only need refer to a passage brought to our attention by Mr Rweyongeza in **Sheldon's Practice and Law of Banking** (13 ed) page 310, which states:

> When a banker agrees to allow the customer on advance, the document of charge usually consists a provision making the loan repayable on demand. He also takes power as a rule to cancel the specified limit, if and when he deems it advisable to do so.

In this case, too, it is apparent that the respondent's basic complaint was not against the variation as such but, according to paragraph 6 of the plaint, was on the fact that the variation was done" without giving sufficient notice" and that this was "to the detriment and loss in business on the part of the plaintiff". It is, indeed, apparent that notice is necessary in banking practice, for **Sheldon's book** further states (*ibid.*):

> But he (the banker) must give reasonable notice to his customer before acting upon his decision to cancel the limit, and must pay all cheques within the limit originally agreed upon, drawn and put into circulation before the customer has received notice. How much notice is required will depend upon circumstances.

In the light of the foregoing, and now with reference to the first, second and fourth grounds of appeal, we are satisfied that there was no breach of contract on account of the variation as such. Moreover, it is not easy to see in what sense Clause (2) became an exemption clause in relation to variation as such; it was in that context merely an enabling clause to vary the limit of the overdraft. However, the Clause constituted an exemption in another context – the context of notice: it exempted the bank from the necessity of giving prior

notice when exercising the right to vary the overdraft. It is noteworthy, though, that it did not say that the bank was exempt from liability for damages arising from the absence of notice. If such an exemption was intended, it had to be expressed in clear words: *Allison (F Gordon) Ltd v. Wallsend Shipway and Engineering Company Ltd* (1) at page 324. As the clause stands, there is no mention of exemption from liability for varying the overdraft without giving notice. We think that is precisely why in the letter addressed to the respondent on 1 February 1994, the bank hastened to apologize for the inconvenience arising from its act: *"Tunakuomba msamaa (sic) kwa usumbufu utakaokupata haikuwa nia yetu kukupa matumaini ya aina hiyo"*. Since notice is necessary in banking practice, a banker who seeks to exempt himself from it does so at his own risk if, as in this case, the exemption does not extend to liability for injury to the customer. Therefore, while holding that the variation of the overdraft in this case was not a breach of contract, we believe the bank exposed itself to damages for exercising its right to vary the overdraft without notice in the absence of an exemption from liability.

The various heads of damages awarded by the trial judge are challenged in the fifth, sixth and seventh grounds of appeal. The fifth ground, relates to the award of TZS. 1 610 000 for cotton cake which went bad on account of the delay in dispatching it from Shinyanga to Arusha. The trial judge held that if the overdraft had not been reduced, the respondent would have dispatched the cake earlier, but he was from 31 January to 21 February busy trying to establish why the overdraft was reduced. We have held that variation of the overdraft as such did not amount to a breach, but even if the matter were looked at from the absence of notice, we think the claim was remote and untenable. In the evidence of the respondent, the overdraft was extended for the business of supplying beer to Shinyanga and Singida. There is no connection between this activity and the supply of cotton cake and the latter was therefore not contemplated in the contract. We sustain the fifth ground and set aside the award of TZS.1 610 000.

In the sixth ground it is contended that the trial judge erred in awarding TZS. 59 510 as travel, board and lodging expenses incurred by the respondent when he traveled to Dar es Salaam to press for the restoration of the original overdraft, and TZS. 1 million as lost profits when the variation was in operation. The judge made the first award merely for being "reasonable" in the light of the 10 days the respondent spent at Dar es Salaam. We think reasonableness cannot be the basis for awarding what amounted to special damages, but strict proof thereof.

The respondent tendered no receipts to establish the claim but conceded that he had none. On the award of TZS. 1 million the judge himself said:

> I agree with the defendant's counsel that this claim being of special damages ought to be strictly proved. The plaintiff did not bring any documentary evidence to establish how much profit he had been making in the past. What we have is mere speculation an conjecture...

PW1 testified that he did not know these two men he only knew the two who had arrived by car, being a manager of Samcu and his driver. He swore that he managed to observe them because there were two electricity bulbs which were lit in the area surrounding the bar entrance. Apart from carrying a gun, the man in front also wore a hat he described as a "*puma*" hat with a large brim which covered his face up to the nose. The armed men were about six metres away from him, he said. As a result of his observation, PW1 alleged that he managed

The respondent had claimed a total of TZS. 14 630 000 as lost profits, but the judge observed that the respondent could not have made that much profit in 21 days were TZS. 3 million not removed from the overdraft. However, he observed that if the appellant had bought beer of TZS. 3 million he would have realized some profit. He therefore assessed loss of profits at TZS. 1 million. Once again, we have held that there was no breach, so that amount was not available even as nominal damages. Further, there was no evidence of any loss, so the sum cannot be awarded even for the absence of notice. Moreover,

as Mr Rweyongeza pointed out, it does not appear that the respondent was engaged in the business for which the overdraft was extended. He did not say for what purpose he issued the cheques Exhibits page 2, P3, P4 and P5 to Philemon Olutu of Arusha, Malisa of Moshi, Joel Brothers Ltd of Singinda and Star Petrol Station of Singida respectively. He could not possibly have purchased beer from a petrol station for distribution to Shinyanga and Singinda. What is more, he did not say that the cheques were presented to the bank and dishonoured. In short, the award had no basis whatsoever.

Finally, the seventh ground challenges the award of 1 million as general damages. As pointed out by Mr Rweyongeza, the respondent did not pray for general damages but special damages which he erroneously titled "General Damages". The learned trial judge realized this but made the award on the ground that "our financial institutions do not strictly abide by their working ethics" and that the breach "must have caused a lot of anxiety and inconvenience to the plaintiff as a businessman". Since we have held that there was no breach we can see no basis for punishing the appellant Bank for the so-called breach of ethics; and since the respondent appears to have been engaged in businesses other than the business for which the overdraft was extended, he cannot be compensated for anxiety and inconvenience even for the absence of notice.

We have in sum come to the view that this appeal ought to succeed and it is allowed in its entirety, the judgment and decree of the High Court being set aside. The appellant will have its costs here and below.

SAMSON MZAMANI v. REPUBLIC

COURT OF APPEAL OF TANZANIA AT DODOMA

(Ramadhani, Lubuva and Lugakingira, JJ.A.)

CRIMINAL APPEAL No. 160 OF 1994

(Appeal from the Judgment of the High Court of Tanzania at Dodoma, Msoffe, J., dated 13 July 1994, in Criminal Appeal No. 37 of 1994)

Criminal Practice and Procedure – Charges – Conviction to a charge – Whether a conviction for armed robbery may be entered on a charge of robbery sections 285 and 286 Penal Code and Act 10 of 1989.

Evidence – Identification Parade – Irregularities in an identification parade – Whether any irregularity in conducting parade vitiates the whole identification evidence.

Criminal Law – Theft – Recent possession – Watch found with accused two days after an armed robbery during which it was stolen – Whether doctrine of recent possession was rightly applied to incriminate appellant.

The appellant was convicted of armed robbery in a District Court and his appeal to the High Court against the conviction was dismissed. It was alleged that the appellant together with other raided a house, firing a shot in the air in order to scare the occupants and ransacked property comprising various items and a rado lady's wrist watch. The appellant was found in possession of the watch two days after the complaint's house was raided.

In his appeal, the appellant argued that he should not have been convicted of armed robbery since he was charged with ordinary robbery. He also argued that the identification parade had some flaws, and that the doctrine of recent possession was wrongly applied against him.

Held: (i) Though there is no express and specific definition of what constitutes "armed robbery" it is clear that if a dangerous and offensive weapon or instrument is used in

the course of a robbery, such constitutes "armed robbery" in terms of the law as amended by Act Number 10 of 1989;

(iii) The doctrine of recent possession was properly invoked to link the appellant with armed robbery where he was found with a watch stolen in the robbery two days after the commission of the robbery.

Appeal dismissed

Cases referred to:

(1) *Joseph v. Republic* [1995] T.L.R. 278

Statutory provisions referred to:

1. Penal Code and Act 10 of 1989, sections 285 and 286
2. Criminal Procedure Code Act 1985, section 42(*b*)(i) and (ii)

Mr Ruhumbika, for the Appellant

Mr Kagaigai, for the Respondent

JUDGMENT

(Dated 27 June 2000)

Lubuva, J.A.: This is a second appeal, the first one to the High Court was unsuccessful. The facts giving rise to the case may briefly be stated as follows: The prosecution case as established at the trial was that on 9 May 1993, at about 11:00pm., the appellant together with others raided the house of the complainant, Shabri Teja (PW1), firing a shot in order to scare PW1 and Daudi Shadrack Mwika (PW2), the watchman. In the process, the house was ransacked and property comprising various items worth shillings TZS. 21 161 000 was stolen. Among the items stolen was a rado lady's wrist watch valued at TZS. 180 000 which was found in the possession of the appellant on 11 May 1993, for example two days after the complainant's house was raided. The appellant was arrested and charged in the District Court of Dodoma with the offence of robbery with violence contrary

to section 285 and 286 of the Penal Code. At the trial the appellant denied any involvement in the commission of the offence. The learned trial Resident Magistrate upon a careful analysis and evaluation of the evidence was satisfied that the appellant was sufficiently identified and connected with the perpetrators of the robbery. The appellant was accordingly convicted of the offence as charged. He was sentenced to a term of imprisonment for thirty years and was further ordered to suffer corporal punishment of twelve strokes. The appellant was aggrieved, he appealed to the High Court where Msoffe, J. dismissed the appeal. Still dissatisfied, the appellant has appealed to this Court.

In this appeal, the appellant was represented by Mr Ruhumbika, learned advocate. On the other hand, the respondent Republic, was represented by Mr Kagaigai learned State Attorney. Mr Ruhumbika had filed a five-point Memorandum of Appeal. At the hearing of the appeal before us, he argued the grounds of appeal in the order in which they appear in the memorandum. We intend to deal with them *seriatim*.

In ground one, it was Mr Ruhumbika's complaint that the learned judge on first appeal erred in law in upholding the conviction and sentence of thirty years imprisonment for the offence of armed robbery. According to Mr Ruhumbika, the appellant was charged with the offence of what he called ordinary robbery under the Penal Code sections 285 and 286 and not with armed robbery as provided under Act Number 10 of 1989. In that case, Mr Ruhumbika maintained, even if the offence of robbery with which the appellant was charged was proved satisfactorily, the sentence of thirty years imprisonment imposed against the appellant was not proper in law.

With respect, we think Mr Ruhumbika is raising a valid legal point in this ground. That is, whether the appellant was properly convicted of the offence of armed robbery when the charge under which he was tried was robbery with violence. However valid though the point may be, we think we need not be delayed on this point. As correctly pointed out by Mr Kagaigai learned State Attorney, from the evidence

adduced in court and the particulars of the charge, the offence of armed robbery was amply disclosed. That is, from the evidence it was shown that when the offence was committed, a gun was used as a weapon and thus constituting the offence of armed robbery. On this, the court has restated its position in a number of cases. For instance, in the case of *Joseph v. Republic* (1), the appellant was charged with robbery with violence contrary to sections 285 and 286 of the Penal Code. The evidence disclosed that during the commission of the offence a knife was used. He was sentenced to thirty years imprisonment. On appeal to the High Court the issue raised was that the sentence imposed was not proper because the offence did not amount to armed robbery. On further appeal to the court, the court *inter alia* stated:

> Though there is no express and specific definition of what constitutes "armed robbery" it is clear that if a dangerous or offensive weapon or instrument is used in the course of a robbery such constitutes "armed robbery" in terms of the law as amended by Act Number 10 of 1989.

Dealing with the fact that Act Number 10 of 1989 does not create any new offence contrary to Mr Ruhumbika's submission, the court further held:

> It is common knowledge that the object behind the enactment of the Written Laws (Miscellaneous Amendments) Act Number 10 of 1989 which amends the Minimum Sentences Act 1972, was, *inter alia,* to raise the penalties for offences of robbery with violence or attempt to commit such offences and the use of arms or dangerous or offensive weapons. Otherwise, the basic definition of robbery still remains as provided for under the Penal Code.

In the instant case, the appellant was armed with a gun which is a dangerous or offensive weapon in terms of the provisions of section 286 of the Penal Code. In such a situation, the statutory penalty provided under the amendment effected by Act Number 10 of 1989 is thirty years imprisonment. We are therefore satisfied that the appellant was properly convicted of the offence of armed robbery

and the sentence of thirty years imprisonment is the minimum prescribed by law. In the event, this ground of appeal is untenable, it is dismissed.

In the second ground it is stated that the first appellate Court erred in law and in fact in sustaining the conviction against the appellant despite inconclusive identification evidence of the appellant since the identification parade held by the Trial Court was marred by some flaws. Before us, Mr Ruhumbika cogently submitted to the effect that the learned judge on first appeal should have held that the evidence on the identity of the appellant was vitiated by the irregularities and flaws in the conduct of the identification parade. With the evidence on the identity of the appellant vitiated, Mr Ruhumbika further submitted, that would result in the acquittal of the appellant as there would be no basis for sustaining the conviction of the appellant.

As regards the rules to be followed in an identification parade, he referred the court to the case of *Ssentale v. Uganda* (2). We wish at once to observe here that while the Court of Appeal for East Africa laid down general rules to be applied when conducting an identification parade, we have been unable to find any provision either in the rules set out in the case of *Ssentale* or under any legislation to the effect that any single irregularity or flaw in conducting the identification parade vitiates the whole evidence in identification. To our minds, the effect of such irregularity depends on the circumstances of the case and the nature of the alleged breach of the rule. In the instant case, the crucial issue was the identification of the appellant at the parade. Mr Ruhumbika's strong point of dissatisfaction was that it was not shown in the evidence how the identifying witnesses (PW1 and PW2) identified the appellant. With great respect, we are unable to go along with Mr Ruhumbika on this point. What was expected of the witnesses at the parade was whether they were able to identify the person or persons they saw taking part in the robbery on 9 May 1993. According to PW7 and PW8, the police officers conducting the identification parade on 11 May 1993, the witnesses (PW1 and PW2) identified the appellant. This is also borne out from the Identification Parade Register (Exhibit PE4). After all it was only two days after

the robbery incident that the identification parade was held in which case it was still fresh in the memories of the witnesses (PW1 and PW2) to be able to identify the participant(s) to the robbery upon sight.

It is also to be observed that PW1 and PW2 had been with the appellant at the gate for a considerable time during the raid in which case PW1 and PW2 had ample opportunity to see and recognize the appellant. From the evidence which was accepted at the trial, we are, and as correctly submitted by Mr Kagaigai learned State Attorney satisfied that the learned, judge on first appeal arrived at the correct conclusion that if there were any irregularities in the conduct of the identification parade, such flaws did not vitiate the evidence on the identification of the appellant. This ground also fails.

Ground three was to the effect that the learned judge on first appeal erred in invoking the doctrine of recent possession because first, there was no conclusive evidence that the watch (Exhibit P2) was found on the appellant; second, the search was conducted without a search warrant and third, that PW5 had not seen PW1 with the watch. In elaboration, Mr Ruhumbika, learned advocate strongly urged that it was necessary for the police conducting the search to have a search warrant in order to ensure that the search was properly conducted.

In this case, he contended that as the search was conducted in the process of a police swoop and there were no specific marks of identification on the watch, it was unsafe to invoke the doctrine of recent possession in sustaining the conviction against the appellant. It was even more suspicious he said, if PW5, a driver with the complainant (PW1) for 14 years had not seen the complainant with the watch. From the evidence on record particularly that of PW4 and PW5 we agree with Mr Kagaigai learned State Attorney that the concurrent finding of the two Courts below that the appellant was found with a rado lady's wrist watch (Exhibit PE 2) in the right handside pocket of his trousers is well founded. This was two days after the robbery incident at the house of the complainant. It is further borne out from the evidence that the watch had added specific marks which the complainant

(PW1) identified. So, Mr Ruhumbika's attack on the learned judge's finding that the watch (Exhibit PE 2) was found in possession of the appellant and that it was identified by PW1 is, with respect, baseless.

The fact that the search in the house of the appellant was conducted without a search warrant did not in our view affect the evidentiary value on the identification of the appellant. Depending on the circumstances of the case the police are duty bound to act fast in order not to lose track of the item suspected to have been stolen. For that reason section 42(*b*) (i) and (ii) of the Criminal Procedure Code Act 1985, was enacted in order to take care of such a situation. In this case, it is our view that the police had reasonable grounds to believe that the matter was of such urgency that they had to act fast without a search warrant. There is also the fact that PW5, the driver of the complainant (PW1) for 14 years had stated in his evidence that he (PW5) had not seen PW1 wearing the watch (Exhibit PE 2). This, in our considered opinion was of no consequence. We think this is so, because, having regard to the nature of work that PW5 was doing, viz., a driver, as well as the nature of the item for example a lady's watch given to him (PW1) by his mother, it is possible that he (PW1) did not wear it so often. On the other hand, even if PW1 was wearing it often, it is equally possible that PW5 may well have not seen it. In the final event, upon a proper analysis of the evidence and as the watch (Exhibit PE2) found in the possession of the appellant on 11 May 1993 was properly identified by PW1 as one of the items stolen on 9 May 1995 during the robbery, we agree with Mr Kagaigai that the doctrine of recent possession was properly invoked. This ground is, therefore, not sustained.

We will next deal with ground four. In this ground, it is stated that the first appellate Court erred in law and in fact in failing to order a hearing *de novo* of the appellant's case since there are inconsistencies and irregularities in the trial amounting to a failure of justice. At the hearing of the appeal before us, Mr Ruhumbika, learned counsel raised three points in his submission. One, that because the preliminary hearing resulting in the memorandum of agreed facts

on 18 August 1993 was conducted before a different magistrate from the one who proceeded with the trial on 27 September 1993, a trial *de novo* should have been ordered. Two, that the trial was proceeded without counsel to represent the appellant after the withdrawal of the first counsel from the case. Third, that when the trial proceeded before a different magistrate, the charge was not read over to the appellant and the appellant was not reminded of the charge. When prompted by the court as to the law, which provides for the trial to start *de novo* or the reading over of the charge to the accused whenever the case is proceeded before another magistrate, Mr Ruhumbika was not ready to furnish such a law.

With regard to the alleged inconsistencies and irregularities in the trial amounting to a failure of justice, we agree with Mr Kagaigai that these have not been specified. Without any specific identification of the inconsistencies or irregularities in the trial such complaints and criticism against the decision of the courts below remain nothing more than mere assertion without foundation. At any rate, as generally understood, inconsistency means in the case of say, evidence, one witness saying one thing different from the other. Here, nothing of the kind has been shown. So, as it is, it remains a matter of conjecture as to whether the complaint is in regard to unspecified inconsistencies or inadequacy of the evidence. On this, we need say no more. As regards Mr Ruhumbika's charge that the appellant was not given the opportunity to engage a lawyer to defend him at the trial, needless to say, this is not supported by the evidence on record.

On record, it is loudly clear that on 1 September 1993 when Mr Rweyongeza withdraw from the case, it was adjourned till 14 September 1993 to enable the appellant (accused to look for another lawyer. On 14 September 1993, the case was again adjourned to 27 September 1993 when the trial proceeded before Mr Msemo, Resident Magistrate. From such evidence, it is clear that the applicant's complaint that he was not afforded the opportunity to engage a lawyer is not tenable. Finally, we are also of the settled view that Mr Ruhumbika's urge that a trial *de novo* should have been ordered when the trial proceeded

before another magistrate after the preliminary hearing at a time when no evidence had been recorded, is, with respect, without any legal foundation. Neither is there any legal basis for the charge being read over to the accused whenever the case comes up before a different magistrate. The requisite provisions of the Criminal Procedure Act 1985 are indeed common knowledge and elementary to any judicial officer as to when a charge is to be read over to the accused at any stage of the trial. We find no merit in this ground, it is dismissed.

Under the fifth ground of appeal it is stated to the effect that the first appellate Court erred in not giving the benefit of doubt to the appellant by allowing the appeal. Our understanding of this ground is that on the basis of grounds 1 to 4 above, the case for the prosecution was not proved beyond all reasonable doubts. Such doubts, according to Mr Ruhumbika should be resolved in favour of the appellant. From the totality of the evidence which we have endeavoured to analyse in the grounds of appeal above, we are satisfied that the identity of the appellant was sufficiently proved; the appellant was found in possession of a watch whose specific marks were identified by the owner (PW1); the watch was one among the items which were stolen during the robbery; the appellant was found in possession of the watch two days after the robbery. For these reasons, we agree with the learned judge on first appeal that appellant's conviction was properly founded under the doctrine of recent possession. There is no merit in the appeal. We dismiss it in its entirety.

COTWO (T) OTTU UNION AND ANOTHER *v.* HONOURABLE IDDISIMBA MINISTER OF INDUSTRIES AND TRADE AND OTHERS

COURT OF APPEAL OF TANZANIA AT DAR ES SALAAM

(Kisanga, J.A.)

CIVIL APPLICATION No. 40 OF 2000

(From the Ruling of the High Court of Tanzania at Dar es Salaam, Katiti, J., dated 25 May 2000, in Miscellaneous Civil Appeal No. 100 of 1999)

Civil Practice and Procedure – Preliminary objection – Meaning and tests of what constitutes a preliminary objection.

This was an application for temporary injunction pending appeal. The applicants sought an order to restrain the first respondent from renewing or issuing shipping agency business licences to private entities. The first respondents lodged a preliminary objection on the ground that many of the applications for shipping agency business licences had already been renewed or issued. The applicants argued that the preliminary objection was incompetent because it failed to meet the tests for a preliminary objection.

Held: (i) A preliminary objection should raise a point of law which is based on ascertained facts, not on a fact which has not been ascertained and, if sustained, a preliminary objection should be capable of disposing of the case;

(ii) The preliminary objection in this case is based on some facts which are not ascertained and, even if sustained, the objection cannot dispose of the matter; as such it fails to met the laid down tests for a preliminary jurisdiction.

Objection overruled

Case referred to:

1) *Mukisa Biscuit Manufacturing Company v. West End Distributors Ltd* [1969] EA

Professor Shivji, for the Applicants

Mr Kamba, for the first and second Respondent

Mr EF Kapinga, for the 6 other Respondents

RULING

(Dated 30 June 2000)

Kisanga, J.A.: The applicants in this case filed in the High Court an application for leave to apply for prerogative orders of prohibition and *mandamus*. They at the same time applied for temporary injunctions pending the hearing of the main application. The High Court dismissed the application for temporary injunctions. The applicants appealed against the dismissal and filed this Notice of Motion under certificate of urgency, seeking, *inter alia*, temporary injunctions, pending the hearing of that appeal, restraining the first respondent (the Minister of Industries and Trade) to renew/issue shipping agency business licences to private entities. In an amended Notice of Motion the applicants further applied for orders of temporary mandatory injunctions commanding the Minister to withdraw any licences renewed/issued to private entities after 25 May 2000. The applicants are represented by Professor I Shivji, Advocate, while Mr Kamba, Principal State Attorney appears for the respondents Attorney General and the Minister for Industries and Trade. The remaining six respondents are represented by Mr EF Kapinga, Advocate.

Following the filing of the Notice of Motion by the applicants the Attorney General, on behalf of himself and the Minister of Industries and Trade, lodged a preliminary objection, the essence of which was that the application for temporary injunctions had been overtaken by the event in that shipping agency business licences which were the subject matter of the injunctions applied for have already been renewed/issued.

In a counter-affidavit to the Notice of Motion, Mr Kamba avers that following the High Court ruling on 25 May 2000 dismissing the application for temporary injunctions, the Minister for Industries and Trade proceeded to renew shipping agency business licences and or to issue new ones to private entities. It would appear that until the date of that ruling, i.e. 25 May 2000 there was an order of the High Court temporarily restraining the Minister to renew/issue such licences, but that with the dismissal of the application that order accordingly lapsed. Mr Kamba, therefore, contended that after the said High Court ruling on 25 May 2000 there was nothing to prevent or restrain the Minister from performing his statutory function of renewing/issuing the licences. In a schedule accompanying his counter-affidavit, Mr Kamba listed some twenty private entities to which the Minister had issued or granted renewal of business licences between 25 May 2000 and 13 June 2000. Mr Kamba added that he would not know how many more licences have been issued/renewed after 13 June 2000 although he was aware that there were many applications pending consideration by the Minister. The thrust of Mr Kamba's submission is that the application for temporary injunctions to restrain the Minister from renewing/issuing the licences is overtaken by the event because the subject matter of the restraint is no longer there. Counsel further objected to the application on the ground that the order being sought will affect third parties, for example, the applicants for the licences who are not parties to this proceeding. And that would be wrong because it would amount to condemning such third parties unheard.

Professor Shivji filed a preliminary objection to Mr Kamba's preliminary objection. However, after brief exchanges in court he conceded that the points raised the so called preliminary objection to a preliminary objection could adequately be dealt with in the normal manner. He could properly raise the points in his reply to Mr Kamba's submission and should it be necessary in the interest of justice he could seek leave of the court to have the last word after Mr Kamba's response to the reply. For this reason, Professor Shivji did not argue

his preliminary objection as such but replied generally to Mr Kamba's submissions, and the need for him to seek leave to have the last word after Mr Kamba's response did not arise. The thrust of his argument is that the preliminary objection is incompetent and that in law it is not a preliminary objection at all because it is based on matters which are contested and also because if it were to be sustained, it could not dispose of the applicant's Notice of Motion. In support of this argument he cited the decision of the Court of Appeal for East Africa in *Mukisa Biscuit Manufacturing Company Ltd v. West End Distributors Ltd* (1) where the court considered what constitutes a preliminary objection. The court said, at page 700 DE:

> ...a preliminary objection consists of a point of law which has been pleaded, or which arises by clear implication out of pleadings, and which if argued as a preliminary point may dispose of the suit. Examples are an objection to the jurisdiction of the court, or a plea of limitation, or a submission that the parties are bound by the contract giving rise to the suit to refer the dispute to arbitration.

And farther down at page 701B the court again said:

> A preliminary objection is in the nature of what used to be a demurrer. It raises a pure point of law which is argued on the assumption that all the facts pleaded by the other side are correct. It cannot be raised if any fact has to be ascertained or if what is sought is the exercise of judicial discretion.

Professor Shivji's view is that the so called preliminary objection in the instant case does not meet the test as laid down in the above quoted case. Mr Kamba vigorously contended that it does and went on to marshall arguments which I shall not refer to in this ruling, not out of disrespect to the learned Principal State Attorney but because in my view they are relevant as answers or replies to the actual application for temporary injunctions which is not under consideration here.

I shall now turn to examine the extent to which the preliminary objection in the instant case meets the test laid down in *Mukisa Biscuit Manufacturing Company Ltd* case (1)above. The objection

asserts that the application for temporary injunction restraining the Minister to renew/issue the licences has been overtaken by the event in that the licences have already been renewed/issued. Having regard to the first leg of the rule, I think that the objection cannot be said to raise a point of law which is based on ascertained facts. It is true that Mr Kamba has exhibited a list of twenty private entities in respect of which licences have been issued/renewed by the Minister. But the question is: Is this all that the Minister intends to do? Is he minded to issue/renew any more others?

The preliminary objection is silent on that. And yet it is apparent that the Minister's exercise is not limited to renewing/issuing just twenty licences; he is minded to renew/issue more. Because as pointed out earlier in this ruling Mr Kamba disclosed that many more applications for licences were pending before the Minister for his consideration. So that there is real likelihood of the Minister issuing/renewing more licences to private entities over and above those twenty exhibited in this proceeding. Thus the preliminary objection is based on a fact which has not been ascertained. It is based on a limited number of licences renewed/issued in favour of twenty entities only while it says nothing about those licences which were or are in the process of being renewed/issued. The applicants are saying that their prayer for temporary injunctions relates to the renewing/issuing of licences by the Minister not only in favour of the twenty entities exhibited here but in favour of any others which the Minister was or is minded to consider. In these circumstances, therefore, it seems to me that the objection fails to meet the first leg of the test in *Mukisa Biscuit Manufacturing Company Ltd* case that the objection must raise a point of law based on ascertained facts. The objection does not extend to the unascertained number of licences which the Minister is indeed to renew/issue over and above those granted to the twenty entities exhibited in this proceeding.

The objection is even more inadequate to meet the second leg of the test that the preliminary objection if sustained should dispose of the matter. Admittedly in *Mukisa Biscuit Manufacturing Company Ltd* case(1) this test was considered in relation to a suit, but I think that the principle may apply equally to an application like the one at hand. As we have already seen, the assertion in the objection that the subject matter of the injunctions no longer exists applies only to the licences renewed/issued in favour of the twenty entities. But the application is not limited to those twenty only. It applies to any other licences which the Minister intended or intends to renew/issue. So that even if, for the sake of argument, the preliminary objection were sustained, it could not dispose of the application for injunctions in relation to those licences which were or are in the process of being renewed/issued in favour of entities other than the twenty exhibited herein.

Furthermore the amended Notice of Motion asks for temporary mandatory injunctions commanding the Minister to withdraw any licences issued/renewed after 25 May 2000, and it is admitted that the Minster did issue/renew licences after that date. Yet the preliminary objection is completely silent on this and, once again if for the sake of argument the preliminary objection were sustained, it could not dispose of this aspect of the application.

In the upshot I find that the purported preliminary objection fails to meet the test laid down in the *Mukisa Biscuit Manufacturing Company Ltd* case(1) referred to above. I agree with Professor Shivji that the objection is incompetent and it is accordingly overruled. Costs shall abide the outcome of the application which is to proceed to hearing.

MICHAEL S/O MAGIGE alias WANG'ANYI *v.* REPUBLIC

HIGH COURT OF TANZANIA AT MWANZA

(Mroso, J.)

CRIMINAL APPEAL No. 88 OF 1999

(From the District Court of Musoma District at Musoma, RI Rutatinisibwa, Esq Resident Magistrate, in Criminal Appeal No. 712 of 1998)

Criminal Law – Rape – Rape of a girl of the age of seven years – Admission of PF3 – Visit to locus in quo.

Criminal Practice and Procedure – Sentencing – Fine, compensation, imprisonment and corporal punishment.

The complainant, Flora, was aged seven years. She was sent by a house-girl to go to a kiosk and buy beans. She went to a kiosk across the road, about 55 paces away, operated by the appellant, who took her behind a living house and had sexual intercourse with her. He gave her sweets and TZS. 100 and told her not to tell anyone. On her return home, she was crying and vomiting but disclosed nothing. Two days later she revealed the truth to her father, who took her to the Police Station and obtained a PF3, and then to hospital. She was found to have bruises in her vagina and the hymen was partially perforated. In the course of investigation, Flora took a police officer to the scene; the police officer drew a sketch-plan which was tendered in evidence. After both the prosecution and defence had close their cases the trial magistrate visited the scene and took afresh the evidence of Flora. The appellant, who was 19 years old, was convicted of the offence of rape and sentenced to 30 years imprisonment and twelve strokes of corporal punishment. He was also ordered to pay a fine of TZS. 20 000 and pay the complainant TZS. 200 000 as compensation.

Held: (i) The admission of a PF3 as evidence produced by an investigating officer has always been done as a matter of course, unless there was a request by the accused, or the court considered it necessary, that the doctor who prepared it be

called to explain the report contained in it; as the appellant indicated that he had no objection to its production at the trial, his complaint at the appellate stage that the PF3 ought not to have been admitted cannot be taken seriously:

(ii) There were no compelling circumstances for the court to visit the scene of crime, as visit by which the trial magistrate risked turning himself into a witness, even taking the complainant's evidence afresh at the scene, after both the prosecution and the defence had closed their respective cases, while no one had requested the complainant to be recalled to clarify her evidence or to be cross-examined; however, the course which the trial magistrate adopted, though unnecessary, did not prejudice the appellant;

(iii) As the appellant was a young man of 19 years of age, and no effort was made by the Trial Court to find out if the appellant had the means to pay, the sentence of a fine and order of compensation were unnecesary.

Appeal dismissed, but the orders of fine and compensation quashed

Mr Kabonde, SSA, for the Republic

JUDGMENT

(Delivered 10 July 2000)

Mroso, J.: This is an appeal against a conviction for the rape of a girl aged about seven years. The appellant was sentenced to 30 years imprisonment and 12 strokes of corporal punishment. He was further fined TZS. 20 000 and to pay TZS. 200 000 compensation to the complainant young girl. The appellant who had protested his innocence during his trial felt aggrieved by the conviction and sentence, hence his appeal to this Court.

The brief facts of the case are that on 3 October 1998 the young girl Flora (PW1) was sent by a house girl - Helena Simon (PW2) to buy beans and was given TZS. 200 for that purpose. She went to a kiosk across the road. The kiosk was operated by the appellant. The appellant was said to have taken the young girl to a place behind a living house and raped her on the grass. Thereafter, he gave her sweets

and TZS. 100. He told her not to tell anyone. When she returned home Helena (16 years old) saw her with the sweets and the TZS. 100. She was crying and vomiting. When Helena questioned her, she said she was feeling a headache. Two days later Flora (the young girl) told Helena that she felt pains in her genitalia when urinating and giving out stool. Helena informed Flora's father when he came home in the evening. Flora told her father the truth of what had happened. On the following day Flora's father, Deogratias (PW3), who is also a policeman, took her to the police station for a PF3 and then to a hospital for medical examination.

The medical observations in the PF3 which was tendered in evidence at the trial shows that there were bruises in her vagina on the labia majora and labia minora. The hymen was partially perforated. The appellant was arrested and prosecuted for the offence of raping the young girl Flora.

At the trial the appellant gave evidence on oath. He did not have witnesses. In his defence he admitted Flora had been to his kiosk to buy soap, not beans. She asked for sweets and he gave her. Under cross-examination, however, he denied he gave her sweets. He said he gave sweets to a different child who was living with his sister.

The Trial Court having heard all the available evidence, including sworn evidence from Flora after it was satisfied she knew and understood the nature of an oath, found the offence to have been adequately proved and convicted the appellant as charged.

In his petition of appeal, the appellant raised five grounds of appeal. In the first ground of appeal he challenged the admission of the PF3 as evidence, saying it was hearsay evidence. The learned State Attorney for the respondent Republic did not advert to this ground of appeal when addressing the court. The appellant himself had opted to be absent during the hearing of the appeal and, therefore, I could not ask him to elaborate on the ground of appeal. I must confess that the admission of a PF3 as evidence produced by an

investigating officer has always been done as a matter of course, unless there was a request by an accused, or the court considered it necessary, that the doctor who prepared it be called to explain the report contained in it. In the case under discussion when the PF3 was being produced as evidence at the trial, the appellant indicated that he had no objection to its production and I am unable at the appeal level to take seriously his complaint that it ought not to have been admitted as evidence.

The appellant's second ground of appeal is that the trial magistrate erred in holding that identification was not an issue at the trial. Again, this complaint is a mere second thought. The prosecution case was that the appellant lived just across the road from where the girl Flora lived. Secondly, although the appellant said in his evidence that he had not known Flora yet he admitted that she came to his kiosk to buy soap, according to him. Thirdly the girl was able to take the investigating police officer, PW4. – WP Detective Sergeant Neema and showed her the place behind a living house where she was raped. According to the sketch plan, the kiosk in which the appellant sold goods was in the same compound on the residential house only 55 paces away. In the fourth place, on the third day after she was violated the girl Flora pointed out the appellant to her father who immediately arrested him. It was obvious, therefore, that the appellant was well known to Flora. The trial magistrate could not, in those circumstances, entertain doubts regarding the identification of the appellant and, therefore there is no justification to fault him.

In the third ground of appeal the appellant criticized the Trial Court in visiting the *locus in quo*. I would agree with the appellant that there were no compelling circumstances for the court to visit the scene of crime, especially because there was evidence on record already from PW4 – D Sergeant Neema that the girl took her to the scene of crime and as a result the sketch plan of the *locus in quo* was drawn. In visiting the scene of crime the trial magistrate risked turning himself into a witness. He even took evidence of Flora afresh

at the scene, and this being done after both the prosecution and the defence had closed their respective case. No one had requested that Flora (PW1) be recalled to clarify her evidence or to be cross examined.

I asked Mr Kabonde, Senior State Attorney to address me on the recourse which the magistrate had taken. He asked for time to do some research on the point. English authorities showed that the court in its discretion may recall a witness but that such discretion must be exercised with caution. See: *Republic v. Owen* (1) and *Republic v. Sulivan* (2).

I am satisfied, however, the course which the trial magistrate adopted, though it was unnecessary, did not prejudice the appellant. Nothing new was obtained when the court visited the scene of crime and Flora (PW1) gave evidence afresh. I can't make out what the complaint in ground 4 of the petition of appeal is all about.

The fifth ground of appeal is about the sentence which was meted out on the appellant. The appellant was a young man of 19 years of age. The sentence of a fine of TZS. 20 000 and the compensation order for TZS. 200 000 were unnecessary and no effort was made by the Trial Court to find out if the appellant had the means to pay them.

Having said all the above I uphold the conviction of the appellant. I also uphold the sentence of 30 years imprisonment and corporal punishment. However, the sentence of a fine and compensation are quashed and set aside. The appeal is otherwise dismissed.

GAPCO ANZANIA LIMITED *v.* SHANIF MANSOOR t/a MANSOOR SERVICE STATION

HIGH COURT OF TANZANIA AT MWANZA

(Mroso, J.)

CIVIL REVISION No. 4 OF 2000

(From Mwanza District Court at Mwanza, in Miscellaneous Civil Application No. 32 of 2000)

High Court – Revisional jurisdiction – Application for revision made to the High Court under section 79(1) of the Civil Procedure Code – Whether the application is competent – Section 79(1) of the Civil Procedure Code 1966 and section 44(b) of the Magistrates' Court Act 1984.

Civil Practice and Procedure – Injunction – Temporary injunction – Circumstances in which an order of temporary injunction may be granted ex parte – Order XXXVII, Rules 2 and 4 of the Civil Procedure Code 1966.

The applicant filed an application for revision of an interim order of injunction granted against it on 7 April 2000 by the District Court of Mwanza. This had followed an application for an injunction order filed by the respondent under Order 37, rules 2 and 4 of the Civil Procedure Code 1966. The advocates of the respondent filed a preliminary objection to the application which had been filed under section 79(1) of the Civil Procedure Code 1966 and section 44(1)(b) of the Magistrates' Courts Act 1984 on the ground that it was incompetent and was inteded to defeat the course of justice. When the matter came up for hearing the advocate for the respondent did not appear and the reasons which were given for the default were not accepted by the court so the hearing of the application was ordered to proceed by way of written submissions.

Held: (i) Section 79(1) of the Civil Procedure Code is intended to empower the High Court to *suo moto*, revise a case in which the court would not have any other opportunity to do so in the absence of an appeal;

(ii) Although section 79(1) of the Civil Procedure Code was inapplicable, the application before the court was competent under section 44(1)(b) of the Magistrates' Courts Act 1984 which was also quoted;

(iii) *Ex parte* proceedings are resorted to only in extreme and unavoidable situations particularly where there is fault with the other party;

(iv) In the absence of evidence that a notice of hearing to the respondent would cause undue delay and that the object of granting temporary injunction would thereby be defeated, there was no basis for the District Court to grant the *ex parte* order.

Ex parte proceedings and order quashed

Statutory provisions referred to:

1. Civil Procedure Code 1966, section 79(1), Order XXXVII, rules 2, 3 and 4
2. Magistrates' Court Act 1984, section 44(b)

Mr Galati, for the Applicant

Mr Magongo, for the Respondent

RULING

(Dated 27 July 2000)

Mroso, J.: This is an application by Gapco Tanzania Limited for revision of an order of the District Court of Mwanza which was given against it on 27 April 2000 following an *ex-parte* application by the respondent for an injunction order under Order 37, rules 2 and 4 of the Civil Procedure Code, 1966.

The respondent through his advocates, Magongo and Company, filed a notice of preliminary objection to the application contending that the application which showed to have been made both under section 79(1) of the Civil Procedure Code, 1966 and section 44(1)(b) of the Magistrates' Courts Act 1984 was untenable in law and was intended to defeat the cause (*sic*) of justice and therefore, that it be struck out.

The court set down the application for hearing on 4 July 2000 when the preliminary objection would be dealt with and, depending on the ruling, it would either be terminated or proceed to hearing on merit. The advocate for the respondent did not show appearance and the reasons which were given for the default were not accepted by Court. It was ordered that the application proceeds to hearing. However, it was considered expedient to allow both parties to make written submissions in order to give the respondent opportunity to elaborate on his counter-affidavit to the affidavit in support of the application.

Both parties have sent in their written submissions. However, the advocates for the parties either advertently or inadvertently, confined their submissions to the preliminary objection. If that was done advertently, it was a misconception because the court order was that the hearing of the application was proceeding, the respondent having failed to appear to argue his preliminary objection. In fact, the court could have proceeded to give audience to the applicant's advocates only as regards the application but instead decided to give the respondent opportunity to submit on the substance of the application.

I would agree that the citing of section 79(1) of the Civil Procedure Code, 1966 was a misconception of the law. A party cannot move the High Court under that section to revise Lower Court proceedings or decision. The provision is meant to empower the High Court to move *suo moto* to deal with the improprieties listed in paragraphs (a)(b)and (c) of section 79(1) in a case in which the court would not have any other opportunity to do so in the absence of an appeal. Section 44(1)(b) of the Magistrates' Court Act 1984 enables a party to move the High Court to revise defective decisions of a subordinate Court. Despite the error by the applicant in citing section 79(1) of the Civil Procedure Code this Court will not grant the respondent what they sought. Luckily for the applicant, it also cited the relevant provision of the Magistrates' Courts Act as stated above and I shall only consider the wrong citing of section 79(1) as a mere superfluous

exercise. The preliminary objection, therefore, succeeds only partially. Now I will proceed to deal with the application before me.

As mentioned earlier, the advocates for the respondent did not advert to the merits of the application although they filed a counter affidavit to it and I shall certainly consider it. The same applies to the applicant.

Before writing this ruling I had to call for the Lower Court record in order to familiarize myself with the nature of the proceedings which led to the order against which this application was made.

The respondents filed Civil Case Number 27 of 2000 in the District Court of Mwanza against the applicant praying for Judgment and decree for, among others, "an order restraining the defendant from unilaterally terminating (an operatorship) agreement" between the parties. On the same date when the suit was filed the respondent filed an *ex parte* Chamber application under a Certificate of Urgency "praying that the Honourable Court grant an injunction order restraining terminating the operatorship agreement pending the determination of the main suit".

In the supporting affidavit sworn by one Shanif Nassor it is stated in paragraph 3 thereof as follows, and I quote:

> 3. That if this application is granted the respondent will suffer less inconvenience than that which the applicant will suffer if not granted, since the respondent will still finally have his wishes as per annexture "PB" to the plaint if the suit is dismissed but applicant will be inconvenienced by having to dispose with stocks within limited time, terminate workers and discontinue services to customers and in the event of the suit being decided in his favour this will result into substantial inconvenience.

In paragraph 6 of the same affidavit Shanif Mansoor said, and I quote:

> 6. That this application has been made *ex parte* because the delay that may result into effecting service may defeat the very purpose of granting the application which is being sought.

As mentioned earlier in this ruling, the respondent's application was made under rules 2 and 4 of Order 37 of the Civil Procedure Code. Rule 2(1) of course, authorizes a plaintiff to seek an order of injunction from the court in which he filed a suit to restrain a defendant from committing a breach of contract or other injury. If the court grants the injunction but it is disobeyed, rule 2(a) (as amended by GN Number 508 of 1991) provides for consequences. Order 37, rule 4 of also as amended by GN Number 508 of 1991, says and this is important in the matter under discussion:

> 4. The court shall in all cases, before granting an injunction, direct notice of application for the same to be given to the opposite party, except where it appears that the giving of such notice would cause undue delay and that the object of granting the injunction, would thereby be defeated.

The Lower Court record shows that on 27 April 2000 when both the plaint and the *ex-parte* application for injunction were filed the court ordered:

> Hearing of *Ex parte* Chamber application fixed on 27 April 2000.

The order itself is dated 27 April 2000, which suggests that the application was to be heard on the same day. Immediately below that order there is the following record:

> Date: 27 April 2000
>
> **Coram:** JM Somi, PRM.
>
> For Applicant: Mr Magongo – Adv Present.
>
> For respondent – absent (unserved)
>
> B/C Makole
>
> Mr Magongo:
>
> I am for the plaintiff. The defendants are not in operatorship agreement (*sic*) pending the determination of the application filed herein. Pray accordingly.

Order: (1) M on 18 May 2000

(2) Defendants to be served accordingly.

(3) Meanwhile an interim order restraining the respondents and/or agents/servants from unilaterally terminating operatorship agreement is hereby granted as prayed, pending the determination of the application filed herein.

Signed PRM

27 April 2000

I get a feeling that something may have been omitted from Mr Magongo's address to Court because the address appears to be meaningless. Even so, there is no clear indication that Mr Magongo was asking for an interim order. Furthermore, the court embarked on *ex-parte* proceedings without any indication what convinced it that the respondent in the application could not be served, even at short notice. Apparently, the threatened ceasation of the operatorship agreement was to take effect from 2 May 2000, so, there was time to serve the respondent.

Ex-parte proceedings are resorted to only in extreme and unavoidable situations, particularly where there is fault with the other party. In the proceedings under discussion the presiding magistrate appears to have taken the statements in the affidavit of the application before him as proved facts. There was nothing before him to prove that a notice to the respondent would cause undue delay in dealing with the application. There was no basis therefore for the *ex parte* proceedings.

Secondly, the presiding magistrate said in his interim order that he was granting it as prayed. But there was no such application before the court.

Thirdly, he said he granted the interim order pending the determination of the application (for injunction pending the determination of the suit). Assuming, without accepting, that the presiding magistrate found it meritorious to issue the interim order, in was imperative to immediately fix the earliest possible date for the application to be heard *inter*

parties in order to give the respondent in that application the opportunity to be heard. As it is, three months have lasped since the interim order was made and yet the application between the parties has not been heard.

Since there was no justification for the *ex-parte* proceedings on 27 April 2000, those proceedings together with the consequent interim order are quashed and set aside. The Lower Court should, as soon as possible, set down for hearing the application which was before it. Both parties should be heard and a decision given on merit. I wish to caution the presiding magistrate that should he find it appropriate to issue a temporary injunction, as asked by the applicant before him, Order 37, rule 3 of of the Civil Procedure Code, 1966 as amended by G.N. Number 508 of 1991 should be adhered to. A temporary injunction has a life span of six months only, unless extended from time to time as permitted by law.

IN *RE:* RESOLUTE TANZANIA LIMITED (APPLICANT)

AND IN THE MATTER OF THE COMPANIES ORDINANCE (CHAPTER 212)

AND IN THE MATTER OF AN APPLICATION FOR EXTENSION OF TIME TO REGISTER A CHARGE

HIGH COURT OF TANZANIA
(Commercial Division)
AT DAR ES SALAAM

(Kalegeya, J.)

MISCELLANEOUS CIVIL APPLICATION No. 2 OF 2000

Company Law – Judicial interpretation of sections 79(1), 80 and 85 of the Companies Ordinance Chapter 212 – Whether payment of fine for late filing of a charge under section 80(3) is sufficient to validate a charge rendered void under section 79(1).

Charge - Late registration of a charge – Whether registration is valid without order of the court.

Resolute Tanzania Limited, the applicant, appeared before this Court seeking for, (*a*) judicial interpretation of sections 79(1), 80 and 85 of the Companies Ordinance Chapter 212 as they relate to an issue as to whether payment of fine for late filing of a charge under section 80(3) was sufficient to validate a charge rendered void due to non-registration and, in the alternative, if the answer to (*a*) is in the negative (*b*) an order extending time to register a charge on the Applicant's assets.

Held: (i) The registration of the Applicant's charge is proper regard being had to the conclusiveness of the Registrar's certificate in terms of section 82(2) Chapter 212.

(ii) ***Obiter:*** Once a company defaults in registering a charge on its property within the 42 days' period prescribed under section 79(1), Chapter 212 the said charge

can only subsequently be registered under an order of the court extending the period within which to register the same following an application by either the company or any other interested person in terms of section 85 of Chapter 212.

(iii) ***Obiter:*** The Registrar of Companies can impose a penalty on the defaulting company or any of its officers in terms of section 80(3) once the court has granted extension of time and the charge having been registered as a result.

Case referred to:

1) *Calico Textile Industries Ltd and the Registrar of Companies* (CAT) Civil Appeal Number 25 of 1993 (unreported)

Statutory provisions referred to:

1. Section 9(1), 79(1), 80, 80(3), 82(2) and 85 of the Companies Ordinance Chapter 212

Mr Rwechungura for the applicant

Mr Mkapa for the Registrar of Companies

RULING

(Delivered 28 July 2000)

Kalegeya, J.: Resolute Tanzania Limited, applicant, represented by Mr Rwechungura, Advocate, is before this Court seeking for:

(a) judicial interpretation of section 79(1), 80 and 85, the Companies Ordinance Chapter 212 as they relate to an issue whether payment of fine for late filing of a charge under section 80(3) is sufficient to validate a charge rendered void due to non registration; and, in the alternative, if the answer to (*a*) is in the negative;

(b) an order extending time to register a charge on Applicant's assets.

Mr Mkapa appeared on behalf of the Registrar of Companies.

Facts undisputed in this matter are as follows Acting under "a loan package" extended by Barclays Bank PLC, the Applicant contracted

to create the following charges, to secure the loan in favour of the lender (Barclays Bank PLC):

(i) Share Mortgage on all the shares held by the applicant in Samax (Mabangu Mining Limited first borrower)

(ii) Share Mortgage on all the shares held by the applicant in Samax Mabangu (Exploration) Limited (the second borrower).

(iii) Deed of Variation dated 5 November 1999 amending the fixed and floating charge dated 10 July 1998 between the Applicant and the Lenders.

The said charges were created on 5 November 1999. Statutorily, these were supposed to be registered with the Registrar of Companies by 16 December 1999, that is, within 42 days of their creation. However, they were not registered within that period. They were registered after over 80 days had passed: that is, on 31 January 2000. This was after the Applicant had paid the fine prescribed under section 80(3) of Chapter 212. Then the Registrar duly issued the relevant certificate of registration. Shortly after, however, notwithstanding having secured the said certificate, the Applicant being not sure of the legality of the course taken, through the services of Mr Rwechungura, Advocate, filed the present application.

Briefly, Mr Rwechungura's views are that, once the 42 days elapse without being registered, a charge becomes void and can only be validated by a court's order extending the said period on application by the Company or any interested person in terms of section 85 of the Companies Ordinance. He insists that section 80(3) simply prescribes a penalty for the Company or any of its principal officers for default but does not confer powers to the Registrar of Companies to simply impose the fine and proceed to register the charge on assumption that it has been validated in the process. In an honest, truth seeking submission, Mr Rwechungura insists that although they paid the fine and secured the certificate they believe that they are on the same footing as not having any. Mr Rwechungura, supported by his own

affidavit then impresses that in the event this interpretation of the law is found to be correct the court should be pleased to extend the period within which to act. As to why they were so late Mr Rwechungura deposes that up to the time when the charges were created stamp duty and "Capital Gains Tax" on the shares secured for the loan had not been paid due to "uncertainty in the position of the law" regarding "payment of duties and taxes by mining companies" and that "it took a long time by the applicant and its consultants on the one hand and TRA on the other hand to settle the matter finally..."

Mr Mkapa for the Registrar of Companies, briefly conceded that the obtaining practice has been that payment of penalty, without any Court order extending the time, validated the otherwise void charge under section 79(1) but expressed reservations regarding the legality of that practice.

In line with the Applicant's prayers issues framed are as follows:

1. Whether payment of fine for late filing of a charge under section 80(3) of Chapter 212 is sufficient to validate the charge rendered void under section 9(1) of same Chapter

2. If payment of fine is not enough to validate the charge whether in the circumstances there are sufficient grounds for extension of time in which to effect the filing.

I will start with issue one – whether payment of penalty validates the void charge or whether it is mandatory that extension of time has to be secured first.

As the matter concerns the interpretation of the provisions of the law the same must be reproduced as I hereby do. Section 79(1) which makes a charge void for non-registration states:

9(1) Subject to the provisions of this part of this Ordinance every charge created after the fixed date by a company registered in the Territory and being a charge to which this section applies shall so far as any security on the company property or undertaking conferred thereby be void against the liquidator and any creditor of the company, unless

the prescribed particulars of the charge, together with the instrument, if any by which the charge is created or evidenced or a copy thereof verified in the prescribed manner are delivered to or received by the Registrar for registration in a manner required by this Ordinance within forty two days after date of its creation but without prejudice to any contract or obligation for repayment of the money thereby secured, and when a charge becomes void under this section the money secured thereby shall immediately become payable.

Section 80 needs to be produced in full for clarity. The section provides:

Section 80(1) It shall be the duty of a company to send to the registrar for registration the particulars of every charge created by the company and of the issues of debentures of a series requiring registration under the last foregoing section, but registration of any such charge may be effected on the application of any person interested therein.

(2) Where registration is effected on the application of some person other than the company that person shall be entitled to recover from the company the amount of any fees properly paid by him to the registrar on the registration.

(3) If any company makes default in sending to the registrar for registration the particulars of any charge created by the company or of the issues of debentures of a series requiring registration as aforesaid then unless the registration has been effected on the application of some other person the company and every director manager secretary or other person, who is knowingly a party to the default shall be liable to a fine not exceeding one thousand shillings for every day during which the default continues.

Section 85 runs as under:

85 The court on being satisfied that the omission to register a charge within the time required by this Ordinance or that the omission or mis-statement of any particular with respect to any such charge or

in a memorandum of satisfaction, was accidental, or due to inadvertence or to some other sufficient cause or is not of a nature to prejudice the position of creditors or shareholders of the company or that on other grounds it is just and equitable to grant relief may on the application of the company or any person interested and on such terms and conditions as seem to the court just and expedient order that the time for registration shall be extended or as the case may be that the omission or mis-statement shall be rectified and may make such order as to the costs of the application as it thinks fit.

I should state from the outset that my research using the limited literature at my disposal, has not landed me on any authority dealing with a similar issue. However, the wording of sections 79(1), 80 and 85 of Chapter 212 read together and guided by the general spirit created under the whole of Part IV (Registration of Charges) under which the said sections fall leaves the interpretation attached thereto by the applicant intact and sound.

Section 79(1) clearly makes a charge on a company's property or under taking void as against the liquidator or any creditor of the company unless registered with the Registrar of Companies within 42 days of its creation. This period starts to run from the time when the instrument creating the charge is executed. However the same section provides that this voidability is subject to the provisions of the Companies Ordinance falling under that part Part IV. Under this part the sections which are relevant to that issue are section 80 and 85. Section 80(1) places a duty for registering a charge on the Company which creates the charge. It adds however that application for registration may also be made by any person interested in the charge. Section (2) absorbs the cost element from the person, other than the Company, who applies to have the charge registered, costs incurred are recoverable from the Company. Then follows the seemingly controversial subsection; subsection (3) in very clear terms regarding liability for default in registration of a charge, the subsection prescribes a penalty to the Company and its principal officers (for example Director, Manager Secretary), who were knowingly parties to the default, fixed so as

not to exceed TZS. 1 000 for every day during which the default continues. If however the registration has been effected on the application of another person the penalty is not payable.

We have been told that hitherto the Registrar of Company's interpretation of section 80(3) is that any company in default of registering a charge could at any subsequent time, outside the 42 days' period simply pay the fine not exceeding TZS. 1 000 per defaulting day get the charge registered and secure a certificate. This is exactly what happened with the Applicant's case. According to the Registrar, a defaulting company and any interested person have two avenues at their disposal either to apply to the Registrar who would automatically register the charge though late in presentation, with a qualification that if it is a company, it must pay a fine or make an application before the court for extension of time, in which case, if the applicant is a company the penalty is waived.

As I have already observed that interpretation is deplorably wrong. Section 80 simply prescribes whose duty it is to register a charge: prescribes who else can apply for registration in case the one bestowed with the duty defaults and that the liability for costs incurred in registration would still lie with the one upon whom the duty rests. And then it prescribes a penalty for the one who defaults in his duty, exonerating in the process any other person who applies to salvage the situation. Nowhere does this section even suggest that the application for late registration would be made to the Registrar. In fact the wording in section 80(3) makes it clear that the penalty shall be paid after the Registration has been effected. In other words payment of penalty is not a prerequisite to late registration of a charge. This presupposes completion of another procedure. The subsection states.

> Section 80(3) If any Company makes default in sending to the Registrar for registration the particulars of any charge requiring registration then unless the registration *has been effected on the application of some other person* the Company ... shall be liable to a fine ... [emphasis supplied]

Clearly the above underlined wording shows that section 80(3) is just a penalty provision. It presupposes that an application will have been lodged, heard and extension of time granted followed by registration. If the application for extension of time was made by a person other than a company the penalty provision is not applicable, but it is, if it was made by the company. The court is empowered under section 85 to extend time on such 'terms and conditions" as may seem "just and expedient". In my view, this however, does not include the penalty prescribed under section 80(3), because as I have already explained the penalty prescribed under section 80(3), comes in after leave to file a charge outside the 42 days' period has been granted and charge registered. What it means is that imposition of the penalty is left to the Registrar of Companies. The court's duty is limited to granting or refusing to grant extension of time. If the court refuses to grant extension of time, the question of penalty does not arise. The Registrar of Companies has to register the charge once the court extends time. He cannot question the order. Once he registers the same then, depending on circumstances of a particular case, which in my view would include the observations of the court in apportioning the blame for the late registration and only if the applicant is a company whose property was put on charge, the Registrar decides on the amount payable as a penalty by the said company. The subsection simply prescribes the maximum "not exceeding 1000 – per day defaulted". The Registrar may decide to impose anything less than that.

Again, if the existing interpretation was correct, there would be no reason of including "any person interested" under section 85. Why? As no penalty is imposable where the charge is registered by "any other person" is there any reason why such person would decide to use this seemingly circuitous or costly procedure of applying to the court instead of going straight to the Registrar?

The above apart, the necessity of making a formal application before the court becomes necessary and logical regard being had to the fact that other persons' interests accruing after creation of the charge may otherwise be put in jeopardy.

All in all, therefore, I hold that a proper interpretation of the provisons as sought by the applicant is that once a company defaults in registering a charge on its property within the 42 days' period prescribed under section 79(1) Chapter 212 the said charge can only subsequently be registered under an order of the court extending the period within which to register the same following an application by either the company or any other interested person in terms of section 85 of Chapter 212. The Registrar of Companies can only impose a penalty on the defaulting company or any of its officers in terms of section 80(3) once the court has granted extension of time and the charge having been registered as a result. The amount to be imposed as a penalty is within the discretion of the Registrar of Companies provided it does not exceed TZS. 1000 per defaulted day. Where does the above conclusion lead us to?

We have already found as a fact that the Registrar, believing that he was treading along the right legal track, simply imposed a fine on applicant which was duly paid, registered the charge outside the 42 days period and issued a Certificate of Registration under section 82(2) of Chapter 212. Such last mentioned certificate is conclusive evidence that the provisions of the Ordinance have been complied with. It provides.

> Section 82(2) The registrar shall give a certificate under his hand of the registration of any charge registered in pursuance of this Part of this Ordinance stating amount thereby secured and the certificate shall be conclusive evidence that the requirements of this Part of this Ordinance as to registration have been complied with ...

Can this Court assail the same at this stage and declare it ineffective? I have carefully considered the matter and have reached a conclusion that the conclusiveness as prescribed under section 82(2) precludes this Court from so acting. Judicial interpretation in Britain, in respect of the provision of the Companies Ordinance which is in *pari materia* with our section 82(2) prohibits such move. **Pennington's Company**

Law, (5 ed), at page 539, summarizing the ruling position gives a synopsis of various decisions as follows:

> Because of the conclusiveness of the certificate the mortgage or charge is effective against all parties according to its terms even if the particulars submitted to the Registrar are inaccurate as to the amount secured or the property subject to the mortgage or charge or the date on which it was created or apparently any other matter. This is so whether the particulars for registration are submitted by the company or by the mortgagee or chargee. Moreover the court cannot quash or annul the certificate issued by the Registrar on an application for judicial review of his decision to issue it because the conclusive effect of the certificate has to be respected even if the Registrar made a mistake of law or an unreasonable decision of part in registering the mortgage or charge (for example the Registrar issued a certificate of registration after permitting the applicant to amend or substitute a new application more than twenty one days after the mortgage or charge was created).

When urging this Court to accede to the proposition that the certificate issued is as good as nothing because the procedure was not followed, Mr Rwechungura cited a (CAT) decision in *Calico Textile Industries Ltd v. The Registrar of Companies* (1) wherein it was decided that a court can order rectification of a certificate issued by the Registrar of Companies under that provision if fraud in its acquisition is proved. This authority is not relevant and I am sure Mr Rwechungura failed to land on one which is relevant not because of lack of ingenuity or capacity in search of legal materials, for he is a counsel with quite the opposite of such wanting characteristics, but because our Companies Ordinance has not substantially been tested at the doors of our Courts.

The *Calico* case(1) is irrelevant as there is no fraud in the matter before us. It is purely a misinterpretation of the provisions of the law, and the Registrar, has all along, genuinely been acting in a lot many cases, the way he acted in this matter. There is no injustice or related which is committed to any person directly or directly connected to the charges. In my view although I have a lot of reservations regarding

the entire field covered by the British judicial interpretation (quoted above) on the conclusiveness of Registrar's certificates (I can only hope and await a fitting opportunity when they would be subjected to judicial test relating to circumstances prevailing in our Tanzanian environment). I am of the considered view that the present situation is one of the justified instances where the conclusiveness of such certificate is unquestionable. I hold therefore that the registration of the applicant's charge is proper regard being had to the conclusiveness of the Registrar's certificate in terms of section 82(2) Chapter 212. I hurriedly add however that it is Court's expectations that, from now onwards, the Registrar will employ a proper interpretation of the law as provided in this ruling. With this finding the alternative prayer dies naturally.

Finally, I should commend, both Mr Mkapa and Mr Rwechungura's ingenuity in their pursuit of justice by their endeavour to seeing to it that the law is complied with I say so because, to start with Mr Rwechungura, having secured a certificate of Registration as he did not many would have taken up the burden of putting into motion legal machinery whose end results are unknown to the promoter. On the other hand, Mr Mkapa exhibited what many don't have. Most employees in managerial positions especially civil servants, are abhorred of being corrected on what they are used to and what they believe to be correct. He did not hesitate to express his negative feelings about the obtaining procedure. We should all emulate this attitude for the growth and development of our laws.

CRDB BANK LIMITED *v.* JOHN KAGIMBO LWAMBAGAZA

HIGH COURT OF TANZANIA
(*Commercial Division*)
AT DAR ES SALAAM

(Nsekela, J.)

COMMERCIAL CASE No. 10 OF 2000

Civil Practice and Procedure – Summary Procedure – defendant fails to file written statement of defence after having been granted leave to appear and defend – Order VIII (2)(b) or Order XXXV Rule 2(2).

The plaintiff bank sued the defendant under Order XXXV: Summary Procedure of the Civil Procedure Code1966 for recovery of money due on a loan. The defendant was granted leave of the court to appear and defend the suit unconditionally. He was ordered to file a written statement of defence on or before 27 June 2000. The defendant failed to comply with this Court order. Counsel for the plaintiff prayed for a hearing date in order to prove the suit *ex parte* under Order VIII, rule 14(2)(*b*) of the Civil Procedure Code as amended by GN Number 422 of 1994. The court considered whether the provision cited by counsel for the plaintiff was applicable in light of the purpose of Order XXXV of the Civil Procedure Code.

Held: (i) The purpose of Order XXXV of the Civil Procedure Code on Summary Procedure is to enable a plaintiff to obtain judgment expeditiously where the defendant has in effect no substantial defence to the suit and to prevent such a defendant from employing delaying tactics to postpone the day of reckoning;

(ii) Order XXXV is self-contained in so far as it relates to suits stipulated thereunder;

(iii) Since the defendant defaulted in filing his Written Statement of Defence on or before the 27 June 2000, then Order XXXV, rule 2(2), and not Order VIII, rule 14(2)(*b*), came into play;

(iv) In terms of Order XXXV, rule 2(2) the bank's allegations in the plaint shall be adjudged to be admitted and the bank will be entitled to judgment.

Judgment for the Bank

Statutory provisions referred to:

1. Civil Procedure Code, Order XXXV, Order VIII (2)(b), Order XXXV, rule 2(1) and 2(2), Order VIII, rule 14(2)(*b*)

Mr Mwandambo, for the Plaintiff

Mr Swai, for the Defendant

RULING

(Dated 4 August 2000)

Nsekela, J.: The plaintiff CRDB Bank Limited, (the Bank) is a commercial bank incorporated under the Companies Ordinance Chapter 212, and doing business in Tanzania. The defendant is one John Kagimbo Lwambagaza. At the request of the defendant, the bank on or about the 27 July 1998 agreed to grant to the defendant a term loan of TZS. 30 000 000. This loan facility was secured with a legal mortgage covering Plot Numbers 48, 49 and 50 Block "C" Kibangu, Ubungo area in Dar es Salaam under Certificate of Title Number 47381 in the name of the defendant. The loan facility attracted a rate of interest of 22% per annum as from 1 February 1999. Apparently, the defendant defaulted in the repayment of the said loan facility and this prompted the bank to institute this suit under **"Order XXXV Summary Procedure"** under the Civil Procedure Code, 1966 (CPC). On the 6 April 2000, I directed that the defendant be served with a summons under Order XXXV, rule 2(1) of the Civil Procedure Code and on the 14 April 2000 the defendant filed a Chamber Summons seeking leave to appear and defend the suit. The application by the defendant was argued on the 6 June 2000 by Mr Swai, learned advocate representing the defendant and Mr Mwandambo, learned advocate representing the Bank. On the 23 June 2000 I granted leave to the defendant to appear and defend

the suit unconditionally. It was ordered that the defendant should file the Written Statement of Defence on or before the 27 June 2000 and that the suit be mentioned on the 4 July 2000, but it was instead mentioned on the 11 July 2000. Mr Mwandambo entered appearance on this date holding brief as well for Mr Swai and it was ordered that the hearing of the suit would be on the 18 July 2000. On this date once again Mr Mwandambo was present but neither Mr Swai nor the defendant John Kagimbo Lwambagaza was present. The court record however showed that Mr Swai was served with notice of date of hearing on the 11 July 2000. In other words, the learned advocate for the defendant was well aware that the suit had been fixed for hearing on the 18 July 2000.

It is against this factual background that Mr Mwandambo prayed for a hearing date in order to prove the suit *ex parte* under Order VIII, rule 14(2)(*b*) of the Civil Procedure Code as amended by GN Number 422 of 1994. The learned advocate submitted that the defendant had not filed the Written Statement of Defence and there had been no application to extend the time for filing the same. I should at this juncture reproduce Order VIII, rule 14(2)(*b*) and Order XXXV, rule 2 of the Civil Procedure Code . The latter provides as follows:

> 2(1) Suits to which this Order applies shall be instituted by presenting a plaint in the usual form but endorsed "Order XXXV: Summary Procedure" and the summons shall inform the defendant that unless he obtains leave from the court to defend the suit, a decision may be given against him and shall also inform him of the manner in which application may be made and for leave to defend.
>
> (2) In any case in which the plaint and summons are in such forms, respectively, the defendant shall not appear or defend the suit unless he obtains leave from the Judge or magistrate as hereinafter provided so to appear and defend; and in default of his obtaining such leave or *of his appearance and defence in pursuance thereof, the allegations in the plaint shall be deemed to be admitted, and the plaintiff shall be entitled:*

(a) where the suit is a suit referred to in paragraph (*a*), (*b*) or (*d*) of rule I or a suit for the recovery of money under a mortgage and no other relief in respect of such mortgage is claimed *to a decree* for any sum not exceeding the sum mentioned in the summons, together with interest at the rate specified (if any) and such sum for costs as may be prescribed, unless the plaintiff claims more than such fixed sum, in which case the costs shall be ascertained in the ordinary way and such decree may be executed forthwith", [emphasis supplied]

And Order VIII, rule 14(2)(b) of the Civil Procedure Code provides as follows:

14(2) In any case in which a defendant who is required under sub-rule (2) of rule I to present his Written Statement of Defence fails to do so within the period specified in the summons or, where such period has been extended in accordance with the proviso to that sub-rule, within the period of such extension, the court may:

(a) ...

(b) in any other case, fix a day for *ex parte* proof and may pronounce judgment in favour of the plaintiff upon such proof of his claim.

In the present suit, the defendant was granted leave to appear and defend the suit unconditionally. In addition, the defendant was ordered to file the Written Statement of Defence on or before the 27 June 2000. The defendant failed to comply with this Court order! Under the circumstances, is Order VIII, rule 14(2)(b) applicable? I have serious doubts. With all due respect to the learned advocate, it is my considered view that since the defendantde faulted in filing his written statement of defence on or before the 27 June 2000 then Order XXXV, rule 2(2) came into play. Mr Swai learned advocate for the defendant was served with notice that the suit was scheduled for hearing on the 18 July 2000 but for reasons best known to himself, he opted to absent himself. Needless to say, the purpose of "Order XXXV: Summary Procedure" is to enable a plaintiff to obtain Judgment expeditiously where the defendant has in effect no substantial defence

to the suit and to prevent such a defendant from employing delaying tactics and in the process, postpone the day of reckoning. I am of the settled view that Order XXXV is self contained in so far as it relates to suits stipulated thereunder. If a defendant defaults in filing the defence after obtaining leave to appear and defend the suit, as was the case herein then in terms of Order XXXV, rules 2(2):

... The allegations in the plaint shall be *deemed* to be admitted and the plaintiff shall be *entitled* ... [emphasis supplied]

According to **Black's Law Dictionary** (6 ed) the word "deem" means - ... to hold; consider; adjudge; believe; condemn; determine; treat as if; construe.

This means that since the defendant defaulted in filing the defence, the bank's allegations in the plaint shall be adjudged to be admitted and the bank will be entitled to Judgment. There will be no need for the Bank to prove the suit according to the standard required by law. Under the circumstances I do hereby enter judgment for the Bank as prayed with costs. It is accordingly ordered.

SURYAKANT D. RAMJI *v.* SAVINGS AND FINANCE LIMITED AND OTHERS

HIGH COURT OF TANZANIA
(*Commercial Division*)
AT DAR ES SALAAM
(Kalegeya, J.)

CIVIL CASE No. 30 OF 2000

Landlord and Tenant – Flat allocated by employer to applicant as employee – Employee contracts with employer to purchase the flat – Whether dispute arising from that contract is a commercial dispute.

Civil Practice and Procedure – Grant of temporary injunctions – Ruling principles guiding Courts in issuance of temporary injunctions.

Civil Practice and Procedure – Parties – Parties – Misjoinder of parties – Meaning of proper party and necessary party.

Upon filing a suit against the defendants the plaintiff filed an application for temporary injunction to restrain the respodnents, their agents or workmen from harassing and evicting the applicant from the suit premises pending the final determination of the suit. Counsel for the respondents, in turn, raised a preliminary objection that the subject matter not being a commercial dispute should not, in the first place, have been filed in the commercial Court. Counsel also insisted that the prayer for temporary injunction was bad in law.

Held: (i) This dispute fits well in the definition of a commercial case; the dispute, being commercial, is properly before this court;

(ii) What is basic (in granting temporary injunction) is that there should be in existence a serious triable issue between the parties, a looming danger of irreparable injury to plaintiff and, on a balance of convenience, the existence of more sufferings by plaintiff if the injunction is refused than would be the case with the defendants if granted; between the two, therefore, the plaintiff stands to lose more if the injunction is refused;

(iii) The plaintiff may decide to join both proper parties and necessary parties; in litigation, a necessary party is one against whom the relief is sought or without whom an effective decree cannot be passed by the court, and all those whom the law requires to be impleaded and, on the other hand, proper parties are those whose presence enables the court to decide effectively and finally the dispute presented before it, and these include those who in one way or another are interested in or connected with the relief being sought against others;

(iv) The first defendant is a necessary party because, if left out, the official receiver may execute the security as he is now threatening, making the plaintiff's success in future, if any, superfluous.

Temporary injunction granted

Cases referred to:

1) *Attilio v. Mbowe* [1969] HCD 284

2) *Giella v. Cassmon Brown and Company Ltd* [1973] EA 358

3) *American Cyanamid v. Ethicon* [1975] AC 396

Mr Magafu, for the Plaintiff

Mr Kesaria, for the Defendant

RULING

(Dated 4 August 2000)

Kalegeya, J.: Upon filing a suit against the defendants the plaintiff proceeded and filed a chamber summons praying.

(a) This honourable Court may be pleased to issue an order for temporary injunction restraining the respondents, their agents and or workmen from harassing and evicting the appellant plaintiff from the suit premises known as Flat Number 9 situated at Plot Number 33 Ali Hassan Mwinyi Road. Upanga Area within the City of Dar es Salaam pending the final determination of the suit.

The application is supported by his own affidavit. Mr Magafu appeared for plaintiff while Mr Kesaria defended the defendants' plight.

In support of the application, both by the affidavit and the oral submissions, the applicant through his Counsel vehemently argued that as he is interested in the property itself and not money, if the order is not given and the property is subsequently sold, the parties being under liquidation, he will suffer irreparable loss. He insisted that he has a good case against defendant; has no alternative accommodation for himself and his family, and that in any case he was not given sufficient notice.

Mr Kesaria arguing and voicing a reply on behalf of defendants, forcefully retaliated by first launching a preliminary objection that

the subject matter not being a commercial dispute should not have been allowed to knock at the doors of the Commercial Court in the first place. He argued that this is a mere question of employer/employee relationship centering on arrears of salaries.

As to the prayer for temporary injunction, Mr Kesaria insisted that it should not issue because plaintiff/applicant has not established a *prima facie* case; has not established that he will suffer irreparable loss if not granted and that neither has he established, on a balance of convenience, that he stands to suffer more if the prayer is refused that will the defendants if granted.

Expounding further on his submission Mr Kesaria insisted that the plaintiffs employer was Fahari Bottlers Ltd which is under liquidation and that the plaintiff has already filed his claims with the Provisional Liquidator: that Fahari Bottlers has never been the owner of the disputed premises as much as it has no connection with the rest of the defendants which are separate entities: that the first defendant, the Bank has a right to enforce its security. Mr Kesaria tendered letters showing correspondences between plaintiff and second defendant over the flat a report on a search conducted in the Land Registry which shows that the property in dispute is in the name of the Company for which fourth defendant was appointed and a copy of the plaintiff's claim lodged with the Fahari Bottlers Ltd's Liquidator.

In reply Mr Magafu insisted that the definition of what a "Commercial case" is very wide covering the present dispute and that the demand lodged with the Liquidator does not include the TZS. 30 million deducted from plaintiff salary arrears and applied as payment for the flat.

I will start with the preliminary objection. I should out-rightly state that contrary to Mr Kesaria's objection, this dispute fits well in the definition of a "Commercial Case". The eleven categories enlisted under rule 2 of the High Court Registries (as amended by GN 141 of 1999) defining what a "Commercial Case" is are not exhaustive as amply portrayed by the opening paragraph thereof running as under.

> Commercial case means a Civil Case involving a matter considered to be of Commercial significance, *including but not limited to* ... [emphasis supplied].

The rule then goes on to enumerate the eleven categories. With respect to Mr Kesaria he cannot be heard to say that so long as a dispute does not fall under the eleven categories then it is not a commercial case. The underlined words above do not need any interpolation. They are clear. There are other disputes falling under the definition though not enlisted. And, indeed, for an evolving law applicable in the modern world with continuing business involvements and innovations a closed definition would have been undesirable if not impossible. So each case has to be looked at on the basis of its own particular facts.

Now, the plaintiff has come to us saying. "I was employed by so and so. I was allocated a flat by my employer in my capacity as his employee. We then entered into an agreement by which I purchased the said flat not by direct payment of the purchase price but through retention by the employer of my salary arrears. Though the deductions of my salary arrears amounting to the purchase price were made no transfer of the said property was made". What would this transaction amount to? Would it be, as Mr Kesaria tries to impress, an employer/employee dispute?

With greatest respect to Mr Kesaria I cannot associate myself with his reasoning. This was purely a business contractual relationship by which one party sold property and the other purchased. The mode by which the purchase price was obtained is irrelevant. As defined in the **Black's Law Dictionary** (6 ed), page 270) the word "Commercial" is a "generic term for most aspects of buying and selling", and here the transaction alleged (alleged because evidence is yet to be led) to have taken place between the plaintiff and his employer cannot be said to have been anything else save commercial. Thus, I hold that the dispute before us being commercial it is legally before this Court. The preliminary objection on this is dismissed.

Let us turn to the application for temporary injunction. The Counsel are agreed as to the ruling principles guiding the courts in issuance of a temporary injunction. These include the following:- the plaintiff should establish that there is a serious question to be tried on the facts alleged with a probability that the plaintiff will be entitled to the relief of injury which may be irreparable before his legal right is established, and that on the balance of convenience the plaintiff will suffer more if the injunction is refused than the defendant will suffer if granted *Attilio v. Mbowe* (1); *Giella v. Cassmon Brown and Company* (2). I should go further and say the requirement that "there should exist a probability that the matter would be decided in the plaintiff's favour" should not be exaggerated and taken to unproportional limits otherwise that would tantamount to giving verdict prematurely and in any case the court would not be in possession of full evidence at that stage; the controlling limb should be the existence of a serious triable issue *American Cyanamid v. Ethicon* (3) stands persuasively on this.

We should now subject the facts before us to the said principles. I should however start by reiterating that at this point we don't have the full evidence before us. What we are relying upon is the plaint, the affidavit as filed in support of the application and the Counsel's submissions and therefore the standard of proof required would be somehow below that which is generally required upon full trial.

The plaintiff's allegation is that he was employed by Fahari Bottlers Ltd (whose receiver is third defendant) and that the said Company and JV. Textiles and Garments Ltd, put under receivership of the fourth defendant are wholly owned subsidiaries of the second defendant; that by contract with Fahari Bottlers Ltd he purchased (the mode of purchase or otherwise at this stage is not relevant as that will be subject of evidence) the disputed flat; but that the flat was not transferred to him instead it was mortgaged to the first defendant who has appointed a receiver who is currently threatening to evict him.

Having carefully considered the facts, the submissions and the law I am satisfied that the application for temporary injunction should be granted. As I said earlier on, what is basic is that there should be in existence a serious triable issue between the parties: a looming danger of irreparable injury to plaintiff, and on a balance of convenience the existence of more sufferings by plaintiff if the injunction is refused than would be the case with defendants if granted.

The plaintiff alleges the existence of the contract – that allegation stands as presented – of course awaiting to be established by evidence but at this stage it remains upright as it is yet to be countered. This is a serious triable issue. The dispute relates to a flat. The first defendant is threatening to evict the plaintiff and sell the flat in satisfaction of the debts by the company under the fourth defendant's receivership. Clearly, here the question is not whether there is available alternative accommodation but whether the plaintiff will get the disputed property in the event he succeeds. If injunction is not issued and the first defendant enforces its security the flat will be disposed of. Then if in the end the plaintiff succeeds the maximum he will realize is the equivalent in monetary terms (a factor which in the circumstances, is not even certain as the employer is under Liquidation) which may not be on equal footing in importance and as per his interest with the premises itself. On the other hand if the injunction is granted the only party that may suffer injury will be the first defendant for late enforcement of its security but this can easily be atoned by damages. Between the two therefore the plaintiff stands to lose more if the injunction is refused.

Mr Kesaria very strongly argued that the flat in question is JV Textiles and Garments Ltd's property as per search Report and that Fahari Bottlers Ltd has nothing to do with second defendant and JV Textiles and Garments Ltd as they are separate entities and that therefore plaintiff has no cause of action either against them or first defendant. Agreed, the property may be in the name of JV Textiles and Garments Ltd. However, the plaintiffs allegations are that Fahari Bottlers for

which third defendant was appointed and he said JV Textiles and Garments Ltd for which the fourth defendant was appointed are wholly owned subsidiaries of the second defendant and that they were all aware of the contract regarding the purchase of the disputed premises. As earlier on pointed out these are just allegations in the pleading. They are not yet proved but at the same time are yet to be disapproved. Mr Kesaria's contrary oral submissions cannot be taken for the latter. Again though first defendant is clearly not a party to the contract between plaintiff and Fahari Bottlers Ltd it is drawn into the web of dispute by the facts that its receiver is the one threatening to effect the plaintiffs eviction from the disputed flat in satisfaction of a liability incurred by the company for which fourth defendant was appointed. When instituting an action to protect what he considers to be his interest in the disputed flat there is no way plaintiff could have left out a person who threatens to dispose of that very property. As who can, he joined as a party to a suit the legal stand is very clear - the plaintiff may decide to join both proper parties and necessary parties. While a plaintiff cannot avoid joining the latter, it is within his discretion as regards who should be fished from the former category. A necessary party in litigation is the one against whom the relief is sought or without whom an effective decree cannot be passed by the court, and those whom the law requires to be impleaded. On the other hand proper parties are those whose presence enables the court to decide effectively and finally the dispute presented before it, and these include those who in one way or another, are interested in or connected with the relief being asked for as against others. Invaluably, the plaintiff would implead the latter to plug in fissures that may be created in the ultimate decree that may be secured or guide against possible future litigations.

On the facts of this case, as regards the application for temporary injunction, the first defendant is a necessary party because if left out the official receiver may execute the security as he is now threatening, making plaintiff's success in future, if any, superfluous. The interconnection of the other defendants needs no orchestration. Mr Kesaria's argument alleging non-existence of a cause of action on some of the defendants based on a principle of misjoinder cannot stand.

In conclusion, and for the reasons discussed therefore, the application for temporary injunction stands allowed.

KIGANGA AND ASSOCIATES GOLD MINING COMPANY LIMITED v. UNIVERSAL GOLD NL

HIGH COURT OF TANZANIA
(*Commercial Division*)
AT DAR ES SALAAM

(Kalegeya, J.)

COMMERCIAL CAUSE No. 24 OF 2000

Civil Practice and Procedure – Suits – Withdrawal and re-filing of a suit – Court grants leave to withdraw a suit and re-file it on terms that the applicant pays the costs of the suit withdrawn – Whether payment of those costs is a pre-condition for re-filing the suit.

Civil Practice and Procedure – Pleadings – Verification of pleadings – Verification of pleadings by companies – Who may verify company pleadings and how – Order XXVIII, rule 1 and Order VI rule 15 of the Civil Procedure Code.

Civil Practice and Procedure – Decisions – Desirability of uniformity of decisions.

Civil Case Number 126 of 1999, filed in the General Registry of the High Court, was withdrawn with leave to re-file it in the Commercial Division "granted on terms that the applicant pays the costs of the suit" to the respondent. The case was later re-filed in the Commercial Division, verified with the words: "Principal Officer of the plaintiff conversant with the facts of the case" endorsed at the end. There was also in the verification the words "and belief" without stating the grounds thereof. The defendant raised two preliminary objections: first, that the plaintiff could not re-file the suit without

first paying the costs ordered in (HC) Civil Case Number 126 of 1999 and, secondly, that the plaint was defective because the verification clause did not specifically mention the particular principal officer of the company who verified it, contrary to Order 28, rule 1 of the Civil Procedure Code, nor did it disclose the ground of "belief". On the second preliminary objection, the defendant relied on a decision of the High Court to the effect that if the officer verifying is neither a Director nor Secretary of a company, his position in the company must be specified.

Held: (i) The phrase "granted on terms that the applicant pays the costs" in (HC) Civil Case Number 126 of 1999 did not mean that the plaintiff could not file the case in the Commercial Division before costs in the earlier case were paid, otherwise the order of the court would have expressly so provided; the words "in terms" here were employed in their general applicability in that the application to withdraw with liberty to re-file the matter was allowed but the plaintiff was condemned in costs and to hold otherwise would result in an absurdity;

(ii) It is desirable that decisions of Courts on similar situations should not be in conflict and should avoid giving the false impression that results of cases in courts of law perhaps depend more on the personality of judges than on the law of the land; so a judge should not lightly dissent from the considered opinion of his brothers or sisters;

(iii) The provisions of Order 28, rule 1 and Order 6, rule 15(1), (2) and (3) of the Civil Procedure Code, read together, clearly prescribe who can verify a pleading by a company: it is either a Director, or a Secretary or any of its Principal Officers, and Order 6 rule 15(3) of the Civil Procedure Code indicates how the verification is to be done, which is by signing;

(iv) The requirement for verification is primarily aimed at countering possible abuse of the court process and fixing responsibility and, in suits involving companies, verification made in the manner in this case suffices; should the verifier not be a principal officer of the company, the other party can take it up as a challenge and the provisions of Order 28, rule 3 of the Civil Procedure Code will come into play;

(v) Even if the court were to hold that the verification was defective, it would not have resulted in throwing out the whole pleading save that it would have attracted an order for amendment.

Order accordingly

Cases referred to:

1) *Tundu Lissu v. Gulf Air, GS* HC – DSM – Civil Case Number 279 of 1999 (unreported)

2) *JS Mutungi v. University of Dar es Salaam and others* [2001] T.L.R. 261

Statutory provisions referred to:

1. Civil Procedure Code, Order XXVIII, rule 1, Order VI, rule 15, Order 28, rule 3, Order 6 rule 15(3), Order 28, rule 1 and Order 6, rule 15(1), (2) and (3), section 97

Mr Majithia, for the Defendant

Mr Mnyele, Advocate, appeared for the Plaintiff

RULING

(Dated 7 August 2000)

Kalegeya, J.: Mr Majithia for the defendant has taken up two preliminary objections. First, that the plaintiff could not file this case before this Commercial Division of the High Court without first paying costs as ordered in (HC) Civil Case Number 126 of 1999. Secondly, that the plaint is defective because the verification clause does not specifically mention the particular principal officer of the company who verified it contrary to Order 28, rule 1 Civil Procedure Code , nor does it disclose the grounds of "beliefs" contrary to Order 6, rule 15 Civil Procedure Code .

Elaborating further on the grounds for the objections, Mr Majithia insisted that the wording in the ruling handed down in (HC) Civil Case Number 126 of 1999 can only mean that before filing a suit in this registry costs in the withdrawn case had to be paid first. As to the effect of lack of specification of the principal officer who signs on behalf of a corporation he referred to *Tundu Antiphas Mughai Lissu v. Gulf Air Company* (1).

In reply, Mr Mnyele countered by stating that the words "on terms" contained in the ruling in civil Case Number 126 of 1999 do not connote "subject to", adding further that in any case they could not have paid costs not yet claimed as they are yet to be served with a bill of costs. Regarding the objection on verification, Mr Mnyele argued that the first limb has no support because Order VI, rule 15 Civil Procedure Code permits any of the two categories of persons to verify a pleading: the party himself or any other person conversant with the facts, and that as a matter of common practice principal officers of corporations verify pleadings. As to the second limb, Mr Mnyele conceded the error of including in the verification clause the wording "and belief" without stating grounds thereof. He then proceeded to pray either for leave to amend the pleading by deleting the offending words or in the alternative called upon the court to expunge them under section 97 of the Civil Procedure Code .

In a rejoinder, Mr Majithia, argued that section 97, Civil Procedure Code is applicable in proceedings and not pleadings, and as for amendment he insisted that there is no application upon which the court can act. Mr Majithia charged also that Mr Mnyele had evaded making reference to Order 28 Civil Procedure Code and the decision by Msumi, J.K. in *Lissu* case (1).

I will start with ground one which does not deserve to arrest us even for a while.

Facts agreed upon as being uncontroverted are that the suit now filed with this Court was first filed with the main High Court Registry at DSM as Civil Case Number 126 of 1999. Parties rested in the same capacities as they appear now. At one time, in the proceedings, the plaintiff applied to the court for orders as follows:

> (a) That the Honourable Court may be pleased to grant leave to the plaintiff to withdraw the suit from the High Court (General Division) and thereupon permit it to file the same in the High Court (Commercial Division *mutatis mutandis*).

After hearing the parties the court held (for clarity let the relevant part be quoted at length):

> From the quoted provision of the law, the court has such powers to grant permission to the plaintiff to withdraw the plaint with liberty to re-file it on such terms as it thinks fit. The applicant wants to re-file the same suit at the Commercial Division of the High Court. The respondent's counsel is afraid that if leave is granted, then he would lose his costs. He therefore submitted that there are no sufficient grounds to warrant this Court to grant the leave. However, the fear of the learned counsel may be taken care of as the court is empowered, to grant the leave sought on such terms as it thinks fit. The main reason for the applicant to withdraw and re-file is only that the Commercial Division of this Court is more suited for the determination of this case and I see it as a sufficient ground for allowing him to withdraw and re-file subject to the terms which may be made by this Court.
>
> As it can be seen from the proceedings, all the pleadings were completed. The case was to go for mediation before this application was made. The counsel for the defendant respondent must have spent both time and energy in the preparation of the case. Hence, the application to withdraw the plaint and refile it at the Commercial Division of the High Court is *granted on terms that the applicant pays the costs of this suit to the respondent.* [emphasis supplied]

Mr Majithia's argument is that the underlined words in the last paragraph have the effect of barring the plaintiff from filing the present suit until the costs in Civil Case Number 126 of 1999 have been paid.

With greatest respect to Mr Majithia, that kind of interpretation cannot be accepted in the circumstances. I have so concluded because of various reasons.

First, as any lawyer conversant with the Civil Procedure Code will concede, the words "on such terms" or "on terms" are dotted everywhere in that Code whenever it is provided that the court's indulgency can be moved by a party to exercise its discretion-in certain aspects - for example applications. The words simply mean

that the court can in exercising its discretion set certain terms. I agree that in certain situations that Court may set as condition's precedent for the doing of a certain act or enjoying a certain favour but on those such occasions the order would expressly so provide. The words "in terms" here were employed in their general applicability in that the application to withdraw with liberty to re-file the matter in the Commercial Division was allowed but the plaintiff was condemned in costs.

Secondly, if Mr Majithia's argument was correct it would mean that not only would the refilling of the suit in the Commercial Division be barred but also Civil Case Number 126 of 1999 would still be on list (that, is, not yet withdrawn) till the costs are paid! This is so because the plaintiff's application was two limbed: to have the suit withdrawn from the general High Court registry, and leave to have it refilled in the Commercial Division. The court gave a green light to both limbs "on terms" the plaintiff/applicant pays the respondent's costs. If then Mr Majithia is saying that the refilling of the suit cannot be effected unless costs are paid first then he should go further and say that the withdrawal has not yet been effected for the same reason! The absurdity of that argument needs no highlighting.

Thirdly, upholding Mr Majithia's argument would be tantamount to blatant violation of the law. The rules governing the filing of a suit in the Commercial Division registry, apart from the obvious one of lack of filing fees, recognize only two impediments which can block the filing of suit therein - where the dispute is not a commercial case, and where the intended suit concerns a commercial matter which is pending before another Court or Tribunal of competent jurisdiction or which falls within the competency of a Lower Court. No Court would be mandated to set other conditions regarding the filing of such suit in this registry.

Fourthly, as Mr Majithia knows too well, unless unchallenged, generally, before a party enjoys costs awarded in a certain case he has a long string of procedures to go through. The bill of costs has

to be filed, argued by parties before the Taxing Master after which a ruling is given and an aggrieved party has an appellate avenue at his disposal. This process can take years taking into consideration the bottlenecks suffocating our system. Is Mr Majithia suggesting that the court could give an order which has in its contents suggestions that the refilling of the suit could only be done at the end of all the said procedural impediments?

On this aspect therefore the preliminary objection has no legs on which to stand. The suit was properly filed before this Court and the question of costs awarded in another case can be pursued in the applicable and relevant manner and have no bearing with the said filing.

I now turn to the second two limbed, preliminary objection. I will start with the first limb that the verification clause was not properly verified.

In support of his arguments, Mr Majithia cited the decision of the court (Msumi, J.K.) in Civil Case Number 279 of 1999 wherein it was stated:

> The second ground for the plaintiff preliminary objection is that in the verification clause of the Written Statement of Defence the identity of the principal officer who signed it on behalf the defendant company has not been disclosed. According to Order 28, rule 1 of Civil Procedure Code pleadings of a company in a suit may be verified by the secretary or director or any other principal officer of the corporation who is able to depose to the facts of the case. From the wording of this provision it is important that the identity of the post held by such principal officer in the company must be specified. In other words if such officer is neither secretary nor director, his position in the company must be specified. It is not enough just to say that the verifying person is a principal officer of the company able to depose to the facts of the case. For this reason the written statement of defence is defective hence the preliminary objection is upheld. However for the interest of justice defendants are granted leave to amend the written statement of defence to enable them rectify the aforementioned defects.

The said amended written statement of defence to be filed within 15 days from the date of this ruling.

Order 28, rule 1 of the Civil Procedure Code referred to provides as follows:

(1) In suits by or against a corporation, any pleading may be signed and verified on behalf of the corporation by the secretary or by a director or other principal officer of the corporation who is able to depose to the facts of the case.

I have carefully addressed myself to the gist of the arguments fronted by Mr Majithia; the quoted excerpt from the decision in Civil Case Number 279 of 1999 and the Order of the Civil Procedure Code in question, but with the greatest respect to the learned J.K., I have been unable to position myself in agreement with the decision in the said case hence unable too to accept the submission launched by Mr Majithia on the issue.

I am mindful of the fact that judges of the same Court should seldom give conflicting decisions. The basis of this in any judicial system needs no clarification. Some light on the logic behind can be gathered from observations made by the highest Court of the land, the Court of Appeal, made in *JS Mutungi v. University of Dar es Salaam* (2) and which are as follows:

> With due respect to the learned Jaji Kiongozi, it is not a matter of judicial Courtesy but a matter of duty to act judicially which requires a judge not lightly to dissent from the considered opinion of his brethren. The learned Jaji Kiongozi appears to hold the view that to allow the application in the present case would amount to usurping the powers of hearing an appeal by the Minister responsible for Labour affairs. Since the same Court presided over by Mapigano J. in the earlier case originating from the same place and involving the same Resondents had granted a similar application, one expects sufficient reasons to be given for the results in the present case being different from those in the earlier case. This is necessary to avoid giving the parties and the general public a false impression that results of

> cases in courts of law perhaps depend more on the personalities of judge than on the law of this Land.

It is thus with great reluctance that I hold the contrary view:

> Order 28, rule I should be read together with Order 6, rule 15(1), (2) and (3) of the Civil Procedure Code . Order 28(1) has already been quoted. Order 6, rule 15(1)(2) and (3) provide as follows:
>
> 15(1) Save as otherwise provided by any law for the time being in force every pleading shall be verified at the foot by the party or by one of the parties pleading or by some other person proved to the satisfaction of the court to be acquainted with the facts of the case.
>
> (2) The person verifying shall specify, by reference to the numbered paragraphs of the pleading, what he verifies of his own knowledge and what he verifies upon information received and believed to be true.
>
> (3) The verification shall be signed by the person making it and shall state the date on which and the place at which it was signed.

The two provisions of the law taken together, in my view, clearly prescribe who can verify a pleading filed by a company as is the plaintiff in this case. It is either the Director, a Secretary or any of its Principal Officer. Order 6, rule 15(3) Civil Procedure Code sheds light on how the verification is to be done: by signing. And of course, the person signing should indicate in what capacity he is signing. In the case before us the plaint explicitly tells us who effected the verification:

> Principal Officer of the defendant conversant with the facts of this case

Not only are we informed of the status of the person signing but also we are told that this particular "Principal Officer of the plaintiff is "conversant with facts of this case" as per requirements of Order 6, rule 15(1) and Order 28(1) Civil Procedure Code. It is my considered view that up to that point the law has fitly been complied with. In neither provision do I read the requirement that if signed by a principal

officer he must specify who he is (which requirement, if it were correct would apply as well to situations where verification is done by a Director because it is common knowledge that a company has more than one Director and in varying capacities as is the case with Principal Officers).

I do appreciate, and we all know, that the requirement for verification is primarily aimed at countering possible abuse of the court process and fixing responsibility. In suits involving companies verifications made in the mode of the type now at hand suffices. However, if the other party is in doubt as to whether the verifier is or is not a principal officer of the Company he can take it up as a challenge and if he convinces the court as to the need, the said officer may be required to prove his status to the satisfaction of the court either by affidavit or otherwise as the Court may deem proper. It is not of less significance that the same Order 28 Civil Procedure Code, rule 3 Civil Procedure Code offers a cushioning for any clarity or issue that may accrue by providing.

> Order 28(3)the court may at any stage of the suit require the personal appearance of the secretary or of any director, or other principal officer of the corporation who may be able to answer material questions relating to the suit.

In conclusion therefore I hold that in suits involving companies, verifications endorsed with the phrase

> Principal Officer of the defendant conversant with the facts of the case

and signed are not defective at all entailing an order for amendment. Of course, even if I had held that the clause is defective still this would not have resulted into throwing out the whole pleading save that it would have attracted an order for amendment. This disposes the first limb of the second preliminary objection.

We now come to the last limb. Both parties are agreed that the words in the body of the verification "and belief" are legally unsupported as no ground thereof are laid. The question is what should this Court

do? Reject the plaint as Mr Majithia impresses. Or order for amendment or expunge them under section 97 Civil Procedure Code as advanced by Mr Mnyele.

A defect in a verification clause to a plaint is just a procedural error the consequence of which is not to have the plaint thrown out as Mr Majithia impresses but rather which attracts an amendment if necessary. In fact, if the defect is of insignificance it can be ignored. It is not disputed that the words "and belief" have been irrelevantly included in the clause. In my considered opinion this is a fit case where the court can act under section 97 of Civil Procedure Code and order to have the same struck out.

Section 97 Civil Procedure Code provides:

> 97 The court may at any time, and on such terms as to costs or otherwise as it may think fit, amend any defect or error in any proceeding in a suit, and all necessary amendments shall be made for the purpose of determining the real question or issue raised by or depending on such proceeding.

However, Mr Majithia stands on the opposite end urging that the section is inapplicable. Again, with respect, the argument that the said section is irrelevant at this stage as we are not yet within precincts of "proceedings" is very surprising, to say the least. Why? The answer is obvious. The moment a suit or action is filed, proceedings in that particular matter will have been commenced. It is not supririsng that Mr Majithia though posing the argument did not attempt to tell us at what time, precisely, in his view do proceedings envisaged under section 97 Civil Procedure Code commence.

Defining the term "proceeding" in relation to Courts. **Blacks Law Dictionary** (6 ed), at page 1204) persuasively has the following:

> In a general sense, the form and manner of conducting judicial business before a court or judicial officer. Regular and orderly progress in form of law including all possible steps in an action from its commencement to the execution of judgment ... All the steps or measures adopted in the

prosecution or defence of action ... The word may be used synonymously with "action" or "suit" to describe the entire course of an action at law or suit in equity from the issuance of writ or filing of the complaint until the entry of a final Judgment, or may be used to describe any act done by authority of a court of law and every step required to be taken in any cause by either party. The proceedings of a suit embrace all matters that occur in its progress judicially.

Term "proceeding" may refer not only to a complete remedy but also to a mere procedural step that is part of a larger action or special proceeding ... In a more particular sense, any application to a court of justice, however made for aid in the enforcement of rights, for relief for redress of injuries, for damages, or for any remedial object.

I fully associate myself with the above illustrative definition which unreservedly counters the opposite argument as launched. Pleadings are part of the proceedings. I cannot conceive how otherwise they could be separable.

Considering the nature of the procedural defect at hand, it is hereby ordered that the two offending words "and belief" contained in the verification clause be struck out. This disposes the second limb of the objection.

In conclusion, it stands clear that the objections have no foundation to support them and are, consequently, all dismissed.

BARENGA MUNGOZI v. MARY NTUNZWE

HIGH COURT OF TANZANIA
AT TABORA
(Mwita, J.)

MISCELLANEOUS CIVIL APPLICATION No. 13 OF 1998

(From Kibondo District Court, Civil Appeal No. 9 of 1997, from original Kibondo Urban Primary Court, Civil Case No. 12 of 1997)

Civil Practice and Procedure – Appeals – Appeals to the High Court – Extension of time to Appeal – Power of Resident Magistrate to extend time to appeal – Section 25(6) of the Magistrates' Courts Act 1984.

Civil Practice and Procedure – Appeals – Appeals to the High Court – Limitation of time to appeal – Period of thirty eight days passes from date of receipt of copy of judgment – Whether the court may extend time beyond the prescribed 30-day limit – Section 25(1)(a) of the Magistrate's Court Act of 1984.

This was an application made under section 25 of the Magistrates' Courts Act 1984, for extension of time to lodge an appeal to the High Court. The applicant was furnished with a copy of the judgment 38 days back while the law required him to appeal within thirty days from receipt of a copy of the judgment appealed against, as per section 19(2) of the Law of Limitation Act 1971.

Held: (i) In terms of section 25 of the Magistrate's Court Act of 1984, the court has discretion to extend time to appeal, but the discretion cannot be exercised arbitrarily;

(ii) In the present application it is just and equitable to relax the provisions of section 25 of the Magistrates' Courts Act 1984 and extend time.

Application allowed

Cases referred to:

1) *Edward v. Edwards* [1967] 2 All ER 1032

2) *Stephen Masato Wasira v. Joseph Sinde Warioba and Attorney General* [1999] T.L.R. 334

Statutory provisions referred to:

1. Law of Limitation Act 1971, section 19(2)

2. Magistrates' Courts Act 1984, section 25, 25(6), 25(1)(a), (1)(b)

RULING

(Delivered 22 August 2000)

Mwita, J.: This is an application under section 25 of the Magistrate's Courts Act 1984, for extension of time in which to lodge an appeal to this Court.

At the hearing of this application the applicant appeared and argued the application in person. Though duly served the respondent did not appear. Consequently the application was heard *ex-parte*.

Briefly the background to the matter is as follows:

In 1997 Balenga Mungozi instituted a civil suit at Kibondo Urban Primary Court against Mary Ntunzwe claiming TZS. 418 000 being the value of 11 crates of beer, plus value of the 11 empty crates and interest. The Primary Court entered judgment in favour of Balenga Mungozi for TZS. 312 000. Both parties were dissatisfied with the Primary Court's decision. They cross-appealed to the Kibondo District Court. The District Court appears to have dismissed Balenga Mungozi's cross appeal and to have partly allowed Mary Ntunzwe's appeal. In the result the Primary Court's decision was set aside and judgment entered in favour of Balenga Mungozi for TZS. 70 000 being the value of ten empty crates.

Being aggrieved by the District Court's decision, Balenga Mungozi intends to appeal to this Court. The time within which to lodge his petition of appeal having expired, Balenga Mungozi has lodged this application.

Judgment against which it is intended to appeal was delivered on 28 August 1997. In terms of section 25(1)(b) of the Magistrates Courts Act 1984 the applicant had thirty days since the date of the judgment in which to lodge his petition of appeal; provided that this Court may extend the time for filing the appeal either before or after such period of thirty days has expired.

In his affidavit the applicant avers that he received copy of the judgment on 26 September 1997 but at the hearing of the application he alleged to have received copy of the judgment on 30 October 1997. The record indicates that the applicant was furnished with the copy of judgment on 24 September 1997 and lodged this application on 3 November 1997, that is 38 days since the date he was supplied with a copy of the Judgment.

In terms of section 19(2) of the Law of Limitation Act 1971 in computing the period of limitation prescribed for an appeal the day on which the judgment complained of was delivered, and the period requisite for obtaining a copy of the decree or order appealed from shall be excluded. Hence in the instant application time started to run on 24 September 1997 when the applicant received copy of the judgment.

Under section 25 of the Magistrates Courts Act 1984, no conditions are imposed for the exercise of the court's discretion to extend time within which to appeal. The section does not require good cause to be shown before this Court can exercise its discretion to extend the period of limitation. Nevertheless, that discretion can not be exercised arbitrarily. In *Edward v. Edwards* (1), Sir Jocelyn Simon, at page 1034 said:

> So far as procedural delays are concerned, Parliament has left a discretion in the courts to dispense with the time requirements in certain respects. That does not mean, however, that the rules are to be regarded as, so to speak, antique timepieces of an ornamental value but no chronometric significance, so that lip service only need be paid to them. On the contrary, in my view, the stipulations which Parliament has laid down or sanctioned

as to time are to be observed unless justice clearly indicates that they should be relaxed.

The above extract was quoted with approval by Samatta, J.A. (as he then was) in *Stephen Masato Wasira v. Joseph Sinde Warioba and Attorney General* (2).

The question now is, does justice require relaxation of the provisions of section 25 of the Magistrates Courts Act 1984, with regard to limitation period. In this case perusal of the judgment complained of shows clearly that the learned District Court Magistrate took into consideration extraneous matters when coming to his decision; the delay is of only 8 days which cannot be said to be inordinate taking into account the fact that the applicant is a layman who is not represented by counsel. In my opinion, it is just and equitable to relax the stipulation as to time of limitation in the instant application.

The applicant should lodge his petition of appeal within 14 days of the date he is notified of this ruling.

TRUST BANK TANZANIA LTD *v.* LE-MARSH ENTERPRISES LTD AND OTHERS

HIGH COURT OF TANZANIA
AT DAR ES SALAAM
(Nsekela, J.)

COMMERCIAL CASE No. 4 OF 2000

Evidence – Bankers' books – Meaning of bankers' books – Whether of bankers' books includes computer print outs – Sections 76, 77, 78 and 79 of the Evidence Act 1967.

In the course of the trial a witness for the plaintiff produced a letter from its advocates addressed to the defendants as evidence of the outstanding loan and the interest thereon without any objection from the defendants. When the witness later sought to produce a computer print-out showing how the interest claimed had been computed the advocate representing the defendants objected, saying the same was a photocopy and not an original document. The question arose whether the computer print-out was a bankers' book under the Evidence Act 1967.

Held: Taking into account developments in technology that have taken place since the Evidence Act 1967 was enacted, the term bankers' books includes evidence emanating from computers, subject to the same safeguards applicable to other bankers' books under sections 78 and 79 of the Evidence Act 1967.

Cases referred to

1) *Barker v. Wilson* [1980] 2 All ER 80
2) *Packer v. Packer* [1954] P15
(3) *Tanzania Cotton Marketing Board v. Corgecot Cotton Company SA* [1997] T.L.R. 165

Statutory provisions referred to:

1. Evidence Act 1967, sections 76-79, Part IV
2. Bankers Books Evidence Act 1879, section 9

Mr Rwechungura, for the Plaintiff

Mr Msemwa, for the Defendant

RULING

(Delivered 30 August, 2000)

Nsekela, J.: The plaintiff's first witness, one Swaraj Kuma Boss, Deputy Managing Director of the plaintiff bank, while being led by Mr Rwechungura in his examination-in-chief stated in part as follows:

> ... As at 29 June 99 the loan outstanding was TZS. 45 230 040 and the overdraft outstanding was TZS. 47 030 044-09. I would like to tender in evidence.

This was admitted in evidence as Exhibit P6 without objection from Mr Msemwa, learned advocate for the defendants. Exhibit P6 was a letter from the plaintiff's advocates to the defendants, being notice of recalling the loan extended to them by the plaintiff bank. It is important to reproduce part of this letter. It provides as follows:

> You are hereby required to immediately pay either to us for the account of our client or to our client directly, the following:
>
> (a) The principal loan amount of TZS. 45 230 040 outstanding as on 29 June 1999;
>
> (b) Interest on the loan amounting to TZS. 47 030 044-09 as on 29 June 1999;
>
> (c) ...
>
> (d) ...

PW1 then continued on to explain that the interest figure included penalty interest and prayed to tender in evidence the computation of interest. It was at this point that Mr Msemwa raised an objection to that computation of interest being admitted in evidence, basically because it was allegedly a photocopy and not an original one and that the same was not part of the pleadings. Mr Rwechungura on his part submitted that it was a computer print-out and that it was part of the reply to the written statement of defence. Instead of my delivering a ruling there and then I thought I should have the benefit of researched arguments specifically on the question as to whether or not a computer print-out is a bankers book under the Evidence Act 1967.

Mr Msemwa has briefly submitted that the words "*bankers' book*" have not been defined in the Evidence Act but the learned advocate prayed in aid the definition on **Sarkar on Evidence**, (15 ed), Volume 2 at page 2370 where bankers books have been defined to include:

> ledgers, day books, cash, books and all other books used in the ordinary business of a bank.

The learned advocate then implored the court to adopt this definition. He was of the settled view that a computer print out is not contemplated in that definition. He emphatically stated that if there was a vacuum in the law, then it was up to the Legislature to take it up and not the court. Mr Rwechungura had as his starting point the English Bankers' Books Evidence Act 1879 which in section 9 defines bankers' books to include:

> ledgers, day books, cash books, account books and all other books used in the ordinary business of the bank.

I share the concern of both the learned advocates that Part IV of the Evidence Act 1967 which deals with Bankers' Books does not define what is in fact a bankers' book. Section 76 contains definitions but the definition of bankers' books is conspicuously missing. Section 77 of the Evidence Act 1967 reads:

> 77. Subject to this Act a copy of any entry in a banker's book shall in all legal proceedings be received as *prima facie* evidence of such entry and of the matters, transactions and accounts therein recorded.

As I have stated before, section 76 of the Evidence Act does not define what sort of books are covered. Like Mr Rwechungura, I trace back to section 9 of the Bankers Books Evidence Act 1879. It reads as under:

> 9. Expressions in this Act relating to "bankers' books" include ledgers, day books, cash books, account books, and all other books used in the ordinary business of the bank.

This definition was amended in 1979 by replacing it with a new definition of 'bankers' books' which is in the following terms:

> 9(2) Expressions in this Act relating to "bankers' books" include ledgers, day books, cash books, account books and other records used in the ordinary business of the bank, whether those records are in

written form or are kept on microfilm, magnetic tape or any other form of mechanical or electronic data retrieval mechanism.

Mr Rwechungura has drawn my attention to the case of *Barker v. Wilson* (1) in which at page 82 I have found a statement we could usefully adopt. This is what Bridge, LJ said:

> The Bankers' Books Evidence Act 1879 was enacted with the practice of bankers in 1879 in mind. It must be construed in 1980 in relation to the practice of bankers as we now understand it. So construing the definition of "bankers' books" and the phrase 'an entry in a banker's book' it seems to me that clearly both phrases are apt to include any form of permanent record kept by the bank of transactions relating to the bank's business, *made by any of the methods which modern technology makes available,* including in particular, microfilm" [emphasis supplied] (See also: *Williams v. Williams*; *Tucker and another v. Williams and another*).

The important point to note is that the law must keep abreast of technological changes as they affect the way of doing business. It may be true, as Mr Msemwa argues, that the banks in this country still maintain the old fashioned books that were being used in 1879. This reminds me of the famous words used by Lord Denning in the case of *Packer v. Packer* (2) page 15 wherein he stated at page 22:

> What is the argument on the other side? Only this, that no case has been found in which it has been done before. That argument does not appeal to me in the least. If we never do anything which has never been done before, we shall not get anywhere. The law will stand still whilst the rest of the world goes on: and that will be bad for both.

I certainly do share with his Lordship's sentiments. Tanzania is not an island by itself. The country must move fast to integrate itself with the global banking community in terms of technological changes and the manner in which banking business is being conducted. The courts have to take due cognizance of the technological revolution that has engulfed the world. Generally speaking as of now, record keeping in our banks is to a large extent "old fashioned" but changes are taking place. The law can ill afford to shut its eyes to what is

happening around the world in the banking fraternity. It is in this spirit that I am prepared to extend the definition of banker's books to include, evidence emanating from computers subject of course to the same safeguards applicable to other bankers books under section 78 and 79 of the Evidence Act. Under the circumstances I decline the invitation by Mr Msemwa, learned advocate, that evidence produced by computers should not be considered as bankers' books. As I have stated above, in as much as I subscribe to the view that the court should not be ignorant of modern business methods and shut its eyes to the mysteries of the computer, it would, however, have been much better if the position were clarified beyond all doubt by legislation rather than by judicial intervention. But in taking this course of action, I am certainly not traversing virgin territory. The highest Court of the land in the case of *Tanzania Cotton Marketing Board v. Corgecot Cotton Company SA* (3) had occasion to construe the words "registered post" appearing in rule 4 of the Arbitration Rules 1957. This is what the court stated:

> While it is an undisputed fact that under rule 4 of the Arbitration Rules 1957, the award is to be forwarded to the Registrar of the High Court by registered post, the words *'registered post' should be interpreted widely enough to take into account the current development in communication technology that has taken place since 1957 when the rules were enacted. It is common knowledge that since that time other modes of postage have been introduced. The DHL system which was used in this case is among such modes of communication.* [emphasis supplied]

I have no doubt in my mind at all that old fashioned bankers' books are giving way to modern advanced ways of keeping bank records. In *Barkers* case (1) the microfilm was added to the list. We can safely do likewise with evidence generated by computers subject to the same safeguards. I therefore, with respect, overrule Mr Msemwa's objection and the trial will proceed with the examination in chief of PW1 from where it ended. It is accordingly ordered.

TANZANIA TELECOMMUNICATIONS COMPANY LIMITED *v.* TIMOTHY LWOGA

HIGH COURT OF TANZANIA AT MWANZA

(Nchalla, J.)

CIVIL CASE No. 61 OF 1999

Civil Practice and Procedure – Summary suit – Leave to defend a summary suit – Leave to defend may be granted if there are triable issues raised.

Civil Practice and Procedure – Public corporation – Locus standi – Specified public corporation – Whether a specified public corporation has locus standi to sue in its own name.

Rent Restriction – Jurisdiction – Concurrent jurisdiction – Whether ordinary Courts have concurrent original jurisdiction in housing tribunals under the Rent Restriction Act 1984.

The plaintiff filed a summary suit against the defendant for a vacant possession of its house which had been allocated to him while working for the plaintiff. The plaintiff had terminated the employment of the defendant but the Industrial Court of Tanzania ordered his reinstatement. Instead of reinstating him the plaintiff opted to pay him off by paying him all his terminal benefits. However, the plaintiff paid him TZS. 762 580-50 while the Industrial Court ruled that the defendant was entitled to TZS. 18 156 421 and the decision had not been challenged or varied. The plaintiff had not yet paid the balance when the suit was filed. The defendant applied for leave to defend the case and argued that as he had not been fully paid his terminal benefits he was entitled to remain in the house, that the plaintiff having been declared a specified corporation had no *locus standi* to sue on its own, and also that he wished to set up a counter claim for his unpaid benefits.

Held: (i) A defendant is entitled to leave to appear and defend a summary suit if it is shown that there is a triable issue;

(ii) The questions whether the plaintiff had *locus standi* to sue on its own after being specified and whether the defendant had any counter claims against the plaintiff are triable issues which can only be settled by either a preliminary hearing or a full trial after the defendant has filed his defence;

(iii) The application of the defendant has disclosed a number of triable issues.

Leave to defend granted

Cases referrers to:

1) *DA Kavishe v. Arusha International Conference Centre,* CAT – ARS – Civil Application Number 1 of 1987
2) *Said Mnimbo v. State Travel Service Ltd and others* [1999] T.L.R 233
3) *Kundanlal Restaurant v. Devshi and Company* (1952) 19 E.A.C.A 77

Statutory provisions referred to:

1. Rent Restriction Act 1984
2. Rent Restriction (Exemption of Specified Parastatals) Order 1992 Government Notice Number 41 of 1998
3. Civil Procedure Code 1966, Order 35, rules 2(2), 3(1), 3(1)(*b*), 1(f), section 13
4. Public Corporations (Specified Corporations Declaration) Order 1997
5. Government Notice Number 543 of 1997
6. Section 9(1) of the Bankruptcy Ordinance Chapter 25
7. Public Corporations (Amendment) Act 1993 (Act Number 16 of 1993), sections 43 AND 2

Mr Galati, for the Plaintiff

Mr Nasimire, for the Defendant

RULING

(Delivered 5 September 2000)

Nchalla, J.: This is an application for leave to defend a suit, that is, High Court Civil Case Number 61 of 1999 which has been filed against the applicant Mr Timothy Lwoga, by the respondent the Tanzania Telecommunications Company Limited (hereinafter referred to by its acronym, TTCL). The said suit is a summary suit filed under Order 35 Civil Procedure Code 1966 for recovery of possession of a house on Plot Number 51 Block "D" Isamilo area within the then Mwanza Municipality (now Mwanza City effective 1 July 2000). So, the said suit, to be specific, is under Order 35, rule 1(f) of the Civil Procedure Code , 1966.

This application has thus been made under Order 35, rules 2(2) and 3(1) Civil Procedure Code 1966. To be specific the application has been brought under Order 35, rules 2(2) and 3(1)(b). Paragraph b of rule 3 is necessary and relevant because the suit is not one for a bill of exchange or promissory note under paragraph (a) of that Rule. It is advantage to our reproduce rule 3(1)(b) of the Civil Procedure Code 1966 under which this application has been filed:

> 3(1) The court shall, upon application by the defendant, give leave to appear and to defend the suit, upon affidavits which-(*a*).... (not relevant) (*b*) disclose such facts as the court may deem sufficient to support the application.

I now proceed to consider this application on the facts or grounds averred by the applicant in support of his application.

I must first state that the applicant is represented by Mr Nasimire, learned advocate, while the respondent company is represented by Mr Galati, learned advocate. The affidavit filed in support of this application has been deposed to by the applicant/defendant himself, Mr Timoth Lwoga. Mr Nasimire argued the application on the averments contained in the applicant's affidavit and also on other relevant legal material.

Substantially, Mr Nasimire submitted that the applicant was and still is an employee of the plaintiff company. Mr Nasimire explained that, although the TTCL had taken steps to terminate the services of the defendant, those steps were countermanded or foiled by the Industrial Court of Tanzania in Trade Dispute Number 6 of 1994, whereby that Court ordered the reinstatement of the applicant. However, instead of reinstating the applicant, the TTCL opted to pay off the applicant, that is, by paying him all his terminal benefits. This means the employment contractual relationship between the applicant and his employer TTCL would only cease and the parties discharged under that contract upon the employer TTCL paying to the applicant all his entitlements under the said service contract. Mr Nasimire submitted that TTCL never honoured its option to pay the applicant his terminal benefits from 1994 when TTCL made some payment of TZS. 214 516-50 plus TZS. 548 064 total TZS. 762 580-50. This payment is supported by documents annexed to the plaint filed by TTCL herein.

While the defendant admits to have received this payment, he argues that the said amount is a minute fraction of what he is entitled as terminal benefits from the employer, TTCL. Moreover, Mr Nasimire submitted that, even this minute payment was made after TTCL was served by the Industrial Court with notice to show cause why its motor vehicles should not be attached to satisfy the award. So TTCL paid the said amount out of panic, as it were, in order to save its motor vehicles from being attached. It is further averred by the defendant that he filed an application in the Industrial Court to execute the decision of that Court in Trade Dispute Number 6 of 1994. This is annexure "C" to the defendanat's affidavit. The Industrial Court heard and decided that application in a ruling (UAMUZI) which was delivered on 28 May 1999.

In its ruling which has not been overturned by any superior Court, that Court found that the defendant is entitled to a total amount of TZS. 18 156 421 as terminal benefits from TTCL. To-date this amount, less TZS. 762 580-50, has not been paid to the defendant. To be exact mathematically, TTCL is yet to pay TZS. 17 393 840-50 to

the defendant as his terminal entitlement which has been adjudged by a competent Tribunal whose judgment is still in force to-date. By Tanzania economic standards this amount is quite colossal. This money has been long overdue for apparently no reason in law. It is further averred by the defendant that the suit filed by TTCL against him is simply aimed at delaying and otherwise frustrating the execution of the order of the Industrial Court given the conduct of TTCL in not honouring the decision of the Industrial Court for an inordinate time.

In his submission, Mr Nasimire learned advocate argued that the suit filed by the plaintiff against the defendant ought to have been filed in the Regional Housing Tribunal and not in the ordinary Courts of law like the High Court. Mr Nasimire was of this view because the suit filed by TTCL against the defendant, is for vacant possession of premises owned by TTCL but occupied by the defendant as a service tenant. Mr Nasimire cited the Rent Restriction (Exemption of Specified Parastatals) Order 1992 which is Government Notice Number 41 of 1992 to support his argument. That Government Notice lists down some institutions or parastatal organizations which are exempted from the application of the Rent Restriction Act 1984. Mr Nasimire pointed out that TTCL is not one of the institutions listed down in the said Government Notice.So, without belabouring this legal point raised by Mr Nasimire, I do not think that the point raises a triable issue to entitle the applicant to be granted leave to defend the suit which has been filed against him. As Mr Galati, learned advocate for the respondent, rightly submitted, the applicant being a service tenant, that kind of tenancy relationship does not come squarely under the purview of the Rent Restriction Act 1984, because that kind of tenancy is dependent on the continued existence of the employment contract between the parties. Once the employment contract ceases, the tenancy also lapses. The decision of the Court of Appeal of Tanzania in *DAN Kavishe v. AICC* (1), which Mr Galati cited, lends support to my opinion. So, I find that, it is not necessary for the suit in question to be filed first in the Regional Tribunal. Hence, therefore,

nor is it necessary in law for that suit to be filed first in the court of the lowest grade in accordance with section 13 Civil Procedure Code 1966. After all, it is stated in the plaint that the value of the suit house in question is over 12 million, hence the subordinate Courts would have no pecuniary jurisdiction to entertain that suit. Moreover, the Rent Restriction Act 1984 does not contain any provision which specifically ousts the original jurisdiction of other ordinary Courts of law in cases which August 1997 there was promulgated the Public Corporations (Specified Corporations Declaration) Order 1997 which is Government Notice Number 543 of 1997 published on 22 August 1997. Mr Nasimire argued that from 22 August 1997 TTCL became a specified Public Corporation, which is among the specified Public Corporations in the First Schedule of the said Government Notice. As a result, the functions and powers of operation of TTCL were transferred to and vested in the Presidential Parastatal Sector Reform Commission, established by section 2 of the Public Corporations Act Number 2 of 1992 as amended by Act Number 16 of 1993. Mr Nasimire argued that, the main suit filed by TTCL against the applicant is, therefore, legally incompetent as TTCL has no power or *locus standi* in that suit. Mr Nasimire cited in support of his argument the decision of this Court (Kalegeya, J.) in *Saidi Mnimbo and others* (Plaintiffs/Decree Holders) v. *State Travel Service Ltd* (defendant/judgment debtor).

On this legal point Mr Galati, learned advocate for the respondent TTCL, replied that the respondent's suit against the applicant is not affected by Government Notice Number 543 of 1997, because the same was not effective until on 3 December 1999 when its effective date was specified by Government Notice Number 424 of 1999, which was published on 3 December 1999. By that date, the suit in question had already been filed; the same was filed on 2 November 1999.

With regard to the decision of this Court in *Said Mnimbo* (2), Mr Galati submitted that the same is distinguished from the facts in and of the instant suit, that is the suit filed against the applicant, for

the reason that in the *Saidi Mnimbo case,* the State Travel Service Ltd, which is a specified Public Corporation, was being sued, while in the instant case, TTCL, also a specified Public Corporation, is suing. Mr Galati further argued that in the present situation, section 9(1) of The Bankruptcy Ordinance Chapter 25, which, *inter alia*, requires the leave of the court in order to commence a suit against a debtor, does not apply to the respondent TTCL. This is so because, the mere fact that TTCL has been declared a Specified Public Corporation, that, *per se*, does not render it to be a bankrupt Public Corporation within the provisons of the Bankruptcy Ordinance Chapter 25. Mr Galati referred me specifically to page 12 of the cyclestyled copy of the judgment in the *Saidi Mnimbo* case (2) where, he submitted, lay the *ratio decidendi* of that case.

With regard to this legal point raised by Mr Nasimire learned advocate, I am not prepared to make a definite finding on it as I am quite convinced in my mind that the point raises quite important triable issues. First the question whether the suit filed by TTCL against the applicant is covered and governed by GN Number 543 of 1997 whose effective date was not specified until on 3 December 1999 under GN Number 424 of 1999? Although the effective date in question was specified in December, 1999, yet that date was the very date on which Government Notice Number 543 of 1997 was published, that is on 22 August 1997. This means the effective date of Government Notice Number 543 of 1997 was specified on 3 December 1999 to apply retrospectively. And the tile to GN Number 424 of 1999 which specified the effective date of GN Number 543 of 1997 reads thus:

> "This Order may be cited as the Rectification of Printing Errors (The Public Corporations) (Specified Corporations Declaration Order 1997) Order 1999. [emphasis supplied]

This shows that the effective date of GN Number 543 of 1997 had already been specified from the time the said Government Notice was published, but only due to a printing error, the said date was omitted. If this interpretation is correct, then one would convincingly

argue that the suit against the applicant is covered and governed by GN Number 543 of 1997 and also by Act Number 2 of 1992 as amended by Act Number 16 of 1993. However, this finding can only be made by the trial judge in a preliminary hearing of the suit, after the applicant has bee granted leave to defend, and after he has filed his written statement of defence which will contain and raise such a preliminary point of law.

Secondly, there is the question whether the respondent TTCL, a specified Public Corporation, has the power and *locus standi* to sue in view of the provisions of section 43 of the Public Corporations (Amendment) Act 1993 (Act Number 16 of 1993)? This is also a very crucial triable issue to be determined by way of a preliminary point, only if the defendant/applicant is granted leave to defend the suit.

Lastly, Mr Nasimire submitted that, the applicant wishes to set up a counterclaim in his Written Statement of Defence. The counter-claim is based on the award granted to him by the Industrial Court as already discussed. Here Mr Galati replied that, even if the applicant still has a claim against the respondent based on the award by the Industrial Court, that alone will not entitle him to continue occupying the respondent's house, because of applicant's right to occupy respondent's house is not dependent on applicant's being paid his terminal rights, but on his being an employee of the respondent, citing the decision of the Court of Appeal of Tanzania at Arusha in *DAN Kavishe v. AICC* (1).

Mr Galati also submitted that, TTCL has already paid the applicant all the terminal benefits due to him from it, and that the applicant has no outstanding claim against the Corporation in the nature of terminal benefits.

I find the above submissions raising crucial triable issues. First whether the award granted to the applicant cannot be counter-claimed in the suit filed by the respondent against the applicant? Whether the payment of just TZS. 762 580 which TTCL has made to the applicant

satisfies the award of TZS. 18 156 421 which the applicant has been given by the Industrial Court, and which award has not been set aside by any competent superior Court? Also whether the respondent's option to pay the applicant his terminal benefits instead of reinstating him, did not create a binding agreement between the parties, whereby the applicant's employment with the respondent would cease only upon TTCL paying to the applicant all his terminal benefits entitlement in accordance with the respondent's option, and in accordance within the award by the Industrial Court? Assuming this last question is to be answered in the affirmative, then it would mean that the applicant is still entitled to continue residing in the suit premises which, according to Mr Galati, and even according to law, the applicant's occupation of the same is dependent on the applicant still being an employee of TTCL. All these questions raise triable issues which can only be justly and efficaciously decided by way of a preliminary hearing when the defendant has presented his written statement of defence. So the decision of the Court of Appeal cited by Mr Galati in *DAN Kavishe* (1) can be properly considered and applied to the facts of the instant case when the same is heard either by way of a preliminary trial on preliminary points, or in a full trial on the issues to be framed.

I have carefully referred to the decision of the Court of Appeal for Eastern Africa in *Kundanlal Restaurant v. Devshi and Company* (3) at page 77 which sets out the conditions for a court to grant to a defendant leave to defend a summary suit. It was held in that case, *interalia* "If there is one triable issue contained in the affidavit supporting the application for leave to appear and defend then the appellant (defendant) is entitled to have leave to appear and defend unconditionally".

Also rule 3(1)(b) of Order 35 Civil Procedure Code 1966 under which this application has been filed enjoins the court to grant an application for leave to defend where the court is satisfied that the affidavit filed in support of such an application discloses such fact as the court may deem sufficient to support the application, I am of the considered view and am satisfied on the authority of *Kundanlal Restaurant* (3) and under Rule 3(1)(*b*) Order 35 Civil Procedure

Code , 1966 that this application meets the required test. Accordingly I grant the application with costs. I give the applicant 21 days effective from to-day's date within which to file his Written Statement of Defence. I order accordingly. Application granted.

MOHAMED ENTERPRISES (T) LTD *v.* BIASHARA CONSUMER SERVICES LTD

HIGH COURT OF TANZANIA
AT DAR ES SALAAM
(Bwana, J.)

COMMERCIAL CASE No. 36 OF 2000

Civil Practice and Procedure – Summary suit – Application for leave to appear and defend – Order XXXV, rule 3 of the Civil Procedure Code 1966.

Civil Practice and Procedure – Summary suit – Leave to appear and defend in a summary suit – Circumstances under which leave to defend may be granted.

The plaintiff sold 33,330 bags of rice at an agreed price of TZS. 100 000 000 on 3 March 1998 but the cheque issued in part payment was returned unpaid with the remark "payment stopped by drawer." The plaintiff then filed a summary suit under Order XXXV of the Civil Procedure Code. The defendant filed an application for leave to appear and defend the suit, stating in the accompanying affidavit that the plaintiff lowered the price of the rice the plaintiff was selling elsewhere and thus making it impossible for the defendant to sell its rice, and further that the amount being claimed was different from what was really due. The defendant argued that there were triable issues which were: that the plaintiff deposited the dishonoured cheque contrary to an earlier agreement not to do so; that the amount outstanding was less than what was being claimed and the existence of a new agreement whereby the defendant was paying TZS. 2 000 000 every Saturday. The plaintiff, in a counter

affidavit, denied lowering the price of the rice or being aware that the cheque was postdated and said that the issue came up in a subsequent conversation. The plaintiff stated that only interest on the principal sum had been paid and that the principal sum of TZS. 100 000 000 remained unpaid together with subsequent interest of TZS. 38 058 600. The plaintiff further denied that there was an agreement to pay TZS. 2 000 000 every Saturday.

Held: (i) In deciding whether a defendant should be granted leave to appear and defend a summary suit the role of the court is limited to looking at the affidavits filed by the defendant in order to decide whether there is any triable issue fit to go to trial;

(ii) The defendant has disclosed a state of affairs which leads to the inference that at the trial of the action a defence to the suit filed by the plaintiff may be established by the defendant.

Leave to defend granted

Cases referred to:

(1) *David Sassoon and Coy. Ltd v. Navichandra Patel and others* [1972] HCD n.148

(2) *Stahlunion Export GMBH v. Kibo Wire Industries Ltd* 1973 LRT n. 54

(3) *M/s Mechales Engineers and Manufacturers v. M/s Basic Equipment Corporation* [1977] AIR 577 SC

Statutory provisions referred to:

1. Civil Procedure Code 1966, Order XXXV, rule 3 and Order XXXV

Ms Sheikh, for the Plaintiff

Mr Kilindu, for the Defendant

RULING

(Date 8 September 2000)

Bwana, J.: The plaintiff filed this suit pursuant to Order XXXV Summary Procedure under the Civil Procedure Code, praying for judgment in the sum of TZS. 100 000 000. and interest thereon.

On 3 March 1998, the plaintiff sold to the defendant 33,330 bags of rice for an agreed price. In part payment thereof the defendant issued a cheque. The same was dishonoured with a remark thereon. "payment stopped by the drawer". That was followed by some correspondence *inter partes* until, finally, this suit was filed under Order XXXV. In other words, the respondent claims that the applicant received advance delivery of rice, however, failed to pay back as per agreement.

In his application filed pursuant to rule 3 of Order XXXV, the applicant prays for leave to appear and defend the suit filed against him. In his affidavit in support thereof, the defendant applicant raises the following reasons:

1. Following the purchase of the said rice, the plaintiff lowered the price of the rice he was selling elsewhere thus making it impossible on the part of the applicant to selling this led to further correspondence *inter partes*.
2. The applicant has since continued paying the respondent as per a new agreement between the parties reached in May, 2000.
3. The amount claimed by the respondent is different from the real sum pending.

On the strength of the above reasons, fortified by a number of supporting documents, it is the applicant's averment that there are triable issues, entitling him leave to defend this suit against him. Some of the triable issues mentioned include:

1. The dishonoured cheque was presented by the respondent contrary to earlier agreement between them not to do so.
2. The debt pending is smaller than what is claimed by the respondent; and
3. The existence of a new agreement *inter partes* whereby the applicant pays the respondent the sum of TZS. 2 million every Saturday.

In his counter affidavit, the plaintiff respondent denies any lowering of the price of his rice. He also denies the version that the material cheque was post-dated and that he was made aware of the same. It is his averment that the issue of the post-dated cheque came up later in a telephone conversation. The respondent states further that the applicant has only paid the interest on the principal amount owed to the plaintiff, that the principal sum of TZS. 100 000 000 and an interest of TZS. 38 058 600 still remains to be paid. The respondent further denies the existence of an arrangement whereby the applicant is paying TZS. 2 000 000 each Saturday. Therefore, a substantial sum of money remains unpaid.

In construing this chamber application at this stage of the proceedings, like similar ones filed before this Court in the near past, the court has always followed the settled province of law namely that it has to determine whether there are triable issues or not. As Mwakasendo, J. (as he then was) stated in *David Sassoon and Coy Ltd v. Navichandra Patel and others* (1).

> My role in these proceedings is fairly limited. It is simply to declare upon the affidavits filed by the applicant, whether there is disclosed any issue fit to go for trial.

Triable issues are to my considered view, those issues which are contested and therefore, in the interest of justice, ought to be canvassed further through evidence. The court avoids – as far as necessary – dealing with the issues that have far reaching effects to the main case. The aim of proceedings under Order XXXV: Summary Procedure is – as stated in the *Stahlunion Export GMBII v. Kibo Wire Industries Ltd* (2):

> to enable a plaintiff to obtain a quick and summary Judgment on a claim for liquidated sum where on the face of it, the defendant has clearly no good defence, without being unnecessarily kept from what is due to him by the delaying tactics of the defendant.

It means, therefore, that where the court believes that, indeed, the defendant has some defence, then it is preferable that leave be granted

for him to present the said defence. This principle was laid down in the famous Indian case of *M/s Mechalee Engineers and Manufactures v. M/s Basic Equipment Corporation* (3). The weight of that authority leads me to state that leave to defend should be granted if:

1. The defendant affidavit satisfies the court that there are merits and triable issues.
2. The defendant's affidavit indicates that he has a fair or a *bona fide* or reasonable defence, although not a positively good one.
3. The defendant discloses such facts as may be deemed sufficient to entitle him to defend or that he shows such a state of affairs that lead to the inference that at a trial of the action, he may be able to establish a defence to the plaintiff's claim.

In the instant case, the applicant has raised a number of issues (*supra*) he considers to be triable, I have examined the respondent's replies thereto as well. Although the latter's intention in filing this suit pursuant to Order XXXV: Summary Procedure, was to obtain judgment expeditiously, I am, however, of the considered view that the "*audi alteram partem*" rule has its *proprio vigore* here. The defendant/applicant should therefore be given unconditional leave to defend. It is accordingly ordered.

TANZANIA ELECTRIC SUPPLY COMPANY LIMITED *v.* MUHIMBILI MEDICAL CENTRE (NUMBER 1)

HIGH COURT OF TANZANIA
(*Commercial Division*)
AT DAR ES SALAAM

(Bwana, J.)

COMMERCIAL CASE No. 35 OF 2000

Public Corporations – Specified public corporation – Whether a specified public corporation has locus standi to sue in its own name — Sections 42 and 43 of the Public Corporations (Amendment) Act Number 16 of 1993 and section 9 (i) of the Bankruptcy Ordinance Chapter 25.

Civil Practice and Procedure – Joinder of parties – Suit instituted by a specified public corporation – Order 1, rule 1 – Whether the Parastatal Sector Reform Commission must be joined as plaintiff – Order I rule 1 of the Civil Procedure Code.

The plaintiff, in its own name, brought a suit against the defendant claiming arrears of rent. The defendant raised a preliminary objection that being a specified public corporation under the Public Corporation (Amendment) Act Number 16 of 1993, the plaintiff did not have *locus standi* to sue in its own name. Relying on section 43(1) of Act Number 16 of 1993 and section 9(1) of the Bankruptcy Ordinance Chapter 25, the defendant contended that the appointment of PSRC as a receiver has divested the plaintiff's management of the power to do so.

Held: (i) The rights of a specified public corporation as creditor to third parties are, by virtue of section 42 of Act Number 16 of 1993, not in any way fettered by section 43(1) of Act Number 16 of 1993;

(ii) Section 9(1) of the Bankruptcy Ordinance

(iii) The joinder of PSRC as plaintiff to suits filed by specified public corporations is good practice.

Preliminary objection overruled

Cases referred to:

(1) *Mukubaganyi Malume v. Tanzania Railways Corporation* (Case Number and venue not given, unreported)

(2) *Moss Steamship Company v. Whinney* (1912) AC 254

(3) *Express Bureau de Change v. Tanzania Cotton Lint and Seed Board* HC, Civil Case number 272 of 1998 (unreported)

(4) *Saidi Mnimbo and others v. State Travel Services and others* [1999] T.L.R. 233

(5) *Minister of Labour and UDA v. Gasper Swai and 67 others*, CA, Civil Reference Number 3 of 1999 (unreported)

(6) *Cogecot and Cotton Company Limited v. Tanzania Marketing Board* [1997] T.L.R. 165

(7) *Newhart Developments Limited v. Cooperative Commercial Bank* [1978] 2 All ER 896

(8) *Flagship Carriers Ltd v. Imperial Bank Limited and Two others*, HC (Kenya) Civil Case Number 1643 of 1999

Statutory provisions referred to:

1. Bankruptcy Ordinance Chapter 25, section 9(1), 22, 43(1), 43, 42
2. Public Corporations (Amendment) Act Number 16 of 1993
3. Civil Procedure Code, Order I, rule 1

Mr Mwandambo, for the Plaintiff

Mr Shauri, for the Defendant

RULING

(Dated 8 September 2000)

Bwana, J.: The defendant has raised a preliminary objection which, when carefully analysed as I will do hereunder – is but a storm in a tea pot. The said plea in *limine litis* states:

... that the plaintiff being a specified public corporation under the Public Corporations (Amendment) Act Number 16 of 1993 have no *locus standi* to sue in their own name in respect of the said premises.

Relevant to this plea is section 43(1) of the said Act. That provision of the law states:

Section 43(i)

Notwithstanding any other law to the contrary, with effect from the date of publication of an Order declaring a public corporation to be a specified public corporation the Commission shall:

(a) without further assurance on appointment have the power to act as the official receiver of the specified public corporation; and

(b) have the power and all the right of a receiver appointed in accordance with or pursuant to the Bankruptcy Ordinance ...

By "the Commission" is meant the Presidential Parastatal Sector Reform Commission (hereinafter to be referred to by its acronym, "the PSRC").

Further to the above provision, it is important for purposes of clarity, to quote as well the provisions of section 42. That section states:

Section 42

Notwithstanding that a public corporation may be declared as specified public corporation, it shall be the duty of the Board of every public corporation:

(a) to ensure that the corporation continues to carry out its functions in accordance with its statement of corporate strategy, and

(b) to cooperate with and ensure that the officers and employees of such corporation cooperate with the Commission in order to facilitate that the restructuring of the public corporation is successfully achieved.

The plaintiff – hereinafter referred to as Tanesco – became a specified public corporation by virtue of G.N. 543 of 1997. However, it is my

view that its right – as a creditor to a third party (such as the defendant in the instant suit), are not in anyway fettered by the provisions of section 43(1) *supra* and section 9(1) of the Bankruptcy Ordinance Chapter 25.

The above said, it is important also to state albeit briefly, the main issue at this stage. The plaintiff sued the defendant for a specified sum of money being unpaid rent in respect of a house situate on plot number 147, Magore Street, Upanga, Dar es Salaam. The parties had entered a lease agreement on 27 July 1998.

In support of the application, Counsel for the defendant submitted in writing that the plaintiff has no *locus standi* in the instant case for the following reasons which I quote *in extensor*:

1. Section 21 of the said Act 16 of 1993 established the Presidential Parastatal Sector Reform Commission (to be referred to as the "PSRC") which... has been granted powers to act as official receiver of any specified public corporation.

2. Since the plaintiff has already been declared a specified public corporation by the Minister of Finance, then it is the PSRC who is the official receiver. The plaintiff therefore has no *locus standi* to institute this suit in **its own name** [emphasis supplied] as stipulated under section 43(1)(*a*) and (*b*) of the said Act. A suit of this kind can be instituted by the official receiver. The judgment of Mapigano, J. (as he then was) in the case of *Mukubaganyi Malume v. Tanzania Railways Corporation* (1) is cited thus:

"In view of the provision of paragraph (*b*) of the subsection (*a*) by which the PSRC has *vis-à-vis* TRC the powers and all rights of a receiver appointed in accordance with or pursuant to the Bankruptcy Ordinance it is correct to treat the order of the Minister as equivalent or tantamounting to a receiving order under the Bankruptcy Ordinance. It is also correct to treat TRC as an insolvent body, irrespective of the possibility that what the PSRC may ultimately do to the corporation is just to restructure it or lease out its assets".

3. Issuance of a receiving order is to completely oust the company's powers through its directors, as stated by Gower in the **Principles of Modern Company Law** (3 ed) at page 436:

> ... when a receiver and manager is appointed over the undertaking the board of directors will for all practical purposes become *functus officio*.

The same principle is cited by Lord Atkin in *Moss Steamship Company v. Whinney* (1). Therefore, it is submitted, this suit is wrongly brought up by directors whose powers are already put on abeyance or had become *functus officio* by virtue of the plaintiff company being put under receivership. Furthermore, Counsel relies on the provisions of section 288 of the Company's Ordinance to support his averments, provisions which after careful examination, I do not find their relevance to the instant issue.

In reply, Counsel for the plaintiff while controverting the above averments, has given what I consider to be a detailed examination of the state of the law in respect of this issue. Several decided cases are cited in support of the submission. I will therefore examine the issue involved and refer to several other cases as well.

Indeed by virtue of section 43(1) of Act 16 of 93, the PSRC is the official receiver, Tanesco being a specified corporation. Functions of the PSRC are clearly and widely defined under section 22 of the Act. They are further amplified by Bubeshi, J. in the case of *Empresso Bureau de Change v. Tanzania Cotton Lint and Seed Board* (2); Kalegeya, J. (in *Saidi Mnimbo and others v. State Travel Services and others* (3); Kisanga, J.A. (in *Minister of Labour and UDA v. Gasper Swai and others* – (4), and Mapigano, J. (in *Cogecot and Cotton Company Ltd v. Tanzania Marketing Board* (5) a case cited by both Counsel. It is equally important to go beyond the above cited cases. H. Picarda states at pages 61 and 62 of his book **The Law Relating to Receivers and Managers** [1984, Butterworths] as follows:

> A Receiver appointed under the statutory power does not enjoy any powers of management of a company. His receivership cannot, therefore, interfere with the managerial powers exercised by the Board of Directors the power given to the Receiver to bring proceedings was an enabling provision so that he could realize the company's assets and carry on business ... the provision did not divest the Directors of the company of their power to pursue a right of action if it was in the Company's interest.

The author was, in no doubt, citing the judgment in the case of *Newhart Developments Ltd v. Cooperative Commercial Bank* (6) wherein it is further stated:

> Furthermore, the directors were under duty to bring an action which was in the company's interest since such action would not stultify the receiver's function... the plaintiffs were not required to obtain his consent to bring the action...

The foregoing views seem to have been adopted as well by page J.S. Hewett, J. in a recent Kenyan High Court case of *Flagship Carriers Ltd v. Imperial bank Ltd and others* (7). Therefore it is clear from the above authorities and indeed it is trite law that the appointment of the PSRC as a receiver, does not divest the Tanesco Management of their power to file the instant case, the views of Gower cited above by Counsel for the defendant notwithstanding. As to whether PSRC should have been joined as a plaintiff, I will return to that at a later stage. It is, however, important to note at this stage that the case law cited by counsel for the defendant is distinguishable from the present case in the following manner:

1. The defendant in this case is not a specified corporation. Tanesco is not the debtor.
2. Neither Tanesco nor Muhimbili Medical Centre are shown to be insolvent.
3. From the pleadings it is apparent that the whole case is one of enforcement of contractual obligations with the plaintiff trying to recover rental money not paid by the defendant. The defendant admits the debt in the written statement of defence although it contests the sum claimed. The *Newhart* case (1) shows that the instant plaintiff is empowered

> to take such steps. Indeed it is the duty of the Tanesco leadership to do so by virtual of section 42(a) of the Act.

Section 9(1) of Chapter 25 has been relied upon. It suffices to state here that the said provision does not march with the facts before the court.

I will now consider whether – all the above said – the plaintiff has a *locus standi* or not. In submitting that Tanesco has no *locus standi* counsel for the defendant relies on the following points:

1. It is a specified corporation.
2. PSRC is the official receiver and as such only PSRC is empowered to bring this action before this Court (relying on section 43(*a*) and (*b*) of the Act)
3. The views of Mapigano, J., in the *Mukubaganyi* case(1).

I have shown above that the *Mukubaganyi* case(1) is materially distinguishable from the present case. Hence the *ratio decidendi* therein is inapplicable here. I have also cited at greater length the views of both Picarda and the Judgment in the *Newhart case* (1). I consider those views to be not only relevant to this case but also representing a correct interpretation of settled principles of the law in respect of the powers of an official receiver and/or his relationship which Board of Directors of a corporation/company. My further examination of this issue (of *locus standi*) *vis-à-vis* section 43(1) of the Act read together with section 9(1) of Chapter 25 differs with the views submitted by Counsel for the defendant. Those provisions, to me, do not prevent a specified corporation from suing or being sued in its own name, sections 288 of the Companies Ordinance notwithstanding. It would appear that the only limitation imposed by section 9(1) of Chapter 25 in respect of debtors is the need for a court's leave prior to commencing legal proceedings. And that will be relevant only for debtors whose debts are provable in bankruptcy. The foregoing is not an issue in the instant case and therefore, that submission is untenable. The above considered in its totality, I am of the considered view that the plaintiff has a *locus standi*.

I now return to the issue of whether the PSRC should be joined as a plaintiff. I am mindful of the special role entrusted to the PSRC in the economic restructuring currently taking place. I am also mindful of the fact that Tanesco is one of the specified corporations to be privatized in the near future. In the *Mukubaganyi* case (1), Mapigano, J., concluded thus:

> I understand, however, that the practice of this Court has been to have the PSRC joined as a party and allow proceedings to go on. In see no good reason from making a departure from the procedure ...

In see no sound reason to depart from those views. In fact if not in aim, the law of Civil Procedure (section 95 and Order 1, rule 10(2) allow the court to make necessary orders for the end of justice. In so doing, the court may add or delete a party to a suit. As stated above, therefore, being mindful of the role of the PSRC, I invoke the provisions of Order 1, rule 10(2) of the Civil Procedure Code and order that the PSRC be added as a plaintiff as well.

In summary therefore:

1. The reasoning in the preliminary objection as raised by the defendant is faulty and approach to the issue wanting. Therefore it is dismissed with costs.
2. PSRC be added as a plaintiff to the suit. Necessary amendments to the pleadings be effected soonest.

I rule accordingly.

RASHID HUSSEIN *v.* BONIFACE NYAMUHANGA AND ANOTHER

COURT OF APPEAL OF TANZANIA AT DAR ES SALAAM

(Ramadhani, Lubuva and Lugakingira, JJ.A.)

CIVIL APPEAL No. 21 OF 1996

(From the Judgment of the High Court of Tanzania at Dar es Salaam, Rubama, J., dated 3 August 1990, in Civil Case No. 159 of 1986)

Civil Practice and Procedure – Ex-parte proof – Application to set aside order for ex-parte proof – Suit dismissed for non-appearance and defendant granted leave to prove counter claim ex parte – Locus standi in subsequent application to restore the suit – Order IX, rule 9 of the Civil Procedure Code.

The appellant is appealed against a decision of a judge refusing to entertain his application to set aside an *ex-parte* proof order by which the judge dismissed the appellant's suit for non-appearance and granted leave to the respondents to prove their counter claim *ex-parte.*

Held: The appellant was in law entitled to make the application and to be heard on the reasons for his non appearance when the suit came up for hearing.

Appeal allowed

Statutory provision referred to:

1. Civil Procedure Code, 1966, Order IX, rule 9, Order 9, rule 8

Mr Lugua, for the Respondents

JUDGMENT

(Dated 11 September 2000)

Lugakingira, J.A.: This appeal is against an *ex parte* judgment of the High Court (Rubama, J.) entered on 3 August 1990, in a suit in which the appellant was the plaintiff and the respondents defendants. Both respondents are now dead and were substituted by the administrators of their estates, Laurencia Chande for the first respondent and Musa Mohamed for the second. Learned counsel, Mr Lugua, appeared for the respondents while the appellant appeared in person. The only material ground of appeal is that the learned judge erred in refusing to entertain an application by the appellant to set aside the order made on 14 December 1989 by which the judge dismissed the appellant's suit for non-appearance and granted leave to the respondents to prove their counter-claim *ex parte*.

The appellant's plaint alleged trespass by the respondents to a piece of land, Plot Number 348 (Certificate of Title Number 26521), at Regent Estate in Kinondoni, Dar es Salaam, and prayed for damages, eviction of the respondent, a perpetual injunction against them and costs. In their written statement of defence, the respondents counter-claimed for specific performance of alleged contracts binding the appellant to transfer the suit land to them or one of them.

When the suit came on for hearing on 14 December 1989, the then counsel for the respondents, Mr Mwajasho, appeared but neither the appellant nor his counsel, Dr Lamwai, appeared. Mr Mwajasho prayed for the plaint to be dismissed and asked for a date to be fixed for the respondents to prove their counter-claim *ex parte* by oral evidence. In other words, the respondents themselves were not in a position to proceed with the hearing on that day. The judge granted the prayers under Order 9, rule 8 of the Civil Procedure Code 1966, and fixed 23 December 1989 for mention of the case. Neither the respondents nor their counsel appeared for the mention or for the further mention on 27 January 1990 when the hearing was fixed for

10 May 1990, save that at the second mention Mr Kinguji held Mr Mwajasho's brief. On 10 May 1990 the following transpired:

Coram: Rubama, J.

For the plaintiff: Mr Mwakasungula

For the defendants: Mr Mwajasho

Mr Mwakasungula: I filed chamber application on behalf of plaintiff. At the moment I have no copies. The plaintiff came to me by way of legal aid.

Mr Mwajasho: I regret that I have to object. I do not believe that Mr Mwakasungula has a *locus standi.* The plaintiff was represented by Dr Lamwai who is yet to withdraw. The plaintiff cannot just jump from one advocate to another. The court should not entertain the presence of Mr Mwakasungula.

Mr Mwakasungula: It is true the plaintiff was represented by Dr Lamwai. I do not know the circumstances that led him to come to me.

Court: I accept the submission by Mr Mwajasho that I should not entertain the application by Mr Mwakasungula. *I base my decision on the fact that an order has already been made for the hearing of this case ex parte by oral evidence today.* It is this that is before me today. [emphasis supplied]

Sgd. Yahya Rubama

Judge

10 May 1990

Court: The Order that *ex parte* proof be made by oral evidence made on 23(*sic*) December 1989 is hereby changed to read *ex parte* proof by affidavit. Affidavit to be filed by 18 May 1990 and mention 19 May 1990.

Sgd. Yahya Rubama

Judge

10 May 1990

The application referred to by Mr Mwakasungula was lodged on 5 April 1990. It contained two prayers: an extension of time to apply to set aside the order dismissing the appellant's suit and granting the respondents leave to proceed *ex parte*, and the application to that effect. It will be noted that while refusing to entertain that application, the learned judge went out of his way to make matters easier for the respondents by gratuitously altering his order from *ex parte* proof by oral evidence to *ex parte* proof by affidavit, and gave the respondents eight days to file the affidavit or affidavits. The affidavits were duly filed on 17 May 1990 and the suit was mentioned on 19 May 1990 when 3 August 1990 was fixed for judgment. On that date the proceedings ran as follows:

Coram: Rubama, J.

Mr Mwajasho, for the defendants

Plaintiff present in person

Mr Mwajasho: This case had last come for *ex parte* proof by oral evidence and the court ordered that it be affidavit. We have filed the affidavit. We pray for judgment.

Plaintiff: I have come to ask about my application filed on 10 May 1990 [correct date 5 April 1990].

Court: The order for *ex parte* proof was made since 14 December 1989. *The plaintiff has no locus standi* today when this case has been called for *ex parte* proof by affidavit. On the strength of affidavit, judgment is entered as prayed [emphasis supplied].

Sgd. Yahya Rubama, J.

3 August 1990

The appellant contends that those decisions by the learned judge were contrary to law. In reply, Mr Lugua argued, first, that there was no application to set aside the dismissal order because Mr Mwakasungula had no standing to file one, and, second, that the application was, in any case, defective for being duplex. In his submission there should have been a separate application for extension of time and a separate application for setting aside the dismissal order upon the former being granted.

We state at once that Mr Lugua's arguments are beside the point because Rubama, J. did not reject the application because Mr Mwakasungula was incompetent to file it or because the application was defective, but because the judge simply did not want to vacate his order or because he believed that once the order was made, it could not be set aside, judging by his statement that the appellant had no *locus standi*. Which ever way one looks at the matter, the learned judge was clearly wrong. The appellant was in law entitled to make the application and to be heard on the reasons for his non-appearance when the suit came on for hearing. This is expressly provided for in Order 9, rule 9 which reads:

> 9(1) Where a suit is wholly or partly dismissed under rule 8, the plaintiff shall be precluded from bringing a fresh suit in respect of the same cause of action. But he may apply for an order to set the dismissal aside, and if he satisfies the court that there was sufficient cause for his non-appearance when the suit was called on for hearing, the court shall make an order setting aside the dismissal upon such terms as to costs or otherwise as it thinks fit, and shall appoint a day for proceeding with the suit.
>
> (2) No order shall be made under this rule unless notice of the application has been served on the opposite party.

It is thus clear that an order dismissing a suit for non-appearance of the plaintiff can be set aside and there was no question of the appellant in this case lacking *locus standi*. We have experienced great difficulties in trying to comprehend the learned judge's contrary view, while he

was at the same time so accommodating to the respondent's side, but we will say no more about it. As to whether Mr Mwakasungula had no standing or whether the appellant's application was vitiated by its composite nature, it was for the High Court to decide, and we would not wish to prejudice the issues by any comment.

Accordingly, the appeal is allowed with costs, the *ex parte* judgment is set aside, and the suit is remitted to the High Court to hear and determine the appellant's application filed on 5 April 1990.

SCANDINAVIAN ENTERPRISES *v.* HASSAN M JEMADARI AND OTHERS

HIGH COURT OF TANZANIA
AT ARUSHA
(Msoffe, J.)

MISCELLEANOUES CIVIL APPEAL No. 13 OF 1993

Civil Practice and Procedure – Appeals – Appeals to the High Court – Memorandum of Appeal filed without attaching to it a certified copy of the decree appealed against – Whether fatal to the appeal – Order xx, rule 20 and Order XXXIX, rule 1(1) of the Civil Procedure Code 1966.

An objection was raised against this appeal to the High Court on the grounds that the memorandum of appeal filed was not accompanied by a certified copy of the decree sought to be appealed against.

Held: (i) No certified copy of the decree was attached to the memorandum of appeal and this was fatal for offending the law; although Order XXXIX, rule 1(1) of the Civil Procedure Code makes no provision for a "certified" copy of the decree, it must be read together with Order xx, rule 20 which provides for a certified copy;

(ii) ***Obiter:*** Apoint of law can be taken at any time irrespective of the stage reached in the material proceedings.

Appeal struck out

Case referred to:

1) *Lazaro Athumani v. Mikari Sawere,* HC – MSH – Civil Appeal Number 8 of 1993 (unreported)

Statutory provisions referred to:

1. Civil Procedure Code 1966, Order XX, rule 20 and Order XXXIX, rule 1(1)
2. Housing Appeal Tribunal (Appeals) Rules 1987, rule 57(1)

Mr Makange, for the Respondents

RULING

(Delivered 14 September 2000)

Msoffe, J.: Mr Makange learned advocate for the first and second respondents has filed and argued a notice of objection to the appeal. In his view the appeal should be struck out with costs in that the amended memorandum of appeal is not accompanied by a certified copy of the decree sought to be appealed against. According to him, the inaction by the appellant contravenes the provisions of Order XX, rule 20 of the Civil Procedure Code 1966 read together with rule 57(1) of The Housing Appeal Tribunal (Appeals) Rules 1987. To fortify his argument Mr Makange has cited this Court's decision (Mushi, J.) in *Lazaro Athumani v. Mikari Sawere* (1).

On the other hand the appellant has generally conceded that no certified copy of the decree was attached and hence prayed for time to find and attach one. There is no dispute that no certified copy of the decree was attached. This, in my view, was fatal for offending the law – (the provisions cited to me by Mr Makange). I am aware that Order XXXIX, rule 1(1) of The Civil Procedure Code 1966

makes no provision for a "certified" copy of the decree but it will be appreciated that this provision cannot be read independently of Order XX, rule 20. In other words, the copy of decree mentioned under Order XXXIX, rule 1(1) must have been the one earlier certified under rule 20 of Order XX.

It is unfortunate that the point canvassed by Mr Makange is being raised at this rather late stage in the appeal when a number of other steps have since been taken in the said appeal at great expense by the appellant and the respondents. I hope, however, that parties will appreciate that a legal point can always be taken up at any time irrespective of the stage reached in the material proceedings.

For the above reason, I accordingly uphold Mr Makange on the notice of objection and strike out the appeal with costs. It is so ordered accordingly.

YAHYA SAID NKOLOMA v. NBC HOLDING CORPORATION LTD

COURT OF APPEAL OF TANZANIA AT DODOMA

(Ramadhani, Lubuva and Lugakingira, JJ.A.)

CIVIL APPEAL No. 44 OF 1997

(From the decision of the High Court of Tanzania at Dodoma, Msoffe, J, dated 27 January 1997, in Civil Case No. 12 of 1995)

Banking – Banking accounts – Whether a bank has a right to combine customer's accounts.

Banking – Bank combining a customer's accounts – Whether notice to customer is necessary.

Banking Law – Banker's right of lien – Whether a bank has inherent right of lien over the balance standing to the credit of a customer's account.

The appellant was running two accounts with the respondent. He obtained a term loan from the respondent repayable in installments through the first account. He then obtained an overdraft facility on the second account. The respondent transferred some moneys from the second account to the first account and used it to service the term loan. The appellant contended that it was wrong for the respondent to do so. The trial judge disagreed and dismissed his suit, hence this appeal.

Held: (i) A bank is entitled to combine a customer's accounts unless the accounts are for special purposes or for trusteeship, or there is agreement prohibiting the bank from doing so;

(ii) It is not necessary for a bank to give notice to a customer before exercising the right to combine accounts, in the absence of an agreement requiring the bank to give such notice;

(iii) A bank does not enjoy the right of *lien* over the balance standing to the credit of a customer's account.

Appeal dismissed

Cases referred to:

(1) *Ronxel v. Royal Bank of Canada*, (1918) 2 WWR 791

(2) *Garnett v. M'Kewan*, (1872) LR 8 Ex. 10

(3) *Buckingham Company v. London and Midland Bank*, (1895) 12 T.L.R. 70

(4) *National Westminster Bank Limited v. Halesowen Presswork and Assemblies Ltd.* [1972] AC 785

Mr Nyangarika, for the Appellant

Mr Rweyongeza, for the Respondent

JUDGMENT

(Date 15 September 2000)

Ramadhani, J.A.: The appellant unsuccessfully sued the respondent bank in the High Court and being dissatisfied with that judgment he has come to this Court on appeal.

At the High Court the following facts were not in dispute. The appellant had two accounts with the respondent bank at Kuu Street Branch, Dodoma: Numbers 18-0009 and 25 of 549. In 1991 he obtained a term loan of TZS. 9 300 000 for a hotel project payable in six years from 1992 through his Account Number 18-0009. On his account number 25 of 549, the appellant got an overdraft facility for a shop project during the period of 1991 to 1994. The overdraft carried a higher interest rate than the term loan. At various times the respondent bank transferred some monies totaling TZS. 16 719 837. from account 25 of 549 to account 18-0009 and used it to service the term loan.

The case of the appellant is that the respondent had neither a legal justification nor his permission to deduct that sum and prayed that amount, together with an interest of TZS. 14 004 264, be repaid to him. The respondent bank, on the other hand, claims that the amount was deducted on the strength of a Banker's Order signed by the appellant on 14 October 1992 authorizing such deductions to service the term loan.

On behalf of the appellant was Mr Paul Nyangarika, learned advocate, while the respondent had the services of Mr Richard Rweyongeza, learned counsel. The appellant has a five-ground memorandum of appeal. The first ground is very general and it transcends all other grounds. It avers that the learned trial judge did not properly evaluate the evidence in favour of the appellant. Obviously, then we have to deal with the first ground in every one of the other four grounds.

The four grounds are that: One, the finding that the money was justly deducted was wrong. Two, it was wrong to have found that the

respondent bank had a lien on the money. Three, the plea of *non est factum* was wrongly rejected. For, the learned judge erred to hold that an account with an overdraft facility could also be an ordinary account.

Before we examine the merits and/or demerits of the appeal, we think that it is necessary to go over some other established facts that, unfortunately, the Lower Court either overlooked or did not adequately come to grips with.

The loan contract was signed on 6 April 1990, and according to paragraph 3(i) of the loan Agreement (Exhibit P2), there was a period of grace of 23 months before repayment. The latter of 5 March 1990 (Exhibit page 1) in which the respondent notified the appellant the approval of the loan, fixed repayment to start on 31 March 1992. The payment was to be quarterly at TZS. 475 000 per quarter, that is, a total of TZS. 1 900 000 per year.

An interest at the rate of 27.5% per annum was also to be paid from the time the appellant started 'using the term loan". That, too, was to be paid quarterly on March, June, September and December of each year. Again, there was a commitment fee at the rate of 1% per annum "on the committed but undrawn [*sic*] balance" of the loan. The fee accrued from 6 April 1990, that is, the date of signing the loan Agreement.

The repayment of the loan and the payment of interest thereon were to be executed as provided in the Repayment Schedule, Appendix 1, to the Loan Agreement. However, that Appendix is conspicuously absent from the court record and neither party has said anything about it. So, we have never been in a position to know what was the Repayment Schedule, how much interest and commitment fee was to be paid and when.

The appellant was to open both an ordinary account and a Banker's Order Card (BOC) authorizing the respondent bank to debit loan installments as and when they fell due. That account was never opened

but a BOC (Exhibit page 8) was signed on 14 October 1992 and was to take effect from 27 October 1992 for a deduction of TZS. 292 000 every quarter.

We should put it on record here that the first deduction from the account 25 of 549 was on 28 September 1991 and was of TZS. 1 046 250.

Mr Rweyongeza submitted that there were three ways in which the loan could have been repaid. One, it could have been repaid directly in cash by the appellant. Two, repayment installments could have been deducted through the BOC. Lastly, the respondent could use the banking practice of debiting a borrower's account with a credit balance. It is significant to note that the appellant has never explained how he effected the loan repayment and has been absolutely mum as to how much he had repaid. It is abundantly obvious to us, therefore, that the appellant did not repay a single cent directly in cash. So, we have to see whether it could be said that he repaid the loan by any of the other two methods or by a combination of both.

As already stated above, the BOC was signed on 14 October 1992 and was to take effect from 27 October 1992 for TZS. 292 000. each time. However, and as pointed out again, the first deduction from account 25 of 549 was on 28 September 1991 and it was TZS. 1 046 250. That was followed by four other deductions on 30 December 1991, 28 March 1992, 29 June 1992 and 2 October 1992 totaling TZS. 3 943 959-50. It is crystal clear that these could not have been deducted on the strength of the BOC because it was not in existence, as appropriately pointed out by Mr Nyangarika.

Indeed, the date for the repayment of the loan, that is 31 March 1992 was not yet due when the first three deductions of 28 September 1991, 30 December 1991 and 28 March 1992 were effected. So, it could not be said that those amounts were for the repayment of the loan. But Mr Nyangarika did not question this fact. Was it an oversight or was the deduction justified?

As we have said earlier, interest at the rate of 27.5% was chargeable immediately upon the use of the term loan. We are not told when the term loan started to be used. Also the commitment fee at the rate of 1% on the amounts already committed but not drawn, accrued from the date of signing the loan Agreement, that is, from 6 April 1990. It is possible, then that the first deduction on 28 September 1991 of TZS. 1 046 250 was for servicing interest and the fee? On that date six installments should have been paid since the signing of the Agreement but none had been made. Couldn't the payment of the two commitments amount to that total? The onus was on the appellant to show that the deducted amount was wrongly taken.

It is trite law that it is up to the appellant, as the plaintiff, to establish that the respondent was not entitled to be paid that amount and any other subsequent amounts. He did not do that. So, we are left with the only deduction that the respondent was entitled to those monies. This is what Mr Rweyongeza argued and, on the balance of probabilities, we think that is so.

However, we are satisfied, as already pointed out, that the first five deductions were made when the BOC had not become operative. So, the respondent did not deduct account 25/546 on the strength of the BOC. The other eight deductions, from that of 28 December 1992 to that of 29 December 1994, were made at time BOC was operative and so, were authorized by the BOC.

Mr Nyangarika submitted that the appellant signed the BOC blindly, that the terms were not read out to him and that it would have been better if the BOC was attached to the Loan Agreement. We do not buy that. Mr Nyangarika conceded that the opening of a BOC was one of the terms of the Loan Agreement signed by the appellant in the presence of his advocate. The appellant himself admitted in cross-examination that the Loan Agreement was read to him by the Bank Manager. So, he cannot now disown the BOC. We, therefore, hold that the eight deductions, from the one of 28 December 1992 to that of 29 December 1994, were made under the BOC. The question

is under what authority were the first five deductions made? That disposes the ground of appeal that the plea of *non est factum* was wrongly rejected: the appellant was not at all mistaken as to the character or effect of the transaction embodied in the loan agreement.

Mr Rweyongeza has maintained that the first five deductions were effected under the inherent power of a bank to debit a borrower's account with a credit balance. In addition, the learned advocate also claimed that the respondent bank had a lien on the monies in the bank belonging to the appellant.

Is there such an inherent power by which a bank can deduct one account of a customer to pay the liabilities of the customer under another account?

There is a common law right of combination of accounts. A customer may have more than one account with a bank. In that case the bank has a right to combine the accounts and treat them as one. This is what is called combination of accounts. The accounts may be in one branch of the bank or in different branches of the same bank. But here we shall deal with the former situation because that is what concerns us in this appeal; the two accounts of the appellant are both in the same branch of the respondent bank.

Combination of accounts is also referred to as a right of set-off. This is a monetary cross-claim made in an action by a plaintiff, that is, a legal right by which a debtor is entitled to take into account a debt owing to him by a creditor when sued for a debt due from him to the creditor.

However, the right of combination of accounts or set-off is only exercisable in the context of the relationship of a banker and a customer *Rouxel v. Royal Bank of Canada* (1) cited in **Modern Banking Law,** by EP Ellinger and E Lomnicka, *Oxford*, (2 ed), at page 184).

There are two instances in which a bank is entitled to combine accounts or to set-off: First, where a customer is unable or unwilling to repay an overdraft incurred in one account although another account

is in credit. Second, is where a customer draws a cheque for an amount exceeding the balance standing to the credit of the account involved but the deficiency can be met out of the funds deposited in another account. (See Ellinger and Lomnicka at page 179).

Combination of accounts, has three other exceptions: One, the right could be abrogated by a special agreement. Two, the right is inapplicable where the property was remitted to the bank and appropriated for a special purpose. Lastly, a customer's account cannot be combined with a trust account or an account to be utilized by the customer as a trustee. [See *Greenwood Teale v. William, Williams, Brown and Company* (2) cited in Ellinger and Lomnicka at page 185].

As already shown, both accounts 25 of 549 and 18-0009 belong to the appellant and are in the same branch of the respondent bank. The accounts are neither for special purposes nor are they for trusteeship. There is also no evidence that there is any agreement to prohibit them from being combined.

However, there is one question: could the respondent bank have done that without notifying the appellant?

There are two 'apparently' conflicting decisions on the matter of notice to a customer. The court of Exchequer gave an equivocating answer in *Garnett v. M'Kewan* (3) where KELLY, CB said, at page 13:

> In general it might be proper or considerate to give a notice to that effect, but there is no legal obligation on the bankers to do so, arising either from express contract or the course of dealing between the parties.

But in *Buckingham Company London and Midland Bank* (4), Matthew, J. held that a reasonable notice to a customer is essential.

However, the two decisions have been reconciled by pointing out that in *Garnett* (1) there was no agreement between the bank and the customer to keep the two accounts separate. So, the bank could exercise its right without notice. In *Buckingham and Company (3)*, however, that right was abrogated by an agreement based on a course of dealings and it could only be displaced by reasonable notice

to the customer. But even in such cases, agreements to keep the two accounts separate can be abrogated by subsequent developments.

It is our considered opinion that where there is no agreement to keep more than one account separate, then there is no need to give notice before exercising the right to combine accounts. However, where there is such agreement, then reasonable notice is required. But even in such situation, if the words of the agreement indicate that the agreement would cease upon the occurring of an event, notice is equally not required. Our opinion is supported by what Lord Cross of Chelsea, in his dissenting opinion, said in the judgment of the House of Lords in *National Westminster Bank Ltd v. Halesown Presswork and Assemblies Ltd* (5) at page 810.

> On any footing the bank would be obliged to honour cheques drawn up to the limit of the apparent credit balance before the company became aware that the bank was consolidating the accounts and *so it might be said that notification to the customer was not a condition precedent to the exercise by the bank of its right of consolidation* but only a measure of precaution which the bank might take to end its liability to honour cheques. [emphasis supplied]

But we would go further and say that where, as we have abundantly shown in this appeal, a customer is well aware of his commitments to a bank but deliberately avoids meeting them, then the bank is entitled, without notice, to combine accounts even if there is an agreement not to do so.

So, the respondent bank had the right to combine the two accounts and use the credit in account 25 of 549 to make due repayments of the loan in account 18-0009. Courts should not be used to assist individuals who want to take undue advantage of the credit system.

For the avoidance of doubt we have to point out that in this appeal there was an agreement for opening up a new account for repaying the loan. This could only mean that the parties intended to keep the three accounts separate. However, from what we have said above, the respondent bank was entitled to combine the two accounts and

deduct funds from account 25 of 549 to repay the loan on account 18-0009.

As for lien, we can only say that it does not attach to the balance standing to the credit of the customer's account with his bank. The balance is part of the bank's general funds and also a debt due from the bank to the customer. This is because of the nature of the relationship between a banker and a customer. The bank uses customer's deposits as its own but undertakes to repay an amount equal to that paid in, with or without interest either at call or at fixed time. Thus the role of the bank is that of a debtor while that of the customer is of a creditor. (The roles are reversed where an account is overdrawn). So, the balance is treated as if it were the property of the bank. Now, a person cannot have a lien over his own property ad especially when the property is also in his possession. (See Ellinger and Lomnicka pages 107-11, 183 and 692).

Therefore, for reasons given above, we dismiss the appeal with costs. It is so ordered.

MRS NURU MBARAKA *v.* AWADHI ABEID HIYALA AND BAHATI ABEID HIYALA

HIGH COURT OF TANZANIA
AT MTWARA
(Kaji, J.)

MISCELLANEOUS CIVIL APPLICATION No. 21 OF 1999

Civil Practice and Procedure – Execution of Decree – Application for execution of decree –Application for execution made to a magistrate other than the one who passed the decree – Whether the other magistrate may hear and determine application.

Magistrates' Court – Jurisdiction – Jurisdiction of District Magistrates – Whether one district magistrate may overrule another district magistrate.

Civil Practice and Procedure – Attachment of property – Order of attachment and sale of property jointly owned by the judgment debtor and a third party – Whether the property may be attached.

Mrs Nuru Mbaraka and Nurdin Abeidi Hiyala entered into an agreement to hire motor vehicle, at a rental price of TZS. 900 000. per month. Nurdin secured this agreement with a Right of Occupancy over Plot Number 413 Block J, Mtwara Township. The house was jointly owned with the other heirs of the late Abeid Hiyala, the respondents herein. Nurdin defaulted to pay the rent and Mrs Nuru Mbaraka successfully sued him in Mtwara District Court for TZS. 3 958 000 , being the rental price or, in alternative, for an order to sell the house at Plot Number 413 Block J, Mtwara Township. When she applied for attachment of the house (in execution of the decree), the application came before a different magistrate, not the one who had passed the decree. On the other hand, the respondents objected to the attachment of the house, as persons having interest in the house. The other Magistrate was not sure whether he had jurisdiction to hear the matter and sent the matter to the High Court for directions.

Held: (i) Since the magistrate who granted order of attachment and sale of the house was still there, this matter ought to have been assigned to that magistrate;

(ii) The order for sale of the said house was wrongly made in the first place as the house was not owned by Nurdin alone and the mortgage was not for the benefit of the other heirs.

Order accordingly

Statutory provision referred to:

1. Civil Procedure Code 1966, Order XLI, rules 3, 4

RULING

(Dated 19 September 2000)

Kaji, J.: Mrs Nuru Mbaraka was the plaintiff in Mtwara District Court Civil Case Number 12 of 1998 where the defendant was Nurdin

Abedi Hiyala. In that case Mrs Nuru had averred that on 3 June 1998 she leased her motor vehicle, a Land Rover 110 Defender Reg. Number MT 3029 on the said Nurdin on condition that the said Nurdin would pay her TZS. 900 000 per month.

Subsequent to that lease, Nurdin surrendered the Right of Occupancy on Plot Number 413 Block J within Mtwara Township as security in the event of default. The schedule of payment was stipulated in the said lease agreement. After several months Nurdin paid only TZS. 800 000. He could not pay any more.

Mrs Nuru sued him and claimed for the following reliefs:

1. Payment of TZS. 3 958 000.
2. In the alternative for an order for sale of the security at Plot Number 413 Block J Mtwara Township.
3. Interest on the decretal amount at commercial rate from the date of default till payment in full.
4. The usual costs.
5. Any other relief the court could deem proper to grant.

Nurdin admitted liability to a tune of TZS. 3 040 000. Judgment on admission was entered on that amount. The case proceeded in respect of the contested amount. Final judgment was to a tune of TZS. 3 340 000 which included TZS. 300 000 as fuel costs. Mrs Nuru was also awarded the costs of the suit. The Trial Magistrate dismissed the prayer for sale of the security on the ground that a remedy for an equitable mortgage is not outright sale of the security. That final judgment was delivered on 23 March 1999.

Later a Bill of Costs was filed to a tune of TZS. 176 000. It was taxed and allowed at TZS. 136 500. This was on 25 May 1999. By then Nurdin had paid TZS. 200 000 towards the satisfaction of the decree.

Later Mrs Nuru applied for execution of her decree by attachment and sale of the security. Nurdin objected but his objection was overruled. This was on 3 June 1999. That house was attached.

When it was proclaimed for sale, Nurdin's younger brother Awadhi Abedi Hiyalla and his sister Bahati Abedi Hiyalla got the wind. They filed an objection. That objection came before another Magistrate and not the one who had ordered for the attachment and sale of that house. The record is not clear as to why that application was not assigned to the very Magistrate who had ordered the attachment and sale of that house. The learned Magistrate entertained some doubts as to whether he had jurisdiction to grant the order prayed for, which would amount to overruling his fellow Magistrate who had ordered the attachment and sale of that house. He also doubted the validity of the order for attachment and sale of the very house which another Magistrate in the main judgment had dismissed a prayer for sale of the same. The learned Magistrate referred the matter to this court for direction.

In short that is the gist of the matter. Going through the record and the relevant documents filed therein, there is no doubt that:

(i) The house on Plot Number 413 Block J which Nurdin mortgated belonged to his father the late Abedi Hiyalla before his death.

(ii) At the time when Nurdin purported to mortgage it, it had not yet been distributed to the rightful heirs as their in heritance.

(iii) Awadhi Abedi Hiyala and Bahati Abed Hiyala are among the rightful heirs.

(iv) When Nurdin purported to mortgage it to Mrs Nuru he purported to do so without their knowledge and consent.

(v) There is nothing indicating that the mortgage was for the benefit of all rightful heirs.

(vi) Nurdin conned Mrs Nuru by purporting to be the owner of the said house.

(vii) Had Mrs Nuru been careful enough she would have realized that Nurdin was not the owner of that house because the Right of Occupancy which Nurdin surrendered to her had the name of Abedi Hiyala.

With all these, it is very clear that had the objection proceedings been assigned to a proper Magistrate, the order for attachment and sale would have been lifted as had been prayed for. It was not assigned to proper Magistrate in the sense that, since the Magistrate who had ordered the attachment and sale of that house was still there, it should have been assigned to him. It was improper to assign it to another Magistrate under those circumstances, because he would be incompetent to grant the order prayed for as doing so would amount to overruling his fellow Magistrate who was still there. That would only have been proper if the former Magistrate would have ceased jurisdiction.

It is upon the above reasons that I do hereby direct that the order for attachment and sale of the said house be lifted, and Mrs Nuru should look for other properties of the judgment debtor Nurdin (if any) for execution of her decree, or look for other legal means of satisfying her decree. This direction is to be forwarded to the Trial Court for compliance in terms of Order XLI, rule 3 of the Civil Procedure Code, 1996. Costs if this Reference to be in the cause as per Order XLI, rule 4 Civil Procedure Code 1966.

AUTO SOKONI LTD *v.* NBC (1997) LTD.

HIGH COURT OF TANZANIA
(Commercial Division)
AT DAR ES SALAAM
(Bwana, J.)

COMMERCIAL CASE No. 32 OF 2000

Banking – Banking and non-banking business - Whether proper party to be sued is NBC Ltd or NBC Holding Corporation - Section 10(1)(e) National Bank of Commerce (Re-organization and Vesting of Assets and Liabilities)Act 23 of 1997.

The plaintiff filed this suit praying for relief arising from a banking transaction that took place at the NBC Foreign Branch. The defendant raised a preliminary objection that it was wrongly impleaded, and that under section 10(1)(e) of the National Bank of Commerce (Reorganization and Vesting of Assets and Liabilities) Act the proper party should have been the NBC Holding Corporation.

Held: The subject matter of this case is a banking transaction since it involved the issuing and processing of cheques issued by the plaintiff, and as such the suit was properly brought against the plaintiff.

Preliminary objection overruled

Statutory provisions referred to:

1. National Bank of Commerce (Re-organization and Vesting of Assets and Liabilities)Act 23 of 1997, sections 4, 6(1)(a)-(e), 10(1)(a), 10(1)(e), 3(1)
2. Civil Procedure Code, Order 1, rule 9: Order 1, rule 10(1); Order 1, rule 10(2) and Order 1, rule 10(4)

Mr M Massawe, for the Plaintiff

Mr LT Kalunga, for the Defendant

RULING

(Dated 20 September 2000)

Bwana, J.: On 26 July 2000 the plaintiff filed this suit praying for several reliefs arising from a banking transaction that took place at the NBC, Foreign Branch on 12 September 1997.

Together with denying liability, the defendant has raised a preliminary objection thus:

> The defendant avers that it has been wrongly impleaded. Under section 10(1)(e) of the National Bank of Commerce (Reorganisation and Vesting of Assets and Liabilities Act 23 of 1997, the proper party should have been the NBC Holding Corporation

Therefore the defendant prays the case be struck out with costs. The defendant goes on to cite the provisions of the said section 10(1)(e) of Act 23 of 1997 to which I will return later on in this ruling.

In his written submission in reply, the plaintiff relies on the provisions of section 10(1)(a) (but not (e)) of the said Act as being relevant since that issue concerns banking transaction of his Account at the Foreign Branch of the NBC. In the alternative, the plaintiff submits that this Court's attention be brought to the following provisions of the Civil Procedure Code namely:

Order 1, rule 9: Order I, rule 10(1); Order 1, rule 10(2) and Order 1, rule 10(4). The plaintiff asks, if necessary, to be allowed to amend the plaint by adding a new party to wit: NBC Holding Corporation.

Section 10(1)(e) of the said Act states:

> Consequent upon the split of the former bank into the company, the NMB and the corporation, all assets and liabilities relating to banking business, to which the former Bank was entitled or subject, immediately before the vesting date shall, *with effect from the 1 October 1997* by virtue of this section and without further assurance:
>
> (a) ...
>
> (e) in *respect of non-banking assets and liabilities* and businesses of the former bank not transferred and vested by paragraphs (a), (b) (c) or (d) of this subsection be transferred to and vest in the corporation ... [Emphasis Supplied]

Under section 3 of the Act Company means the NBC (1997) limited as established by the NBC (1997) Ltd Incorporation Act 1997. Corporation, on the other hand, means the NBC Holding Corporation, established by section 4 of Act 23 of 97

On the part of the plaintiff, he relies on Section 10(1)(a) of the Act which states:

> (1)(a) ...
>
> (b) in respect of the *banking business* in the specified branches constituting the Company, be transferred to and vest in the company. [emphasis supplied]

In the instant case, the plaintiff's account was as stated earlier, with the Foreign branch of the NBC in Dar es Salaam as specified in the First Schedule to the Act The subject matter of this case is, to me, a banking transaction since it involved the issuing and processing of two cheques issued by the plaintiff payable to the Internal Revenue Officer. Dar es Salaam. What are non banking assets and liabilitities as used under section 10(1)(*e*) then? Section 3(1) of the Act defines what assets are. They include:

> Property, real and personal of every kind including:
>
> (a) rights under contract and agreement.
>
> (b) Money, books, books of accounts, records and goodwill
>
> (c) All other rights, interest and claims in or to real or personal property whether liquidated or unliquidated...

Liabilities means:

> debts, charges, duties and all obligations of every description under contract or agreement ...

To me, therefore non banking assets and liabilities are those which are not covered under paragraphs (*a*) to (*d*) of section 10(1). However, the issue at hand is, as stated earlier, covered under section 10(1) (*a*) of the Act it having been a banking transaction in a specified branch. It was therefore transferred to and vest in the Company.

It is equally important to note that the NBC Holding Corporation does not deal with banking transactions as such. Its functions are provided for under section 6 of the Act as follows:

Section 6(1).

As from the effective date, it shall be the duty of the Corporation:

(a) to carry on, in relation to the company and NMB, the business of a holding company and the business of an investment company;

(b) to acquire and hold, on behalf of the Treasury Registrar, controlling and other interests in the share or loan capital in the company and in the NMB and in the Bureau;

(c) to take over the assets and liabilities and continue the business of the former bank which are not vested in the company or the NMB or the Bureau;

(d) to receive and discharge all claims against the former bank which are not vested in the company or the NMB;

(e) to do any other act or thing which the Minister may, upon advice by the Committee, by notice in the Gazette determine as being a function of the Corporation.

All the foregoing (section 6(1)(*a*)-(*e*)) are not, in my view, relevant to the issue at hand. As such, the corporation cannot be sued, instead the Company (for example NBC (1997) Ltd, is properly sued. Accordingly, the preliminary objection is dismissed.

ASTUS NJALE MASULE AND SAMSON MIPAWA MOLLA *v.* DOGANI LUNALA

HIGH COURT OF TANZANIA AT TABORA

(Mwita, J.)

CIVIL APPEAL No. 10 OF 1999

(From Meatu District Court in Original Civil Case No. 7 of 1998)

Tort – Defamation – Comments made at a duly convened public meeting – Whether comments amount to slander.

Tort – Defamation – Presumption of malice in false and defamatory allegations – Previleged occasion rebuts the presumption.

The respondent, a Ward Education Coordinator for Lubiga Ward, Meatu District, supervised the collection of voluntary contributions for the construction of a school building. The appellants were among the village members who made the voluntary contributions. There was a delay in completion of the said building and the village members wanted to know how the contributions had been spent. One of the villagers wrote a letter to the Prime Minister, with a copy to the District Commissioner, alleging misuse of the said contributions by the respondent. The letter was subsequently read out at a public meeting convened by the District Commissioner. Comments by the appellants at the said meeting tended to approve the allegations in the said letter. The respondent then instituted a suit at the Meatu District Court against the appellants claiming damages for slander. The court entered judgment in favour of the respondent. On appeal.

Held: (i) Comments made at duly convened public meetings are entitled to the defence of qualified privilege: a privileged occasion arises where the defendant has an interest in making the communication to the third party and the third party has a corresponding interest in receiving it;

(ii) The appellants' comments were made on a privileged occasion, and if they appeared to be defamatory the defence of qualified privilege was available to the appellants unless the comments were actuated by malice;

(iii) Malice, which is presumed in every false and defamatory statement, stands rebutted by a privileged occasion; in such cases, in order to make a libel or slander actionable, the burden of proving actual or express malice is on the plaintiff.

Appeal allowed

Cases referred to:

1) *HS Mangat v. B. Sharni* [1968] HCD, n. 167

2) *Horrocks Y Lowe* [1974] 1 All ER 662

3) *Novati Joseph and another v. Sebastian Muzo* [1978] LRT, n.14

4) *Naiman Moiro v. Nailejlet KJ Zablon* [1980] T.L.R. 274

JUDGMENT

(25 September 2000)

Mwita, J.: Since 1994 Dogani Lunala was a ward Education Co-ordinator for Lubiga Ward, Meatu District. His residence was at Lubiga Village. In 1996 he supervised the collection of voluntary contributions at Lubiga village with the object of financing construction of school building at the said village. Astus Njale Masule and Samson Mipawa Molla are among the village members who made the voluntary contributions. TZS. 260 000 was realized as a result of such contributions. There was a delay in completion of the said building. Village members were demanding that the education authorities should account or give an explanation as to how the said money was expended.

A letter was written, apparently by one of the village members called John Masunga *alias* "Msema Kweli" and addressed to the Prime Minister. It was copied to the Meatu District Commissioner, among others. It was alleged in the said letter that the said money had been used by Dogani Lunala, not for the intended purpose, but for his

personal matters such as paying bribe in respect of a traffic case facing him.

On 16 April 1998 the Meatu he convened a public meeting at Lubiga Village. The District Commissioner chaired the said meeting. At the said meeting, the District Commissioner read the said letter after which he invited comments from the public. Comments by Astus Njale Masule and Samson Mipawa Molla tended to approve the allegations in the said letter.

As a result of such comments Dogani Lunala instituted a suit at Meatu District Court against Astus Njale Masule and Samson Mipawa Molla claiming TZS. 3 050 000. damages for slander. The District Court entered Judgment in favour of Dogani Lunala and awarded him TZS. 800 000 general damages.

Aggrieved, Masule and Molla have appealed to this Court.

At the hearing of this appeal both parties appeared and argued the appeal. None of them was represented by counsel.

The comments appear to have been made on a privileged occasion. A privileged occasion arises where the defendant has an interest in making the communication to the third party and the third person has the corresponding interest in receiving it. This reciprocity is of the essence of the matter of *HS Mangat v. B Sharni* (1).

So far as public interest is concerned the interest to be protected is that of the public at large in the honest and efficient discharge of public duties and the reciprocal duty of an individual is to disclose breaches of that duty. Thus charges of misconduct against public officials would be privileged if made to the official's superior with a corresponding interest to receive them.

A privileged communication is one in respect of which the law holds that the public interest in free speech overrides, wholly (in case of absolute privilege) or conditionally (in case of qualified privilege), the private right to an untarnished reputation.

Comments made at duly convened public meetings are entitled to the defence of qualified privilege.

In *Horrocks Y Lowe* (2) at page 671 Lord Diplock said:

> My Lord's what is said by members of a local council at meetings of the council or any of its committees is spoken on a privileged occasion. The reason for the privilege is that those who represent the local government electors should be able to speak freely and frankly, boldly and bluntly, on and matter which they believe affects the interests or welfare of the inhabitants. They may be swayed by strong political prejudice, but they were chosen by the electors to speak their minds on matters of local concern and so long as they do so honestly they run no risk of liability for defamation of those who are the subjects of their criticism.

In *Novati Joseph and another v. Sebastian Muzo* (3) at page 58 Mfalila J. (as he then was) said:

> This meeting was called to discuss, among other things, thieves and their accomplices in the area and money for the Uhuru Torch. Both these topics directly concerned all the villagers of Kazinga Katoro, and no stretch of imagination could limit the problem of thieves to TANU members alone. It was a village problem whose solution the villagers assembled to discuss. The villagers were therefore discussing law and order in their village at a meeting properly called by the village authorities. It was important that the discussion at such a meeting be as free and frank as possible. This was the only way to come at the root cause and find a solution. For this purpose the villagers were free to say anything including defamatory statements provided that they were not motivated by malice.

In *Naiman Moiro v. Nailejlet KJ Zablon* (4) the Court of Appeal held that where a person is under a moral or social duty to make certain statements and does make statements which appear to be defamatory the defence of qualified privilege would be available provided such statements are made without malice.

In the instant appeal the meeting was duly convened by the District Commissioner to discuss allegations of misuse of village funds.

The appellants had made contributions to the said fund. The object for which money had been contributed had not been achieved. The matter concerned all members of Lubiga village. It was important that discussions at the said meeting be free and frank. That was the only way to uncover the alleged misuse of funds. The District Commissioner had the duty to receive the comments. The appellants' comments were thus made on a privileged occasion. If the said comments appeared to be defamatory, the defence of qualified privilege was available to the appellants unless their comments were actuated by malice.

The learned trial magistrate rejected the defence of qualified privilege. He said in his judgment:

> ... the fact that there was no traffic case at which the plaintiff had to bribe the police, and that he has no motor cycle at all, reveal that the defendants' statements approving the Prime Ministers' letter were actuated by malice, since such statements were outright false statements.

Hence the trial magistrate's finding of malice on the part of the appellants is based on the falsity of the allegations in the said letter.

In *Maiman Moiro v. Nailejiet KJ Zaibon* (4) at page 277 Nyalali, C.J. said:

> It would appear that the learned trial judge found malice on the basis that the allegations made by the appellant against the respondent had no foundation, in other words, they were false allegations. I am of the view that the learned trial judge misdirected himself in law in finding malice on the basis of the falsehood of the allegations. Falsehood is one of the factors which constitute the act of defamation but is not *per se* a factor which constitutes malice.

From the above it is clear that malice in law, which is presumed in every false and defamatory statement, stands rebutted by a privileged occasion. In such case, in order to make a libel or slander actionable, the burden of proving actual or express malice is always on the plaintiff. Malice in that sense means making use of a privileged occasion for

an indirect and improper motive. Such malice can be proved in a number of ways, such as by showing that the defendant did not honestly believe in the truth of the allegations or that he believed them to be false; or that the defendant was actuated by hatred or dislike, or a desire to injure the plaintiff and is merely using the privileged occasion to defame; or by showing that out of anger, prejudice or wrong motive, the defendant cast aspersions, reckless whether they are true or false. Lack of honest belief is destructive of privilege. Similarly is reckless publication of defamatory matter without considering or caring whether it be true or not. But if the defendant honestly believed in the truth of his allegations, the protection of privilege is not lost simply because he leaped to his conclusions on inadequate material or because he believed in the truth of the allegations on account of gross and unreasoning prejudice, although these factors along with other material may be used for holding that the dominant motive in publishing the statement was hatred or some other improper motive taking away the defence of privilege inspite of the defendants belief in the truth of the allegations.

In the instant case no evidence was adduced to prove that the defendants were actuated by hatred or ill-will, or a desire to injure the plaintiff and were merely using the privileged occasion to defame him. Hence apart from the inference from the falsity of the allegations there are no circumstances from which malice could be inferred. As it has not been shown that the defendants did not believe in the truth of the allegations in the said letter, the defence of privilege has not been destroyed. From the above reasons the appeal is allowed with costs.

PLANT MANAGER: TANZANIA BREWERIES LTD MBEYA DEPOT *v.* REPUBLIC

HIGH COURT OF TANZANIA AT MBEYA

(Mackanja, J.)

MISCELLANEOUS CRIMINAL APPLICATION No. 37 OF 1998

(From the District Court of Mbeya at Mbeya, in Original Criminal Case No. 623 of 1998 of the District Court of Mbeya)

Criminal Practice and Procedure – Criminal Prosecutions – Power to institute and prosecute criminal proceedings – Whether labour officers are public prosecutors with power to institute and prosecute criminal proceedings – Sections 91(1), 95(1) and (2), and 96 of the Criminal Procedure Act 1985.

Criminal Practice and Procedure – Criminal Prosecutions – Power to institute and prosecute criminal proceedings – Whether labour officers may institute and prosecute criminal proceedings under labour laws – Sections 8, 149(a) and 154 of the Employment Ordinance Chapter 366.

Labour Law – Criminal Prosecutions – Power to institute and prosecute criminal proceedings – Whether labour officers are public prosecutors who may institute and prosecute criminal proceedings under labour laws – Sections 8, 149(a) and 154 of the Employment Ordinance Chapter 366.

A labour officer had instituted criminal proceedings against the applicant in the District Court for the offences of (1) failure to attend before a duly constituted Conciliation Board, c/section 14(1)(*b*) of the Security of Employment Act 1964, Chapter 574, and (2) failure to pay wages to his employees c/sections 149(*a*) and 154 of the Employment Ordinance Chapter 366. An objection was raised against the labour officer conducting the prosecution on the ground that he was not a public prosecutor and therefore had no *locus standi* to conduct the prosecution. The objection was overruled, and the applicant applied for revision of the orders overruling the objection.

Held: (i) Under section 96 of the Criminal Procedure Act 1985 the court may permit a public officer having legal or administrative responsibility for the enforcement of any law to conduct prosecution for an offence under such law subject to the directions of the Director of Public Prosecutions and under section 91(1) of the Act the Director of Public Prosecutions may, by notice published in the Gazette, appoint a public prosecutor;

(ii) As the labour officer was neither permitted by the court nor appointed by the Director of Public Prosecutions under sections 96 and 91(1) respectively, of the Criminal Procedure Act 1985, he had no power to prosecute the applicant under the Act.

(iii) There are no provisions under the Security of Employment Act 1964 vesting power on a labour officer to institute Criminal Proceeding in order to enforce the decision of a conciliation board.

(iv) As a labour officer may, under section 8 of the Employment Ordinance and independently of the Criminal Procedure Act 1985, institute proceedings in respect of any contravention of any provision of the Ordinance the labour officer had the power to prosecute the applicant for failure to pay wages, which is an offence under section 149(*a*) of the Ordinance.

Orders accordingly

Cases referred to:

1) *Tanzania Breweries Ltd v. Republic*: HC – Mwanza Miscellaneous Criminal Application Number 28 of 1998 (unreported)

2) *Salomon v. Salomon and Company Ltd* [1897] AC 22

Statutory provisions referred to:

1. Criminal Procedure Act 1985, Act Number 9 of 1985 sections 90(4), 91(1), 95(1), (2), (3), and 96

2. Employment Ordinance Chapter 366, sections 8, 149(a) and 154

3. Security of Employment Act 1964 Chapter 574, sections 14(1)(*b*), (2) and 50(1)

Mr Mbwambo, for the Applicant

RULING

(Delivered 27 September 2000)

Mackanja, J.: This is an application for an order that the proceedings and order that were conducted and issued by the District Court at Mbeya in Criminal Case Number 623 of 1998 on the 16 December 1998, against the applicant be revised. There is also a prayer for costs and the traditional prayer that the court do grant the applicant any other and further reliefs it may deem appropriate to grant. The application originates from a criminal employment cause in which the Labour Officer instituted criminal proceedings against the applicant in relation to the alleged failure by the applicant to attend before a duly constituted Conciliation Board c/section 14(1)(*b*) of the Security of Employment Act Number 62 of 1964 as amended by Act Number 13 of 1991. After several appearances before the Trial Court Mr Mbwambo, learned counsel for the applicant, raised a preliminary objection arguing that the labour officer who was prosecuting the case lacked the requisite *locus standi*. He pointed out that since he is not a public prosecutor as defined under section 2 of the Criminal Procedure Act and one who has not been appointed by the Director of Public Prosecutions under section 95 of that Act a labour officer has no right to be heard in a criminal proceeding. So he prayed that the case be dismissed. In the end the case was not dismissed, it is the preliminary objection that was dismissed. In dismissing the objections the Trial Court held that labour officers have *locus standi* to prosecute any person under labour laws, in this case the security of Employment Act. That this was so because it was the view of that Court that labour officers are public officers, hence they are public prosecutors who are empowered to prosecute. It is this order which it is desired should be revised.

The application is supported by the affidavit of Mr Rosan Mbwambo, learned counsel for the applicant. There are two grounds of complaint which have been raised in the supporting affidavit evidence. One,

that the decision did not address the issue of whether or not the labour officer is also a public prosecutor nor did it touch on the requisite conditions of seeking and obtaining leave of the court and directions of the Director of Public Prosecutions. Two, that the impugned decision should be revised because allowing Government officials to prosecute criminal cases at their pleasure does not only contravene the law of criminal procedure, it also avoids the court's and powers of the Director of Public Prosecutions to control criminal proceedings. One would have expected that the respondent would have filed a counter affidavit; none is in plae.

Mr Mbwambo, learned counsel, has argued the application on behalf of the applicant. He submits that sometimes on or about 6 August 1998 and 16 December 1998 charges were drawn against the Applicant Corporation following the labour officer's complaints accusing the former for failure to attend a duly constituted Conciliation Board and to pay salaries to its employees, respectively. The statements of offence were signed by the Senior Labour Officer of Mbeya Region who styled himself as a public prosecutor and in fact appeared to prosecute the matters. The accused filed notice of preliminary objection on points of law that the case is bad at law in as much as the labour officer is not a public prosecutor in law and that he has neither sought and obtained leave of the court nor directions of the Director of Public Prosecutions. Learned counsel makes the point that much as they do not question the powers of the labour officer being one of the government officials enshrined under section 96 of the Criminal Procedure Act Number 9 of 1985, (hereinafter referred to as the Act) their contention is that his powers under that provision is not without qualification. For ease of reference he quotes the provision in extensor.

> In any prosecution for an offence under any law other than the Penal Code, the court may permit either generally or in relation to any particular case, a public officer having legal or administrative responsibility for enforcement of such law to conduct the prosecution, notwithstanding that he has not been appointed a public prosecutor; save that such other officer shall be subject to the directions of the Director of Public Prosecutions in the conduct of the prosecution.

It is learned counsel's argument that from the contents of these provisions it is obvious that the labour officer wishing to prosecute a case under that legislation must meet two prerequisite conditions, namely: that he should first seek and obtain leave of the court; and, two, that he must seek and obtain directions of the Director of Public Prosecutions. According to Mr Mbwambo these prerequisite conditions are mandatory, the contravention of which renders the case null and void. It is further submitted that these conditions are in line with the intention of the legislature under Part IV of the Act on the control of criminal proceedings which is exclusively vested in the Director of Public Prosecutions. In support of his arguments he cites the decision of this Court in *Tanzania Breweries Ltd v. Republic* (1) where it was directed that the trial magistrate and the labour officer had to adhere to the provisions of Part IV of the Act in instituting criminal proceedings. I am urged to take a similar position as observed by my brother. However, no copy of that decision has been brought to my attention. Learned counsel winds up his submissions saying the labour officer in this case had all along maintained that his powers under section 96 of the Act are exclusive and had no qualification, hence he did not have to seek the leave of the court and the direction of the Directors of Public Prosecutions. In his opinion such blatant refusal to adhere to the provisons of section 96 of the Act strictly offends Part IV of the Act on the control of criminal proceedings and is tantamount to interfering with the powers of prosecution exclusively conferred upon the Director of Public Prosecutions. In the circumstances he would have one say that indeed the labour officer lacks *locus standi* and, there, the criminal case of the applicant should be dismissed.

The Republic opposes the application. Mr Mulokozi, learned State Attorney, opens his submissions by stating the obvious, that the powers of the DPP as the over-all-in-charge and controller of all public prosecutions in the country cannot be overemphasized. They are impeccably expressed as put by the statutory provisions of Part IV

of the Criminal Procedure Act 1985. Their sanctity, he says, traces its origin from the fact that the DPP is a presidential appointee, and as stated expressly in section 90(4) of the Act that in the exercise of the powers conferred on him ...

> the Director of Public Prosecutions (DPP) shall have and exercise his own discretion and shall not be subject to the directions or control of any person except the President

Mr Mulokozi joins issue with Mr Mbwambo regarding the powers of the DPP to appoint public prosecutors under section 95(1) of the Act which provides thus:

> The Director of Public Prosecution may, by notice Published in the Gazzete, appoint Public Prosecutors for Tanzania or for any specified area of Tanzania, and either generally or for any specified case or category of cases.

And that section 95(3) of the Act gives the undisputed condition that every public prosecutor shall be subject to the express directions of the DPP. Learned Senior State Attorney contends that labour officers are public prosecutors under this section 95(1). It is worthy to note here that labour officers are public prosecutors under section 8 of the Employment Ordinance Chapter 366.

The express wording of section 96 of the Act as employed by the applicant does not suggest public prosecutors of the category of our labour officers. Under this section, he says, the court may permit a public officer having legal or administrative responsibility to conduct prosecution in cases relating to his office "... notwithstanding that he has not been appointed a public prosecutor ..." That this Part of this provision means that prosecutors under this section are of category different from that of prosecutors under section 95(1). He is, therefore, of the view that a prosecutor under section 96 is created on emergency where and when in a given Court jurisdiction there is no prosecutor appointed by the DPP that can serve as a public prosecutor, and the court finds it necessary to invite the services of a certain public officer in prosecuting cases relating to the field of administration or office of that public officer and, specifically, in

respect of offences other than those under the Penal Code. Labour officers are not public prosecutors of this making. That prosecutors created under section 96 operate with leave of the court; labour officers being prosecutors not falling under this section do not operate with leave of the court. I am, therefore, invited to dismiss the applicant's contention. In order to have *locus standi* labour officers need the leave of the court. So what remains is that labour officers as public prosecutors operate under one condition, namely, that they are subject to the express directions of the DPP.

From the foregoing submissions the issue boils down to this: whether the labour officer who instituted the criminal proceedings in (DC) Criminal Case Number 623 of 1998, the subject of these proceedings, has power under the law to initiate a criminal prosecution as a labour officer. Mr Mulokozi, learned Senior State Attorney, has made it quite clear that the labour officer is a public prosecutor who does not need the leave of the court before he initiates any criminal proceeding against any employer. For that purpose he is not one of the category of prosecutors whose powers are derived from section 96 of the Criminal Procedure Act 1985.

After careful consideration of legal arguments I have formed the firm view that there are only two ways in which anyone may prosecute a criminal proceeding in addition to what section 96 of the said Act makes provision for. First, anyone will not need the leave of the court if the law under which the prosecution is founded expressly designates who will enforce its provisons. Such legislation is section 8 of the Employment Ordinance Chapter 366 which expressly provides that:

> The Labour Commissioner or any labour officer may institute proceedings in respect of any contravention of any of the provisions of this Ordinance or any regulations made hereunder and may prosecute and appear in his own name in respect of such proceedings.

The third category of prosecutors is that of public prosecutors who may be appointed under section 91 of the Act. These are appointed

by the DPP and in order for the appointment to take effect, subsection (1) makes a requirement the DPP may do so

> ...by notice published in the Gazette ...

It follows that if the labour officer's appointment falls under these provisions he can easily establish his right to be heard by producing the notice for his appointment which was gazetted. That being the law, which is quite precise, there can be no room for reading into it appointments which are obviously excluded. As Salmond says in his book entitled **Jurisprudence** (11 ed) at pages 132, 133:

> The essence of the law lies in its spirit, not in its letter, for the letter is significant only as being the external manifestation of the intention that underlies it. Nevertheless in all ordinary cases the court must be content to accept the *litera legis* as the exclusive and conclusive evidence of the *sentential legis*. They must in general take it absolutely for granted that the legislature has said what it has meant, and meant what is has said. *Ita scriptum est* is the first principle of interpretation. Judges are not at liberty to add, or take from or modify the letter of the law, simply because they have reason to believe that the true *sentential legis* is not completely or correctly expressed by it...

Let me add here, in order to underscore the need to apply the law as Parliament, in its undoubted wisdom, intended, wise words of Lord Watson in *Salman v. Salan and Company Ltd* (2) at 38 where he said:

> "Intention of legislature" is a common but very slippery phrase, which popularly understood, may signify anything from the intention embodied in positive enactment to speculate opinion as to what the legislature probably would have meant, although there has been an omission to enact it. In a court of law or equity, what the legislator intended to be done can only be legitimately ascertained from what it has chosen to enact, either in express words or by reasonable and necessary implication...

Unless, therefore, the labour officer's endeavours to prosecute the applicant find legitimacy in some other piece of legislation, he clearly

lacks power to prosecute the applicant under the Criminal Procedure Act 1985. I will, in that behalf, examine the provisions of the Security of Employment Act Chapter 574, to see if the labour officer derives his powers therefrom.

Penal sanctions which attach to disobedience of the powers and functions of a conciliation board are provided for under section 50 of the Security of Employment Act. It provides, as far as the same is relevant here, that:

> (1) Any person who refuses or neglects to comply with the decision of a ... Board on a reference to which he is a party... shall be guilty of an offence...

There are no provisions under that legislation which vest power on a labour officer to institute criminal proceedings in order to enforce the decision of a conciliation board. I am satisfied, therefore, that the labour officer does not have *locus standi* in respect of Criminal Case Number 623 of 1998 of the District Court of Mbeya District at Mbeya, which is the basis of this Court's Miscellaneous Criminal Application Number 37 of 1998. As the submissions show Miscellaneous Criminal Application Number 7 of 1998 of this Court was consolidated with Miscellaneous Criminal Application Number 7 of 1998 which, though they involve the same parties, the charges differ. In the latter case the applicant is charged with failure to pay wages to his employees contraty to sections 149(*a*) and 154 of the Employment Ordinance. Section 149(*a*) of the said Ordinance creates the following offence:

> An employer shall commit an offence against this Ordinance if he shall be guilty of any of the following acts or omissions, that is to say:
>
> (a) if he shall fail to pay the wages due to any employee, unless he has reasonable and probable cause for thinking that those wages are not due ...

No doubt, as I have endeavoured to say earlier in this ruling, the labour officer has power to prosecute offences created under the Ordinance to enforce its provisions independently of the Criminal

Procedure Act. It follows that Miscellaneous Criminal Application Number 7 of 1998 would fail.

Upon the foregoing considerations the application succeeds in relation to Criminal Case Number Miscellaneous Criminal Application Number 37 of 1998 which originates from Criminal Case Number 623 of 1998 where upon the proceedings are so revised as to declare them invalid. They are quashed in *toto* and the accused is discharged. The application in relation to Miscellaneous Criminal Application Number 7 of 1999 which is founded on Criminal Case Number 935 of 1998 of the same Trial Court is dismissed, with directions that proceedings shall mere fact that TTCL has been declared a Specified Public Corporation, that, *per se*, does not render it to be a bankrupt Public Corporation within the provisons of the Bankruptcy Ordinance Chapter 25. Mr Galati referred me specifically to page 12 of the cyclestyled copy of the judgment in the *Saidi Mnimbo* case (*supra*) where, he submitted, lay the *ratio decidendi* of that case.

With regard to this legal point raised by Mr Nasimire learned advocate, I am not prepared to make a definite finding on it as I am quite convinced in my mind that the point raises quite important triable issues. First the question whether the suit filed by TTCL against the applicant is covered and governed by GN Number 543 of 97 whose effective date was not specified until on 3 December 1999 under GN Number 424 of 99? Although the effective date in question was specified in December, 1999, yet that date was the very date on which Government Notice Number 543 of 97 was published, that is on 22 August 1997. This proceed from where they had reached. There shall be no order as to costs.

GERARD CHUCHUBA v. RECTOR, ITAGA SEMINARY

HIGH COURT OF TANZANIA AT TABORA

(Masanche, J.)

(HC) CIVIL APPEAL No. 12 OF 2000

(Original Civil Case No. 3 of 1999 of Tabora District Court at Tabora)

Civil Practice and Procedure – Res Judicata – Essential elements for application of the plea of res judicata.

In Civil Case Number 16 of 1995 the appellant sued the respondent and was awarded TZS. 401 719. Later having got a promise from a priest, who subsequently got fired from priesthood, that he would now be paid TZS. 1 274 991 he filed a suit in the Resident Magistrate's Court to enforce that promise in Civil Case Number 3 of 1999. The appellant lost the case because the court decided that the matter was *res judicata*. Aggrieved by the decision of the court the appellant appealed to the High Court. The court heard arguments from counsel whether or not Civil Case Number 3 of 1999 was *res judicata vis-à-vis* Civil Case Number 16 of 1995.

Held: (i) Before the doctrine of *res judicata* is applied the following essential elements must be shown to exist: that the judicial decision was pronounced by a court of competent jurisdiction, that the subject matter and the issues decided are substantially the same as the issues in the subsequent suit, that the judicial decision was final, and that it was in respect of the same parties litigating under same title;

(ii) The case of the appellant against the seminary, the subject matter of which was his dismissal, was adjudicated upon fully in Civil Case Number 16 of 1995; he got awarded damages and never appealed and the matter, therefore, is *res judicata*.

Appeal dismissed

Cases referred to:

(1) *Karshe v. Uganda Transport Company* [1967] EA 774

(2) *Jadra Karsam v. Harmam Singh Ghogal* 20 E.A.C.A. 74

Statutory provision referred to:

1. Civil Procedure Code 1966, section 9

Mr Boaz, for the Appellant

Mr Mtaki, for the Respondent

JUDGMENT

(Dated 3 October 2000)

Msanche, J.: The appellant, Gerard Chuchuba, had been employed by the respondent Itaga Seminary as a teacher at one of the respondent's schools. The plaint is indeed brief: It does not show where the appellant taught. However, he got fired. For what reasons, we do not know. He then filed a civil suit in the Court of Resident Magistrate, Tabora, in Civil Case Number 3 of 1999, claiming some TZS. 1 274 991. He called this "sum agreed to be paid". When the matter came before the trial Magistrate, Mr Rusema PRM, Mr Mtaki, learned advocate for the Seminary raised a preliminary objection. He submitted that the matter was *res judicata*. He argued that the same matter was subject of a case in Civil Case Number 16 of 1995. The parties were the same. A sum of money was awarded. He argued that the appellant was, in the instant case asking the court to pay him something which ordinarily would be costs. His grievance could be taken care of on appeal, so Mr Mtaki argued. Appellant did not appeal and so he cannot open a new case, so Mr Mtaki argued. He ruled out that the matter was indeed *res judicata*. The matter now comes before me on appeal.

Mr Boaz who argued for the appellant submitted that the case filed was a different one. It arose out of a promise by one of the

priests to pay the appellant a higher sum than the one awarded in Civil Case Number 16 of 1995. In Civil Case Number 16 of 1995, the appellant was awarded TZS. 401 719. But later a priest had written him a letter, and he called this letter a contract, to say that he (appellant) would now be paid TZS. 1 274 991.

So, the appellant was suing on this new contract with the priest, or, according to him, he was suing on the new promise made by the priest to pay him that enhanced figure. Mr Mtaki retorted, however, that the whole arrangement between the appellant and the priest was all fraud. He informed the court that, in fact, the priest has already been fired from priesthood.

Now, the issue really, is, whether the case (Civil Case Number 3 of 1999) is *res judicata vis-à-vis* Civil Case Number 16 of 1995. As correctly pointed out by both counsel Mr Boaz and Mr Mtaki, the doctrine of *res judicata* in our laws is provided for in section 9 of the Civil Procedure Code 1966. It reads:

> No Court shall try any suit or issue in which the matter directly and substantially in issue has been directly and substantially in issue in a former suit between the same parties or between parties under whom they or any of the claim litigation under the same title in a court competent to try such subsequent suit or the suit in which such issue has been subsequently raised and has been heard and finally decided by such Court.

I asked Mr Boaz, assuming the appeal succeeds, and the case opens, what would the story be? It was agreed that the story would be the same as in Civil Case Number 16 of 1995. The only difference would be that there would be added figures, for example, the new figure given by the fired priest. Now, that, exactly, is what the doctrine of *res judicata* speaks against.

Let me revisit the doctrine:- at least what there is on case law. Sir Udo Udoma C.J., in *Karshe v. Uganda Transport Company* (1) at page 777 said this, of the doctrine:

> This Court is not oblivious of the cardinal principle that the doctrine of *res judicata* is not a technical doctrine applicable only to records. It is a fundamental doctrine of all Courts that there must be an end to litigation as a matter of public policy. This doctrine has found expression in the latin maxim, *interest reinpublicae us sit finis litium.*

The Court of Appeal for Eastern Africa in the case of *Jadra Karsam v: Harmam Singh Ghogal* (2) at page 77 says:

> It is certainly correct to say that the doctrine of *res judicata* provides that once a court of competent jurisdiction to determine the matters in issue in any suit or proceeding between the parties thereto has finally decided those matters, such decision, unless reversed on appeal or revision, is conclusive so that the parties thereto or their privies are precluded from disputing or questioning in any latter litigation the correctness of such earlier decision. The doctrine further acts as an estoppel to such parties to re-litigate those same matters in any subsequent suit because the doctrine, apart from binding the parties as to the matters decided, also puts to an end the particular cause of action on which the former litigation between the parties was founded.

To sum up, therefore, before the doctrine of *res judicata* is applied, the following essential elements must be shown to exist:

1. That the judicial decision was pronounced by a court of competent jurisdiction.
2. That the subject matter and the issues decided are the same, or substantially the same as the issues in the subsequent suit;
3. That the judicial decision was final – and
4. That it was in respect of the same parties litigating under same title.

Now, coming to the instant appeal, it is quite clear that the case of the appellant against the Seminary was adjudicated upon fully in Civil Case Number 16 of 95. The subject matter was his dismissal. He got awarded damages and never appealed. If he had not been satisfied

with the figure awarded, he would certainly, have appealed. The story of the priest coming back to him and telling him that after all, he (appellant) deserved more money is an afterthought. Where was the priest with his figures at the time the litigation was on? I agree with Mr Mtaki that the matter is *res judicata*.

The appeal is dismissed with costs.

STANBIC FINANCE TANZANIA LTD v. GIUSEPPE TRUPIA AND CHIARA MALAVASI

HIGH COURT OF TANZANIA
AT DAR ES SALAAM
(Bwana, J.)

COMMERCIAL CASE No. 42 OF 2000

Civil Practice and Procedure – Cause of action – Plaint not disclosing a cause of action and plaintiff not having a cause of action – Difference between the two.

Civil Practice and Procedure – Cause of action – Non disclosure of cause of action – defendant having a defence to each allegation raised in the plaint – Whether that means there is non disclosure of cause of action.

In a joint Written Statement of Defence filed by the defendants, a preliminary objection was raised that the suit was incompetent and should be struck out/dismissed on the ground that the Plaint did not disclose a cause of action. In reply, Counsel for the plaintiff contended that the defendants were mixing up two different concepts that of a plaint failing to disclose a cause of action and, on the other hand, a plaintiff having no cause of action against the defendant.

Held: (i) A cause of action arises when facts exist which give rise or occasion to a party to make a demand or seek redress, all depending on the kind of claim; a cause

of action arises when facts on which liability is founded do exist and its disclosure is reflected in the claims as presented in the plaint and not as weighed against the defence statement;

(ii) Going by the pleadings it is clear that the facts of the plaint do disclose a cause of action as required under Order VII of the Civil Procedure Act 1966.

(iii) The defendants have attempted to show in their Written Statement of Defence that they have a defence against each and every allegation of claim raised by the plaintiff against them; that is, however, different from saying that the plaint discloses no cause of action.

Preliminary objection dismissed

Cases referred to:

1) *Jeraj Sharrif and Company v. Chotaji Fancy Stores* [1960] EA 373
2) *John Byombalirwa v. Agency Maritime Internationale (T) Ltd* [1983] T.L.R. 1
3) *Reid v. NBC* [1971] HCD n. 340
4) *Grayson and Company Ltd v. AH Wardle (Uganda) Ltd* [1963] EA 582
5) *African Overseas Trading Company Ltd v. Tansukh SA Charya* [1963] EA 468
6) *Mukisa Biscuit Manufacturing Company Ltd v. West End Distributors Ltd* [1969] EA 696
7) *Simone Emanuel and others v. Edison Jubert* CA 49 of 1996, Seychelles Court of Appeal
8) *Chand Kaur v. Partap Singh* (1888) 16 Calcutta, 98
9) *Serafin Antunes Affonso v. Portan Enterprises and others* Com. Case Number 17 of 2000
10) *Dyson v. Attonery General* [1911] 1 KB 410

Statutory provisions referred to:

1. Civil Procedure Act 1966, Order VII, rule 1(*e*)

2. Law of Contract Ordinance Chapter 433, Sections 78 and 97

Captain Kameja, for the Plaintiff

Professor Fimbo, for the Defendant

RULING

(Delivered 3 October 2000)

Bwana, J.: In a joint Written Statement of Defence filed by the defendants a preliminary objection is raised that the suit is incompetent and should be struck out/dismissed on the ground that the plaint does not disclose a cause of action. Three points are shown in support of the above averment. It is averred that the plaint does not disclose a cause of action because:

i. There were no contracts of guarantee between the plaintiff as creditor and the defendants as sureties/guarantors or any one of them;

ii. It is not pleaded that the plaintiff has failed to realize the principal securities for the company's indebtedness, that is to say:

(a) first floating debenture jointly with the plaintiff over all the company's assets including stocks;

(b) deposit with the plaintiff of original registration cards of the following assets:

iii. There was/were no valid letter(s) of demand from the plaintiff to the defendants or any one of them.

In his written submission in support of the averments, Professor Fimbo has cited several cases *inter alia* the following:

1. *Jeraj Shariff and Co v. Chotaji Fancy Stores* (1);
2. *John Byomabalirwa v. Agency Maritime Internationale (T) Ltd* (2);
3. *Reid v. NBC* (3).

With great eloquence Prof. Fimbo equally cited excerpts from text writers such as Messrs. CB Drover, RWB Bosley, and page JM Fidler in their **Sheldon's Practice and Law of Banking** (1972) and J Milnes Holden in his **Securities for Bankers Advances** 1971. He also relies on sections 78 and 97 of the Law of Contract Ordinance Chapter 433.

In his written submission in reply, Capt. Kameja also cites the same cases of *John Byombalilwa* (2); *Jeraj Shariff* (1) and *Reid* (2), cited above. In addition he cites **Chitty on Contracts** Volume 1 at page 21 as well as the following cases:

1. *Grayson and Company Ltd v. AH Wardle* (Uganda) Ltd (4);
2. *African Overseas Trading Company v. Tansukh SA Charya* (5); and
3. *Mukisa Biscuit Manufacturing Company Ltd v. West End Distributors Ltd* (6).

He strongly contests the averments advanced by Professor Fimbo and prays to this Court to rely on the provisions of Order VII, rule 1(*e*) of the Civil Procedure Code and dismiss the preliminary objection. His main point of contention is that the defendants are mixing up two different concepts on the one hand, a plaint failing to disclose a cause of action and, on the other hand, a plaintiff having no cause of action against the defendant.

Indeed, having examined the averments before me, it is apparent that the issue is to determine what does the plea in *limine litis* entail? Before I do so, it is important to state, albeit briefly, what is the law on such issues. It is settled law that any party is entitled to raise by his pleadings, any point of law. It is then preferable that a point so raised, should be disposed of at the earliest stage of the proceedings unless the parties themselves agree to its being heard at a later stage or the court orders so. It is also the law and practice that preliminary objections are raised where in the opinion of the party doing so expects requests the court to make a decision which disposes of the case. In other words, in the opinion of the court, if such a decision

substantially disposes of the whole cause of action (or ground of defence counter claim or set off) then the suit should be dismissed. In the case of *Mukisa Biscuits* (2) to which Counsel have made reference, the words of Law, J.A. are very clear:

> so far as I am aware, preliminary objection consists of a point of law which has been pleaded, or which arises by clear implication out of the pleadings and which if argued as a preliminary point, may dispose of the suit.

In the same case, Sir Charles Newbold, page had the following to add:

> a preliminary objection is in the nature of what used to be a demurer. It raises a pure point of law which is argued on the assumption that all the facts pleaded by the other side are correct.

It is my view that Professor Fimbo is just applying for that – the suit be dismissed because it discloses no cause of action. However on further examination of his submission, it appears that he has entangled himself with a further view as submitted by Captain Kameja. The rejoinder filed by Professor Fimbo, reconfirms his earlier views.

What does "disclosure of cause of action entail"? A cause of action as frequently defined, is (per **Black's Law Dictionary**, (6 ed):

> the fact or facts which give a person a right to judicial redress or relief against another

It was stated by the Seychelles Court of Appeal (in the case of *Simone Emanuel and others v. Edison Jubert* (7) that a cause of action is:

> ... that particular act (or omission) on the part of a defendant which gives the plaintiff his cause of complaint.

A cause of action arises when, in my view, facts exist which give rise or occasion to a party to make a demand or seek redress, all depending on the kind of claim. In other words, a cause of action arises when facts on which liability is founded do exist. In the old

case of *Chand Kaur v. Partap Singh* (8), Lord Watson had this to say:

> the cause of action has no relation whatever to the defence which may be set up by a defendant. Nor does it depend upon the character or the relief prayed for by a plaintiff. It refers entirely to the grounds set forth in the plaint as the cause of action, or in other words, to the media upon which a plaintiff asks the court to arrive at a conclusion in his favour.

Briefly considered therefore, it may be said that a cause of action reflects the claims as presented in the plaint and not as weighed against the defence statement. This Court (per Kalegeya, J.) had a recent opportunity of restating what the position of the law is when it stated in the case of *Serafin Antunes Affonso v. Portan Enterprises and others* (9) thus:

> the trite position of the law is that when deciding on whether or not a cause of action is disclosed, we only have to cast our eyes within the four corners of the plaint. *We only have to peruse the plaint alone* together with its annexure, if any... With this limited ambit, we do assume that the factual allegations thus made, whether expressly or impliedly are true ... [emphasis supplied]

I consider the foregoing to be a correct interpretation of the law, as supported by the cases of *Jeraj Shariff* (1) and *The African Overseas Trading Company* (5) (*Supra*).

In the instant case, (going by the claims as contained in the plaint), the defendants entered into a Lease Agreement with the plaintiff through which the latter accorded banking facilities in form of lease finance in the amount of TZS. 55 000 000. The plaintiff annexed documents (ann. SF (1, 3 and 4) which purport to show that the two defendants guaranteed the payment of all the above sums of money on the terms as specified. The plaintiff avers that the debtor failed to meet his obligations. The two defendants (together with the debtor) were then notified of that failure by a letter dated 17 January 2000. The plaintiff demanded settlement of the said debt. The debtor and

defendants have refused, neglected or otherwise failed to pay the sum demanded or any part thereof, hence this suit wherein the plaintiff prays for payment of TZS. 115 747 548-60 due; interests and costs of this suit. All this information is contained in the plaint.

Going by the authorities cited above, particularly the words of Kalegeya J. and Law, J.A., it is clear that the facts of this case as summarized above do disclose a cause of action as required under Order VII of the Civil Procedure Code. It is stated, particularly under paragraph (e) of the said Order VIII, rule 1 that:

> The plaint shall contain the following particulars:
>
> (a) ...
>
> (e) the *facts constituting the cause of action and when it arose* [emphasis supplied].

As stated in the *Byombalilwa* case (2) , the expression "cause of action" is not defined. However, I have done so above. It is important to add the words of the court – just to emphasize the point – in the *Jeraj* case (1) where in it is stated:

> the question whether a plaint discloses a cause of action *must be determined upon perusal of the plaint alone,* together with anything attached so as to form part of it and upon the assumption that any express or implied allegations of facts in it are true ... [emphasis supplied]

Therefore, examining the preliminary objection in light of the above authority, I am of the view that what the defendants are asking this Court to do amounts to making this Court peruse beyond the plaint and its annexure. That stage is yet to come in the course of these proceedings. The court should not at this stage, determine whether it is correct, or not that the debt was guaranteed by the defendants; or whether or not such guarantees were valid. Likewise, the court is not required to establish at this stage, the validity of the demand letter.

The defendants may wish to prove and indeed they have attempted to do so in their Written Statement of Defence that they have a defence against each and every allegation claim raised by the plaintiff against them. That is, however, different from saying that the plaint discloses no cause of action – the issue at hand.

Therefore all the above considered in their totality, I am of the considered view that the plaint, in its present form and on the basis of the law and cited authorities, does disclose a cause of action against the defendants. It was stated in *Dyson v. Attorney General* (10) thus:

> The plaintiff should not be driven from the judgment seat without the court having considered his rights to be heard, excepting in cases when the cause of action was obviously and almost incontestably bad.

That is not the case now. My view is that the statement of claim, as raised by the plaintiff, discloses some cause of action. Further, it raises questions and issues which ought to be decided by the court at an appropriate stage of the proceedings. For now, the plea in *limine litis* does not provide the appropriate and just avenue to do so. The preliminary objection therefore fails and is accordingly dismissed with costs.

SHELL AND BP TANZANIA LIMITED v. UNIVERSITY OF DAR ES SALAAM

COURT OF APPEAL OF TANZANIA AT DAR ES SALAAM

(Lugakingira, J.A.)

CIVIL APPLICATION No. 68 OF 1999

(From the Judgment of the High Court of Tanzania at Dar es Salaam, Chipeta, J. dated 9 August 1999, in Civil Case No. 326 of 1997)

Civil Practice and Procedure – Execution – Execution of decree for delivery of immovable property – Whether execution order is necessary for effectual execution – Order XXI, rule 33(1) of Civil Procedure Code 1966.

The applicant held a lease over premises owned by the respondent. When the lease expired the applicant refused to relinquish the premises. A suit filed by the respondent in the High Court against the applicant for recovery of the property and damages was successful. The applicant lodged a notice of appeal against the decision of the High Court, and then applied to the Court of Appeal for stay of execution of the decision pending determination of the appeal. By then the respondent had taken possession of the suit premises.

Held: (i) An order in execution is not necessary for the effective execution of a decree for recovery of possession of land;

(ii) A decree for recovery of land is equally a command to the Judgment debtor to put the decree holder in possession.

Application dismissed

Cases referred to:

(1) *Ignazio Messina and another v. Willow Investment and another* CAT, Civil Reference Number 8 of 1999 (unreported)

(2) *Joackim Kalembwe v. MN Mwamlima* CAT, Civil Application Number 76 of 1998 (unreported)

(3) *Willow Investment v. Mbombo Ntumba* [1997] T.L.R. 156

(4) *Re Overseas Aviation Engineering (GB) Ltd* [1963] 1 Ch 24, 26

(5) *Thakar Sing v. Pram Sing* (1942) 1 WWR 737

Statutory provisions referred to:

1. Civil Procedure Code 1966, Order XXI, rule 33(1), Order XXI, rule 1(1)(*b*), Order XXI, rule 9

2. Indian Code, Order XXI, rule 35

3. Bankruptcy Ordinance (Chapter 25), section 9

Mr Mkatte, for the Applicant

Mr Kalolo, for the Respondent

RULING

(Dated 5 October 2000)

Lugakingira, J.A.: This application seeks to stay execution of the decision of the High Court (Chipeta, J.) in Civil Case Number 326 of 1997. The subject matter of the application is a filling station, known as Mlimani Service Station, the property of the respondent and over which the applicant held a lease for a term of 25 years. At the expiration of that term, the lease was not renewed but the applicant refused or failed to relinquish the premises. That prompted the respondent to institute Civil Case Number 326 of 1997 praying for recovery of possession, damages and incidental reliefs. The action was allowed in full, the High Court dismissing a counter-claim by the applicant, and the respondent was awarded possession, general damages of TZS. 50 million, plus interest and costs. The applicant lodged a notice of appeal against the decision, and then brought this application to stay its execution pending determination of the appeal.

The application is supported by the affidavit of Mr Beatus Kinemo, a Manager of the applicant company, in which he depones that if

stay is not granted the appeal will be frustrated by the disposition of the filling station on lease. He also states that the applicant is prepared to pay any damages suffered by the respondent should the intended appeal fail, and to execute a security bond to that end. In a counter-affidavit by Mr Jonathan Rwijage on behalf of the respondent, it is revealed that the respondent is already in possession of the suit premises and that the applicant has already paid the damages adjudged. It is further revealed that the applicant is a specified corporation in receivership under the Parastatal Sector Reform Commission, and so it is averred that the applicant is incompetent to execute any bond binding on its properties.

At the hearing of the application the parties were represented by learned counsel, Mr H.J. Mkatte for the applicant and Mr J.K. Kalolo for the respondent. Mr Mkatte had earlier filed a reply to Mr Rwijage's counter-affidavit conceding that the respondent was already in possession of the suit premises; he states, however, that the respondent entered into possession without any execution order and in contempt of an injunction in Civil Case Number 311 of 1999 in which both parties to this application are sued by M/s Mwenge Gas and Lube Oils Ltd (hereinafter "Mwenge Gas"). Mr Mkatte also conceded at the hearing that the applicant has already paid the damages. His argument in support of the application rests on two major grounds: First, that if stay is not granted the subject-matter of the appeal will be frustrated and would lead to irreparable loss to the applicant; second, that there is a question of jurisdiction to be raised in the appeal, viz. that the suit was commenced without leave of the court as required by section 9 of the Bankruptcy Ordinance (Chapter 25). He was saying, in other words, that the intended appeal was likely to succeed and cited *Ignazio Messina and another v. Willow Investment and another* (1), for the proposition that the court would grant stay where the intended appeal is against a decision reached without jurisdiction. On the other hand, Mr Kalolo submitted that there was nothing to be stayed since the decree was already satisfied, the respondent having entered into possession. He urged, in the premises, that the

respondent was entitled to the benefit of the judgment, citing *Joackim Kalembwe v. MN Mwamlima* (2) for that position. Mr Kalolo also stated that the injunction in Civil Case Number 311 of 1999 was issued after the decree was satisfied and therefore served no purposes. Generally, he emphasized the applicant's legal disabilities consequent upon its being specified under the Public Corporations Act 1992, as amended by Act Number s 16 of 1993 and 17 of 1999. He concluded by contending that the intended appeal was filed out of time, pointing out that notice of preliminary objection had already been filed.

I think I should start from the end. Mr Kalolo contends that the appeal was filed out of time. Although he did not elaborate, I take this as one with paragraph 11 of Mr Rweijage's counter-affidavit to the effect that the appeal was not likely to succeed for being filed out of time. In other words, I am invited to rule that since the appeal is not likely to succeed, it would be futile to grant stay. I do not understand the argument to be that the application is otherwise incompetent. Mr Mkatte gave an explanation for filing the appeal when he did by making reference to the Registrar's certificate under rule 83(1). Undoubtedly, I am not in this application called upon or expected to decide whether or not the appeal was filed out of time, but having regard to Mr Mkatte's explanation, it seems to me that the contention is a debatable one.

It cannot be said with certainty at this stage that the appeal was filed out of time, but the contention remains to be demonstrated. In my view, however, stay of execution cannot be refused where it is merely feared that the appeal was filed out of time, but where it is in fact out of time, and no step has been taken to remedy the situation, this renders the appeal manifestly inadmissible. Analogous examples of the latter situation may be found in *Willow Investment v. Mbombo Ntumba* (3), where a similar application was dismissed on the same grounds. The case before me does not present a similar outlook so as to seal the fate of the application. I, therefore, propose to consider the application in the light of other factors revealed in the pleadings and submissions.

It is apparent, first of all, that the application relates to part only of the decision of the High Court. It is directed at the order for possession, but not payment of damages; indeed the damages were paid two weeks after the application was filed. It is axiomatic, however, that an application to stay and an order staying execution presuppose that the decree has not been satisfied. Rule (2)(*b*) does not envisage an order being made unless there is something to stay. Where a decree has been satisfied and no other step remains to make the satisfaction effectual, an order cannot possibly issue to stay execution of the decree. The question, therefore, is whether, in this case, there is anything to stay in relation to the order for possession.

As indicated already, it is common ground that the respondent is already is possession of the suit premises. Ironically, possession was taken on 18 August 1999, the very day that this application was lodged. But Mr Mkatte averred in his affidavit-in-reply that the respondent took possession without an execution order and in contempt of an injunction in Civil Case Number 311 of 1999 between Mwenge Gas and the parties hereto. Mr Mkatte seems to say that the possession was in the circumstances not execution within the meaning of the law, and at worst illegal. Is that correct? I will examine, first, whether the injunction vitiated possession, then, if not, whether possession without an execution order was not effective execution.

I have experienced difficulties with the injunction. In the first place, the injunction order was not available to me, so I do not know its terms. In his affidavit-in-reply Mr Mkatte stated that the order was being typed and promised to produce it at the hearing as Annex HJM "1", but it is neither contained in his supplementary affidavit where HJM "1" is annexed nor did he make reference thereto in his submissions. It is apparent that he abandoned the injunction altogether and this view is founded on two factors. One, according to Mr Kalolo, the injunction was issued after the respondent had taken possession of the suit premises, therefore it served no purpose. I would have wished better to show the supposed connection between the injunction and this application but the information available is rather limited.

Some linkage may be gleaned from the following second factor. I have had the opportunity of perusing the lease agreement between the respondent and Mwenge Gas annexed to Mr Mkatte's affidavit-in-reply and note that the lease relates to "Mlimani Shop", and this is described as situated adjacent to the University Filing Station". Mwenge Gas was also the applicant's agent in operating the filing station. Despite those links it is nevertheless evident that the subject-matter of the injunction, namely, the shop, is a distinct entity from the subject-matter of this application, which is the filing station. This distinction of the two facilities is similarly made in the judgment of the High Court.

While discussing the first issue in the suit, that is, whether the respondent was entitled to possession, Chipeta, J. said:

> The question of the Mlimani shop appears to me to be almost a side issue. It was not fully disclosed as to how or to what extent the shop affected any of the parties... Be that as it may, it is said that the question of the tenancy of the shop has since been determined by a competent tribunal.

It is clear from this that the possession decreed by the learned judge did not include the shop to which Civil Case Number 311 of 1999 and the injunction therein relate. Indeed in his concluding remarks, Mr Mkatte said: "Civil Case Number 311 of 1999 arose from an independent lease unassociated with the applicant's cause". On the totality of these factors, I am satisfied that the injunction related to a different subject-matter and could not vitiate the respondent's possession of the filling station.

The second leg leads to a consideration of the meaning of "execution" in the context of judgments and orders. Mr Mkatte is of the view that in the absence of an order in execution, the respondent's possession of the suit premises was ineffective. I do not accept that view. Expressed modestly, I would say that execution in the context aforesaid is the realization of the award made in a judgment or order. This definition, I believe, combines both the process, where any process is necessary, and the completion of execution, and I think many definitions reflect

this formulation. According to Lord Denning MR, *In Re-Overseas Aviation Engineering (GB) Ltd* (4):

> Execution means, quite simply, the process for enforcing or giving effect to the judgment of the court: and it is completed when the judgment creditor gets the money or other thing awarded to him by the judgment.

He illustrates this meaning with a passage from **Rastill Terms de la Ley**, "that valuable old book", where it is stated:

> Execution is, where judgment is given in any action, that the plaintiff shall recover the land, debt, or damages, as the case is; and when any writ is awarded to put him in possession or to do any other thing whereby the plaintiff should the better be satisfied his debt or damages, that is called a writ of execution; and when he hath the possession of the land, or is paid the debt or damages, or hath the body of the defendant awarded to prison, then he hath execution.

Assuming these statements to be cumulative, this passage points to a three-tier process: the judgment, the writ of possession, and the actual possession. There is no suggestion, however, that this is an invariable process in very instance of execution. The passage sets out a generalized process without excluding variations in particular cases. There are cases where it would not be necessary to return to Court for an order in execution, but where execution can proceed on the basis of the decree alone. In the Canadian case of *Thakar Singh v. Pram Singh* (5), cited in Roland Barrows' **Words and Phrases Judicially Defined**, (1943) Volume 2, page 240 [650], O'Halloran, J.A. said:

> Execution is the enforcement of a judgment. In **Coke Upon Littleton**, (17 ed), Volume 1, page 154a, it is said: 'Execution signifieth in law the obtaining of actual possession of anything acquired by judgment of law, or by a fine executory levied, whether it be by the sherife or by the entry of the party,' .... Execution is aptly described as 'putting the sentence of the law into force'. The means of putting the sentence in force must necessarily vary with the nature of the subject-matter.

According to this decision, therefore, execution is the final act, that is, satisfaction of the judgment, and this can be with the aid of an agent of the court or, in the case of possession of land, by the entry of the plaintiff. The nature of the subject-matter would dictate the mode of execution.

The Civil Procedure Code 1966, provides for various modes of execution. Although Order 21, rule 9 provides for application to the court where it is desired to execute a decree, there are other provisions which evidently excuse the assistance of the court. Take Order 21, rule 1(1)(*b*). Under this provision money payable under a decree, may be paid out of Court to the decree-holder. It is not required to move the court in order for the judgment debtor to pay the decree-holder. The decee-holder will resort to an application to the court only where the judgment debtor does not comply with the decree. In fact a money decree is by its terms an imperative command to the judgment debtor to pay the sum adjudged to the decree-holder as evidenced by Form Number 2, Appendix D to the Indian Code of Civil Procedure, 1908. This form and other forms in the appendices to the Indian Code continue to be part of our Code by virtue of the provisions of section 101(3) thereof; the Chief Justice has not approved different forms under sub-section (1). Given this *scenario*, it would be incorrect to say that an execution order is necessary for the realization of a money decree. Significantly, the applicant paid the damages without being moved by an execution order, yet it is not suggested that the payment was ineffective.

The position is not different with regard to possession of land. First, according to Order 21, rule 33(1), where a decree is for delivery of immovable property, possession is to be delivered to the decree-holder. The provision does not say that the court has necessarily to be involved in order to bring about the delivery. In discussing Order 21, rule 35 of the Indian Code, the counterpart of our Order 21, rule 33, **Mulla** (14 ed), volume 2, page 808) says that the decree-holder "need not invoke the assistance of the court if he can get

possession peaceably". In other words, even with possession of land, the decree-holder does not have to resort to Order 21, rule 9 unless peaceful delivery is not forthcoming. Morever, a decree for recovery of land is equally a command to the judgment debtor to put the decree-holder is possession as per Form Number 23 in Appendix D aforesaid. In the light of all this, I similarly say that it is incorrect to suppose that an order in execution would be necessary for effective possession of land.

In sum, execution of a judgment need not require an order of the court but this would depend on the nature of the subject-matter and the disposition of the judgment debtor. In the instant case, the respondent has entered the suit premises and I note that there was correspondence between the parties regarding the date of that event. As stated earlier, it is rather ironical that this application was brought at all. There is no suggestion, either, that the respondent is not in physical control of the land and visibly so. In fact it is understood that the land is already leased to some other party which is undertaking constructions thereon. I am satisfied in the final analysis that the High Court's decision has been executed. As stated earlier, stay may be granted where there is something to stay. There is nothing to stay in this case. The case of *Joackim Kalembwe* (*2*) cited by Mr Kalolo actually decided that stay cannot issue where execution has already taken place. And so it ought to be in the instant case and the application must fail.

Having come to that conclusion, it becomes irrelevant to consider the chances of the intended appeal. I dismiss the application with costs.

GEORGE BARABARA AND 240 OTHERS *v.* MINISTER FOR LABOUR AND YOUTH DEVELOPMENT, INDUSTRIAL COURT OF TANZANIA AND THE ATTORNEY GENERAL

COURT OF APPEAL OF TANZANIA AT DAR ES SALAAM

(Kisanga, Ramadhani and Lubuva, JJ.A.)

CIVIL APPEAL No. 27 OF 1998

(From the Ruling of the High Court of Tanzania at Dar es Salaam, Mapigano, Mkwawa and Bubeshi JJ., dated 24 October 1997, in Miscellaneous Civil Cause No. 30 of 1975)

Labour Law – Retrenchment of employees – Minister's decision to confirm retrenchment faulted by the High Court – Whether High Court automatically bound to issue the orders of mandamus and certiorari.

Prerogative Orders – Application for orders of certiorari and mandamus and certiorari – High Court finds that the Minister's decision is legally erroneous – Whether High Court has discretion not to grant the orders.

The appellants were former employees of Shirika la Usafiri Dar es Salaam (UDA). On 9 May 1992 the Management of UDA recommended to the Board of Directors a retrenchment of between 250 and 300 employees of the company on grounds of redundancy. The Board of Directors accepted and sanctioned the recommendation. A month later the Management held a joint meeting with the Field Branch of the trade union, OTTU, whereat the employees were informed of the Board's decision to retrench them. The decision was implemented after it was approved by the OTTU district authorities. The appellants were dissatisfied with the exercise alleging that the retrenchment was effected in contravention of section 6(1)(g) of the Security of Employment Act 1964. The matter was finally referred to the Minister who dismissed the appellants' complaint. The appellants took up the matter to the High Court which impeached the Minister's decision for being legally erroneous but refused to grant the orders of *certiorari* and *mandamus*. On appeal;

Held: (i) The decision of the Board was obviously illegal for contravening the provisions of section 6(1)(g) requiring the Management to consult with the Field Branch before taking the decision whether or not to reduce the workforce;

(ii) If the decision of the Board ran foul of section 6(1)(g) of the Security of Employment Act 1964 this means that in law the purported decision of the Board was no decision at all, a nullity, amounting to no decision having been taken to reduce the workforce;

(iii) The High Court rightly faulted the decision of the Minister which upheld the illegal decision of the Board of Directors;

(iv) It is not in every case that illegality will exclude the exercise of the court's discretion, but the decision will depend on the circumstances of each individual case; in some cases the court may exercise discretion to refuse granting relief even though the impugned decision or order is shown to be illegal or unlawful;

(v) In the circumstances, therefore, it would be idle to grant relief while it is clear that the end result will be the same (that is, even if consultation in the legal sense had taken place).

Appeal dismissed

Cases referred to:

1) *Hamisi Ruhondo and 115 others v. Tanzania Zambia Railway Authority,* Civil Appeal Number 107 of 1986 (unreported)

2) *Republic v. Monopolies and Mergers Commission and another* [1986] 2 All ER 257

Statutory provision referred to:

1. Section 6(1)(g) of the Security of Employment Act 1964

Mr Kashumbugu, for the Appellants

Mr Mallaba, for the Respondents

JUDGMENT

(Dated 6 October 2000)

Kisanga J.A.: This appeal arises from the decision of the Full Bench of the High Court (Mapigano, Mkwawa and Bubeshi, JJ.) refusing to issue the orders of *certiorari* and *mandamus*. The background to the matter may be stated very briefly as follows: The appellants are former employees of Shirika la Usafiri Dar es Salaam, a parastatal organization popularly known by its acronym UDA. On 9 May 1992 the Management of UDA addressed to the Board of Directors of UDA a recommendation to retrench between 250 and 300 employees of the company on the grounds of redundancy. The proposal or recommendation had issued in the wake of a circular letter from the Government (Treasury Department) requiring parastatal organizations to embark on a restructuring exercise or programme, including cutting down the workforce, aimed at making the organizations operate commercially. The Board of Directors accepted and sanctioned the recommendation. Then a month later, for example, on 9 June 1992 the Management held a joint meeting with the Field Branch of the trade union organization (OTTU) whereat the Management informed the Field Branch of the Board's decision to cut down the workforce. The joint meeting then went on to discuss the details of whom to retrench, and at the end of the exercise it came out with a list of 241 employees who were accordingly served with their respective letters of termination of employment with the company. The decision to retrench was implemented after it was approved by OTTU district authorities, and in the course of implementing it the appellants were also given their terminal dues. Dissatisfied with such termination, the employees took the necessary legal steps and had the dispute referred to the Industrial Court for inquiry. After making the inquiry the court duly submitted its report to the Minister for Labour (The first respondent). On the basis of such report the Minister found that the appellants' complaint had no merit and dismissed it. Accordingly

the dismissal was duly registered by the Industrial Court (The second respondent) as an award.

The gravamen of the appellants' complaint to the Minister was that the termination of their employment was effected in contravention of section 6(1)(*g*) of the Security of Employment Act 1964 Chapter 574 which says:

> 6(1) The functions of a Committee in, and in relation to, the business for which it is established are:
>
> (a) ...
>
> (b) ... to ... (f)
>
> (g) to consult with the employer concerning any impending redundancies and application of any joint agreement on redundancies

It was contended for the appellants that the decision to reduce the workforce was taken by the UDA Board of directors before there was any consultation between the Management and the Field Branch of the trade union (OTTU) as required by this sub-section. In support of this contention reference was made to the decision of this Court in the case of *Hamisi Ruhondo and others v. Tanzania Zambia Railway Authority* (1) which interpreted the above sub-section to mean, in effect, that upon the issue of impending redundancy arising, the management is to consult with the Field Branch of the trade union (in this case OTTU), and that such consultation must take place before the decision whether or not to retrench is taken. For the appellants, therefore, it was submitted that since in the instant case the decision to reduce the workforce was taken by the Board before holding any consultations between the Management and the Field Branch of OTTU in terms of the above quoted sub-section, then the said decision of the Board was void a*b initio*.

However, the Minister rejected the argument. He found that the consultations which were held between the Management and the Field Branch of OTTU one month after the Board's decision to sanction

the retrenchment was sufficient for the purpose of section 6(1)(*g*). Referring to *Ruhondo's* case he brushed it aside simply by saying that it was distinguishable and that it had no application or relevance to this case. As stated earlier this was duly registered by the Industrial Court as an award. However the appellants were dissatisfied, and they applied to the High Court for the prerogative orders of *certiorari* and *mandamus*: An order of *certiorari* to remove into the High Court and quash the decision of the Minister registered by the Industrial Court as an award, and an order of *mandamus* to compel both the Minister and the Industrial Court to exercise their respective jurisdictions in accordance with the law.

The High Court had no difficulty at all in faulting the decision of the Minister. The court found that the Minister took a distorted view of section 6(1)(*g*) by putting on it an interpretation which was at variance with that put on it by this Court in *Ruhondo's* case which was indeed binding on the Minister. After exposing the flaw in the Minister's handling of the issue the court concluded:

> In the result, we find that the decision of the Minister was legally erroneous

However, despite such finding the court declined to issue *certiorari* and *mandamus* because in its view the circumstances of the case were such as did not warrant the exercise of its discretion in favour of granting the orders. As intimated earlier, it is from that decision that this appeal now arises.

In this appeal the appellants are represented by Mr D Kashumbugu, learned advocate while Mr Mallaba, Principal State Attorney, advocated for the respondents, the Minister for Labour, the Industrial Court and the Attorney General. Mr Kashumbugu filed and argued three grounds of appeal. His main ground of complaint, however, is to the effect that the High Court, having held that the Minister's decision was legally erroneous, wrongly declined to grant the orders of *certiorari* and *mandamus*, as prayed. In other words by faulting the Minister's decision, as it did, the High Court was, in effect, saying that the termination of the appellants' employment on the grounds of redundancy

was illegal as it contravened the provisions of section 6(1)(*g*) requiring the holding of consultations between the Management and the Field Branch of OTTU before the decision whether or not to retrench was taken. Thus, Mr Kashumbugu concluded, the High Court ought to have quashed the Minister's decision which purported to uphold such illegal termination of the appellants' employments.

Responding to these submissions Mr Mallaba readily agreed with the High Court in faulting the decision of the Minister as shown above. However, he contended that the High Court, having thus faulted the Minister's decision, had discretion whether or not to grant *certiorari* and *mandamus*, and that in this particular case that discretion was properly exercised to refuse granting those orders.

We have carefully considered the arguments adduced by counsel for both sides. It is fairly apparent that the question falling for consideration and determination in this appeal is a narrow one and it is this: What was the effect of the finding by the High Court that the decision of the Minister was legally erroneous? First of all we agree with counsel for both sides that the High Court rightly faulted the decision of the Minister which upheld the illegal decision of the Board of Directors. The decision of the Board was obviously illegal for contravening the provisions of section 6(1)(*g*) requiring the Management to consult with the Field Branch of OTTU before the decision whether or not to reduce the workforce was taken. If the decision of the Board ran foul of section 6(1)(*g*) this means that in law the purported decision of the Board was no decision at all. It was a nullity. It amounted to saying that in law no decision had been taken to reduce the workforce. In such circumstances then can the High Court be said to have discretion in the matter? That is, did it have the option whether or not to quash a purported decision which did not in law exist? Admittedly the question is not an easy one.

According to Mr Kashumbugu, the purported decision by the Board of Directors to reduce the workforce on grounds of redundancy was illegal for non-compliance with a statutory requirement. Such an

illegal decision should not be allowed to stand. It should be set aside, with the result that in law no redundancy exercise has taken place and the appellants are still the employees of UDA. Learned counsel seems to take the view that once the court found that the Directors' decision was illegal then the question of discretion did not arise; the court had no option but to quash such decision. With due respect to the learned counsel we think this is not correct. In our view, it is not in every case that illegality will exclude the exercise of Court's discretion. The decision on that question will depend on the circumstances of each individual case. In some cases the court will exercise discretion to refuse granting relief even though the impugned decision or order is shown to be illegal or unlawful.

For instance, in the English case of *Republic v. Monopolies and Mergers Commission and another* (2), the chairman of a Commission took a decision alone on a certain matter contrary to a provision of the law which required such a decision to be taken by a group of members of that Commission. The Court of Appeal found that the chairman had no power under the relevant law to take the decision alone. In other words the chairman lacked jurisdiction and therefore he acted unlawfully. The court, however, exercising its discretion refused to grant review of the decision on the grounds, *inter alia*, that a group of members of the Commission considering the matter would have reached the same conclusion as did the chairman, and further that third parties had already acted in reliance on the Chairman's decision.

In the instant case, the Trial Court found, and this is fully supported by the evidence on record, that the fact of redundancy and the need to reduce the workforce of UDA was beyond controversy. It is equally true that the Board of Directors acted illegally or unlawfully in that it had no power under section 6(1)(*g*) of the Act to decide on retrenchment before the Management held consultations with OTTU Field Branch on the matter. That is to say the Board's decision was illegal or unlawful for non-compliance with section 6(1)(*g*) of the Act. But the pertinent question is whether the Board's decision would have been different

if it were taken after holding consultations between the Management and the OTTU Field Branch. There is nothing whatsoever in the record to suggest that the decision would have been different. For, it is inconceivable that prior consultations between the Management and OTTU Field Branch would have led to a different recommendation to the Board, having regard to the ailing economic condition of UDA. Indeed the fact that the OTTU District Authorities approved the retrenchment re-inforces the view that the Board's decision would have been the same even if it were taken after the consultations in question were held. In the circumstances, therefore, it would be idle to grant relief when it is clear that the end result will be the same.

Secondly, once it was accepted that the workforce of UDA must be reduced because the size of UDA's fleet of buses had diminished greatly, it would be of no practical value to grant relief because UDA will have no jobs for the appellants, and since there is no employment to generate services there can be no money to pay their salaries. The problem is aggravated by the time lapse involved. The retrenchment took place way back in 1992 and the appellants' ultimate relief sought is re-instatement from that date. Given the poor financial position of UDA as demonstrated by the evidence on record the relief sought, if granted, will be largely or wholly academic; the practicability of its enforcement is a matter for grave doubt. It would be imprudent for the court to grant relief the enforceability of which is so highly in doubt.

In the result we see no reason to interfere with the decision of the High Court. We are satisfied that the court had discretion in the matter and that discretion was properly exercised to refuse the reliefs sought. We accordingly dismiss the appeal with costs.

ADESEMI TANZANIA LIMITED *v.* THE REGISTRAR OF COMPANIES

HIGH COURT OF TANZANIA AT DAR ES SALAAM

(Kalegeya, J.)

MISCELLANEOUS CIVIL CAUSE No. 5 OF 2000

Company Law – Winding up – Petition for compulsory winding up – Petitioner unable to meet demands of creditors and debts exceeding value of assets – Circumstances in which the court may issue a winding up order – Section 167 of the Companies Ordinance Chapter 212.

The petitioner is a locally registered company. Its parent company and main share holder is Adesemi Communications International based in the United States. The petitioner heavily depended on the parent company for loan facilities to sustain its public payphone facilities. It ceased its operations after failing to secure funds from the parent company for its sustenance and to run its six hundred public pay booths. The company was unable to procure an independent telecommunications license because of lack of funds. As a result it failed to meet its commitments on the loan facilities given and failed to honour the demands of its creditors. So by a special resolution of 5 June 2000 it was decided to file the petition. The Provisional Liquidator appointed after the filing of the petition charged with the duty of finding ways to salvage the situation reported that the liabilities of the petitioner by far exceeded its assets with no hope of its operations being capable of bridging the gap. No objection to the petition was registered after due advertisement

Held: (i) The court has power to wind up a company where, by special resolution, the company resolves that it should be wound up.

(ii) As the company is unable to meet its debts to the creditors it is just and equitable that it be wound up.

Order for winding up granted

Statutory provisions referred to:

1. Section 167 of the Companies Ordinance Chapter 212
2. Section 167(d of the Companies Ordinance Chapter 212
3. Section 167(a)] of the Companies Ordinance Chapter 212

RULING

(Delivered 12 October 2000)

Kalegeya, J.: Adesemi Tanzania Limited petitions for compulsory winding up by this Court. On the basis of the evidence adduced in this Petition the following matters stand out uncontroverted.

The petitioner is a limited liability company which was incorporated under the laws of Tanzania in 1994 in the name of ACG Telesystems Limited. It changed into the present name in 1998. One Adesemi Communications Internatinal, an American Incorporated Company, is the petitioner's Parent Company and a majority shareholder. Apart from other loan facilities, the petitioner heavily depends on funds from the Parent Company. However, in 1999 the said Parent Company, for undisclosed reasons, failed to secure the necessary funds for the Petitioner and its own sustenance. It ceased operations although there is no evidence of legal liquidation. Then this company the Petitioner which provides public payphone services within Dar es Salaam with over 6000 telephone booths, operating using wireless telecommunication technology went into financial doldrums for lack of necessary funds hence failing to meet its commitments on the loan facilities given. It thus failed to honour the creditors' demands. This led to the making of a special resolution dated 5 June 2000 to the effect that the present petition should be made.

Upon filing of the Petition, a Provisional Liquidator was appointed, charged among others, with a duty of looking into the possibility of coming up with a scheme of arrangement which could salvage the situation. The Provisional liquidator with the required and due diligence,

carried out the task bestowed on him but failed to come out with any scheme. He concluded that the Company is grossly insolvent because:

> ... the company's difficulties (are) not merely of a cash flow nature but that its liabilities seriously (exceed) its assets with no hope of its operations being capable of bridging the gap

Further facts show that the extent of indebtness is not small – just 5 creditors claim a total of TZS. 4 169 683. ; that even if it had funds the Petitioner has failed to secure its own independent operating telecommunication licence from Tanzania Communications Commission (TCC), which licence could only guarantee the necessary profit; that on incorporation of the Company it was thought that licence would inevibly be procured. After due advertisements no one registered as an objector to this petition. That said, the next question is whether the winding-up order prayed for should issue.

Under section 167 of the Companies Ordinance Chapter 212, a company may be wound up by Court due to various reasons. Among those reasons is where the company has by special resolution resolved that it should so be wound up [section 167(*a*)].

The court may also issue a winding up order where the company is unable to pay its debts (section 167(e). Not only that, but also the court may so decide where it is of the opinion that it is just and equitable that the company should be wound up [section 167(*d*)]. The different reasons are inter-pendent of each other.

Subjecting the facts at hand to the law, I find no hesitation to say that a case has sufficiently been made out for the winding up order to be made. I stated above that the three grounds upon which the order can be made are inter-pendent of each other. In here, however, there is a cumulative effect of the trio.

There is a special resolution. Legally, in an application by the company itself, armed with this resolution, no reason for winding up need be given. In the case at hand, however, liquidity problems

have fully been painted. I have not been able to detect any fraudulent scheme elements leading to the passing of the resolution, or elements of intention to oppress minor shareholders. Neither have I noted that the same was not made in the interest of the company as a whole. On this leg alone, the petition would be allowed. That apart, even if the special resolution did not exist there is also a clear ground of indebtness. The company has deplorably failed to honour demand notices for payment of debts: demand notice from creditors such as the Standard Chartered Bank and TCCL, just to mention a few, is a telling factor. Again, the Company having failed to secure an independent operating licence from Tanzania Communications Commission (TCC) which was expected to be a cornerstone for the Petitioner's business on inception (it is on record and uncontested that there is no way TCC could grant such licence) is also a sufficient ground upon which the court can conveniently base its decision to give the order.

On the whole, therefore, I am satisfied that a winding up order is for the benefit of creditors and the petitioner. The Petition for winding up of the Petitioner Company is accordingly granted.

In line with the above order, one Leonard C. Mususa, who was the Provisional Liquidator in this matter, is hereby appointed the Petitioner's Official Receiver.

PHILEMON JOSEPH CHACHA AND OTHERS *v.* SOUTH AFRICAN AIRWAYS (PROP) LTD AND OTHERS (NUMBER 1)

HIGH COURT OF TANZANIA
AT DAR ES SALAAM
(Bwana, J.)

COMMERCIAL CASE No. 57 OF 2000

Civil Practice and procedure – Applications – Application for injunctions – Prayer for dispensation of notice to the other parties – Considerations that the court must take into account before granting application for dispensation.

Civil Practice and procedure – Applications – Application for injunction – Three prayers for injunctions made in one application and supported by one affidavit – Whether proper in law and practice.

Civil Practice and procedure – Applications – Exparte application – Requirements/principles to be contained in such application.

The applicants made an application for *exparte* injunctions and prayed for the dispensation of notice to the respondents as required by law because such notice would cause undue delay and that the object of granting the injunctions would be defeated. The court considered factors that it must take into account before granting application for dispensation; the propriety in law and practice of three prayers for injunctions being made in one application and supported by one affidavit and the principles to be contained in an *exparte* application.

Held: (i) Before granting a prayer for dispensation of notice to the other party the court is required to consider two issues namely the time factor and the object for such application;

(ii) In the case of the time factor, the court has to satisfy itself that unless immediate action is taken, the applicant will suffer irreparable damage;

(iii) In so far as the object factor is concerned, the court will always have to take into account why the application for dispensation has been raised and satisfy itself that the said objects are sound in the circumstances;

(iv) That moves are currently being taken by the respondent which will lead to the liquidation of the applicants employer, is sufficient ground for granting the prayer for dispensation of notice to the other party;

(v) The combination of two applications in one is not bad in law since Courts of law abhor multiplicity of proceedings;

(vi) Since the three *exparte* applications are inter related and are correctly supported by the affidavit of the first applicant, the combination of all the three prayers into one application is proper;

(vii) In all *exparte* applications there must be the fullest possible disclosure to the court of all the material facts known to the applicant, without any attempt to intentionally mislead the court or intentionally starve it of the truth, the interim nature of the court's order notwithstanding;

(viii) Injunctions like the one applied for are granted when the court is satisfied that first, unless immediate action is taken, the applicant may suffer irreparable damage and second, denying temporary injunction in favour of trial may in the end make the main dispute in the case nugatory;

(ix) On the basis of the issues raised herein and as they relate to each of the three injunctions sought, the denial of the injunctions prayed for will indeed make the suit nugatory.

Ex parte application granted

Cases referred to:

1) *Mkiwa Amrani v. Tabora Town Council and others*, HC – TBR – Civil Case Number 12 of 1988 (unreported)
2) *WR Mramba v. Tanzania Sisal Authority* Civil Case Number 5 of 1995 at Tanga
3) *AL Mrema and others v. A Majengo and others* [2001] T.L.R 66
4) *Tanzania Knitwear Ltd v. Shamsh Esmail* [1989] T.L.R. 48

5) *Attilio v. Mbave* [1969] HCD 284

6) Edmund de ppollguc espacrte

7) *Brink's MAT Ltd v. Elcombe* [1988] 3 All ER 188

Professor Fimbo, for the Applicants

Statutory provisions referred to:

1. Civil Procedure CodeOrder XXXVII, rules 1, 2 and 4; Order XLIII, rule 2 and section 95

RULING

(Dated 12 October 2000)

Bwana, J.: This application by way of Chamber Summons for *ex-parte* injunctions and supported by an Affidavit of Philemon Joseph Chacha was filed under Certificate of Urgency pursuant to Order XXXVII, rules 1 and 2; Order XLIII, rule 2 and section 95 of the Civil Procedure Code (the Civil Procedure Code). This Court is being asked to issue:

1. A temporary injunction to restrain the first and second defendants from taking the two slots at London Heathrow Airport Terminal I belonging to AJAS/SA Alliance Air;

2. A temporary injunction to restrain the Second and Third defendants and their agents from operating the accounts of AJAS/SA Alliance Air at Citi Bank (T) Ltd A/C Sunshine Travels and Tours Acct. Number 100029-014; at First Adili Bank Masdo A/C Number 0200325028; at Standard Charted (T) Ltd TZS. Account 010600546800 and Dollar Account Number 870600544 6800: Africa Joint Air Services except to pay the plaintiffs and local administrative expenses.

3. A temporary injunction to restrain the first and second defendants from terminating or in any way from interfering with the aircraft lease agreement between the first defendant and Ajas/SA Alliance

Air and/or from interfering with the normal operations of aircraft B 767-200ER.

The rest of the claims will be heard *inter partes*. Professor Fimbo also prayed for the dispensation of notice to the respondents as required by law because such notice will cause undue delay and that the object of granting the injunctions will be defeated as shown in paragraph 12 of the affidavit which states:

> The matter is critical to us and extremely urgent and the giving of notice to the defendants/respondents will cause undue delay and the object of granting the injunction will be defeated.

Professor Fimbo further submitted that the whole case centers on a breach of trust. The plaintiffs/applicants are charging their Managers (the defendants/respondents) for the said breach. He submitted that instead of nurturing the managed – that is, AJAS/SA Alliance Air, the said managers are frustrating it to the point of total collapse and demise. Proof of such moves are stated in paragraphs 13 and 15 of the plaint, which is attached to this application. The applicants aver that the end result of these moves by the respondents to AJAS/ SA Alliance Air as the first and second respondents have knowingly and intentionally interfered with the contracts of employment between the applicants and AJAS/AS Alliance – Air.

In so far as the interference with the slot at London Heathrow is concerned, it is submitted that the said slot belongs to AJAS/SA Alliance Air, the employer of the applicants. Some very adverse effects on their employment will result if the transfer of the slot is effected because, AJAS/ Alliance Air (hereinafter referred to as Ajas) will lose a substantial share of the market between Tanzania and the UK;

Effectively, Ajas will be crippled, not viable commercially and cannot continue to operate thus is bound to be liquidated. It is further submitted that such a transfer of the slot will make Ajas not be attractive to potential investors. This will make Tanzania lose a substantial share is terms of tourism and services and will make both Tanzania

and Uganda lose a bargaining leverage in the sale of their Ajas shares. All the foregoing will lead to the retrenchment of the applicants.

Professor Fimbo submitted further that there are serious triable issues/facts to be raised which support the applicants' claims for the reliefs sought. If no temporary injunctions are granted, the applicants will lose their jobs and their employer will disappear from the international scene of civil aviation. The applicants stand to suffer greater hardships if the injunctions are not granted than will the respondents. Therefore, citing the cases of *Mkiwa Amrani v. Tabora Town Council and others* (1) and *WR Mramba v. Tanzania Sisal Authority* (2) it is Professor Fimbo's submission that all necessary conditions for granting the injunctions sought are present. I will revert to the cases cited at a later stage.

Before I get down to the nitty gritty of this application, I will examine, albeit briefly, some of the salient issues raised in this *ex parte* application for temporary injunctions. I start by examining the issue of dispensation of notice. Order XXXVII, rule 4 of the Civil Procedure Code , as amended, is suffice to quote. It states:

> The court shall in all cases, before granting an injunction direct notice of application for the same to be given to the opposite party *except* where it appears that the giving of such notice *would cause undue delay and that the object of granting the injunction would thereby be defeated.* [emphasis supplied]

This matter was well considered by Mfalila, J.A. (as he then was) in the recent case of *Augustine Lyatonga Mrema and others v. A. Majengo and others* (3). From the above authority, it is, in my opinion, the court is required to consider two issues namely the time factor and the object for such application. In the former, the court should decide whether by ordering service to the opposite party undue delay in the delivery of justice in the matter will result, causing unnecessary sufferings to the applicant. That is to say, the court has to satisfy itself that unless immediate action is taken, the applicant will suffer irreparable damage. In so far as the latter issue is concerned, the

court will have always to take into account why the application for dispensation has been raised. There could be countless number of reasons. What is required is for the court to satisfy itself that the said objects are sound in the circumstances. It does so by examining the material facts presented before it as supported by relevant affidavits and other documents attached.

Now, can it be said that there are sufficient grounds raised to warrant the dispensation of notice to the opposite party? It has been submitted and supported by an affidavit that moves are currently being taken by the respondents which, according to the applicants will in the upshot, lead to the liquidation of the applicant' employer. Such moves include the transferring of a profitable slot at London Heathrow; there are moves to do the same to the second slot; the announcement by the first defendant on 9 October 2000, that the leased aircraft is stopping operations; the likelihood of the applicants losing their employment. I consider all these matters to be very serious and require urgent legal action. That is in addition to the need to have all the Bank Accounts mentioned above frozen just in case some funds are withdrawn contrary to normal operations of the employer. The above considered *ab summam*, I am of the view that service of notice should be dispensed with.

The next issue for consideration is whether it is proper in law and practice for all three prayers (for injunction) to be considered in one application and supported by one affidavit. I must state here that the High Court seems to be divided over this issue. However, I do concur with the position taken by Mapigano, J. (as he then was) in the case of *Tanzania Knitwear Ltd v. Shamsh Esmail* (4) that:

> the combination of two applications in one is not bad in law since Courts of law abhor multiplicity of proceedings.

To me, that is sound law especially when considered in the light of the instant application. The three *ex parte* applications are inter related and are correctly supported by the affidavit of the first applicant. The opposite would be to have more than three applications filed by

the applicants but all relating to same facts and evidence. The multiplicity of suits itself-as is settled law-may be a cause of injustice to the parties particularly the defendants. Therefore I find that the combination of all the three prayers into one application is proper.

I will then examine, again but briefly, as to whether this *ex parte* application sufficiently contains all the necessary requirements/principles. The cases of *Amrani* (1) and that of *Mramba* (2) have been mentioned above. Therein, the judgment in *Attilio v. Mbowe* (5) is extensively quoted. It is equally important to quote the following two English cases.

In an earlier case of *Edmund de Polgac ex parte* (6) it is stated:

> It is perfectly well settled that a person who makes an *ex parte* application to the court, that is to say in the absence of the person who will be affected by that which the court is asked to do – is under an obligation to the court to make the fullest possible disclosure of all material facts within his knowledge and if he does not make that fullest possible disclosure, then he cannot obtain any advantage from the proceedings and he will be deprived of any advantage he may have already obtained by him ...

That was Warrington, L.J. In the same case, Scrutton, L.J. stated further:

> It has been for many years the rule of the court, and one which it is of the greatest importance to maintain, that when an applicant comes to the court to obtain relief on an *ex parte* statement, he should make a full and fair disclosure of all material facts, not law. The Court is supposed to know the law but it knows nothing about the facts and the applicant must state fully and fairly the facts and the penalty by which the Court enforces that obligation is that if it finds out that the facts have not been fully and fairly stated to it, the Court will set aside any action which it has taken on the faith of the imperfect statement ...

Therefore the affidavit must disclose all material facts which would help the court to arrive at a just and fair decision. Otherwise, as Ralph Gibson, L.J. stated in *Brink's MAT Ltd v. Elcombe* (7):

> In considering whether there has been relevant non-disclosure and what consequences the court should attach to any failure to comply with the duty to make full and frank disclosure, the governing principles are the following:
>
> 1. The applicant should make full and fair disclosure of the material facts.
> 2. The material facts are those which it is material for the judge to know in dealing with the application.
> 3. The application must make proper inquiries before making the application
> 4. ...
> 5. If material non-disclosure is established, the court will be astitute to ensure that an applicant who obtains an *ex parte* injunction without full disclosure is deprived of any advantage he may have derived by that breach of duty.
> 6. ...
> 7. However, it is not every omission that the injunction will be automatically discharged. A *locus penitentiae* (chance of repentance) may sometimes be afforded and .... The court may well grant such a second injunction if the original non-disclosure was innocent – and if the injunction could properly be granted even had the facts been disclosed...

All the foregoing may be stated briefly as meaning the following – that in all applications of this kind, there must be the fullest possible disclosure to the court of all the material facts known to the applicant, without any attempt to intentionally mislead the court or intentionally starve it of the truth, the interim nature of the court's order not withstanding.

In the instant application I have examined all the information before me and am satisfied that what is stated by the applicants satisfies the requirements of the law. The applicants are asking for a temporary injunction. Order XXXVII, rule 1 lists cases which such injunctions may be granted. Both rule 1(*a*) and (*b*) seem to be relevant to the

instant issue. Such injunctions are granted when the court is satisfied that first, unless immediate action is taken, the applicant may suffer irreparable damage and second, denying temporary injunction in favour of trial may, in the end, make the main dispute in the case nugatory. I have examined the issues raised herein and as they relate to each of the three injunctions sought, I am convinced that the denial of the injunctions prayed for will, indeed, make the suit, nugatory. Therefore, I rule in favour of this *ex parte* application and grant the three injunctions against the defendants/respondents and their agents as follows:

1. A temporary injunction is granted restraining the first and second defendants from taking the two slots at London Heathrow Airport Terminal belonging to AJAS/SA Alliance Air;

2. A temporary injunction is granted restraining the second and third defendants and their agents from operating accounts of AJAS/SA Alliance Air at:

   (a) Citibank (T) Ltd A/C Sunshine Travels and Tours Account Number 100029-014.

   (b) First Adili Bank MASDO Account Number 0200325028.

   (c) Standard Chartered (T) Ltd Account Number 010600545800; and Dollar Account Number 8706005446800 Africa Joint Air Services except to pay the plaintiffs/applicants and local administrative expenses.

3. A temporary injunction is granted restraining the First and Second defendants from terminating or in any way from interfering with the air craft Lease Agreement between the First defendant and AJAS/SA Alliance Air and/or from interfering with the normal operations of aircraft B 767-200ER.

All the above with costs to the applicants.

CLARA KIMOKA *v.* SURUMBU AXWESO

COURT OF APPEAL OF TANZANIA AT ARUSHA

(Kisanga, J.A)

AR CIVIL APPLICATION No. 7 OF 1998

(From the decision of the High Court at Arusha, Mroso, J., dated 3 June 1998, in Civil Appeal No.36 of 1997)

Civil Practice and Procedure – Stay of execution – Application for stay of execution pending appeal – Immediate execution will disposses applicant of land she has been occupying for a long time – Dispossession before final determination of dispute not justified.

The applicant was the wife of the respondent's brother, now deceased. Following the death of the deceased the respondent took charge of the family affairs of the deceased including his land, and later on he successfully secured the allocation of that land to himself from the village authorities in 1978. The applicant commenced legal proceedings to recover the said land from the respondent in the Primary Court, appealed to the District Court, and further appeal to the High Court, and in all the three Courts she was unsuccessful. The appellant filed a notice of appeal to the Court of Appeal and applied for stay of execution of the decree pending determination of the appeal.

Held: As the applicant has all along been in possession of the land, interruption of her long occupation of it will be justified only after the case is finally determined in the respondent's favour.

Application allowed

Mr C Sabaya, for the Applicant

RULING

(Dated 17 October 2000)

Kisanga, J.A.: This is an application for stay of execution pending appeal to this Court. The brief background to the application is as follows. The applicant was the wife of the respondent's brother, now deceased. Before his death the respondent's brother owned a large piece of land. Following his death the respondent took charge of the family affairs of the deceased including his land. In the meantime the respondent also secured an allocation of a portion of that land to himself. The allocation was made by the village authorities in 1978.

In 1992 the applicant commenced legal proceedings to recover the said portion of land from the respondent. The Primary Court at Endagikot dismissed the claim. The applicant's appeal to the District Court was again dismissed and her further appeal to the High Court was equally unsuccessful. The applicant has filed notice of further appeal to this Court, and she is now seeking a stay of execution of the judgment pending the hearing and determination of the intended appeal. In this application the applicant is represented by Mr C Sabaya while the respondent appeared in person unrepresented and addressed me through an interpreter as he speaks very little Kiswashili. The interpreter was one Peter Pius, his grandson.

The affidavit in support of the application shows that the applicant, a widow, has been in occupation of the suit land for a long time and that she depends on it for the livelihood of herself and her eight children. It further shows that the respondent who now lives in a distant village has plenty of his own land there.

The respondent resisted the application on the ground that the matter is taking too long. Judgment was given in his favour in June 1998 and he saw no reason why his execution of that judgment is being delayed so unduly. He says he is old and too tired now to be turned around any more in connection with this matter.

Upon a careful consideration of this matter, I think that the application should be allowed. The applicant is in possession of the suit land now and has all along been in possession of it. The interruption of her long occupation of the Suit land would, in my view, be justified only after the case is finally determined in the respondent's favour. But in the event the appeal is allowed, it would not make much sense to temporarily interrupt the applicant's long possession now only to restore it to her after the success of her appeal. Furthermore the applicant has heavier family responsibilities. She, as a widow, and her eight children depend on the suit land for their sustenance. She has a heavier burden to shoulder than the respondent who is shown to have plenty of land elsewhere.

Looking at the case as a whole I am of the view that on a balance of convenience the application should be granted. It is accordingly ordered that execution be stayed pending the outcome of the intended appeal. Considering the close family relationship between the parties, I make no order for costs.

ALLY SAID MTERA *v.* DAMAS NDAWEKA

COURT OF APPEAL OF TANZANIA
AT ARUSHA

(Kisanga, J.A.)

AR CIVIL APPLICATION No. 3 OF 1999

(Application to strike out an appeal from the judgment and decree of the High Court of Tanzania at Moshi, Munuo, J., dated 15 January 1998 in Civil Appeal No.38 of 1993)

Civil Practice and Procedure – Appeal – Service in appeals to the Court of Appeal – Service of memorandum of appeal and record of appeal – Whether

service on the party and not the advocate is good service – Rule 90(1) of the Court of Appeal Rules 1979.

Appeal – Service - Letter to the Registrar asking for proceedings – Copy of the letter to be sent to the respondent – Rule 83(2) of the Court of Appeal Rules 1979.

Civil Practice and Procedure – Appeal – Service of record of appeal – Record of appeal served on adult member of the household of the famity of the respondent – whether sufficient service – Rule 20(1) of the Court of Appeal Rule 1979, and Order V, rule 15 of the Civil Procedure Code 1966.

The applicant filed an application for striking out the appeal on two grounds. Firstly he said that the respondent failed to serve him or his advocate with a copy of the memorandum of appeal and the record of appeal as required by rule 90 of the Court of Appeal Rules; secondly he said that the respondent failed to serve him or his advocate with a copy of the letter to the Registrar asking for a copy of the Trial Court proceedings in contravention of rule 83(2) of the Rules. The respondent and a court process server of the High Court at Moshi, one Albin Moshi, filed counter affidavits stating that the process server served the applicant at his house on 29 January 1998. On 30 January 1998 the process server and the respondent served the record of appeal on Halima Saidi an adult daughter of the applicant at the home of the applicant. The advocate of the applicant maintained that the documents should have been served upon him.

Held: (i) Service on one party to the proceedings is as good as service on his advocate who, in real sense, is a mere agent acting on the instructions of his principal, the client.

(ii) Sub-rule (2) of rule 83 requires that the copy of the letter addressed to the Registrar applying for proceedings should be sent to the respondent and the respondent complied with the requirement of the rule.

(iii) The service of the record of appeal on Halima Saidi was sufficient as it was in accordance with the provisions of rule 20(1) of the Court of Appeal Rules and Order V, rule 15 of the Civil Procedure Code 1966 as amended by Government Notice Number 508 of 1991.

Application dismissed with costs

Statutory provisions referred to:

1. Court of Appeal Rules 1979, rules 20(1), 90, 90(1), 83(2)
2. Civil Procedure Code 1966, Order V, rule 15

Mr BB Chadha, for the Applicant

Mr D'Souza, for the Respondent

RULING

(Dated 19 October 2000)

Kisanga, J.A.: This is an application to strike out the appeal filed by the respondent herein for failure to take essential steps in the appeal. The applicant alleges both in the notice of motion and in the affidavit in support of the notice of motion that the respondent failed to serve him and his advocate with the memorandum of appeal and the record of appeal as required by rule 90(1) of the Court of Appeal Rules herein-after referred to as the Rules. The applicant further alleges that the respondent failed to serve him and his advocates with a copy of his letter by which he applied to the Registrar for a copy of the proceedings, and that this contravened rule 83(2) of the Rules. The affidavit making these averments was affirmed by Mr BB Chadha, learned counsel for the applicant.

The respondent filed two counter-affidavits, one sworn by himself and the other by one Albin Moshi, a process server attached to the High Court at Moshi. The respondent states that on 27 January 1998 he gave the said process server a copy of the notice of appeal and a letter addressed to the District Registrar, High Court Moshi applying for copy of the proceedings and requested him to take the documents to the applicant. This is full supported by the said process server who confirms that he served these documents on the applicant in person at his home on 29 January 1998. This was not challenged or contradicted in any way. Mr Chadha asserts that neither his client nor himself was served as claimed by the respondent's side. He further

contends that in any case the respondent's idea of serving the documents on the applicant was wrong. According to him those documents should have been served on him as the applicant's advocate who had duly supplied his address for service. I find no merit in this argument. It seems plain to me that service on a party to the proceedings is as good as service on his advocate. After all an advocate is in a real sense a mere agent acting on the instructions of his client, the principal. I can hardly see the justification for saying that service should be effected on the agent rather than on the principal. But what is even more important is that sub-rule (2) of rule 83 which Mr Chadha relies on requires that the said copy of the letter to the Registrar should be sent to the respondent, which is what was done here. On the material before me I am satisfied that a copy of the letter to the Registrar applying for the proceedings was duly sent to the applicant. Accordingly I find that there was no contravention of rule 83(2) as alleged.

On the second ground of the application, the process server states that on 30 November 1998, upon request, he led the respondent to the applicant's home with the intention to serve the applicant with the record of appeal. On finding the applicant not at home, the respondent served the record on his daughter, one Halima Saidi. This story is confirmed by the respondent who adds that Halima Saidi, the said daughter of the applicant, is an adult.

Mr Chadha does not seriously challenge the service of the appeal record on Halima. However, he repeated his complaint that the service was not effected on him as the applicant's advocate having duly supplied his address for service. I have already dealt with that aspect of the matter and I need say no more on it. Counsel also complained that the copy of the record served on Halima does not show the date of the alleged service. However I find from the evidence of the respondent and the process server, which was not challenged, that the record was served on Halima on 30 January 1998. The service on Halima was sufficient because it was effected in accordance with the provisions of rule 20(1) of the Rules read together with of Order V, rule 15

Civil Procedure Code as amended by Government Notice Number 508 of 22 January 1991.

Mr D'Souza, learned advocate who represented the respondent, submitted that the application was without merit. For the reasons set out above I am in full agreement with him. Accordingly the application fails and it is dismissed with costs.

AFRIKA MASHARIKI GOLD MINES LTD v. NYIRABU MAGIGE and OTHERS

HIGH COURT OF TANZANIA
AT MWANZA
(Mroso, J.)

CIVIL CASE No. 73 OF 1999

Land Law – Right of occupancy of a mining plot – Conflict between occupier and indigenous inhabitants – Whether High Court has jurisdiction or whether dispute should be referred to Commissioner for Mines.

The plaintiff, a mining company holding a Right of Occupancy over a mining area sued indigenous inhabitants whom, he contended, were illegally occupying its land. Some of the defendants raised a preliminary point of objection that the court had no jurisdiction to adjudicate on the dispute arguing that under the Mining Act Number 5 of 1998, it is the Commissioner for Minerals who should decide on such disputes.

Held: Disputes relating to the granting of the right of occupancy and the use of such land come under the provisions of the Land Ordinance Chapter 119, and do not necessarily come under the provisions of the Mining Act 1998.

Preliminary objection overruled

Case referred to:

(1) *Attorney General v. Lohay Akonaay and Joseph Lohay* [1995] T.L.R. 80

Statutory provisions referred to:

1. Land Ordinance Chapter 119
2. Mining Act Number 5 of 1998, sections 101, 102 and 103
3. Land Ordinance Chapter 113 of the Revised Laws

Mr Byabusha, for the Plaintiff

Mr Kweka of the TLC, for the Defendants

Mr Bhoke Muniko, for the second Defendant

RULING

(Delivered 24 September 2000)

Mroso, J.: The plaintiff -- Afrika Mashariki Gold Mines Ltd, a mining company, holds a Right of occupancy with Certificate Number 12435, granted under the Land Ordinance Chapter 113 of the Revised Laws of Tanzania over an area of 358.07 hectares in the Nyangoto and Matongo village areas Tarime District, Mara Region. The area, the subject of the Right of Occupancy, is described as Mining Plot ML Number 342. It is alleged in the Plaint that the local residents within the area covered under the Right of Occupancy had their property evaluated and compensation assessed, by the Commissioner for Lands. The total amount of compensation was assessed at TZS. 128 887 147 and the amount was duly paid by the plaintiff to the Commissioner for Lands for onward payment to the affected residents. The plaintiff also claims to have made additional *ex-gratia* payments which in turn would be paid to the occupiers of the land which was granted to it. Some of the resident occupiers accepted the compensation but others declined to accept it.

Those who accepted compensation due to them and those who declined to accept it subsequently refused to vacate from the land which was granted to the plaintiff despite notice to do the same. Not only that, other people entered it and effected certain developments on it like erecting building and growing crops without permission from the plaintiff.

The plaintiff has filed a suit in this Court seeking several reliefs against all those groups of people who it considers to be trespassers. Some of the reliefs asked from this Court are:- an order for the eviction of the defendants from the suit land, an injunction order barring them from entering and or remaining on the suit land, the defendants to pay damages to the plaintiff for trespassing on its land and payment of special damages amounting to USD. 320 500.

Some of the defendants, those being represented by the Tanzania Legal Corporation (TLC), in their joint written statement of defence have raised two preliminary points of objection, namely:

(a) That this Court has no jurisdiction to adjudicate on the dispute between the parties, and

(b) That the suit is premature because the parties together with the Government are still engaged in discussions regarding the dispute between them.

At the hearing of the preliminary objections Mr Kweka, learned advocate from the TLC for some of the defendants argued only the first ground of objection and either advertently or inadvertently did not canvass the second ground of objection. In substance he said that the dispute between the parties is under the Mining Act Number 5 of 1998 and, therefore, the provisions of sections 101, and 103 apply. Section 101 provides that the Commissioner for Minerals may decide on disputes; section 102 provides that orders by the Commissioner may be sent to Civil Courts for enforcement and section 103 provides that persons aggrieved by a decision or order of the Commissioner may appeal to the High Court. So, argued Mr Kweka, the dispute between the parties should not have been taken to court in the first

instance but to the Commissioner for Minerals and would be taken to the High Court only if either of the parties was aggrieved by the decision or order of the Commissioner. Relying on the Court of Appeal decision in the case of *Attorney General v. Lohay Akonaay and Joseph Lohay* (1), he submitted that once the Legislature establishes a special tribunal to deal with a dispute, resort has to be had to that tribunal first and then go to the law Courts only as a final resort.

Of course, the *Lohay Akonaay* case is authority that legislation cannot prohibit access to the courts of law and any legislation which excludes the jurisdiction of the courts of law would be unconstitutional. Secondly, it says that where a special tribunal is created proceedings may be instituted in such tribunal but may also be instituted in the law Courts "although such Courts would not normally entertain a matter for which a special forum has been established, unless the aggrieved party can satisfy the court that no appropriate remedy is available in the special forum".

If Mr Kweka is right that the dispute in the suit comes under the Mining Act 1998, it would not mean that the High Court has no jurisdiction in the matter. What it would mean is that before the High Court takes cognizance of the case the plaintiff would have to satisfy that Court first that "no appropriate remedy" would be available from the Commissioner for Mines. But the question here is whether Mr Kweka is right in saying that the dispute between the parties comes squarely under the Mining Act 1998.

With respect, Mr Kweka is not right. The Mining Act 1998 speaks for itself. It is an Act to make provision(s) for prospecting minerals, mining and dealing in minerals " and to provide for any other relevant matters". By "relevant matters" I read it to mean matters which are incidental to the principal objective of the Act.

The principal objectives of the Act include the control of minerals, the authority required for prospecting or mining, mineral rights restrictions on grant of mineral rights, priority between ampeting applications, to provide for offences relating to unauthorized trading

of minerals, the administration of the Act different kinds of licences grantable under the Act and the registration of mineral rights. (See the list of contents in the Act).

The Act does not deal with the granting of land on or in which minerals can be found and mined. The granting of such land, its occupation and use come under the provisions of the Land Ordinance Chapter 113 of the Revised Laws. Disputes relating to the granting of the right to occupy and the use of such land do not necessarily come under the provisions of the Mining Act 1998.

The plaintiff claims that its right to exclusive occupation and use of the suit land acquired under the Right of Occupancy have been violated by persons it calls trespassers, hence the reliefs sought from this Court. Sections 101, 102 and 103 of the Mining Act 1998 are not relevant here. For the above reasons the preliminary objection canvassed by Mr Kweka is without basis and is overruled. The plaintiff to get its costs in any event, to be taxed.

ARUSHA INTERNATIONAL CONFERENCE CENTRE *v.* EDWIN WILLIAM SHETTO

COURT OF APPEAL OF TANZANIA
AT ARUSHA

(Lugakingira, J.A.)

CIVIL APPLICATION No. 69 OF 1998

(Application for Stay of Execution of the decision of the High Court of Tanzania at Arusha, Mroso, J., in Civil Appeal No. 3 of 1997)

Civil Practice and Procedure – Application for stay of execution – Principles to take into account when considering such application.

The High Court sitting at Arusha declared void the termination of the respondent's employment by the applicant and awarded the respondent TZS. 10 million as damages for defamation of character as well as arrears of salaries. Aggrieved by that decision the applicant lodged a notice of appeal and followed it up with an application praying for stay of execution of the decree pending determination of the intended appeal. The applicant's main ground was that it stood to suffer irreparable loss if execution proceeded because the respondent would not be able to repay the money should the appeal succeed. The applicant was prepared to furnish security to meet the decree should the appeal fail.

Held: (i) In order to ensure that the applicant does not suffer loss should the appeal succeed, I will grant the application for stay of execution; and

(ii) In order to assure the satisfaction of the judgment should the appeal fail, I will predicate the stay on security;

(iii) The application is allowed and execution of the decree is stayed provided the applicant deposits in court the sum of TZS. 10 million within 30 days from the date hereof.

Orders accordingly

Mr Makange, for the Applicant

Mr Loom-Ojare, for the Respondent

RULING

(Dated 26 October 2000)

Lugakingira, J.A.: This application for stay of execution does not present much controversy and, therefore, does not invite much discussion. In a judgment delivered on 17 June 1998, the High Court sitting at Arusha declared void the termination of the respondent's employment by the applicant and awarded the respondent TZS. 10 million as damages for defamation of character as well as arrears of salaries. The applicant lodged a notice of appeal on 22 June and followed it up with this application praying for stay of execution of the decree pending determination of the intended appeal.

The applicant's main ground, as I see it, is that the applicant stands to suffer irreparable loss if execution proceeds, because the respondent would not be able to repay the money should the appeal succeed. Although Mr Makange who appeared for the applicant also made reference to the chances of the intended appeal, it was not lost on me that this came as a by the way, in as much as it did not feature in the applicant's affidavits. It was initially contended by Mr Makange that the respondent had no other source of income after termination of his employment but the same learned gentleman bad annexed to the applicant's affidavit-in-reply a document suggesting that the respondent was gainfully employed elsewhere, and referred to that document in the course of his submissions. This prompted Mr Loom-Ojare to submit for the respondent that the applicant would not suffer irreparable loss if stay were refused because the respondent is in a position to repay. Learned counsel was also concerned that the respondent should not be denied the benefit of his judgment but for good cause, but and such cause had not been shown in this case.

I must confess that I am not sufficiently assured of the respondent's ability to repay but, at the same time, I note that the applicant is prepared to furnish security to meet the decree should the appeal fail. Therefore, in order to ensure that the applicant does not suffer loss should the appeal succeed, I will grant the application; and in order to assure the satisfaction of the judgment should the appeal fail, I will predicate the stay on security. Accordingly, the application is allowed and execution of the decree is stayed provided the applicant deposits in court the sum of TZS. 10 million within 30 days from the date hereof. Costs will be in the cause.

LIVINGSTONE SILAY HARU *v.* COLLINFRED TEMU

COURT OF APPEAL OF TANZANIA AT ARUSHA

(Kisanga, Lubuva and Lugakingira JJ.A.)

CIVIL REFERENCE No. 6 OF 1998

(From the decision of a single Judge of the Court of Appeal, Ramadhani, J.A. dated 27 July 1998, in Civil Application No. 3 of 1995)

Appeal – Memorandum of appeal – Decree appealed against – Copy of decree to be attached to the memorandum of appeal – Whether a certified copy of decree is mandatory – Order XXXIX, rule 1(1) of the Civil Procedure Code 1966

Appeal – Decree appealed against – Decree of the Court of the Resident Magistrate – Whether it must be certified – Decree signed and sealed needed no certifying.

The applicant, wishing to appeal out of time against the decision of the High Court, in its appellate jurisdiction, filed an application for extension of time within which to appeal, and for leave to appeal. The High Court dismissed the application on the ground that there was no point of law, or mixed law and fact, for consideration by the Court of Appeal. Undaunted, he filed an application in the Court of Appeal for the same relief. Before a single Judge it was argued that an important point of law was involved in the intended appeal, namely, that as there was no certified copy of the decree attached to the memorandum of appeal to the High Court, the decision of the High Court was incompetent. The learned single judge found no point of law involved, holding the omission a mere irregularity. The applicant thereafter went on reference to a court. At the hearing the advocate for the applicant argued, quoting Indian authorities, that it was mandatory under the law that a certified copy be attached to the memorandum of appeal and urged the court to follow the practice in India where "copy" is defined as a certified copy.

Held: (i) The law in Tanzania makes it mandatory to attach to the memorandum of appeal a copy of the decree appealed from;

(ii) The decree of the Resident Magistrate before the High Court was signed and sealed by the magistrate and therefore needed no certifying.

(iii) There was no point of law involved in the intended appeal.

(iv) The applicant has not disclosed any sufficient reason for the court to exercise its discretionary power to enlarge the time within which to appeal, and for leave to appeal

Reference dismissed with costs

Case referred to:

(1) *Stanley Kalama Mariki v. Chilhiyo Kwisa w/o Nderingo Ngomuo* [1981] T.L.R. 143

Statutory provisions referred to:

1. Civil Procedure Code 1966, Order XXXIX, rule 1(1)
2. Indian Code, Order XLI, rule 1

Mr Chadha, for the Applicant

Mr D'Souza, for the Respondent

RULING

(Delivered 26 October 2000)

Lubuva, J.A.: This reference arises from the decision of a single Judge of this Court (Ramadhani, JA) in AR-Civil Application Number 3 of 1995. This historical background to the matter may be briefly summarized as follows: The applicant, Livingstone Silayo *alias* Sharu, having lost in Arusha High Court Civil Appeal Number 10 of 1990, was dissatisfied. He sought to lodge a second appeal to this Court which required leave of the High Court. Consequently, he filed Miscellaneous Application Number 111 of 1993 in the High Court Arusha seeking extension of time in which to appeal and leave to appeal. The learned Judge of the High Court (Mroso, J.) was satisfied that there was no point of law or mixed law and fact for consideration

of the court. He accordingly dismissed the application on 18 March 1993. Undaunted, the application filed this application in this Court praying for the same reliefs. That was AR-Civil Application Number 3 of 1995. Before the learned single judge it was contended on behalf of the applicant that an important point of law was involved in the in ended appeal such that the extension of time was warranted. The legal point was that as there was no certified copy of the decree attached to the memorandum of appeal the decision of the High Court was incompetent. Upon a careful consideration of the matter the learned single Judge was of the settled view that the omission was a mere procedural irregularity which did not render the decision of the High Court incompetent. The learned single judge found no point of law involved, he dismissed the application. The applicant was aggrieved, and hence this reference.

In this reference the applicant was represented by Mr Chadha, learned counsel and for the respondent, Mr D' Souza, learned counsel appeared.

Mr Chadha vigorously criticized the learned single judge in his decision that the omission to attach certified copy of the decree to the memorandum of appeal was a mere procedural irregularity. The reason Mr Chadha said was that the mandatory requirement under Order 39, rule 1(1) of the Civil Procedure Code was breached. As a result, he went on in his submission, the decision of the High Court in Civil Appeal Number 10 of 1990 (Munuo, J.) was rendered incompetent. While Mr Chadha conceded that Order 39, rule 1(1) refers to a copy of the decree and not a certified copy, he urged the court to follow the practice of the courts in India which has a similar provision in interpreting the word "copy" to mean a "certified copy". In support of this contention, the court was referred to the commentaries of the distinguished authors, DV Chitaley and section Appu Rao in **AIR Manual**, Volume 3, (3 ed) at page 1173, Note 38 where it is stated:

> 38- The word "copy" in the rule means a certified copy.

In this case, Mr Chadha concluded, had the learned single judge taken the interpretation of the word "copy" of the decree to mean a certified copy, he would have allowed the application to extend the time in which to appeal.

Strongly opposing the application Mr D' Souza, learned counsel for the respondent, submitted that the application was devoid of any merit. First, he said, the learned single judge cannot be faulted in his decision to refuse granting leave to extend the time in which to appeal. In exercising his discretion, the single judge was satisfied on the material laid before him that no sufficient reason had been given for the inordinate delay in appealing against the High Court decision.

With respect, we agree with Mr D' Souza that no sufficient reason had been advanced by the applicant to justify the enlargement of time in which to appeal and for leave to appeal. It is common ground that what was sought from the learned single judge was an application for extension of time. It is discretionary on the part of the court to grant the extension of time depending on sufficient reason being given to explain the delay. In this case, we are unable to find any reason, let alone sufficient reason given before the learned single judge for the inordinate delay. Reasons such as that the advocate handling the case for the applicant at the time being in error in the handling of the intended appeal a shield by the learned single judge is no sufficient reason for extending time. From 29 May 1992, when the High Court decision in Civil Appeal Number 10 of 1990 was delivered from which it was intended to appeal to this Court to 16 June 1993 when Miscellaneous Civil Application Number 111 of 1993, was filed it was a delay of well over one year. For this, there was no sufficient reason given by the applicant and so, the learned single judge cannot, in our view be faulted in exercising his discretion to refuse to extend the time.

Secondly, Mr D' Souza, contended, the issue of the illegality in the High Court decision in Civil Appeal Number 10 of 1990, was

not raised before the High Court judges Munuo, J. (29 May 1992) and Mroso, J. (18 March 1994). It was bilatedly raised before the Single Judge (27 July 1998). This, he further stated, is an indication that the matter came to the mind of the learned advocate as an afterthought when the application was before the learned single judge, almost six years after the decision of the High Court. We think there is merit in Mr D' Souza's submission. If counsel for the applicant had this point in mind at the time the appeal was being dealt with in the High Court, there is no reason why he did not raise it before Munuo, J. who, no doubt, would, very likely have looked into it. With respect, this was not done and now, Mr Chadha, learned counsel, is raising it before us at this stage with a view to have the time extended, nearly eight years after the original judgment. Such inordinate and excessively long delay the court has consistently held may constitute sufficient cause for refusing extension of time.

With regard to what seems as to be the main thrust of Mr Chadha's application in this reference that it is a mandatory requirement under Order 39, rule 1 to attach a certified copy of the decree, Mr D' Souza strongly took to opposite view. He said that the Indian authorities cited should not be given any weight because the rule itself does not provide to that effect. Under Order 39, rule 1(1) of the Civil Procedure Code, what is required to be attached is *a copy of the decree* and not a certified copy, Mr De Souza further pointed out. In his view, Mr Chadha's contention is based on a false interpretation of Order 39, rule 1(1) of the Civil Procedure Code. That is, by giving the provision a meaning which was not intended by the drafters of the rule.

We wish to point it out at once that we have no difficulty at all in agreeing with Mr Chadha, learned counsel that the genesis of the Civil Procedure Code in Tanzania is the Indian Civil Procedure Code. In part, Order 39, rule 1(1) provides that:

> ... The memorandum shall be accompanied by *a copy of the decree* appealed from...[emphasis supplied].

On the other hand, the corresponding part of the Indian Code, Order 41, rule 1 provides in part, exactly in similar words as follows:

> ... The memorandum shall be accompanied by *a copy of the decree* appealed from ...[emphasis supplied]

From our reading of the Tanzania Code of Civil Procedure extracted above, it is clear that the memorandum of appeal shall be accompanied by a copy of the decree appealed from. It is therefore not a mandatory requirement under the rule as Mr Chadha urges the court to accept that a certified copy of the decree shall accompany the memorandum of appeal. On the contrary, the mandatory requirement under the rule is the attachment of a copy of the decree to the memorandum of appeal. From the clear provisions of Order 39, rule 1 Mr Chadha's submission that a certified copy of the decree is a mandatory requirement is, with respect, untenable. Similarly, the position of the law in India in this regard, as seen from the extract above, is similar in material particulars to that obtaining in Tanzania. On this, **Mulla**, on the Code of Civil Procedure Act of 1908, (15 ed), bears us out. At page 2547, paragraph 4 commentaries on Order 41, rule 1 of the Indian Code, the equivalent of Order 39, rule 1(1) of Tanzania are to the effect that:

> Order 41, rule 1, makes it an inflexible rule that in the case of appeals from decrees, the memorandum of appeal shall be accompanied by a copy of the decree. The court cannot dispense with it, for the rule is imperative.

It is apparent therefore that the statutory provisions both in India and Tanzania are inflexible and imperative in so far as the attachment of a copy of the decree is concerned. In the case before us there is no dispute that a copy of the decree was attached to the memorandum of appeal and that, we think, was sufficient compliance with the requirement of Order 39, rule 1(1) of the Civil Procedure Code. In this situation, Mr Chadha's complaint that a mandatory requirement of the rule is clearly without foundation.

On the other hand, it is common knowledge that in practice certified copies of decrees are normally sought in the process of filing appeals.

The reason is not far to seek. It is because of ensuring the authenticity of the decrees or judgments. Because of the overriding need and importance of having authentic documents relating to decrees and other documents in the judicial process, it has become a rule of practice for the courts to prefer certified copies of decrees. That we think is what the learned single judge referred to as a procedural irregularity.

The matter can be carried even further. From the submissions of the learned counsel for both parties before us, we are increasingly satisfied that in this case what is normally sought to be achieved by certifying a copy of the decree was also achieved. This is because a copy of the decree of the Resident Magistrate's Court Arusha in Civil Case Number 7 of 1989 was signed, sealed and annexed to the memorandum of appeal to the High Court by the trial magistrate.

In this regard, at the hearing of the reference, from the bar, Mr D' Souza availed to the court a copy of the counter affidavit which he filed in response to the affidavit filed by Mr J. Mwale, then the advocate for the applicant in Miscellaneous Civil Application Number 3 of 1995. In paragraph 11 of the respondent's counter-affidavit, this aspect is clearly spelled out. Mr D' Souza's affidavit is evidence on oath which was not controverted and above all, he is an officer of the court. It is therefore credible evidence that the copy of the decree filed was signed and sealed by the trial magistrate. In the circumstances, is the decree so signed and sealed by the trial magistrate in any way less authentic than a certified copy? As already indicated, the propose of certification is to ensure the authenticity of the decree or judgment. In this case, with the copy of the decree signed and sealed by the trial magistrate, it is our considered view that the signed copy of the decree was even more authentic than a certified copy signed by another person other than the author. For this reason, we are settled in our minds that there was neither any illegality nor irregularity in the proceedings before the High Court as contended by Mr Chadha. With respect, it is also our view that the learned single judge overlooked the fact that the copy of the decree was signed

and sealed by the trial magistrate. Otherwise, we think, he would have come to the same conclusion.

Finally, we wish to make brief comment on the decision of the court in *Stanley Kalama Mariki v. Chihiyo Kwisia w/o Nderingo Ngomuo* (1) which Mr Chadha, learned counsel heavily relied upon. As abundantly shown, Mr Chadha's contention was that on the basis of the court's decision in *Kalama* (1) the learned single judge should have allowed the application and extend the time in which to appeal because of the illegality pertaining to the proceedings before the High Court. We agree with Mr D' Souza that the decision in *Kalama* does not in any way assist the applicant in this case. It is clearly distinguishable. While in *Kalama* the Memorandum of Appeal was not accompanied by a copy of the order appealed from, contrary to the provisions of Order 39, rule 1(1) of the Civil Procedure Code, the court held:

> It is established procedure of our Courts that where such a copy is not attached the appeal is rendered incompetent:

In the instant case, the situation is different. There was a copy of the decree duly signed and sealed by the Trial Court. There was therefore no basis upon which the appeal before the High Court could be rendered incompetent as Order 39, rule 1(1) of the Civil Procedure Code was complied with.

All in the all therefore, in the circumstances of the case, we are satisfied that the reference is devoid of any merit. The decision of the learned single judge is properly founded. The reference is dismissed with costs.

NKAILE TOZO *v.* PHILLIMON MUSA MWASHILANGA

HIGH COURT OF TANZANIA AT MBEYA

(Makanja, J.)

(PC) CIVIL APPEAL No. 9 OF 2000

(From the judgment and decree of the District Court of Mbozi District, in Civil Appeal Number 18 of 2000 originating from Vwawa Urban Primary Court, Civil Case Number 48 of 1998)

Civil Practice and Procedure – Costs – Court dismissed appeal but did not award costs – Whether award of costs to successful party after dismissal of a case is automatic – Factors considered in awarding costs.

The respondent unsuccessfully sued the applicant for the recovery of land before Vwawa Urban Primary Court. He went on to loose on appeal to Mbozi District Court. Upon dismissing the appeal the District Magistrate did not award costs to the appellant, who then appealed to the High Court against that order.

Held: (i) The granting of costs to the parties under Order 39, rule 1(1) of the Civil Procedure Code, is not an automatic award to the successful party but is in the discretion of the court;

(ii) When a party successfully enforces a legal right and in no way misconducts himself, he is entitled to his costs.

Appeal allowed

Cases referred to:

1) *Njoro Furniture Mart Ltd v. TANESCO* [1995] T.L.R. 202
2) *Naramma v. Kotamma* (1965) 1 and WR 433
3) *Civil Service Company v. GSN Company* [1903] 2 KB 756 C.A.
4) *Dering v. Uris* [1964] All ER 666

5) *Oltway v. Jones* [1955] 2 All ER 5855
6) *Jan Mohamed v. Twentsche* [1967] EA 287

Statutory provisions referred to:

1. Civil Procedure Code, Order 39, rule 1 (1), sections 30, 30(2), 30(1)(2)
2. Indian Code of Civil Procedure, section 35

Mr Mushokorwa, for the Appellant

JUDGMENT

(Dated 26 October 2000)

Mackanja, J.: Philimon Mussa Mwashilanga unsuccessfully sued the respondents for recovery of a parcel of land before the Vwawa Urban Primary Court. He went on to lose an appeal he preferred before the District Court of Mbozi District at Vwawa. When dismissing the appeal the learned appellate District Magistrate made an order for costs in the following words:

> ... Each party is to bear own costs.

The respondent before the appellant District Court was aggrieved by this order, hence this appeal. The petition of appeal contains only one ground, namely:

> that having dismissed the respondent's appeal in its entirety, the learned District Magistrate erred to deny the appellant his costs or part thereof and without assigning any reasons.

Mr Mushokorwa, learned counsel for the appellant, has argued relying on section 30(2) of the Civil Procedure Code, that his client was entitled to his costs once the appeal was dismissed. He argued that he has cited section 30(2) of the Civil Procedure Code because G.N. 311 of 1964: The Customary Law (Limitation of Proceedings) Rules 1963 do not make provision for costs to be awarded to a successful party. Obviously there, Rules have nothing to do with appeal originating

from Primary Courts. The correct Rules are the Civil Procedure (Appeals Originating in Primary Courts) Rules 1963, published as GN 312 of 1964 which, as the title shows, govern appeals from Primary Courts. As correctly pointed out by the learned counsel there is no Rule in the said Rules which makes provision for awarding costs to a successful party in appeal to the High Court which originates from a Primary Court. In that case section 30(1)(2) of the Civil Procedure Code becomes of assistance. For ease of reference section 30(1) and (2) of the Civil Procedure Code on which the learned counsel relies is reproduced herein below, namely that:

> (1) Subject to conditions and limitation as may be prescribed, and to provisions for any law for the time being in force, the costs and incidental to all suits shall be in the discretion of the court, and the court shall have full power to determine by whom or out of what property and to what extent such costs are to be paid, and to give all necessary directions for the purposes aforesaid. The fact that the court has no jurisdiction to try the suit shall be no bar to the exercise of such powers.
>
> (2) Where the court directs that any costs shall not follow the event the court shall state its reasons in writing.

Mr Mushokorwa has also cited the case of *Njoro Furniture Mart Ltd v. Tanesco* (1) in support of his argument.

The respondent had very little to say, namely, that:

> I cannot pay costs because the appellant is a trespasser.

Whether or not the first appellant Court was entitled to deny the application his costs will largely depend on the construction of section 30(1)(2) of the Civil Procedure Code (the Code). Our section 30 of the Code is in *pari materia* with section 35 of the Indian Code of Civil Procedure. The respective interpretations of these two identical provisions have now made it trite law that the awarding of costs is not automatic. In other words they are not awarded to the successful party as a matter of course. Costs are entirely in the discretion of

the court and they are awarded according to the facts and circumstances of each case. Although this discretion is a very wide one, like in all matters in which Courts have been invested with discretion, the discretion in awarding of denying a party his costs must be exercised judicially and not by caprice (See the Indian case of *Naramma v. Kotamma* (2)). Thus when a party successfully enforces a legal right and in no way misconducts himself he is entitled to his costs as of right: *Civil Service and C v. GSN Company* (3).

The rule enunciated in the English case of *Civil Service and C v. GSN Company* (3) is the very basis upon which the principle that costs shall follow the event, which is another way of saying that costs shall follow the result, is based. It is, in fact, settled practice in England, in India and in East Africa that a successful party should receive his costs unless the unsuccessful party can show some ground, such as negligence, misconduct or that the suit is vexatious, that the court may exercise its discretion to refuse to award costs to the successful party. Such was the case in the English case of *Dering v. Uris* (4) where the plaintiff in a defamation action was denied costs after he recovered only one half penny as damages against the defendant. On the other hand, to make the defendant who succeeds in the sense that no relief is ordered against him pay costs of the plaintiff who fails to prove his claim and, therefore, no relief is obtained by him in his suit requires a strong and exceptional case: *Oltway v. Jones* (5) at page 588, per Evershed, M.R. in *Jan Mohamed v. Twentsche* (6) at page 289, the late Biron, J., emphasized the fact that costs shall follow the event when he said, citing **Mulla** (12 ed) at page 150, that:

> The general rule is that costs shall follow the event unless the court, for good reason, otherwise orders. This means that the successful party is entitled to costs unless he is guilty of misconduct or there is some other good cause of or not awarding costs to him. The court may not only consider the conduct of the party in the actual litigation, but the matters which led up to the litigation.

I agree entirely with the position of the law as expounded herein above. As Mr Mushokorwa has correctly submitted, the learned appellate District Magistrate slipped into error when he denied the respondent his costs after he had dismissed the appeal and there having been no just cause for the order which is now being impugned.

Upon the foregoing considerations the appeal is allowed with costs. Consequently, the order by which the appellant was denied costs before the subordinate Court is set aside. Judgment to be delivered by the District Registrar.

OLMESHUKI KISAMBU *v.* CHRISTOPHER NAIN'GOLA

COURT OF APPEAL OF TANZANIA
AT DAR ES SALAAM

(Kisanga, Lubuva and Lugakingira, JJ.A.)

CIVIL REVISION No. 1 OF 2000

(Application for Revision from the decision of the High Court of Tanzania at Arusha, Munuo, J., dated 3 May 1996, in (PC) Civil Appeal No. 63 of 1995)

Court of Appeal – Jurisdiction – Suo motu revisional jurisdiction of the Court of Appeal –Whether the jurisdiction may be invoked where a party forfeits the right of appeal out of his own fault – Section 4(3) of the Appellate Jurisdiction Act 1979.

Court of Appeal – Revisional jurisdiction – May be exercised where the appellate process has been blocked by judicial process – Whether the Court of Appeal Rules amount to a judicial block.

The applicant's appeal to the High Court was dismissed and his application to the Court of Appeal for extension of time to serve the respondent with a notice of appeal

was also dismissed. Months later he wrote the Chief Justice soliciting a revision of the High Court decision. The Court of Appeal sat to consider whether this was a case in which the court could properly exercise its *suo motu* revisional jurisdiction.

Held: (i) The court will not proceed *suo motu* where the applicant has the right of appeal, with or without leave, and has not exercised that right;

(ii) Even where there is anything to revise, it is improper use of the discretion under section 4(3) of the Appellate Jurisdiction Act to do so, where a person has, out of his own fault, forfeited the right of appeal;

(iii) Procedural rules of the Court of Appeal do not amount to a judicial process that blocks the appellate process.

Order accordingly

Cases referred to:

1) *Halai's Pro-Chemie Industries Ltd v. Wella* A.G. [1996] T.L.R. 269
2) *Mwakibete v. Editor of Uhuru* [1995] T.L.R. 134
3) *Transport Equipment v. D.P Valambia* [1995] T.L.R. 161

Statutory provisions referred to:

1. Appellate Jurisdiction Act 1979, section 4(3)
2. Civil Procedure Code, section 30
3. Indian Code of Civil Procedure, section 35

Mr Chadha, for the Respondent

ORDER

(Dated 26 October 2000)

Lugakingira, J.A.: The purpose of this exercise is to determine whether a case is made out to undertake a revision *suo motu*. It relates to (PC) Civil Appeal Number 63 of 1995 of the High Court at Arusha in which Olmeshuki Kisambu (herein designated as applicant) was the appellant and Christopher Naing'ola (herein as respondent) was

the respondent. A long and complex story has culminated in this exercise but it may be rendered as follows.

In Civil Case Number 12 of 1994 before the Primary Court at Enaboishu, Arumeru District, the respondent sued the applicant for repossession of an 8-acre parcel of land at Ekenywa Village, Olturumet Ward in that district. The claim was dismissed. The respondent successfully appealed to the District Court, vide Civil Appeal Number 16 of 1995; the applicant then appealed to the High Court vide the appeal stated above but the appeal was dismissed on 3 May 1996.

The applicant was before the High Court represented by learned counsel from the firm of D'Souza Chambers but he elected to go it alone after the decision of the court. He filed a Notice of Appeal on 16 May 1996 but did not serve a copy of it on the respondent. He did not apply for copies of proceedings, judgment and decree and so did not institute the appeal. On or about 16 September 1996, four months after the decision of the High Court, he turned again to D'Souza Chambers for their assistance, but for reasons unexplained, they took time to consider the matter. It was not until 30 July 1997, a year and more after the High Court judgment, that they instituted in this Court AR-Civil Application Number 18 of 1997 seeking extension of time to serve the respondent with the notice of appeal and to process the appeal in accordance with Rule 83. The application came before Lubuva, J.A. who dismissed it on 27 July 1998 for being hopelessly belated.

Once again, the applicant abandoned professional assistance, at least in the formal sense. Four months later he wrote to the Chief Justice soliciting revision of the High Court's decision and contending thus:

> After the ruling of his Lordship Lubuva, J.A., in AR Civil Application Number 18 of 1997 the appeal process was no longer available to me and this is the reason I am praying for remedy by way of revision.

He claimed that he was "blocked by technicalities of procedural rules of the Court of Appeal" to pursue the appeal process. The learned

chief Justice decided to "give him the benefit of doubt" and directed this exercise in order "to decide judicially whether this is a fit case for revison".

The applicant appeared in person when the court sat to consider the matter but had nothing useful to say except to plead ignorance of law and to count on the court's assistance. We had valuable assistance from Mr Chadha who appeared on the respondent's side and made three points: First, that the appeal process had not been judicially blocked; second, that the applicant's complaints to the Chief Justice did not constitute grounds for revision; and third, that the applicant's option after the decision of the single judge was a reference to the court.

We have given these matters adequate consideration and we agree with Mr Chadha. The court's powers to proceed *suo moto* and revise a decision of the High Court derive from section 4(3) of the Appellate Jurisdiction Act 1979, as amended, and come into play where the record reveals incorrectness, illegality or impropriety in any finding, order or other decision of the High Court or irregularity in the proceedings of the court. The subsection has been considered by this Court on a number of occasions and various principles have been formulated to guide the exercise of discretion under the provision. For instance in *Halais Pro-Chemie Industries Ltd v. Wella AG* (1), the court reverted to and consolidated its earlier pronouncement in *Mwakibete v. Editor of Uhuru* (2), *Transport Equipment v. DP Valambhia* (3), and said that the revisional powers conferred by subsection (3) were not meant to be used as an alternative to the court's appellate jurisdiction. Hence, the court will not proceed *suo moto* in cases where the applicant has the right of appeal, with or without leave, and has not exercised that right. However, the court will proceed under the subsection where there is no right of appeal; where the right of appeal has been blocked by judicial process; or where, despite the right of appeal, there exists good and sufficient reason to justify recourse to the subsection.

In the instant case, it is not in dispute that the applicant had the right of appeal with leave. We do not accept his representation that right was blocked by judicial process; on the contrary, we think his predicament is a consequence of his own error. First, there was that inordinate and at times unexplained delay which prompted the dismissal of Civil Application Number 18 of 1997. Second, the decision of the single judge was not final; the applicant could have come by way of reference pursuant to the provisions of rule 57 and ask the court to vary or reverse the decision of the single judge. The right under rule 57 is exercisable within seven days of the decision of a single judge, but that is no bar to try out of time with leave. In short, he did not exhaust the avenues to an appeal, but he abandoned the road open to him and took to misrepresenting the facts under the guise of ignorance of law. Ignorance of law cannot avail the applicant because he evidently could, when he felt like doing so, obtain professional service. His letter to the Chief Justice, too, has an unmistakable professional touch to it. All in all, it is the applicant's fault that he finds himself stranded. Even if there were anything to revise, but there is actually none, it would be an improper use of the discretion under subsection (3) to embark on a revision where a person forfeits the right of appeal out of his own fault.

We are thus of the settled view that this case does not meet any of the established principles, or any principle, and is not a fit case for revision. We therefore refrain from exercising the discretion. As this was a court-sponsored matter, there will be no order as to costs.

REGISTERED TRUSTEES OF SOCIAL ACTION TRUST FUND AND ANOTHER v. HAPPY SAUSAGES LTD AND TEN OTHERS

COURT OF APPEAL OF TANZANIA AT ARUSHA

(Kisanga, Lubuva and Lugakingira, JJ.A.)

CIVIL APPLICATION No. 48 OF 2000

(Application for Revision from the decision of the High Court of Tanzania at Arusha, Mushi, J, dated 26 and 27 June 2000, in Miscellaneous Civil Case Numbers 73 and 27 of 2000)

Civil Practice and Procedure – Revision – Revision sought in a matter that can be appealed against – Whether revisional jurisdiction may be invoked.

Civil Practice and Procedure – Revision – Application for revision seeking an order to transfer the case to another judge on account of bias – First trial judge never refused to disqualify himself – Whether application proper.

This was an application to the Court of Appeal to revise the decision of the High Court granting, *ex parte*, an interim order of injunction pending the hearing, *inter partes*, of an application for temporary injunction pending hearing of the main suit. The applicant also sought an order to transfer the case to another judge of the High Court on account of bias. The respondent raised a preliminary objection against the application.

Held: (i) As the right of appeal (with leave of the High Court or the Court of Appeal) was open to the applicant and there were no exceptional circumstances to justify invoking the revisional powers of the court, the preliminary objection to the application is upheld;

(ii) As the issue of bias was never raised before the Trial Court and there was no order of the trial judge refusing to disqualify himself there is no basis upon which the Court of Appeal can give an order of revision in respect of the matter.

Application dismissed

Cases referred to:

1) *Halais Pro-Chemie Industries Ltd v. Wella A.G.* [1996] T.L.R. 341

2) *Miroslav Katic Vesra and another v. Ivan Makrobad* [1999] T.L.R. 470

3) *Fahari Bottlers Ltd v. Registrar of Companies and another* [2000] T.L.R 102

4) *Abdalahamani Mponzi v. Daudi Mlwilo* [2000] T.L.R 318

Statutory provisions referred to:

1. Appellate Jurisdiction Act 1979 Number 15 of 1979, section 5(1)(c)

Mr D'Souza, for the Respondents

RULING

(Dated 26 October 2000)

Kisanga, J.A.: This is an application for revision of the decision of the High Court at Arusha (Mushi, J.) in Civil Case Number 27 of 2000 dated 27 June 2000, granting injunction order against the applicants herein. Before us the applicants were unrepresented by counsel; they appeared and argued the application in person while the respondents had the services of Mr D' Souza, advocate.

Before the application could proceed to hearing, Mr D'Souza took a preliminary objection, the notice of which he had duly given in terms of rule 100 of the Court of Appeal Rules. The objection is three fold, but counsel abandoned the third ground and argued grounds (1) and (2) only. By and large the objection hinges on the first ground which is to the effect that the applicants cannot invoke the revisional jurisdiction of the court because they have the right of appeal open to them. Mr D'Souza submitted that the ruling of the High Court, the subject of the intended revision, is appealable with leave under

section 5(1)(*c*) of the Appellate Jurisdiction Act. Once the applicants had such right, but did not wish to exercise it, counsel went on, they cannot invoke the revisional jurisdiction conferred on this Court by the Appellate Jurisdiction Act 1979 as amended by Act Number 17 of 1993 unless they can show good and sufficient reasons, amounting to exceptional circumstances, for doing so. In support of this submission the learned counsel referred to a number of decisions of this Court including *Halais Pro-Chemie Industries Ltd v. Wella AG* (1), *Miroslave Katic Vesra and another v. Ivan Makobrad* (2) Mr D'Souza contended that the applicants' notice of motion and the accompanying affidavit do not disclose any exceptional circumstances which would warrant granting the application, and therefore the application should be dismissed.

In response to that Mr C Ngalo contended that there were peculiar circumstances in this case which merited invoking the revisional jurisdiction of the court. First, the High Court made the order complained of without first revoking its earlier order relating to the matter. Elaborating on this, counsel said that on 14 June 2000 the respondents filed a suit in the High Court at Arusha and simultaneously filed an application for temporary injuction against the applicants. The application for temporary injunction was set down for hearing on 6 July 2000, but before that date was reached the court on 27 June 2000 heard the said application and granted the temporary injunction prayed for without first revoking its earlier order which had set the hearing date on 6 July 2000, and worse still it made that order in the absence of the applicants. Mr Ngalo seriously attacked the trial judge saying that the way he handled the matter was not only improper but amounted to an abuse of process. He also charged that the learned judge was biased.

Mr Ngalo then, is support of his submission, referred to the case of *Miroslav Katic Vesra* cited above where this Court found peculiar circumstances which warranted invoking its revisional powers. The peculiar circumstances there consisted first, in the trial judge purporting to nullify a previous order of that Court and, secondly in purporting to overrule an order of this Court. The court found this to be an

impropriety "bordering closely on a traversty of justice", and a peculiar circumstance which warranted invoking the revisional jurisdiction of the court. But that situation appears distinguishable from the case at hand. Here, unlike there, the trial judge did not purport to nullify any previous order of that Court. Indeed, he did not purport to nullify his order which set the hearing date of the application on 6 July 2000; on the contrary he did honour that order. For, he did convene the court on 6 July 2000 as appointed, but deferred hearing the application inter-partes because the applicants had already referred the matter to this Court. Again in this case, unlike in the *Miroslav Katic Vesra's* case, there was no question of the trial judge purporting to overrule the decision of a higher Court. Therefore the decision relied on by Mr Ngalo does not really help advance his case. The alleged irregularity here concerns an order of judge which does not effect any previous order of the same Court or of a higher Court. We can find nothing peculiar or exceptional in this. It was, in our view, an ordinary situation the remedy of which lay in the normal appeal process.

Mr Ngalo further cited the decision of this Court in the case of *Abdalahamani Mponzi v. Daudi Mlwilo* (3) in support of his contention that the hearing of the application and the granting of temporary injunction *ex-parte* by the trial judge, thereby denying the applicants the opportunity to be heard, was incurably defective and constituted an exceptional circumstance warranting this Court to exercise its revisional jurisdiction. In the case cited by counsel this Court noted that the record of the proceedings had revealed serious irregularities in the three Courts below. One of the serious errors so found was the hearing of an application *ex-parte* by the High Court on the ground that the application involved technicalities which the respondents would not be able to understand. The court, emphasizing the need to accord a litigant the right to be heard, stated that deprivation of that right "makes the proceedings concerned incurably deffective". But apart from this there were further serious errors and irregularities committed not only by the High Court but also by the District Court and the Primary Court. This then distinguishes the case from the

one at hand where the alleged error involved on Court, one judge, and one decision only. This was a situation which was capable of redress through the normal appeal mechanism and we can see nothing exceptional about it. The case, therefore is of no assistance at all to Mr Ngalo.

In his tireless effort to persuade us, Mr Ngalo yet referred us to the *Fahari Bottlers* case, already cited above, to support his argument that the matter is one of urgency. In this respect he said that the case involved a commercial dispute with sensitivity. It involves goods of a perishable nature with little or no possibility of continuing their production in future, hence the need to dispose of the business urgently. But once again this case is distinguishable from *Fahari Bottlers* case. In that case the proceedings in the High Court were affilicted by confusion, almost amounting to chaos, arising from the various orders and decisions given by not less than three judges of that Court on different occasions. Some orders were obviously erroneous while others were conflicting and incomprehensible. There were yet other irregularities. The High Court judges had failed to observe and apply the mediation process in handling the particular case, and an advocate had been improperly appointed provisional liquidator in circumstances which placed him in a position of conflict of interest. Obviously the situation here is different from one in the instant case where the alleged irregularity is a straight-forward one involving only one judge and only one order made by him. Such a situation could easily be remedied through the normal process of appeal and there is nothing exceptional about it to justify invoking the revisional jurisdiction of the court. It is true that in revising the proceedings in *Fahari Bottlers* case the court said that it took into account that there was "a commercial case deserving to be treated with sensitivity for the needs of the commercial community both within the outside Tanzania". However, it is apparent that was only an additional consideration taken into account after the court found a substratum of material to justify invoking the revisional jurisdiction. We would find no such substratum of material in this case. Therefore Mr Ngalo cannot rely

on the *Fahari Bottlers* case to support his submission, and with that we find that the applicants have failed to show exceptional circumstances which would justify invoking the revisional powers of the court when the right of appeal with leave was or is open to them. Therefore the first ground of Mr D'Souza's preliminary objection succeeds.

His second ground of objection is that the applicants' prayer that the case be transferred to another judge or to the commercial division of the High Court is baseless. This ground need not detain us, and it may be disposed of very quickly. As Mr D'Souza quite rightly observed, an application for revision presupposes there being in existence an order of the Lower Court. In the instant case, however, the trial judge made no order respecting this aspect of the matter. He was not asked to disqualify himself from hearing the matter or to transfer the case to the commercial division, and he refused. Therefore, there can be no peg on which to hand a revision order of this Court, as it were. That ground also succeeds. In the result and for the reasons we have endeavoured to set out above, we uphold Mr D'Souza's preliminary objection. Accordingly the application for revision is dismissed with costs.

WILLIAM MREMA v. SAMSON KIVUYO

COURT OF APPEAL OF TANZANIA AT ARUSHA

(Kisanga, Lubuva and Lugakingira, JJ.A.)

CIVIL APPEAL No. 56 OF 1996

(From the decision and order of the High Court of Tanzania at Arusha, Mroso, J., dated 25 July 1995, in Civil Appeal No. 29 of 1994)

Appeals – Second appeal to the High Court – Additional evidence taken by way of affidavit – Section 29 of the Magistrates' Courts Act 1984.

Natural justice – Right to cross examine a witness – Additional evidence by way of affidavit taken on appeal – Natural justice required an opportunity to cross examine the deponent.

Civil Practice and Procedure – Appeal – Additional evidence taken by way of affidavit on second appeal – appellant not afforded opportunity to cross-examine deponent – Whether High Court was wrong – Omission not occasioning injustice – Effect thereof – Rule 108 of the Court of Appeal Rules 1979.

On a second appeal the High Court called for additional evidence. Such evidence was given by the trial Primary Court magistrate in the form of an affidavit. The appellate judge did not give the appellant opportunity to cross-examine the deponent. On the evidence on record, together with the affidavit, the judge dismissed the appeal. The appellant appealed to the Court of Appeal, and the omission by the Judge to afford the appellant opportunity to cross-examine the Primary Court magistrate came for consideration.

Held: (i) Though there is no provision in the Magistrates' Courts Act for the right of cross-examination in relation to additional evidence taken on appeal, natural justice required the judge to give the appellant the opportunity to cross-examine the Primary Court magistrate;

(ii) The judge's errors did not however, affect the merits of the case and thus came within the purview of rule 108 of the Court Rules

Appeal dismissed

Statutory provisions referred to:

1. Appellate Jurisdiction Act 1979, section 5(2)(*c*)
2. Magistrates' Courts Act 1984, section 29
3. Court of Appeal Rules 1979, rule 108

Mr Lundu, for the Respondent

JUDGMENT

(Dated 26 October 2000)

Lubuva, J.A.: This is a third appeal. It arises from the decision of the High Court at Arusha in (PC) Civil Appeal Number 29 of 1994 (Mroso, J.) of 25 July 1995. It all started with a boundary disputed between the appellant and the respondent. That appellant unsuccessfully filed a suit against the respondent in Arusha Urban Primary Court. He appealed to the District Court, Arusha, and lost. He lodged a second appeal to the High Court where again he was unsuccessful. After hearing the parties on appeal, the learned judge on second appeal called for additional evidence of the trial Primary Court magistrate to clarify on the assessors who had taken part at the trial. This was prompted by the fact that it was indicated on record that at some stage the names of two assessors had been cancelled and substituted with two others thus giving the impression that two sets of assessors were used in the trial. The additional evidence was by way of an affidavit by the trial Primary Court magistrate. On the evidence on record together with the affidavit, the judge on second appeal dismissed the appeal.

The appellant was dissatisfied, he has appealed to this Court. The points of law certified in terms of section 5(2)(*c*) of the Appellate Jurisdiction Act 1979 were; first, whether the appellate High Court had power in law to take additional evidence and secondly, the propriety of the learned judge's omission to afford the appellant an opportunity to cross examine the deponent of the affidavit, the Primary Court magistrate.

At the hearing of the appeal the appellant appeared in person while the respondent was represented by Mr Lundu, learned counsel. In the memorandum of appeal the two points certified by the High Court are raised. The appellant did not have anything of substance to add to the memorandum of appeal apart from his lengthy vascilating repetition of matters which are otherwise not relevant and proper for the court to consider in this, a third appeal. With regard to the first ground of complaint, namely that it was wrong for the High Court to take additional evidence by way of affidavit Mr Lundu countered that the High Court has such powers under section 29 of the Magistrates' Courts Act 1984. Since the law allows the High Court to take such additional evidence on appeal, Mr Lundu said, the appellant's complaint in ground one is without merit. We agree with Mr Lundu that the High Court has power in appropriate cases to take additional evidence. Section 29 of the Magistrates' Courts Act 1984 in part provides:

> In the exercise of its appellate jurisdiction under this Part, the High Court shall have power:
>
> (a) to take or to order some other Court to take and certify additional evidence and ....

In this case, as provided under this section, the learned judge in exercise of the appellate jurisdiction of the High Court took the additional evidence of the trial Primary Court magistrate for purposes of ascertaining the assessors who sat with the magistrate at the trial. The trial magistrate in her affidavit confirmed that she sat throughout the trial with the same set of assessors. Not only that, the learned judge examined the record of the trial and was satisfied that the signatures of the assessors for the date complained against, are similar to those shown in respect of other dates for the trial. We also have

had the opportunity to glance through the record, and we are like the learned judge satisfied that the signatures of the assessors for the date 4 February 1994 are similar to the signatures of the assessors for the rest of dates involved in trial. If the additional evidence sought by the learned judge showed that the same set of assessors sat with the trial magistrate throughout the trial such evidence to our minds was neither prejudicial to the appellant nor was it further evidence in proof of the case. It was additional evidence for the purpose of enabling the learned judge to satisfy himself that the procedure followed by the trial magistrate was correct. In the circumstances, we are satisfied that the learned judge properly exercised the powers vested in the High Court in exercise of its appellate jurisdiction in taking the additional evidence of the trial magistrate to ascertain the assessors who sat with the trial magistrate.

Next we shall deal with ground two. Here, the appellant's complaint is that he was not given the opportunity to cross examine the trial magistrate in her additional evidence. That if he was given the opportunity, he would have been in a position to question the trial magistrate why the names of the assessors Yusuf Ally and Kohole Koreka were initially entered in the coram for 4 February 1994 but were cancelled in substitution for Loi Loticia and Bakari Lwavi. The appellant adamantly maintained that failure to afford him to opportunity to examine the magistrate occasioned an injustice and prejudice against him. In response to this submission Mr Lundu took the view that section 29 of the Magistrates' Courts Act Number 2 of 1989, does not provide for the right to cross examination. However, as a matter of natural justice, Mr Lundu conceded and we think correctly so that the learned judge should have given the appellant such an opportunity. Even then, Mr Lundu concluded, the breach of the rules of natural justice in this case was not prejudicial to the appellant. From our reading the provisons of section 29 of the Magistrates' Court Act 1984, there is no provision for the right of cross examination of the giver of the additional evidence taken. However, as matter of natural justice, we think it was erroneous on the part of the learned judge not to give the appellant the opportunity

to cross examine the magistrate on the matter. Despite this error, we do not think that the appellant was in anyway prejudiced.

From the additional evidence namely, what the magistrate stated to the judge and her affidavit, the established fact was that the trial magistrate conducted the trial throughout with the aid of the same assessors. In that situation, we agree with the appellant that it was improper for the learned judge not to accord him the opportunity to be heard on the additional evidence, it is nevertheless to be heard on the additional evidence, it is nevertheless our settled view that no injustice was occasioned to the appellant. As a matter of fact, we think in the circumstances of the case, error on the part of the learned judge comes within the purview of rule 108 of the Court Rules. It was an error which arose in the High Court in the course of hearing the appeal. Rule 108 provides to the effect that the decision of the High Court shall not be revised or substantially varied by the court on appeal on account of any error or irregularity not affecting the merits of the case. In this case, the omission complained of was, we think, an immaterial error which did not affect the merits of the case, and so, rule 10 comes into play. In the event, for the foregoing reasons, we find no merit in the appeal. It is dismissed with costs.

JOHN s/o MAKOLOBELA KULWA MAKOLOBELA AND ERIC JUMA alias TANGANYIKA v. REPUBLIC

HIGH COURT OF TANZANIA AT MWANZA

(Mroso, J.)

CRIMINAL APPEAL No. 62 OF 2000

(From the District Court of Geita District at Geita, in Original Criminal Case No. 127 of 1999, LNB Ngovungo, Esq, DM)

Criminal Law – Defence case – Inconsistence in the defence case – Accused persons jointly prosecuted giving conflicting defences – Whether inconsistence in their defences is an incriminating factor.

Criminal Law – Burden of proof – Weakness of defence case – Whether an accused may be convicted on the weakness of his defence.

Evidence – Witnesses for the prosecution stating that they smelled bhang – Whether the statement by the witness is sufficient to support conviction.

The three appellants were jointly and together prosecuted in the District Court of Geita for unlawful possession of *cannabis sativa* contrary to, and they were convicted on the grounds, among others, that they gave conflicting accounts. The Trial Court also found the prosecution evidence to be watertight as the witnesses testified that they smelled bhang and they found the appellants smoking bhang. On appeal:

Held: (i) The fact that the appellants gave different defences is not an incriminating factor; since they were not found together at the time of their arrest, it is not surprising that their respective accounts differed;

(ii) A person is not guilty of a criminal offence because his defence is not believed; rather, a person is found guilty and convicted of a criminal offence because of the strength of the prosecution evidence against him which establishes his guilt beyond reasonable doubt.

(iii) A person who says that a substance is *cannabis sativa* has at least to tell the court how he was able to know that the substance was what he claimed it was.

Appeal allowed

Statutory provision referred to:

1. Drugs and Prevention of Illicit Traffic in Drugs Act Number 9 of 1995, section 12(d)

Appellants unpresented

JUDGMENT

(Dated 1 November 2000)

Mroso, J.: Three appeals, namely Criminal Appeals Numbers 62 of 2000, 63 of 2000 and 64 of 2000 in which John Makolobela, Kulwa Makolobela and Eric Juma *alias* Tanganyika are the respective appellants, were consolidated for hearing and also consolidated in this judgment. When I heard the appeals on 13 October 2000 I allowed them and reserved reasons which I now endeavour to give.

The three appellants were jointly and together prosecuted in the District Court of Geita for unlawful possession of *cannabis sativa* contrary to section 12(d) of the Drugs and Prevention of Illicit Traffic in Drugs Act Number 9 of 1995. They were found guilty and convicted and each was sentenced to seven years imprisonment. Aggrieved by the conviction and sentence, they have appealed to the High Court.

The allegation against them was that on 24 April 1999 at 01:00 hours they were jointly and together found in unlawful possession of 5 grams of *cannabis sativa* (bhang). Two prosecution witnesses gave brief evidence at the trial. PW1 – page C Mohamed, told the Trial Court that at about 01.00 hours while on patrol duty together with page C Ndalahwa and a member of the Sungu Sungu militia "smelt bhang", the smell coming from an uncompleted building. On going in they found the three appellants sitting and smoking bhang. The

first appellant was handling cigarette like bhang to the third appellant and when the second appellant was searched bhang was found in his pocket.

PC Ndalahwa and the Sungusungu did not give evidence. The second prosecution witness was one Joseph Nkumbulwa, a village executive officer. Although he was not mentioned by page C Mohamed (PW1) as one of the people were present when the appellants were allegedly found smoking bhang, he claimed to have been with those police officers and that he found the appellants smoking bhang and that the appellants were arrested.

The three appellants gave sworn evidence in their respective defences. The first appellant said he was arrested while sleeping (at home) because he had not paid development levy. He was arrested and taken to the police station. At the police station he met the third appellant. The third appellant said he was arrested while watching a cinema. The second appellant said he had been to mama mdogo and on his way home he met page C Ndalahwa, an executive officer and a member of the Sungusungu militia. He was arrested and taken to police station. He was required to pay TZS. 2 000 and when he failed to pay, he was taken to Court and prosecuted along with the other two. It is apparent that the three appellants were saying that they had not been found together when they were arrested.

One of the reasons the Trial Court found them guilty and convicted them was that they gave conflicting accounts. The court said:

> ... considering the defence of the accused I disregard the accused defences as they as they differ ... These inconsistencies do not put any doubt on the evidence of the prosecution which is watertight.

In the first place, the fact that the appellants gave different defences is not an incriminating factor. Secondly, since, according to the appellants, they had not been found together at the time of their arrest it is not surprising that their respective accounts differed. Thirdly, a person is not guilty of a criminal offence because his defence is not believed. A person is found guilty and convicted of a criminal offence because

of the strength of the prosecution evidence against him which establishes his guilt beyond a reasonable doubt. So, the approach by the trial magistrate is a misdirection in law.

The trial magistrate considered the prosecution evidence "watertight". But what was watertight in that evidence? All they said was that they smelled bhang and that the appellants were found smoking bhang. Is a statement by a police officer and or a village executive officer that a suspect was smoking bhang or had bhang in his possession conclusive proof that the substance being smoked or being possessed is *cannabis sativa*? That cannot be the law and if it were it could result in innocent people being convicted at the mere saying that they were in possession of *cannabis sativa*. I think that the person who says that a substance is *cannabis sativa* has at least to tell the court how he was able to know that the substance was what he claimed it was.

Perhaps he would tell the court that he knew *cannabis sativa* from its appearance or smell and how he gained such knowledge. It cannot be enough for him to merely say without more that a substance is bhang, as the trial magistrate appears to think. In effect, there was no evidence to prove the offence charged and the learned Principal State Attorney for the respondent Republic could not support the conviction. For those reasons I allowed the appeals.

SWEDISH MOTOR CORPORATION *v.* SUCHAK AND SONS COMPANY LTD

HIGH COURT OF TANZANIA
AT DAR ES SALAAM
(Nsekela, J.)

COMMERCIAL CASE No. 40 OF 2000

Civil Practice and Procedure – Admission – Notice of admission of debt – Judgment on admission – Order XII, rule 4 of the Civil Procedure Code 1966.

Civil Practice and Procedure – Decretal amount – Interest on decretal amount – Whether payment of decretal amount in instalments is ground for waiver of interest – Order XX, rule 11(1) of the Civil Procedure Code 1966.

The plaintiff and the defendant entered into three similar agreements whereby the defendant purchased Volvo trucks from the plaintiff and paid for them by instalments according to a schedule of payments contained in each agreement. When the defendant defaulted the plaintiff sued to recover the outstanding sums. The defendant filed a notice of admission in which it undertook to pay the money by monthly instalments of US$10 000 and proposed a waiver of interest on the ground that the instalment were substantial and that the defendant did not want to prolong the suit. On 26 September 2000 judgment on admission was entered for the principal sum and the parties were directed to negotiate the question of interest. On the day set to report back the advocate for the defendant did not show up and no agreement as to interest had been reached.

Held: (i) The payment of substantial instalments and the desire not to prolong litigation are not good reasons for denying the plaintiff the right to recover interest on the principal sum.

(ii) The mere fact that a debtor is hard pressed or is unable to pay in full at once is not sufficient reason for granting instalments and ordinarily the debtor should be required to show his *bona fides* by arranging payment of a proportion of the debt.

Order accordingly

Cases referred to:

1) *Sawatram Ramprasad v. Imperial Bank of India* AR 1933 Nagpur 330

2) *Kwashavji Jethabhai and Bros. Limited v. Saleh Abdulla* [1959] EA 260

3) *A Rajabali Alidina v. Remtulla Alidina and another* [1991] EA 565

Statutory provisions referred to:

1. Civil Procedure Code 1966, Order XII, rule 4, Order XX, rule 11(1),

Mr Ishengoma, for the Plaintiff

Mr RC Kesaria, for the Defendant

JUDGMENT

(Deliverd 2 November 2000)

Nsekela, J.: The plaintiff, Swedish Motor Corporation Limited, is a limited liability company incorporated in Tanzania, and so is the defendant, Suchak and Sons Company Ltd the plaintiff and the defendant entered into three (3) Instalment Sale Agreements dated 1 May 1999; 1 June 1999 and 1 December 1999. In these agreements the plaintiff agreed to supply to the defendant, and the latter to buy three Volvo trucks on the terms and conditions therein contained. Apparently, the defendant has defaulted in effecting payments according to an agreed schedule and as a result of this default, the plaintiff instituted this suit on the 25 August 2000. On the 26 September 2000 when the suit came before me Mr RC Kesaria, learned advocate, represented the defendant and Mr Ishengoma, learned advocate represented the plaintiff. Mr Kesaria informed the court that document headed 'Notice of Admission Under Order XII and Order XX, rule 11(1) of the Civil Procedure Code 1966" had been filed in court in which the defendant seek to settle the suit by paying monthly instalments of USD 10 000 with effect from 1 November 2000 but without interest and

with the usual default clause. Mr Ishengoma on his part noted the admission made by defendant but he submitted that the transaction was a commercial one and should therefore attract payment of interest on the decretal amount. Consequent upon these submissions by the learned advocates, I made the following order:

> Judgment is hereby ordered on the principal sum claimed in the plaint under paragraph 12(1). The said amount to be paid in monthly instalments of USD 10 000 with effect from 1 November 2000 until full payment of the same. Costs are awarded to the plaintiff.
>
> (v) The parties to negotiate the question of payment of interest on the principal sum and report the outcome of such negotiations to the court. Mention on 11 October 2000.

The suit has since then come before me on the 11 October 2000 and 18 October 2000. On each occasion Mr D Kesaria was absent. On the 18 October 2000 Mr Ishengoma undertook to get in touch with Mr Kesaria in order to finalize the matter. On the 26 October 2000 the suit again came before me. This time it was Mr Magai, learned advocate who appeared for the plaintiff Mr Kesaria did not enter an appearance. Mr Magai stated that his client has not acceded to the request to waive payment of interest on the decretal amount. The reasons advanced on the 26 September 2000 by Mr RC Kesaria in seeking a waiver of payment of interest were first, the fact that the defendant was offering to pay substantial instalments subject to the usual default clause and secondly, the fact that the defendant had sought not to prolong litigation over the matter. As stated before, on the 26 September 2000 I entered judgment on admission in favour of the plaintiff under Order XII, rule 4 of the Civil Procedure Code as regards the principal amount stated in paragraph 12(1) of the plaint to be paid over a period of time. The question of interest payment was deferred in the pious expectation that the parties would sort it out. Order XX, rule II (1) of the Civil Procedure Code provides:

> Where and in so far as a decree is for the payment of money, *the court may for any sufficient reason* at the time of passing the decree order that payment of the amount decreed shall be postponed or shall be made by installments with or without interest notwithstanding anything contained in the contract under which the money is payable [Emphasis Supplied].

When the proposal was made, Mr Ishengoma readily accepted the deal but insisted that payment of interest cannot be waived. The defendant proposed the quantum of the instalments and the plaintiff in an act of magnanimity duly accepted them without demur. Under the circumstances, the court duly exercised its discretion to stagger the payments in the manner proposed. But the defendant has gone further in seeking that the plaintiff should forego payment of interest. It has been stated that the mere fact that the debtor is hard pressed or is unable to pay in full at once is not sufficient reason for granting instalments and that ordinarily the debtor should be required to show his *bona fides* by arranging prompt payment of a fair proportion of the debt (See: *Sawatram Ramprasad v. Imperial Bank of India* (1); *Kwashavji Jethabhai and Bros. Limited v. Saleh Abdulla* (2); *A Rajabali Alidina v. Remtulla Alidina and another* (3)) In *Alidina's* case, this Court (Law, J.) adopted a passage in "Woo*droffe and Amir Ali's Civil Procedure* in British India ((2 ed) at page 869) at to what matters should be considered by a court in deciding whether or not "*Sufficient reason*" exists. These are:

> (i) the circumstances under which the debt was contracted;
>
> (ii) the conduct of the debtor;
>
> (iii) his financial position; and
>
> (iv) his *bona-fides* in offering to pay a fair proportion of the debt at once.

I have already mentioned the reasons that have been advanced by the defendant, namely an offer to pay substantial installments and that there will be no protracted litigation in the matter. I do not wish to lose sight of the fact that the interests of the plaintiff as the creditor have to be protected as well. The court having agreed that the decretal amount be settled by payment of installments is I think

sufficient indulgence. The plaintiffs' rights should be seriously taken into account. Having considered all the circumstances in this case, I do hereby order the defendant to pay interest on the decretal amount. It is accordingly ordered.

TANZANIA VENTURE CAPITAL FUND LIMITED *v.* IGONGA FARM LIMITED

HIGH COURT OF TANZANIA
AT DAR ES SALAAM
(Nsekela, J.)

COMMERCIAL CASE No. 14 OF 2000

Civil Practice and Procedure – Applications – Application for leave to withdraw suit with liberty to file a fresh suit in respect of the abandoned suit – Order XXIII Rule 1(2).

Civil Practice and Procedure – Written submissions by order of Court – Governed by practice.

On 20 April 2000 the plaintiff applied for and was granted leave to withdraw its suit with no order for costs by amicable consent of the parties. Subsequently it filed the suit afresh. In its written statement of defence the defendant raised a preliminary legal point that the suit was not properly before the court on the ground that the plaintiff had instituted a suit similar to the present one and the same was withdrawn without leave to refile it.

The parties were ordered by the court to make written submissions on the preliminary legal point. The defendant made its written submission in contravention of the court order in that it presented the written submission long after the date set by the court. In the reply to the submission of the defendant the plaintiff raised a preliminary objection that the defendant's written submission be struck out since they were filed out of time

and without a court order to that effect. The court considered this preliminary objection made by the plaintiff and the preliminary legal point raised by the defendant.

Held: (i) While Court orders must be complied with by all concerned, the contravention of the court order dated 13 July 2000 has not occasioned any prejudice to the plaintiff;

(ii) There is no provision in the Civil Procedure Code, 1966 governing the presentation of written submissions to the court; it is a practice of the court which should be encouraged and supported by both the bench and the bar;

(iii) Since the plaintiff was not prejudiced by the late filing of the written submissions by the defendant, it is a curable defect;

(iv) If a plaintiff wants to withdraw a suit with the permission of the court with liberty to file a fresh suit in respect of the abandoned suit, the only way to do so is to invoke Order XXIII, rule 1(2);

(vii) It is abundantly clear from the record of the proceedings on the 20 April 2000 that the plaintiff did not make an application to withdraw the suit with liberty to file a fresh suit in respect of the same subject matter;

Preliminary objection upheld; plaint struck

Cases referred to:

1) *VIP Engineering and Marketing Ltd v. Said Salim Bakhresa* Civil Application Number 47 of 1996 (unreported)

Statutory provisions referred to:

1. Civil Practice and Procedure, Order XXIII, rule 1(2)
2. Civil Procedure Code 1966, Order XXIII, rule 1, (1)(2) and (3)

Mr Galati, for the Plaintiff

Mr Mbwambo, for the Defendant

RULING

(Delivered 3 November 2000)

Nsekela, J.: The defendant in this suit, Igonga Farm Ltd, in its written statement of defence dated the 14 June 2000 raised three "preliminary legal points" including the following, namely:

> (1) In view of the fact that the plaintiff had instituted a suit similar to the present one, and the same was withdrawn without leave to refile it, the present suit is not properly before this Court ...

and a court order to that effect was annexed to the written statement of defence. In the reply to the written statement of defence, the plaintiff countered this allegation as follows:

> (1) That as the plaintiff had applied to withdraw the suit with leave to refile it the present suit is maintainable regardless the silence in the attached order regarding leave to file a fresh suit.

On the 13 July 2000, I made an order to the effect that the learned advocates for the parties submit written submission on the preliminary legal points raised by the defendant according to this time-frame. The defendant was to submit the written submissions on or before the 27 July 2000 to be followed by the plaintiff on or before the 10 August 2000 and lastly a rejoinder, if any, by the defendant on or before the 17 August 2000. The learned advocates for the defendant wrote a letter to the court on the 31 July 2000 seeking an enlargement of time to file the submissions with similar indulgence being granted to the plaintiff to file the written submissions. No formal order was granted to that effect, but the defendant's submissions were filed on 1 August 2000. On the 25 August 2000, the Registrar of this Court wrote a letter to the learned advocate for the plaintiff informing him that the learned advocates for the defendant had filed their submissions on 1 August 2000 and reminded him of the court order dated the 13 July 2000. In response, the learned advocate for the plaintiff filed a reply to the defendant's written submissions on the 30 August 2000

and on his part raised a preliminary objection that the defendant's written submissions be struck out since they were filed out of time and without a court order to that effect. Mr Galati has made a valid point but I am not prepared to accede to it. I am in complete agreement with him that Court orders must be strictly complied with by all concerned, but having said that I am of the settled view that contravention of the court order dated 13 July 2000 has not occasioned any prejudice to the plaintiff. In the case of *VIP Engineering and Marketing Ltd v. Said Salim Bakhresa* (1), Samatta, J.A. (as he then was) stated thus:

> There can be no rational dispute over the fact that procedural rules are enacted to be complied with. Usually there is a legal principle behind every procedural rule. But those rules differ in importance. Some are vital and go to the root of the matter; these cannot be broken, others are not of that character and can, therefore be overlooked provided there is substantial compliance with the rules read as a whole and provided no prejudice is occasioned.

I am not aware of any provision in the Civil Procedure Code, 1966 governing the presentation of written submissions to the court. It is a practice of the court a very good practice – if I may be permitted to say so and which should be encouraged and supported by both the Bench and the Bar. In this particular case, I do not see how the plaintiff was prejudiced by the late filing of the written submissions by the defendant. It is a curable defect and accordingly I do hereby enlarge the period within which to file the submissions to 1 August 2000 when the submissions were actually filed in court.

I now turn my attention to the defendant's preliminary objection on which he made written submissions. This preliminary objection revolves around Order XXIII, rule 1 of the Civil Procedure Code and is best captured in the following passage in the written submissions. It reads as follows;

> Your Lordship, it is trite law that the principle underlying Order XXIII, rule I of the Civil Procedure Code 1966 is that once a plaintiff has instituted

a suit in Court he cannot be permitted to institute a fresh suit in respect of the same subject-matter again without prior permission to refiled the same.

Order XXIII, rule 1(1), (2) and (3) provide as under:

> 1(1) At any time after the institution of a suit the plaintiff may, as against all or any of the defendants, withdraw his suit or abandon part of his claim.
>
> (2) Where the court is satisfied:
>
> (a) that a suit must fail by reason of some formal defect, or
>
> (b) that there are other sufficient grounds for allowing the plaintiff to institute a fresh suit for the subject-matter of a suit, or part of a claim, it may on such terms as it thinks fit, grant the plaintiff permission to withdraw from such suit or abandon such part of a claim with liberty to institute a fresh suit in respect of the subject-matter of such suit or such part of a claim;
>
> (3) Where the plaintiff withdraws from a suit, or abandons part of a claim, without the permission referred to in sub-rule (2), he shall be liable for such costs as the court may award and shall be precluded from instituting any fresh suit in respect of such subject matter or such part of the claim.

If a plaintiff wants to withdraw a suit with the permission of the court with liberty to file a fresh suit in respect of the abandoned suit, the only way to do so is to invoke Order XXII, rule 1(2) reproduced above. Mr Galati, learned advocate, has submitted in part as follows, and I quote him:

> *On the 20 April 2000 we appeared before the trial judge and prayed to withdraw the said suit with leave to refile it.* We did so because the lifespan of the case (for example 2 years) was due we had agreed with the defendant's Counsel that they should waive costs. In view of the agreement the court allowed is to withdraw the suit with no order for costs. [emphasis supplied]

Let us compare and contrast Mr Galati's submissions with the record of the proceedings in the High Court, Mwanza on the 20 April 2000. The court record is in the following terms:

> Nchalla, J.
>
> Mr Galati, Advocate: I apply to withdraw this suit. We, have agreed with the defendant that the suit be withdrawn with no order for costs.
>
> Mr Rutaisire, Advocate: That is the position my Lord.
>
> Order: On the application by Mr Galati, learned advocate for the plaintiff to withdraw this suit with no order for costs which application has been conceded to by Mr Rutaisire, learned advocate for the defendant, *it is hereby ordered that this suit is withdrawn with no orders for costs by amicable consent of the parties.* Order accordingly [emphasis supplied].

It is abundantly clear from the record of the proceedings on the 20 April 2000, that Mr Galati did not make an application before my brother, Nchalla, J. to withdraw the suit with liberty to file a fresh suit in respect of the same subject matter. He made an application to withdraw the suit with no order as to costs, as agreed upon with Mr Rutaisisre, and the learned Judge unhesitatingly, granted them permission to withdraw the suit with no order as to costs. Under Order XXIII, rule 1(2), the court must be satisfied either that there is a formal defect which will render the suit to fail or that there are other sufficient grounds. The application that was made is different from an application to withdraw a suit with liberty to file a fresh one. In the latter case there are conditions to be fulfilled by the applicant and the court must be satisfied that one of them has been complied with. I am therefore unable to accede to Mr Galati's contention that the application he made on the 20 April 2000 was one to withdraw the suit with permission to institute a fresh one. In the result, I uphold the defendant's preliminary objection and strike out the plaint with costs. It is accordingly ordered.

ASHERY FRED UTAMWA *v.* ATTORNEY GENERAL AND ANOTHER

COURT OF APEAL OF TANZANIA AT DAR ES SALAAM

(Kisanga, Lubuva and Lugakingira, JJ.A.)

CIVIL APPEAL No. 40 OF 2000

(From the Judgment and Decree of the High Court of Tanzania at Iringa, Mwaikasu, J., dated 15 November 1997, in Miscellaneous Civil Case No. 1 of 1995)

Election Petitions – Appeals – Delay in processing appeal record – Appeal seeking a declaration that election results were null and void – Appeal called up for hearing after Parliament is dissolved – Whether the court has jurisdiction to hear the appeal.

Civil Practice and Procedure – Appeals – Appeals in election petitions – Appeal seeking a declaration that election results were null and void – Appeal seeking the relief after Parliament is dissolved – Whether the Court of Appeal has jurisdiction.

The appellant unsuccessfully petitioned the High Court to nullify election results for Mufindi North Constituency in which he was defeated by the second respondent in the1995 general elections. The appellant lodged his appeal in the Court of Appeal but the Registry took 970 days to prepare the record of appeal and by the time the appeal came up for hearing, Parliament had been dissolved and the second respondent was no longer a Member of Parliament. The issue on appeal then turned on whether the Court of Appeal had jurisdiction, in the circumstances, to hear and determine the appeal on the merit.

Held: (i) With a non-existing member of parliament for the constituency, there was no basis upon which to grant the appellant's prayer to declare the election results null and void; without a current parliament and a sitting member of parliament. So no order could be made to avoid the parliamentary election in respect of Mufindi North Constituency because there was no existing member of parliament from the general elections in question;

(ii) The fundamental issue of jurisdiction of the court can not be over- looked on account of the fact that the delay was not of the appellant's own making; the court is unable to grant the relief sought as it lacks jurisdiction;

(iii) The question of jurisdiction is so fundamental that it would be impracticable to entertain the appeal at this stage when the relief sought cannot be granted;

(iv) *Obiter*: The inordinate delay of 970 days in preparing the record of appeal was to a large extent attributed to the Court Registry at Songea and not the appellant; this, to say the least, was not an impressive record on the part of the Registry Staff and every effort should be made to avoid a repetition of this in future.

Order accordingly

Statutory provision referred to:

1. Elections Act 1985, sections 1112(a) and (b), 15(2)

Mr Kamba, for the first Respondent

Dr Lamwai, for the second Respondent

Mr Mbogoro, for the Appellant

RULING

(Delivered 10 November 2000)

Lubuva, J.A.: This appeal arises from the 1995 General Elections. Among the candidates contesting the parliamentary seat for Mufindi North Constituency was the appellant, Ashery Fred Utamwa. He was sponsored by the political party the National Convention for Construction and Reform – Mageuzi, popularly known by its acronym "NCCR-Mageuzi". The second respondent, Joseph James Mungai, also contested the seat under the sponsorship of the political party Chama cha Mapinduzi, popularly known by its acronym "CCM". According to the results of the election, the second respondent was declared to be the winner

in the Parliamentary Constituency. The appellant was dissatisfied; he therefore filed his petition in the High Court challenging the validity of the election. In the petition a total of seventeen grounds of complaint were raised. These ranged from illegal practices, corrupt practices, non-compliances, defamatory statements to intimidation during campaign. For the petitioner, the appellant in this case, a total of 38 witnesses gave evidence in support of his case. On the other hand, for the first and second respondents a total of 90 witnesses gave evidence in support of the defence. In view of the large number of witnesses involved coupled with other factors, the trial was protracted, it took considerable time before its finalization on 15 November 1997. Concluding the trial, the learned judge was of the settled view that the petition had not been proved sufficiently to warrant the nullification of the second respondent's election. He dismissed the petition. The appellant was aggrieved and hence this appeal. A nine point memorandum of appeal was filed in the Court's Registry on 23 August 2000.

When the appeal was called on for hearing Dr Lamwai, learned counsel for the second respondent raised a preliminary objection in respect of which he had prior filed notice. The objection was based on the following grounds:

1. That the appeal has been overtaken by events in that the 95 of 2000 Parliament has already been dissolved.

2. That the appeal has been brought belatedly in order to interfere with the electoral process currently taking place. In the premise, it is aimed at frustrating the ongoing electoral process.

Elaborating that the appeal has been overtaken by events Dr Lamwai gave the following instances. In the first place, he said, the appeal was lodged on 23 August 2000 when Parliament had formally been dissolved with effect from 8 August 2000, and election for the next parliament had also been called. The Parliament having been dissolved and the second respondent having ceased to be a member of Parlament, Dr Lamwai further urged, the court has nothing to grant in the reliefs

sought, that is, to declare the election results for the parliamentary seat of Mufindi North Constituency held on 29 October 1995 null and void. The reliefs sought in the election petition filed in the High Court by the appellant presuppose the existence of the office of a sitting member of parliament not only in Mufindi North Constituency but in Tanzania as a whole. In this situation Dr Lamwai went on in his submission, there is no legal basis upon which an order could be made voiding the election. Furthermore Dr Lamwai added, at this stage after the dissolution of Parliament, to enquire whether the second respondent had been legally elected is to engage in an academic exercise which would not serve any useful and practical purpose. In short, the gravamen of Dr Lamwai's submission is that the court lacks jurisdiction.

The crucial issue falling for determination in this matter is whether the court is vested with jurisdiction to hear the appeal. Mr Mbogoro, learned counsel for the appellant, conceded in effect that though the court is not in a position at this stage to grant the reliefs sought in the petition, now the subject matter in this appeal, the court should nonetheless, not be barred from hearing the appeal in order to do substantial justice to the case. In the first place, he said, the petition which was dismissed by the trial High Court raised important and serious issues of bribery and treating which, despite the changed circumstances and events that have since taken place merit consideration of the court. Secondly, it was through no fault of the appellant that the hearing of the appeal has been subjected to such inordinate delay. The appellant did all that he could in the processing of the appeal including making some contribution of money for the purchase of duplicating papers for preparing the record. Later on, a complaint was made to the Chief Justice about the long delay, Mr Mbogoro stated. Thirdly, he said, for this long inordinate delay in the preparation of the record, the court registry is partly to blame. Therefore, the appellant should not be punished by the court's declining to hear the appeal. Finally, Mr Mbogoro maintained that the limitation of

time in which the election petitions are to be determined within two years from the date of presentation of the petition is applicable to the High Court and not the court.

The first respondent, the Attorney General was represented by Mr Kamba, learned Principal State Attorney. While fully associating himself with the submissions by Dr Lamwai he emphasized the fact that the court is not now in a position to grant the reliefs sought under section 112(a) and (b).

We agree with the learned counsel for the respondents that the question of jurisdiction is a condition precedent for the court to hear and determine the appeal. In this appeal, counsel for the respondents strongly contended that the court has no jurisdiction to entertain the appeal because the case has been overtaken by evens. As a result, counsel further submitted, the court cannot grant the reliefs sought by the appellant. This, we also think is correct and that Mr Mbogoro properly conceded. In this case, it is common ground that in the petition at the trial in the High Court at Songea, the principal prayer among others, was:

> That the election results for the parliamentary seat of Mufundi North Constituency from the election held on 29 October 1995, by which the second respondent was declared the winner be declared null an void.

The petition having been dismissed by the High Court, the appellant has come to this Court seeking the same relief. One of the prayers indicated in the memorandum of appeal is the nullification of the parliamentary elections held on 29 October 1995.

In this case, it is not disputed that the appeal was lodged on 23 August 2000 after the Parliament had been dissolved on 8 August 2000. From this, it is abundantly clear that the appeal was lodged at a time when there was neither the parliament nor any sitting member of Parliament elected from the election held on 29 October 1995 in existence. With a non-existing member of Parliament for Mufundi North Constituency as was in fact the case in the whole country, the

question is, what is the basis upon which the appellant's prayer to declare the election results null and void could be granted. With respect, we think there is none. In our view, the peg on which to hang as it were, the election petition is the currency of Parliament and a sitting member of parliament. That means that the filing of the election petition and the reliefs sought presuppose there being in existence a sitting member of parliament and the parliament itself in existence.

In this case, the court is being moved to avoid an election, at a time when there is no sitting member of Parliament. In the circumstance, we agree with Dr Lamwai and Mr Kamba that no order can be made to avoid the Parliamentary election in respect of Mufindi North Constituency, because there is no existing Member of Parliament for the constituency elected from the General Elections of 29 October 1995. We accept the submission by Dr Lamwai and Mr Kamba that the court's jurisdiction to entertain the appeal is hampered. On this, Mr Mbogoro, learned counsel for the appellant conceded, and we think, correctly so.

However, while conceding, Mr Mbogoro went further in his submission, he insisted that the court should hear the appeal because of the following reasons: First, the appellant was not to blame for the delay, he did all that was within his powers in ensuring that the case was heard within the time prescribed by the law. We agree that the appellant was not to blame. From the record, it is not disputed that the petition filed in court on 15 November 1995 was finally disposed on in the High Court on 15 November 1997. It took two years to determine the petition. It is also apparent from the record that it took a total of 970 days to prepare the record up to 7 August 2000. This, admittedly, is an inordinate and unprecedented long delay in the preparation and delivery of the record to the appellant which cannot be attributed to the appellant. There is no gainsaying however, that the fundamental issue of jurisdiction of the court cannot be overlooked on account of the fact that the appellant was not to blame.

It is either that the court is vested with jurisdiction or it is not irrespective of whoever is to blame for the delay. In this case, due to the inordinate delay in the trial of the petition before the High Court and the subsequent unprecedented long time taken to prepare the appeal record, the matter is now brought before the court when Parliament has long been dissolved. The court is, in such circumstance unable to grant the reliefs sought. We can find no legal basis upon which the court could proceed to hear and determine the appeal to do what Mr Mbogoro called substantial justice.

Secondly, it was the submission of Mr Mbogoro that the limitation of time in which the election petitions are to be heard and determined within two years from the date of presentation, does not apply to the court. The limitation, according to Mr Mbogoro applies only to the High Court in which case the Court of Appeal can hear the appeal any time the appeal is instituted. This is particularly so in a case such as this, where important and serious issues of bribery and treating are raised. It is true that the limitation of the time for presentation and determination of election petitions prescribed under section 115(2) of the Elections Act 1985, applies to the High Court and not this court.

The purpose and object of providing for the time limit is that by their nature, sensitivity and public interest, the election petition cases are to be determined speedily. If speedy trial of the election petitions in the High Court is of great essence, it defies logic and common sense to accept Mr Mbogoro's contention that the same cases on appeal are to take an indefinite period to be determined. It is even more absurd in situations such as here, where the appeal is coming on for hearing when Parliament has been dissolved. In our view, it would be a contradiction in terms if Parliament in its wisdom in ended to have the election petition cases expedited at the trial in the High Court by proving time schedule under section 115(2) of the Act but at the next stage on appeal, it was intended otherwise. We are firmly of the view that the intention of parliament was to have the election petition cases expedited all the way through at the

trial and on appeal. In terms of the law however, the intention is expressly provided only in so far as the High Court is concerned. And so, Mr Mbogoro is right in his submission that this Court is not covered by the limitation of time provision. Even then, we think the matter would still not be free from difficulty. The appeal is set for hearing at a time when, as indicated earlier the court is no longer vested with jurisdiction to hear and determine the appeal. The question of jurisdiction is so fundamental that even though the time limit does not apply to the court, it would be impracticable to entertain the appeal at this stage when the relief sought cannot be granted, the court lacks jurisdiction.

Thirdly, Mr Mbogoro contended that because important and serious issues are raised in this case still there was need for the court to hear the appeal. Among the issues raised at the trial of the petition and on appeal are the offences of bribery and treating. These, according to Mr Mbogoro, are serious matters in an election process, they are worth the consideration of the Court on Appeal. Dr Lamwai strongly took the opposite view. We agree that these are serious matters, but as already indicated, since the court has no jurisdiction to entertain the appeal, we find it unnecessary to deal with these matters.

On the other hand, Dr Lamwai contended that even if it was important to entertain the appeal, the second respondent would not be effected by the offences of bribery and treating. This is because he further submitted, as a result of the changes effected on the Elections Act 1985 by the amending Act Number 4 of 2000, the offences of bribery and treating are descriminalised. In its application, the Act should take effect retrospectively so that the second respondent would take advantage of it, Dr Lamwai urged. For this proposition however, he cited no authority. Again, it is our view that as the court has no jurisdiction to entertain the appeal, we find it unnecessary to go into this aspect at this stage.

Finally, we will deal briefly with ground two. Dr Lamwai vehemently took the view that the appeal has been instituted belatedly in order

to frustrate the electoral process currently taking place. He said there was no diligence on the part of the appellant in pursuing the appeal all this time after the judgment was delivered on 15 November 1997. For the delay, Dr Lamwai apparently imputed some element of vindictiveness on the part of the appellant. With respect, we cannot accept Dr Lamwai's submission on this point. There is no evidence whatsoever to show that the appeal was aimed at frustrating the electoral process or that there was any vindictiveness on the part of the appellant. At any rate, as Dr Lamwai is no doubt aware, it is the right of the appellant to appeal and that right cannot be blocked by the delay in the trial of the petition or preparation of the record caused by the court Registry. This ground is therefore baseless, we reject it.

Before concluding this ruling we wish to make the following brief observations. First, it is not disputed that the intention of the legislature to have the election petition cases determined expeditiously within prescribed time limit in the High Court is expressed under section 115(2) of the Elections Act 1985. By necessary implication we think that it was also intended to have the appeal process similarly expedited. Otherwise, it renders the legislature's intention meaningless and absurd on appeal. In order to avoid such absurdity, express legislative measures would, aptly in our view, save the situation and we would invite the Attorney General to look into this.

Secondly, regrettably, it is to be observed that as pointed out by Mr Mbogoro, learned counsel, the inordinate delay in preparing the record in this appeal is to a large extent, attributed to the Court Registry at Songea and not the appellant. It took about 970 days to prepare the record. This, to say the least, is not an impressive record on the part of the Registry Staff. Every effort should be made to avoid a repetition of this in future.

All in all therefore, having regard to the circumstances of the case as a whole, particularly the fact that the matter is coming on before the court at a time when Parliament is already dissolved, and there is no sitting member of parliament for Mufindi North Constituency elected from the 29 October 1995 General elections, the substratum

of the matter has been taken away as it were. Consequently, there is no election which the court is called upon to declare null and void.

Accordingly, the objection is sustained. The appeal is incompetent, it is struck out. The circumstances of the case are, in our view, such that we feel it is undesirable to award costs. Each party to bear his costs.

MASHADO GAME FISHING LODGE LTD AND TWO OTHERS v. BOARD OF TRUSTEES OF TANGANYIKA NATIONAL PARKS (t/a TANAPA)

HIGH COURT OF TANZANIA
AT ARUSHA
(NM Mushi, J.)

CIVIL CASE No. 9 OF 2000

Civil Practice and Procedure – Pleadings – Pleadings not disclosing a cause of action –Cause of action defined.

The first plaintiff failed to get consent from the defendant to assign the remainder of the the term of its lease to the third plaintiff. After that failure the plaintiffs instituted proceedings in the High Court for diverse relief, including, a declaration that the defendant's action of withholding constent to the re-assignment of the leases to the third plaintiff was unreasonable and, therefore, null and void. Counsel for the defendant raised a preliminary objection that the plaintiffs had not disclosed a cause of action. The trial judge considered the meaning of "cause of action", and whether the plaint disclosed a cause of action.

Held: (i) A person is said to have a cause of action against another where that person has a right and the other person has infringed or breached that right with the result that the person with the right suffers material loss or any other loss;

(ii) Since the third plaintiff has no right which could be infringed by the defendant, the third defendant has no cause of action against the defendant;

(iii) There being no relationship between the second plaintiff and the defendant, the second plaintiff has no cause of action against the defendant;

(iv) As there is a relationship giving rise to rights and obligations between the first plaintiff and the defendant with regard to the leases, and since the first plaintiff believes he has a right to assign the lease, the first plaintiff has a cause of action against the defendant.

Plaint in respect of second and third Plaintiffs is rejected

Mr D'Souza, for the Plaintiffs

Professor Mwaikusa, for the Defendant

RULING

(Delivered 17 November 2000)

NM Mushi, J.: Mashado Game Fishing Lodge Ltd, to be referred to in this action as Mashado I, Mashado Luxury Tented Safari's Ltd, to be referred to as Mashado II, and Abercrombie and Kent (Tanzania) Ltd), to be referred to as A and K, are the plaintiffs in this case and Mashado I and II are suing through their receivers and managers. The defendant is the Board of Trustees of Tanganyika National Parks, t/a TANAPA.

The defendant manages the National Parks in Tanzania. It has the control of the land, flora and fauna. The defendant has unfettered authority to lease any portion of the land to interested parties. Mashado I has leased some land from the defendant, for a period of time. The leases are in respect of land in Ngorongoro and Tarangire National Parks. Mashado I has built in the leased land what have been called "Luxury Tended Camps". The business in these Luxury tended Camps is owned, run or managed by Mashado II. Both Mashado I and II are under receivership. The receiver/manager of Mashado II has secured a buyer of the assets and business of the Luxury Tended Camps. The

interested buyer is A and K. Tanzania Ltd. i.e. third plaintiff. The third plaintiff is ready to buy the assets and business on condition that the remaining period of the lease of Mashado I is reassigned to them. Mashado I and II have no objection to the remaining period of the lease being re-assigned to A and K. The defendant was requested to consent to such re-assignment but refused to consent to re-assignment of lease to A and K.

The plaintiffs have thus instituted proceedings in this Court seeking *inter alia*, the following reliefs, namely:

(a) A declaration that the defendants' action of with-holding their consent to the re-assignment of the leases to Abercrombie & Kent (t) Ltd. is unreasonable and therefore null and void.

(b) That corollary to the court's declaration in paragraph (a) above, the re-assignment of the leases by Mashado Game Fishing Lodge Ltd. (through its subsidiary company Mashado Luxury Tented Safaris Ltd.) to Abercrombie & Kent (T) Ltd. is proper in law.

(c) That a Permanent Injuction be issued against the defendants, by itself, their agents or servants or any person purporting to derive title from the defendant from interfering in the Plaintiffs' right to possess and operate the fore-mentioned camps situated on the leased land.

The defendant has in its written statement of defence raised preliminary objection on the grounds that the first, second and third plaintiffs have no cause of action against the defendant. This ruling is therefore, in respect of this preliminary objection.

The defendant is represented by Professor Mwaikusa while Mr D'Souza, learned cousel represents the plaintiff. Learned counsels, for special reasons, were granted leave to submit their arguments in writing. Both counsels have submitted authoritative legal arguments and I wish to thank them for their industry.

The objection is that the plaintiffs have no cause of action against the defendant. The question now, is, what is this thing called *cause of action*. To put it simply, a person is said to have a cause of action

against another, where that person has a right and that the other person has infringed or breached that right with the result that the person with the right suffers material loss or any other loss. Thus, the person with the infringed right can sue the other person in a court of law seeking remedy for such infringement. Professor Mwaikusa, in his submission has professionally stated what the cause of Action is when he writes, and I quote:

> 3.1 As it is, the Civil Procedure Code 1966 does not define what is or what constitutes a cause of action. It is generally understood, however, that a cause of action is the basis upon which the plaintiff's complaint arises. A cause of action arises when a right of the plaintiff is breached or infringed upon as a result or on account of some act or omission of the defendant.
>
> 3.2 In that regard, some commentaries on the Indian Code of Civil Procedure, whose relevant provisions are in *pari materia* with our Civil Procedure Code 1966, may be referred to. According to PC Mogha, **The Law of Pleadings in India**, Eastern Law House, Calcutta 1987 (Annex JT-1), "cause of action" means every fact which, if traversed, the plaintiff must prove so as to get a judgment in his favour (page 185). The author further states, at page 267.
>
> Cause of action means every fact which would be necessary for the plaintiff to prove in order to support his title to a decree, in other words, it is a bundle of essential facts which it is necessary for the plaintiff to prove before he can succeed in the suit.
>
> And in another work, NS.Bindra's **Pleadings and Practice,** (8 ed), Allahabad 1997 (Annex JT-2) at page 221 it I stated:
>
> A cause of action is the sum total of all those allegations upon which the right to the relief claimed is founded. A plaintiff's cause of action is, therefore, not only the right which he asserts but the infringement of it by the defendant.

Learned counsel, Mr D' Souza, has not made any comment on the aspects of what constitutes a cause of action as stated by Professor

Mwaikusa; what Professor Mwaikusa has stated is the Law as I understand it.

Let me now apply the law to the facts in this case. The subject matter in the whole of the pleadings is the leases held by Mashado I as the LESSEE and granted by the defendant as the LESSOR. Starting with the third plaintiff, A and K, what right has it got in the leases held by the Mashado I.? A and K is a stranger with respect to the lessers with no rights at all. All that it has in connection with the leases is the interest it has shown to buy the assets and business of Luxury Tended Camps which are situated in the leased land owned by Mashado I and managed by Mashado II. A and K is not known by the defendant, because they have no business with them and they have not in any way infringed on its rights and Aand K clearly can not say with any truth that any of its rights have been infringed by the defendant. A and K, has therefore no cause of action against the defendant on any matter touching on the leases between Mashado I and the defendant.

I turn now to Mashado II. According to the plaint we are told that Mashado II was formed for the purposes of, and I quote part of para 10 of the plaint:

> The aim and objective of Mashado Luxury Tented Safari's Ltd was to own, manage and run the Tented Camps which had been acquired by Mashado Game Fishing Lodge Ltd from Ker and Downey Safaris Ltd.

The Tented Camps are situated in the lands under the leases of Mashado I. Thus Mashado II is not the owner of the leases. They were only carrying on business on the camps on an arrangement between them and the owner of the leases, i.e. Mashado I. They have the right to sell their assets and business to A and K but the leases on which the business is to be operated by A and K remain that of Mashado I. They cannot on their own ask the defendant to re-assign the leases to A and K, because the leases do not belong to them. And therefore they cannot bring any action against the defendant in respect of the leases. They have no cause of action against the defendant.

The last party is Mashado I. Regarding this party, Professor Mwaikusa submitted, and I quote:

> 4.2 That Mashado I has no cause of action seems obvious enough. No where in the plaint is it alleged that any right of Mashado I is or has bee infringed by TANAPA as far as the fact reveal, the lease agreements between TANAPA and Mashado I remain intact between those two ... TANAPA has not said or done anything to Mashado I and Mashado I has absolutely no basis for complaint against TANAPA, and indeed the plaint does not disclose any such complaint by Mashado I. We should perhaps just mention that even the Notice to vacate was not served on Mashado I, It was served on other parties who were the ones specifically intended to be served with that Notice.

Learned counsel, Mr D' Souza, in his submission stated, and I quote:

> A3. On the refusal of consent, to the assignment and on the notice to vacate
>
> In his submissions the learned counsel for defendant glosses over the facts relating to this aspect. In paragraph 15 of the WSD the defendant admits that the leases still subsist and are yet to revert to the defendant. We agree. The position is therefore the leases subsist with first plaintiff. The second plaintiff is the owner of the assets on behalf or as agent of its mother company, first plaintiff – A and K(T) Ltd were appointed managing agents of second plaintiff as per letter ref: MB/Mashado/46/99 of 8/7/99 which is Annex TNP-3 to the WSD.

Mashado I as holder of majority shares in Mashado II must be fully aware of how the company is operating. It must therefore be aware of the intended sale of the assets and business of Mashado II. Mashado I must also be aware of the conditions given by A and K before acquiring the assets and business from Mashado II. The condition is that the un-expired period of the leases of Mashado I be re-assigned to them. That is why in the Deed of Assignment – Annexure A, it is stated, I quote:

DEED OF ASSIGNMENT

THIS ASSIGNMENT is made this 5 May 1999 BETWEEN MASHADO GAME FISHING LODGE LIMITED (through its subsidiary Company MASHADO LUXURY TENTED SAFARIS LIMITED) (Here in-after referred to as the Assignor) of the one part and ABERCROMBIE & KENT (T) LTD (hereinafter referred to as the Assignee of the other part)

It will be noted that I have not referred to some of the arguments in the submissions, particularly, those of the counsel for the plaintiff. This is because greater portion of those arguments relate to whether or not the leases can be reassigned, a matter which is not determinable at this stage. Before I part with this matter, I wish to say a few words. Among the documents filed in this case is a letter from receiver/manager of Mashado II addressed to Director General of TANAPA. In that letter, it is stated and I quote:

> The Advocates for the plaintiffs and the defendant appeared before the High Court on the 2 August 2000 and they were instructed by the Honourable Judge Mushi to try again to negotiate and settle this matter out of Court for the following reasons:
>
> 1) That this was a business transaction and was therefore an appropriate matter to be arbitrated and settled out of Court.
>
> 2) That although the Honourable Judge had not made up his mind it appears on the face of it that it may not be possible for any of the parties to win a hundred percent outright. The Honourable Judge is inclined to view that the demand for vacant possession by TANAPA is out of place as the Leases still existed as far as Mashado Game Fishing Lodge Limited was oncerned and they could operate through any agent if they so chose. However the Honourable Judge had doubts whether the TANAPA Leases could be treat just like "Ordinary Leases" to which received law could be applied as far as our assertion that the leases could be assigned without any consent.

Let me say that my thoughts are correctly stated. At that time all the parties were of the view that a settlement was very much a possibility and were openly exploring possible reasons. On further scrutiny of the pleadings and the correspondence between the parties, it is apparent that any legal decision one way or the other, its effects will not be limited to the interests of the parties only. It will have more far reaching effects. Tourism industry and investment in the country as a whole is likely to be affected; other sectors of the national economy are likely to be affected. If that be the case, there is certainly need for careful and exhaustive consultations with interested partiesas to what should be the policy with regard to re-assignment of leases in the National Parks. I say so, because there has been a previous re-assignment. To reach such a decision it requires time but there is not much time regarding the matter at hand.

IN THE MATTER OF COMPANIES ORDINANCE AND IN THE MATTER OF FAHARI BOTTLERS LIMITED BETWEEN FAHARI BOTTLERS LIMITED AND THE REGISTRAR OF COMPANIES AND NBC (1997) LIMITED AND OTHERS (OBJECTOR)

HIGH COURT OF TANZANIA
AT DAR ES SALAAM

(Kalegeya, J.)

MISCELLANEOUS CIVIL CAUSE No. 155 OF 1998

(Consolidated with Miscellaneous Civil Causes Nos. 146,147,148,149,150,151,152,153 and 154 by order of the Court dated 16 July 1999)

Company law – Scheme of arrangement – Approval of scheme of arrangement – Principles to be taken on board before sanctioning such approval – Section 154 of the Companies Ordinance Chapter 212.

The "Fahari Group of Companies", subject of ten petitions, had either to go into total liquidation or survive under an approved scheme of arrangement. A provisional liquidator appointed by the court was of the view that a scheme of arrangement would be beneficial to all parties. The court put into motion procedures for the preparation of the scheme. After its formulation the scheme was filed in court for approval. The court surveyed the law relating to formulation and approval of a scheme of arrangement.

Held: (i) Before sanctioning the scheme of arrangement the court should satisfy itself on the following elements:

(a) that the meeting of creditors or class of creditors or of the members of the company or class of members, as the case may be, was properly called and held;

(b) that the resolution at that meeting which approved the scheme should have been made by the majority in number of those who attended and voted (whether in person or proxy);

(c) that the majority should be holding three-quarters in value of the interest of all such persons;

(d) that the number and value of the interests of those who did not attend and not represented and those who attend but refrain from voting are immaterial in the latter's calculation;

(e) that votes are computed according to the value of the interest of the persons who cast them;

(f) that the scheme does not violate the law; it is reasonable; is made in good faith and is fair.

(ii) Exercising scrutiny on the instant scheme, there is no missing element or any factor that stands on the way between the application and its sanction by the court;

(iii) Since the scheme of arrangement complies with the law and is in the interests of beneficiaries, it is accordingly approved with the following directions:

(a) provisional liquidator to carry out investigations relating to property sold to third parties before the hive down and furnish a report to the court for record purposes or otherwise;

(b) provisional liquidator to furnish to the court records of costs payable to himself and the experts or related in this matter; such records should be available and would be subject of challenge by any creditor or interested party.

Scheme of arrangement is approved with directions accordingly

Statutory provision referred to:

1. Companies Ordinance Chapter 212, section 154

JS Warioba, Provisional Liquidator

RULING

(Delivered 21 November 2000)

Kalengeya, J.: On 26 October 2000, this Court directed the Provisional Liquidator, JS Warioba, to present to the Petitioners and Creditors a Scheme of Arrangement he had prepared in compliance with a court's order dated 20 September 1999. Over 75% of the petitioners and creditors having voted in favour thereof, the said Scheme of Arrangement has now been presented to the court for sanctioning in terms of section 154 of the Companies Ordinance (Chapter 212).

In my ruling of 26 October 2000, a full background leading to this state of affairs was given hence I find no cause for repetition. For continuity of running of events however I should state that the final report by the Provisional Liquidator which included the proposed Scheme of Arrangement was filed on 5 September 2000, generating arguments and which entailed the filing of affidavit/counter affidavits, the process of which ended on 11 October 2000. On 26 October 2000 the court ordered that the scheme be placed before the meeting of petitioners and creditors. A first report thereon was filed on two different dates: the first Report was filed on 14 November 2000 while the final Report (supplementary) was filed on 20 November 2000. It suffices to point out further that the "Fahari Group of Companies", subject of the 10 petitions, has, *either to go into total liquidation,*

or survive under an approved scheme of arrangement. That the "Group" is in deplorable financial distress, indeed seemingly insurmountable crisis, has aptly been portrayed by the Provisional Liquidator's Report. The issue is whether the scheme is the best way out for the beneficiaries deserving this Court's approval.

The scheme as proposed, and presented to the Petitioners and creditors' meeting is as follows:

a. The assets of the eight companies for example Fahari Bottlers, Fahari Fruit, Kilima Bottlers, Southern Highlands Bottlers, Ruaka Bottling Company. Mwanza bottling Company, Shinyanga Bottlers and West lake Bottlers will be acquired by IPBCIL and its associates which include Pepsi Company International.

b. The assets will be acquired liabilities.

c. Non-beverages assets will be excluded.

d. The consideration will be TZS. 4 billion (USD 5 million) payable before 31 December 2000.

e. IPCBIL will create a Tanzania Company in which the assets will be transferred.

f. Pepsi Cola International will grant the franchise to IPCBIL to bottle and distribute Pepsi Cola products in Tanzania.

h. The assets shall operate under the control of the Provisional Liquidator until they are legally transferred to IPCBL.

i. Employees who were in place on 17 May 2000 will be taken over in the new Company.

j. Pepsi Cola International will write off its debt of USD. 12 048 000.

Regarding the distribution formula agreed upon, the Provisional Liquidator's report subsequent to the meeting has the following:

(a) TZS. 500 million to be set aside to meet cost of the provisional liquidation. This amounting includes TZS. 200 million as costs of the previous provisional liquidation as directed by the Court of Appeal.

(b) TZS. 100 million for the benefits of employees.

(c) TZS. 2 250 million for the Government claim (NBC and TRA), which is 17% of the total claim.

(d) TZS. 360 million to secured creditors (27% of the claim)

(e) TZS. 1003.6 to unsecured creditors (17% of the claim)

As to attendance, 95 creditors attended and 94 voted 93 were for the scheme while one abstained.

Let us now turn to the law. Recognising that business is a risky activity, and that it is never static hence susceptible to changes depending on prevailing circumstances, whether to counter elements of deterioration or create/advance booming climate the law recognizes the Companies can enter the agreements by which their claims or rights can be compromised or modified and so also are claims or rights held by other persons against them. A scheme of Arrangement is one of such agreements.

The law relating to formulation, and approval of a Scheme of Arrangement is found in section 154 of the Companies Ordinance which provides:

> 154(1) Where a compromise or arrangement is proposed between a company and its creditors or any class of them, or between the company and its members or any class of them, the court may, on the application in a summary way of the company or of any creditor or member of the company, or, in the case of a company being wound up, of he liquidator order a meeting of the creditors or class of creditors, or of the members of the company or class of members as the case maybe, to be summoned in such manner as the court directs.
>
> (2) If a majority in number representing three-fourths in value of the creditors or class of creditors, or members of class of members, as the case may be present and voting either in person or by proxy at the meeting, agree to any compromise or arrangement, the compromise or arrangement shall, if sanctioned by the court, be binding on all the creditors or the class of creditors, or on the members of class of members, as the case may be, and also on the company or, in the case of a company in the course of being wound up, on the liquidator, and contributors of the company.

As its guidance, before sanctioning the Scheme, the court should satisfy itself on the following. The meeting should have properly been called and held; the resolution at that meeting which approved the scheme should have been made by the majority in number of those who attended and voted (whether in person or by proxy); that majority should be holding three-quarters in value of the interests of all such persons. The number and value of the interests of those who did not attend and not represented and those who attend but refrain from voting are immaterial in the latter's' calculation. Votes are computed according to the value of the interests of the person who cast them. The court should also be satisfied that the Scheme does not violate the law; it is reasonable; made in good faith and is fair. On reasonableness however, the court having at its disposal limited information has generally to tread on commonsense. As observed by one learned author.

> The courts judgment is invariable a broad commonsense one, paying particular regard to suspect motives and substantial disproportions between the treatment of different interests, and is not based on minute analysis of the details of the scheme or a comparison of alternative ways of dealing with the problems which the scheme seeks to solve - **Pennington's Company Law** (5 ed), Page 394.

As to fairness, the court has to look at the face value of the scheme. On existence of good faith or otherwise which is interconnected to the former, the court has to scan and satisfy itself that the group of voters which passed it did not do so in order to obtain unfair advantage against others, or that the positive voting was not induced by a group bent at advancing an improper advantage against another.

Generally, when holding meetings, in order to avail a particular group sufficient opportunity to deliberate fully and decide on how

a the proposed scheme affects its interests, separate meetings for different classes of interested parties for example separate classes of creditors or members, are held. However, in my view this may not apply in all schemes and in all situations. In a situation like the present one, where the Companies merely floated the idea of formulation of a scheme but the Scheme itself was formulated by a court appointee (a Provisional Liquidator), the court has power to order a common meeting as it did here. And this will depend on the conditions in which the Companies are and the nature of the scheme of Arrangement proposed. The court's duty then remains to be carefully exercised during analysis before sanctioning or otherwise of the scheme. I read no other limitation in the wording of section 154 of the Companies Ordinance.

Now exercising our scrutiny on the scheme is there any missing element or existing factor which stands on the way between the application and its sanction by this Court? My considered response is that there is none. I should however point out that whereas in the proposal the sum agreed upon was to be paid by 31 December 2000, the meeting pushed the deadline to a period of four months after sanctioning. The Provisional Liquidator's Report explains, and I think reasonably, the disparity on the grounds that earlier on, the sanction was expected to have been obtained in September.

The Petitioners came to Court petitioning for winding up. At the same time they implored the court to avail them first an opportunity of trying to put in a place a Scheme of Arrangement. The court conceded and appointed a Provisional Liquidator charged among others, with a duty of formulating such a scheme of Arrangement. The same was formulated and placed before the court which directed to have it tabled before a meeting of creditors and petitioners. A meeting was held and the required approval secured. The Provisional Liquidator's report shows that if an alternative course of total liquidation is taken through, both the petitioners and Creditors stand to lose than if the scheme is put in place. The basis given for the viability of the Scheme of Arrangement proposed and which, I believe greatly influenced

the petitioners and Creditors while casting their votes (and indeed not without justification) can best be painted by quoting in full paragraphs 20 and 23 of the Provisional Liquidator's Report.

> 20. After compiling the list of creditors and after I had received the preliminary valuation report it became clear to me that the companies were completely insolvent. The value of the physical assets was so low that there was no hope of the creditors realizing enough from liquidation. The value of the physical assets was about TZS. 5.5 billion and the registered claims of creditors was around TZS. 21.6 billion (later with the adjustment of the Pepsi Cola claim it rose to about TZS. 30 billion). The value had estimated liquidation realization at 2.7 55 billion. The picture that emerged was an average creditor realization of about 10% through liquidation.
>
> 23. From this preliminary analysis I came to the conclusion that a scheme to continue the business would be more advantageous to the creditors. In selling the business under a scheme of arrangement, in addition to value of land and buildings and plant and machinery, non-physical asset such as goodwill intellectual property, know-how etc. would be considered in determining the consideration. In addition the continuation of the business would preserve jobs and create more and also contribute to the growth of the economy though injection for further capital. With this in mind I put into motion procedures for the preparation of the scheme.

On job specification the scheme shows that recapitalization will inject in new life to the business saving about 450 jobs while creating others. On the whole this Court is satisfied that the Scheme of Arrangements complies with the law and is in the beneficiaries' interests and it is accordingly approved with the following two directions. In my ruling of 26 October 2000, at page 6, I had observed as follows:

> At the same time I should also point out that there are areas which, in accordance with the Provisional Liquidator's Report, need observations by this Court. For example, the report shows that there are claims that "some of the financial resources of the Fahari Group of Companies had

been diverted to buy shares in another company, Tasco". For such elements which the provisional liquidator conceded not to have properly investigated and which do not affect the proposed scheme, directions thereon will be made during the final decision by this Court when deciding whether to approve the scheme or otherwise.

I so observe because, among others the provisional liquidator's report in paragraph 10 has the following:

> 10 Serengeti (Dodoma) and Ziggi (Tanga) were a different story. I was presented with documentary evidence showing that both had been sold to third parties before the hire down and the management at both plants had no relationship with the petitioners. On the other hand the petitioners maintained that the assets were hired down when the companies were under the petitioners. It required investigation but I did not have financial resources to undertake this. I put it aside to be undertaken owing the process of full liquidation and proceeded to prepare the valuation statement of affairs and a scheme for the remaining eight companies. There were also claims that some of the financial resources of the Fahari Group of Companies had bee diverted to buy share in another company, Tasco. This also needed investigation and for the same reasons I set it aside for later action.

An investigation into the alleged state of affairs is necessary because any sum or property illegally transferred, if recovered, would go to the percentage which the creditors would be entitled to. The Provisional liquidator should carry out that investigation and recover whatever is recoverable with liberty to seek assistance of the court. While taking all the necessary steps in that regard the provisional liquidator should furnish a report to the court for record purposes or otherwise.

Secondly, for record purpose, the provisional liquidator should furnish to the court, records of costs payable to himself and the experts or related in this matter. This is necessary for transparency. These records should be available and would be subject of challenge by any creditor or interested party.

BUSHANGILA NG'OGA v. MANYANDA MAIGE

HIGH COURT OF TANZANIA
AT TABORA
(Mwita, J.)

(PC) CIVIL APPEAL No. 18 OF 2000

(From the District Court of Kahama at Kahama in Civil Appeal No. 62 of 1999 originating from Urban Primary Court of Kahama in Civil Case No. 62 of 1999)

Family Law – Enticement of another's wife – Medicineman retaining respondent's wife for six months to treat her – Wife subsequently refuses to return to the respondent – Enticement established – Sections 73 and 74 of the Law of Marriage Act 1971.

Civil Practice and Procedure – Appeals – Powers of appellate Court – Whether a court on second appeal may interfere with Lower Courts' findings of fact.

Family Law – Damages – Assessment of damages – Duty of second appellate Court.

The respondent took his wife, Mirembe Sato, to a local medicine-man, the appellant, for treatment. Having performed his rituals, the appellant told the respondent that the respondent had an omen and that he should leave his wife alone at the appellant's home undergoing treatment and should not return there as the presence of his omen would cause the death of his wife. The respondent complied and left his wife at the appellant's home. Thereafter the respondent used to request his elder brother to take maintenance to his wife at the appellant's home. After six months the respondent, now suspicious, went to the appellant's home; he found his wife taking part in a local dance conducted by the appellant. Married women, it was stated, do not take part in the said dance. When requested to go back to her husband, Mirembe Sato refused, preferring to stay at the appellant's home. The respondent then successfully sued the appellant for damages for enticing the respondent's wife. The Trial Court awarded TZS. 200 000 in damages. The appellant unsuccessfully appealed to the District Court.

Held: (i) There was ample evidence to show that the appellant did entice the respondent's wife and there was nothing on the record to suggest that the conduct of the respondent justified, or was an excuse for his spouse leaving the matrimonial home;

(ii) It is settled that in the absence of misdirection or misapprehension of evidence, an appellate Court should not interfere with concurrent findings of fact of the two Lower Courts; in this case there was no misdirection or misapprehensions of evidence and therefore no justification for interfering with the findings of fact of the two Lower Courts.

(iii) The damages awarded were not so high as to lead to the conclusion that a wrong principle was used in assessing the damages.

Appeal dismissed

Statutory provision referred to:

1. Law of Marriage Act 1971, sections 73, 73(1)(2) and 74, 74(1)(2)

JUDGMENT

(Delivered 22 November 2000)

Mwita, J.: In 1999 Manyanda Maige instituted a Civil suit at Kahama Urban Primary Court against Bushangila Ng'oga claiming damages as a result of the said Bushangila Ng'oga enticing or inducing his wife to desert him. The Primary Court entered judgment in favour of Manyanda Maige and assessed damages at TZS. 200 000. Dissatisfied with the Primary Court's decision Bushangila Ng'oga unsuccessfully appealed to Kahama District Court. He has further appealed to this Court.

At the hearing of this appeal both parties appeared and argued the appeal in person.

Briefly stated the facts are as follows:

In December, 1998 Manyanda Maige (respondent) took his wife, Mirembe Sato, to a local medicine man called Bushangila Ng'oga (appellant) for

treatment. Having performed his rituals purporting to relate to the treatment of the said Mirembe Sato, the appellant informed the respondent that he, the respondent, had a bad omen and that he should leave his wife alone at the applicant's home undergoing treatment and should not return there as the presence of his omen would cause the death of his wife. The respondent acted upon the appellant's advice and left his wife undergoing the purported treatment at the appellant's home. Thereafter the respondent used to request his elder brother to take maintenance to his wife at the appellant's home.

After about six months without his wife returning home, the respondent became suspicious. He went to the applicant's home and found his wife taking part in a local dance conducted by the appellant allegedly aimed at making the respondent's wife refuse to return to him. A number of witnesses saw Mirembe Sato participating in the said dance. According to evidence on record married women do not take part in the said dance.

On being requested to go back to her husband's home, Mirembe Sato refused, preferring to stay at the appellant's home.

Sections 73 and 74 of the Law of Marriage Act 1971, provide:

73(1) A husband or wife may bring a suit for damages against any person who has, for any reason, enticed or induced his or her spouse to desert him or her.

(2) A suit brought under this section shall be dismissed if the defendant satisfies the court that the conduct of the plaintiff has been such as to justify or excuse his or her spouse leaving the matrimonial home.

74(1) Damages for adultery or enticement shall be in the discretion of the court but shall not include any exemplary or punitive element.

(2) In assessing such damages, the court shall have regard

(a) to any relevant custom of the community to which the parties belong.

There is ample evidence on record to support findings of fact by the two Lower Courts that the appellant did indeed entice or induce the respondent's wife to desert him. There is nothing on record to

suggest that the conduct of the respondent has been such as to justify or excuse his spouse leaving the matrimonial home.

It is a well established rule of practice that in the absence of misdirections or misapprehension of evidence an appellate Court should not interfere with concurrent findings of fact of two Lower Courts. In the instant matter there are concurrent findings of fact by the Primary and District Court. As there does not appear to be any misdirections or misapprehension of evidence there is no justification for interfering with the findings of fact of the two Lower Courts.

The damages awarded are not so high as to lead to the conclusion that a wrong principle was used in assessing the damage so as to attract interference by this Court. The appeal is accordingly dismissed with costs.

SMZ *v.* MACHANO KHAMIS ALI AND 17 OTHERS

COURT OF APPEAL OF TANZANIA
AT ZANZIBAR

(Kisanga, Ramadhani and Lugakingira, JJ.A.)

CRIMINAL APPLICATION No. 8 OF 2000

(From the Ruling of the High Court of Zanzibar at Vuga, Tumaka, Deputy C.J., dated 3 April 2000, in Sessions No.7 of 1999)

Constitutional Law – Sovereignty – Union of Tanganyika and Zanzibar to form the United Republic of Tanzania – Whether the constituent parts of the union retained their soverign status.

Criminal Law – Treason – Whether the offence of Treason can be committed against the Revolutionary Government of Zanzibar.

Internationa Law – Sovereignty – United Republic of Tanzania – Zanzibar and Tanganyika uniting to form the United Republic of Tanzania – Effect on sovereignty of the parties .

The applicants were charged in the Zanzibar High Court with treason, contrary to section 26 of the Zanzibar Penal Decree Chapter 13. They raised four preliminary issues, including that the charge of treason against the authority in Zanzibar is not maintainable as Zanzibar is not a sovereign state. While their appeal was pending judgment in the Court of Appeal, the High Court in Zanzibar discharged them following a *nolle prosequi* entered in their favour. However, despite the *nolle prosequi,* the Court of Appeal decided to address the issue concerning the decision of the Zanzibar High Court to the effect that the offence of treason can be committed against the Revolutionary Government of Zanzibar, by way of revision under section 4(3) of the Appellate Jurisdiction Act Number 17 of 1993.

Held: (i) The international entities known as Tanganyika and Zanzibar ceased to exist as from 26 April 1964 because of the articles of the Union; the two States merged to form a new international person called the United Republic of Tanzania;

(ii) Zanzibar, just like its sister Tanganyika, is neither a State nor is it sovereign; the State and the Sovereign is the United Republic of Tanzania;

(iii) The overthrow of the Revolutionary Government of Zanzibar, and this includes the overthrow of the Head of the Revolutionary Government of Zanzibar or as he is also called the President of Zanzibar, is a Union matter and not a matter of exclusive jurisdiction of the Revolutionary Government of Zanzibar.

Order accordingly

Cases refered to:

1) *Joyce v. DPP* [1946] AC 347
2) *Caglar v. Billingham* [1996] LRC Vol I, 565
3) *Haji v. Nungu* [1987] LRC (Const.) 224
4) *Daudi Pete v. Republic* [1993] T.L.R. 22
5) *Republic v. Christian* [1924] App D 101 (SAF)
6) *Seif Shariff Hamad v. SMZ* Criminal App171 of 1992 (unreported).

Statutory provisions referred to:

1. Appellate Jurisdiction Act 1979, as amended by Act Number 17 of 1993, section 4(3)
2. Zanzibar Penal Decree Chapter 13, section 26
3. Criminal Code Law of Nigeria, sections 37 and 38
4. Union Constitution, articles 1, 4(3) , 28(4) and 64(5), 34, 64(4), 64(4)(a), 125 and 147(2)
5. Territory of the United Republic, article 2(1)
6. Covenant of the League of Nations, article 22
7. Constitution of Zanzibar, article 78(1), 102 and 129

Messers Hamidu Mbwezeleni, Salim Mnkonje and *Nassor Hamisi,* for the applicants

Messers Othman Mohamed Othman and *Salum Toufiq,* for the SMZ

Messers Kipenka Musa, Syrilius Matupa and *Professor Jwani Mwaikusa,* as *amici curiae*

ORDER

(Dated 21 November 2000)

Ramathani, J.A.: This matter came to us as an appeal by the accused persons against the decision of the learned Deputy Chief Justice of Zanzibar. We heard the appeal but reserved our judgment to a later date. As the appeal was of its own kind and raised grave constitutional issues for the determination by this Court for the first time in its history, there was a need to research and be thorough in our judgment. When the judgment was ready and the court was in the process of setting the date of its delivery, we learnt of the order of Mshibe Ali Bakary, Ag.J. of the High Court of Zanzibar, of 9 November 2000, discharging the accused persons following a *nolle prosequi* entered by Mr Toufiq, Principal State Attorney, for the prosecution. However,

despite the *nolle prosequi*, the decision of the High Court of Zanzibar to the effect that the offence of treason can be committed against the Revolutionary Government of Zanzibar remains intact, and might be relied upon in future by the High Court. We are satisfied that decision ought to be revised and that it cannot be allowed to stand.

In view of the changed circumstances, therefore, we decided to revise that decision under section 4(3) of the Appellate Jurisdiction Act 1979, as amended by Act Number 17 of 1993.

However, we are duty bound to point out that that subsection empowers this Court "to call for and examine the record of any proceedings before the High Court ..." We did not have to call for the record in this case because the record was already with us.

The eighteen accused persons stand charged with treason c/section 26 of the Penal Decree (Chapter 13 of the Laws of Zanzibar). The litigation has been protracted and when the matter landed in the High Court of Zanzibar, the accused persons raised four preliminary issues. The SMZ conceded the first issue; that charge was defective. Leave was given by the learned Deputy Chief Justice to amend the charge.

The remaining three issues were highly contentious. First, the accused persons argued that the charge is time barred. They also claimed that the charge of treason against the authority in Zanzibar is not maintainable as Zanzibar is not a sovereign state. Lastly, they repeated the "the old, old story" of a request for bail. All the three issues were decided against the accused persons. Our concern here is the constitutional issues of whether or not treason can be committed against the Revolutionary Government of Zanzibar.

The accused persons' learned advocates were Mr Hamidu Mbwezeleni, Mr Salim Mnkonje and Mr Nassoro Hamisi. The Serikali ya Mapinduzi ya Zanzibar, that is, the Revolutionary Government of Zanzibar, in short SMZ, on the other hand, was represented by Mr Othman Mohamed Othman, learned Deputy Attorney General, and Mr Salum Toufiq, learned Principal State Attorney. Because of the seriousness of the matter, and upon our advice, the Honourable Chief Justice agreed

to invite some *amici curiae*, friends of the court, to assit the Court. So, we had Mr Kipenka Musa, the Director of International and Constitutional Department in the Attorney General Chambers of the United Republic of Tanzania, who was accompanied by Mr Syrilius BG Matupa, learned Principal State Attorney. There was also Professor Jwani Mwaikusa who holds the Chair of Constitutional Law at the University of Dar es Salaam. The three friends of the court addressed the court right at the end after the counsel of the two parties completed their submissions.

As already said, the accused persons were faced with a charge of treason contrary to section 26 of the Penal Decree (Chapter13). After mentioning the names of the accused persons, the indictment alleges the following particulars:

> ... all together by your words and actions you intended and devised ways of treason in order to overthrow the Government of Zanzibar and to remove from authority the President of the Revolutionary Government of Zanzibar.

We have to be clear in our minds what is treason. What does it entail generally against who can it be committed and by whom?

The Concise Dictionary of Law defines treason as "conduct comprising a breach of allegiance owed to the sovereign or the state". That is also stated by **Halsbury's Laws of England,** (4 ed). Paragraph 77, that is, "the essence of the offence of treason lies in the violation of allegiance owed to the sovereign. Again in *The Digest (***Annotated British, Commonwealth and European Cases).** Volume 14(1), 1993 (second reissue), paragraph 1734 at page 208, it is stated: "On a indictment for high treason it must appear unequivocally that the criminal owed allegiance to the Crown". Sir David Yardley, too, at page 123 of his book: **Introduction to Constitutional and Administrative Law,** (8 ed), reiterates the same requirement of allegiance to the Crown.

The classic case on treason is *Joyce v. DPP* (1). Joyce was an American citizen resident in a British territory for 24 years. He

obtained a British passport on pretence that he was a British subject by birth. He renewed the passport and before the renewal expired, the Second World War broke out. It was then discovered that he was in the employment of a German Radio Company and that from enemy territory he had broadcasted in English some talks hostile to Great Britain. He was charged and convicted of treason. He unsuccessfully appealed to the House of Lords where *Lord Jowitt*, LC, had this to say at page 365:

> It is necessary then to prove not only that an act was done but that, being done, it was treasonable act. This must depend upon one thing only, namely *the relation in which the actor stands to the King to whose enemies he adheres*. The act that is in one man treasonable, may not be so in another ... *The question whether a man can be guilty of treason to the king has been treated as identical with the question whether he owes allegiance to the King.* [emphasis supplied]

His Lordship continued at page 368:

> The principle which runs through feudal law and what I may perhaps call constitutional law requires on the one hand protection, on the other fidelity: a duty of the sovereign lord to protect, a duty of the liege or a subject to be faithful. Treason "treason, is the betrayal of a trust: to be faithful to the trust is the counterpart of the duty to protect.

To their Lordships it was immaterial that in the law, Joyce was not a British subject because the passport was obtained by a misrepresentation. It was enough that the possession of that document enabled him to obtain in a foreign country the protection extended to British subjects.

From the authorities cited, therefore, the following four matters have to be proved in an indictment for treason: one, an act has been committed; the act is treasonable; three, the act is against a sovereign or a state; and lastly, the act was one by a person who owes allegiance to the sovereign or the state.

This brings us to the next question: who is a sovereign, in other words, what is sovereignty, and what is a state? To focus the matter

squarely to the matter before us, the questions are: is Zanzibar a state and is the Revolutionary Government of Zanzibar Sovereign?

Mr Musa submitted that there are four requirements for the existence of a state in international law: a defined territory, population, a stable government and independence or sovereignty. He went further, quoting *Caglar v. Billingham*, (2) at page 565, stating that sovereignty is the capacity to enter relations with other states.

Mr Mbwezeleni had submitted earlier that sovereignty is not a day-to-day activity of a country but supreme authority independent from any outside interference. He further stated that a sovereign must have power to protect its citizens both internally and externally. Mr Mbwezeleni then posed a question whether Zanzibar has such capacities. We shall deal with this issue later.

SMZ, as properly pointed out by Mr Mbwezeleni in his reply, made no submissions on what is a state and what is sovereignty. The other friend of the court, Professor Mwaikusa, also did not say anything on these two issues.

What is a state in international law? The Rt. Honourable The Earl of Birkenhead, in **International law**, (6 ed) Edited by Ronw Moelwyn-Hughes (1927) at page 31 provides the following definition:

> A state within the meaning of international law may be described as a permanently organized society, belonging to the family of nations, represented by a Government authorized to bind, it, independent in outward relations, and possessing fixed territories.

As rightly submitted by Mr Musa, there are four conditions that need to be satisfied for a state to exist. In that regard we are indebted to L Oppenheim;s **International Law: A Treatise** Volume 1 – Peace, (5 ed) By H Lauterpacht, 1937 (Longmans) and to JL Brievly **The Law of Nations (An Introduction to the International Law of Peace)** (6 ed) By Sir Humphrey Waldock, 1963 (Oxford), for most of what follows.

The first of the four conditions is that there must be a people. This is an aggregate of individuals of both sexes, regarless of race or colour or creed, living together as a community. Secondly, there must to a country in which the people have settled down. The size of the country is immaterial. Thirdly, there has to be a Government for example a person or persons who are the representatives of the people who rule according to the law of the land. Lastly, the Government has to be sovereign.

What is sovereignty? Oppeinheim says at page 113, "Sovereignty is supreme authority, an authority which is independent of any other authority. Sovereignty in the strict and narrowest sense of the term implies, therefore, independence all-round, within the without the boarders of the country".

It may help if we look at how this doctrine came into being. At the end of the Middle Ages, the word souverain was used in France to describe an authority which did not have another authority above itself. Thus, for instance, this Court would have been referred to as Cours Souveraines since there is no other authority above it. A legal philosopher, Jean Bodin, it was, in his work, **De la Republique**, 1577, who introduced the term sovereignty. To him sovereignty was an essential principle of internal political order. Sovereignty was supreme power within a state without any restriction, whatsoever, except the Commandments of God and the Law of Nature.

In the sixteenth century the British philosopher, Thomas Hobbes in Leviathan, went further to exclude any restriction on the sovereign. His views were that men needed for their security a common power to keep them in awe and to direct their actions to the common benefit. To him that power was the sovereign. However, there were others like Samuel Pufendorf who did not subscribe to the view of unfettered authority of the sovereign.

That is one aspect of sovereignty: supreme authority. It has been recognized that sovereignty has dual aspects; internally it relates to the power of making and enforcing laws, externally to freedom from

outside control. The curtailment of external authority and the dependence on another power are not in themselves fatal to the internal sovereignty of the state concerned. For the purposes of treason internal sovereignty is the more relevant. Authority for law making and law enforcement is essential to the existence of any sovereign. This dual aspect itself begets the issue of the divisibility of sovereignty. Is sovereignty divisible?

There are two schools of thought. The prevailing one among authors in the sixteenth and seventeenth centuries was that sovereignty was indivisible. This tallied with the original concept of sovereignty that it has an attribute of a personal ruler inside the state. After the Peace of Westphalia the many member-states of the German Empire were practically independence and this provided a fertile environment for nurturing the idea of divisibility of sovereignty.

The theory of concurrent sovereignty of the Federal State and the member-states canvassed by The **Federalist** (Alexander Hamilton, James Madison and John Jay) in 1787 when the United States of America turned from Confederation of States into a Federal State, added nourishment to this second school of thought. We may add that this was because of the constitutional set-up of the USA itself. But even then there were still some authors like Rousseau in his **Contrat Social,** and Calhoun in **A Disquisition on Government,** (1851) who defended the indivisibility of sovereignty.

However, the modern development of the theory of sovereignty has been to give up the attempt to locate absolute power in any specific person or body within the state and to ascribe it to the state itself. As there are semi-independent states, like those under the protectorate of another state or are member-states of a federal state, then we are at one with Oppeinheim that "it may well be maintained that sovereignty is divisible.

Along side that, the demands of modern international law require partial surrender of sovereignty by states to accommodate the powers of international legislation and decision of international tribunals.

The development of international human rights law has curtailed further the sovereignty, "what a state did with its own citizens was its own affair beyond the reach of international law of legal intervention by other states" [JP Humphrey's "The International Law of Human Rights" in **The Present State of Internatinal Law and Other Essays,** (1973)]. But that is not the case now. What a state does to its citizens is a matter of concern for other states. [Paul Sieghart: **The Internatinal Law of Human Rights**, 1983 (Oxford)].

Now, a sovereign state is an International Person in the eyes of International law and is recognized as such by the other Powers. As a rule, International Persons are single sovereign states with one central political authority as government within and without the borders. These form simple International Persons. But there are also composite International Persons of varying permutations. Two or more sovereign states may be linked together in such a way that they are exclusively or to a great extent one International Persons. The union may be such that the supreme power for all purposes, both foreign and domestic, is in one body. In that case it is referred to as an incorporate union, as is the case of the United Kingdom. However, if in such a union that states exist separately for domestic purposes and as one entity for purposes of foreign affairs, the entity is called a real union. There are no existing real unions nowadays. However, the two classic examples of real unions were Sweden-Norway (1814-1905) and Austrian-Hungary that came to an end in 1918.

There are other forms of international persons like federations. However, The Rt. Honourable The Earl of Birkenhead cautions, and rightly so, in our opinion, that the division "is a question of nomenclature of no very great importance" [page 34]. The categorization, according to Prof Westlake **Internatinal Law**, Volume 1 (Cambridge) at page 35 does not depict the clossiness of the International connection existing between the states united. He suggests that the nomenclature may be descriptive of how the union came into being.

Be it as it may, that discussion, though interesting, should not detain us but suffice it is to say that the constitutional set-up of the United Republic is unique. It is a union but with some elements of federalism. However, a definition and a description of the nature of a real union given by Oppenheim at page 157 may shed some light on the matter before us. He says:

> A Real Union is in existence when two sovereign States are, by an international treaty, recognized by other powers, linked together forever under the same monarch, so that they make one and the same International Person. A Real Union is not itself a State, but merely a union of two full sovereign States which together make one single but composite International Person. They form a compound Power, and are by the treaty of union prevented from making war against each other. On the other hand, they cannot make war separately against a foreign Power. Nor can war be made against one of them separately. They can enter into separate treaties of commerce, extradition, and the like, but it is always the Union which concludes such treaties for the separate States, as separately they are not International Persons.

We can in all fairness say that The United Republic of Tanzania closely resembles a real union but for the stipulation that a real union is not itself a state. There is no speck of doubt that the United Republic of Tanzania is a state. The two parts forming the United Republic of Tanzania can neither separately go to war against a foreign power nor can war be made against one of them separately as was amply demonstrated in the war against Idd Amin Dada of Uganda. The whole of Tanzania is the treaty-making power. This was illustrated by the abortive attempt of Zanzibar to join the Organization of Islamic Conference.

Maybe this is the proper juncture of turn to the question posed by Mr Mbwezeleni: is Zanzibar a sovereign state in International law?

After the above exposition, we have no difficult at all to answer that question in the negative. The International Persons called Tanganyika

and Zanzibar ceased to exist as from 26 April 1964 because of the Articles of Union. The two states merged to form a new international person called the United Republic of Tanzania.

The Rt. Honourable The Earl of Birkenhead has said at page 36: A nation cannot indefinitely surrender the treaty-making power to another, and at the same time retain its existence as a sovereign state". We concur with this contention and we wish to point out that both Tanganyika and Zanzibar, and not Zanzibar alone, surrendered their treaty-making powers to the United Republic of Tanzania.

Thus, Zanzibar, just like its sister Tanganyika, is neither a state nor is it sovereign. The state and the sovereign is the United Republic of Tanzania.

However, we have already said that the modern times sovereignty is divisible. The question then is whether sovereignty vested in the United Republic of Tanzania is divisible as between the two parts. To determine that question we have to analyse the provisions of the Constitution of the United Republic of Tanzania 1977.

Mr Mbwezeleni submitted that sovereignty is not divisible. We think that we better pause here for a moment and reiterate our finding that in international law sovereignty is divisible. So, we take it that what Mr Mbwezeleni has submitted is that in Tanzania sovereignty is not divided and that is exactly the determination confronting us.

Mr Mbwezeleni started by pointing out that article 1 of the Constituion of the United Republic of Tanzania 1977 (hereinafter referred to as the Union Constitution) proclaims that Tanzania is one country. Also he pointed out that article 1 of the Constitution of Zanzibar, 1984, reiterates that position by declaring that Zanzibar is part of the United Republic of Tanzania. The learned advocate contended that sovereignty is then in the Executive of the Union.

In an endeavour to drive home his argument he cited a number of examples. One, it is the President of the Union, and not the President of Zanzibar, who divides Zanzibar into regions and districts though

after consulting the President of Zanzibar. Two, a Zanzibar is defined in terms of being a Tanzanian citizen first. Three, Zanzibar is not in a position to protect its residents because the Police and the Military belong to the Union Government. Mr Mbwezeleni argued that the raising of the Jeshi la Kujenga Uchumi and Kikosi Maalum cha Muzuia Magendo, both of which are paramilitary, is a violation of article 147(2) of the Union Constitution. That article permits the Government of the United Republic only to raise and maintain military forces of any kind.

Mr Othman, the Deputy Attorney General, started by saying that treason is not covered by any of the two Constitutions and that it is left to the individual penal statutes. Moreover, he submitted that treason is not one of Union matters and so it is possible to commit treason against the Zanzibar authority. However, he conceded that committing treason against Zanzibar is committing treason against the United Republic of Tanzania since Zanzibar is part of the United Republic.

Mr Toufiq came out clearly on the issue of divisibility of sovereignty. He submitted that the United Republic as well as Zanzibar is each sovereign in its own sphere of jurisdiction. He cited the case of *Haji v. Nungu and another* (3), as authority for the principle of exclusive jurisdiction of Zanzibar over non-union matters in Zanzibar.

In reply, Mr, Mbwezeleni used *Haji v. Nungu* to argue that treason is a Union Matter and hence it cannot be committed against the Revolutionary Government of Zanzibar. The learned advocate went on to argue that the cumulative effect of articles 28(4) and 64(5) of the Union Constitution is to repeal section 26 of the Penal Decree that is, to expunge treason for that Decree. Mr Mbwezeleni admitted that national security has not been defined, however, his opinion was that matters of treason obviously fall under the portfolio of national security.

Mr Musa cited *Caglar v. Billingham* (2) at page 565, which prescribes that sovereignty is a relative term and that such depends on the internal

structure of a country. He pointed out that though. article 1 of the Union Constitution provides that Tanzania is one sovereign country, article 4 provides two executives, two legislatures and two judiciaries. He, too, relied on *Haji v. Nungu* as authority for the principle of duality and the recognition that there are matters for the Union and others exclusively for the Revolutionary Government of Zanzibar.

We have already said that the constitutional set-up of the Union is unique. It is our considered opinion that it is not necessary to delve into academic exercise of determining the exact docket in International Law in which to put the constitutional set-up of the United Republic of Tanzania. The starting point for our determination is what Mr Mbwezeleni pointed out, and which was repeated by Mr Musa, the provisions of article 1 of the Union Constitution:

> Tanzania ni nchi moja na ni Jamhuri ya Muungano.

That has been translated in English as "Tanzania is one State and is a sovereign United Republic. An element of sovereignty, which does not appear in the Kiswahili version has been introduced in the English version. Admittedly, we are not aware of a single Kiswahili word for sovereignty. This Court said in *Daudi Pete v. Repbulic* (4) at page 33 that the controlling version of the Constitution is the Kiswahili one and not the English version because the Constitution was enacted in Kiswahili. So, the translation should be "Tanzania is one country and is a United Republic".

If we may digress for a second, the formulation of article of the Interim Constitution of Tanzania 1965, which was enacted in English, was by far poignant: "Tanzania is a United Sovereign Republic. We wish that rendering could have been repeated in the current Constitution. A number of other matters were clearer in the 1965 Constitution than in the 1977 Constitution as we shall see.

It is further provided in article 2(1) that the territory of the United Republic consists of the whole area of Mainland Tanzania, of Tanzania Zanzibar and the territorial waters. As already said, the proclamation

of article 1 of the Zanzibar Constitution that "Zanzibar is part of the United Republic" supports this declaration.

In addition, we may as well point out that article 103 of the Union Constitution provides that:

> *There shall be a head of the Revolutionary Government of Zanzibar who shall be the President of Zanzibar* and the Head of the Revolutionary Government of Zanzibar and also the Chairman of the Revolutionary Council of Zanzibar. [emphasis supplied]

It is significant to note that Article categorically provides for the Head of the Revolutionary Government of Zanzibar and not for the Head of State of Zanzibar even though this Head of the Revolutionary Government is also titled the President of Zanzibar. This clinches the debate and drives home the fact that Zanzibar is not a state, not only in international law but also under the Union Constitution. Louis XIV of France bragged: "the State is me". In the like manner, here at home, the unflinching legal position is that "the State is the Union". There is absolutely no iota of dispute that the United Republic of Tanzania is indeed one country, one state.

After such a stark and authoritative declaration that the United Republic is one country, article 4 of the Union Constitution goes on to prescribe that all functions of the state authority shall be exercised and controlled by two Government. The Government of the Union and the Revolutionary Government of Zanzibar; two Judiciaries one for the Union and the other for Zanzibar; and two legislatures the Parliament of the Union and the House of Representatives of Zanzibar.

For more efficient discharge of public affairs and the effective division of the functions spelled out above amongst the designated organs, article 4(3) of the Union Constitution categorises affairs into Union matters, which are contained in the first Schedule, and non-Union matters, which "are all other matters not so listed". The list of Union Matters has now doubled to 22 from the original eleven matters.

Among the Union Matters listed in the First Schedule is item 3, "defence and security". It may not be out of place to observe that whereas defence is one of the original eleven Union Matters, security was added to the list in 1984 after the 'pollution of the political air' which resulted in the resignation of Mr Aboud Jumbe Mwinyi from his position as the President of Zanzibar, the Chairman of the Revolutionary Council, he Vice-President of the Union, and the Vice Chairman of the Chama Cha Mapinduzi. We shall revert to item 3 in due course.

It is categorically provided in article 34 of the Union Constitution that the Government of the Union has authority with respect to all Union Matters in and for the Union and all other matters in and for Mainland Tanzania. The Revolutionary Government of Zanzibar, on the other hand, has executive authority with respect to all non-Union Matters in and for Zanzibar under article 102 of the same Constitution. Thus with respect to Zanzibar, each of the two Governments in the United Republic has exclusive jurisdiction in its own sphere.

Again, to digress a bit, the earlier version of the 1977 Union Constitution was silent as to which government had authority over Mainland Tanzania for the non-Union Matters. The categorization that such authority was vested in the Union Government existed in the interim Constitution of the United Republic, 1965, but it was not reproduced in 1977. Professor BP Srivastava in his Professorial Inaugural Lecturer, "The Constitution of the United Republic of Tanzania, 1977 Some Salient Features – Some Riddles, delivered on 6 March 1982, pointed out that omission. He argued that it was unconstitutional for the Government of the United Republic to deal with non-Union matters for the Mainland Tanzania. Probably that criticism prompted the reinstatement of the 1965. We make this observation to underscore the need to be painstaking in writing our Constitution.

Therefore, it appears to us that there are only two lists: one of Union Matters and the other of matters in the exclusive jurisdiction of the Revolutonary Government of Zanzibar. From the arrangement of things under the Union Constitution, it does not appear that there

is a third list of concurrent jurisdiction. So, a matter is either exclusively for Zanzibar or its for the Union. Here we are required to determine to which of the two pigeonholes we slot in treason.

It is our considered opinion that on the basis of the principle of duality and the established fact of exclusive jurisdiction of the Revolution Government of Zanzibar over all non-Union Matters in Zanzibar, the only logical conclusion is that sovereignty is divisible within the United Republic. Now, in order to determine which of the two Governments exercises sovereignty over any given matter one has to determine whether or not the matter is Union or non-Union.

The reflex action and the enticing attraction is to rush to the conclusion that the First Schedule to the Union Constitution cataloguing Union Matters readily provides that determination. But is that list exhaustive?

This Court has said in *Haji v. Nungu* at page 232, per Nyalali, C.J.:

> ...there are matters which concern sides of the Union, that is, they concern Tanzania Mainland as well as Zanzibar. According to the basic scheme or structure of the Constitution of the United Republic, these matters appear to be dealt with in triple ways:
>
> First, some of these matters of common concern are listed in the First schedule to the Constitution ...
>
> Secondly, there are other matters of concern both to Zanzibar and to Tanzania Mainland and which are not listed in the first Schedule, but are specifically provided for under the Constitution of the United Republic. Such is the right of audience of Attorney General of the United Republic in the Courts of the United Republic...

His Lordship went on to cite other examples of Union Matters which are not contained in the First Schedule, like, the Permanent Commission of Inquiry which has now been replaced by the Human Rights Commission established under article 129 and the Constitutional Court established under article 125. After the court observed further:

> Other matters which are specifically provided for under the Constitution of the United Republic is certain legislation of the Parliament of the United Republic which is enacted in accordance with the provisions of article 64(4). The Election Act 1985, which applies throughout the United Republic of Tanzania, appears to be one such Legislation enacted under article 64(4)(a). Undoubtedly this legislation does not concern a union matter listed under the First Schedule to the Union Constitution and would appear to infringe the provisions of article 78(1) of the Constitution of Zanzibar, which provides, in effect that: "All legislative power in Zanzibar over all non-union matters is vested in the House of Representative."

Thus, and as properly pointed out by both Mr Musa and Mr Mbwezeleni, from that decision there are three bases for classifying an issue as being a Union Matters if the matter is listed in the First Schedule as a Union Matter or if the matter is specifically provided for under the Union Constitution to concern both sides of the Union or thirdly, if the matter is regulated by a legislation enacted under article 64(4) extending to the entire Union.

By using the first test, that is, of the list in the First Schedule, one is tempted to jump to the conclusion that treason is a Union Matter because "security" is listed as a Union Matter in item 3 of the First Schedule. But one is forced to stall by the gaping omission that the Union Constitution does not provide a definition of what is "security". Fortunately, however, there is the Tanzania Intelligence and Security Services Act 1996 (Act Number 15 of 1996). It is a matter of great pity that none of the learned counsel cited this Act to us. Therefore, we have not had the benefit of their expertise in construing its provisons.

Section 3 of that Act defines "security" in the following terms:

> The protection of the United Republic from acts of espionage, sabotage and *subversion,* whether or not it is directed from or intended to be committed within the United Republic; [emphasis supplied].

That section goes further to define "subversion" in the following words:

Attempting, inciting, counseling, advocating or encouraging:

(a) *the overthrow by unlawful means of* the Government of the United Republic *of the Revolutionary Government of Zanzibar.*

(b) The undermining by unlawful means of the authority of the State in the United Republic. [emphasis supplied]

There is no doubt at all in our minds that "subversion" and treason are cognate offences. Both are about the overthrow of or the revolting against Authority. The distinction is that: while subversion is an attempt to overthrow Authority by any person irrespective of the relationship of that person to the Authority concerned, treason is an attempt to overthrow Authority by one who has allegiance to that Authority. As such treason, like subversion, falls squarely under the label of security and by virtue of item 3 of the First Schedule is a Union Matter.

The inescapable conclusion, then, is that: the overthrow of the Revolutionary Government of Zanzibar, and this includes the overthrow of the Head of the Revolutionary Government of Zanzibar or, as he is also called, the President of Zanzibar, is a Union Matter and not a matter of exclusive jurisdiction of the Revolutionary Government of Zanzibar.

For the sake of clarification, we may point out here that we have used the definition provided by the Tanzania Intelligence and Security Service Act 1996, to fill in the lacuna in the Union Constitution on two grounds. First, this Act according to section 2, applies to both sides of the Union. Second, it is a legislation directly connected to item 3 of the First Schedule to the Union Constitution adding security to the list of Union Matters.

Our attention was drawn to the provisions of article 28(4) of the Union Constitution:

> Treason as defined by law shall be the most grave offence against the United Republic.

We agree with Mr Othman, the Deputy Attorney General, that article does not create an offence in the sense that it does not define or

prescribe the ingredients of the offence. That clause, however, acknowledges the existence of the offence of treason as defined by law. What is crucially significant, in our opinion, is that clause declares the offence of treason to be "the most of offence against the United Republic. Treason is the only offence so elevated in the Constitution. There is no flicker of doubt in our minds that clause makes the offence of treason a Union Matter though the offence is not contained in the First Schedule. And this tallies with the second leg of the decision in *Haji v. Nungu*, that is, a matter that is specifically provided for under the Union Constititution and concerns both sides of the Union.

Again, because of the last mentioned reason, treason is a matter for the Union Government and it is not a matter for the exclusive jurisdiction of Zanzibar.

Mr Musa brought to our attention a book. **The Digest, Annotated British, Commonwealth and European Cases,** 1999, second issue (Butterworths, London, 1993) which cites in paragraph 1758 *Republic v. Christian,* (5) an appeal from South-West Africa, now Namibia. He produced that authority in support of his contention that it is feasible to commit treason against the Revolutionary Government of Zanzibar.

We were made anxious and curious by that submission and we resolved to lay our hands on that decision. We are much obliged to Mr Ciaran MacGlinchey of JUTA Law of Cape Town, South Africa, who availed us with a copy of that judgment.

It was decided in that appeal that it is possible to commit the crime of high Treason against a state possessing internal sovereingnty even though its external sovereignty is restricted. This holding alone makes that appeal distinguishable from the one before us. Here we have categorically found that Zanzibar is not a state both in international law and under the Union Constitution. However, having travelled through the judgment, we are of the opinion that it has some relevance in this matter before us as we are going to demonstrate shortly.

South-West Africa, as it was then called, (hereinafter referred to as SWA) was a German possession which after the First World War and under the peace treaty, popularly called the Treaty of Versailles, was taken by the League of Nations and was put under the mandate of His Britannic Majesty to be exercised on his behalf by the Government of the Union of South Africa.

Before the High Court of SWA, the appellant, Christian, was charged with and convicted of two counts of treason which were to the effect that in May and June 1922, he had engaged in native hostilities against the forces of the mandatory power. A preliminary objection to the indictment was overruled. However, a question of law was reserved for the Court of Appeal of South Africa, whether the Union of South Africa as the mandatory power over SWA possessed sovereignty in SWA which if offended gave rise to treason. The Chief Justice and the four other Justices of Appeal gave a positive reply.

The argument for the appellant was that under article 119 of the Peace Treaty the sovereignty over South-West Africa passed on to the Principal Allied and Associated Powers, which were the USA, the British Empire, France, Italy and Japan, and that is where sovereignty lay. However, for the Crown/respondent it was contended that the authority of the Principal Allied and Associated Power was transferred to the mandatory and that the mandate conferred full sovereign power on the mandatory.

It was the opinion or their Lordships that the League of Nations was not a state and so could not have sovereignty. Most importantly, it was held that the Council of the League of Unions issued a mandate for Southern-West Africa reciting that the Principal Allied and Associated Powers had agreed to confer the mandate on his Britannic Majesty to exercise on his behalf by the Government of the Union of South Africa. It was also held that article 22 of the Covenant of the League of Nations provided that SWA was to be administered by the Union of South Africa under the laws of the mandatory, as integral portions of its territory. Thus, SWA was governed as part and parcel of the Union of South Africa.

For those reasons their Lordship were satisfied that the Union of South Africa was responsible for the maintenance of public order and so, had sovereignty over SWA.

In our opinion there were two matters: One, was the issue of sovereignty between the Allied and Associated Powers, on the one hand, and the Union of South Africa, on the other hand. The Court of Appeal decided that issue in favour of the Union. The second matter, which was raised in the High Court, was sovereignty between the Union of South Africa and His Britannic Majesty who was the Executive Government of the Union. This was solved by the proper recitation of the indictment as INNES, C.J. said:

> The Executive Government of the Union of South Africa is by the South African Act vested in the King and is administered on his behalf by a Governor-General acting under the advice of the Executive Council. That being so the allegation in the indictment that the accused owed allegiance to his Majesty King George the Fifth in His Government of the Union of South Africa was not in my opinion open to objections. Indeed it was not objected to on appeal. I therefore agree substantially with the very able reason of the trial Judge pronounced when the original indictment was objected to.

It is our considered opinion that, in the like manner, the indictment in this appeal should have recited allegiance to the United Republic since treason, as we have reiterated a number of times in this order is a Union Matter and not a matter exclusively for the Revolutionary Government of Zanzibar. So, that decision fortifies our stand and that is all we wish to say on *R.v. Christian.*

We agree with Mr Mbwezeleni that the combined effect of article 28(4), that treason is the most grave offence against the Union, and article 64(5) is to repeal section 26 of the Penal Decree. article 64(5) provides:

> Subject to the application of the Constitution of Zanzibar in accordance with this Constitution to Tanzania Zanzibar in relation to all matters in and for Tanzania Zanzibar which are not Union Matters this Constitution shall

> have the force of law throughout the United Republic, and if any other law is inconsistent with the provisions of this Constitution, the Constitution shall prevail and that other law shall, to the extent of the inconsistence, be void.

Indeed, the moment security was added to the list of Union Matters, then, first, security should have been defined and two, treason should have been provided for and defined in a law applicable to both parts of the Union as stated in article 28(4). Let us make some quick observation on certain matters raised by the learned Deputy Chief Justice. He considered federalism and cited authorities from the USA and also from Nigeria. As already pointed out, our constitutional set-up is different from that obtaining in these countries. For example, sections 37 and 38 of the Criminal Code Law of Nigeria, as cited by the learned judge, provide that treason covers acts perpetrated against the President or a State Governor. We do not have such provisions. Therefore, we do not think that we need take time to consider this comparison.

As rightly pointed out by Mr Mbwezeleni, there are a number of unfortunate inconsistent provisions in the two Constitutions but which we do not think it is necessary to go into. However, that state of affairs is not healthy at all.

The court was faced with a similar situation in *Seif Shariff Hamad v. SMZ* (6). Two of us dealing with this appeal were also in the panel for that appeal. We mused over a number of incongruent provisions of the two constitutions and after that we had this to say on page 18 of the type-written judgment:

> Tunapendekeza kuwa mamlaka zinazohusika katika pande zote mbili za Muungano zichukua hatua zipasazo kusawazisha vifungu hivi na vingine vyenye utata ama uwezekano wa kuleta utata baina ya hizi Katiba mbili.

A free translation would be: "We recommend to the relevant authorities on both sides of the Union, to take necessary steps to harmonize these conflicting sections and other sections of the two constitutions which are potentially irreconcilable". It burdens our hearts that such a solemn appeal went unheeded and failed to find purchase like the

warning of the Soothsayer to Julius Caesar: "Beware the ides of March". In that appeal we reserved constitutional matters for political solutions and we disposed of the appeal on a procedural ground. But it is time to look at such provisions and take remedial steps. The court will not throw in the towel but will keep on drawing the attention of the powers that be. That is our role. We get encouragement from the stanza by John Masefield:

> ... Therefore, go forth, companion: when you find No highway more, no track, all being blind. The way to go shall glimmer in the mind ... Adventure on, for from the littlest clue has come whatever worth man over knew he next to lighten all men may be you ...

For the reasons given above, we revise the ruling of the learned Deputy Chief Justice of Zanzibar. In a nutshell we have found that treason can only be committed against a sovereign. However, as treason is a breach of security, which in the United Republic is a Union Matter, therefore, the sovereign is the United Republic and not the Revolutionary Government of Zanzibar or the Head of the Executive of Tanzania Zanzibar who is also called the President of Zanzibar. Accordingly the said ruling of the learned Deputy Chief Justice is set aside, but in view of the *nolle prosequi* entered by the prosecution no further order is made.

PHILEMON JOSEPH CHACHA AND THREE OTHERS *v.* SOUTH AFRICAN AIRWAYS AND THREE OTHERS (NUMBER 2)

HIGH COURT OF TANZANIA
(*Commercial Division*)
AT DAR ES SALAAM

(Bwana, J.)

COMMERCIAL CASE No. 57 OF 2000

Civil Practice and Procedure – Temporary injunction – Circumstances in which temporary injunction may be granted.

High Court – Commercial Division of the High Court – Jurisdiction – Suspension of activities by an Airline – Whether employment dispute arising thereof is a commercial dispute within the jurisdiction of the commercial division of the High Court.

In one of the applications before this Court two matters were raised, namely, a temporary injunction be issued restraining the second defendant from terminating, suspending or in any way interfering with the Plaintiffs' contracts of employment with AJAS/SA Alliance Air and, a mandatory injunction/order be issued against the first, second and fourth defendants to restore to AJAS/Alliance Air its slot at London Heathrow Airport, Terminal 1. In his written submission Counsel for the respondents seemed to suggest that the whole case was an employment dispute to which this Court had no jurisdiction.

Held: (i) Examining the issues before the court one cannot fail to see the linkage between economic, commercial and employee's interests; the said economic and/or commercial interests do affect not only the shareholders or the companies involved but also their employees, both within and outside Tanzania;

(ii) Taking into consideration the provisions of rules 2(I)-(XI) of Government Notice No 141 of 1999, examined in the light of the issues before the court, this application is properly before this c ourt and the court has jurisdiction to hear it.

(iii) Injunction *pendente lite* is granted discretionary by a court of competent jurisdiction; in granting it the court must be satisfied that unless immediate action is taken, the applicant may suffer irreparable damage, and further that the main dispute in the case would be rendered nugatory.

Application granted

Cases referred to:

(1) *Fellows v. Fisher* [1975] 2 All ER 829

(2) *Giella v. Cassamon Brown and Co Ltd* (1973) EA 358

(3) *Kaare v. General Manager, Mara Coop.Union* (1924) Ltd (1987) T.L.R. 17

(4) *Evans Brothers Ltd v. Walter Bugoya* High Court Civil Case Number 6 of 1992 (unreported)

(5) *Mkiwa Amrani v. Tabora Town Council* High Court Civil Case Number 12 of 1988 (unreported)

Statutory provisions referred to:

1. Government Notice Number 141 of 1999, rules 2(I)-(XI)

2. Civil Procedure Code, Order XXXVII, rule 1 and 2; Order XLIII, rule 2 and section 95

Prof. Fimbo, for the Plaintiffs

Dr Kapinga, for the Defendants

RULING

(Delivered 24 November 2000)

Bwana, J.: On 12 October 2000 this Court made Orders for *exparte* injunctions in favour of the plaintiffs-applicants, following an application by way of chamber summons filed pursuant to Order XXXVII, rule 1 and 2; Order XLIII, rule 2 and section 95 of the Civil Procedure Code. Another application *inter partes* was fixed for hearing on 2

November 2000. On this later date both counsel agreed to file written submissions in support of the respective views on the two matters raised in the application namely:

1. A temporary injunction be issue restraining the second defendant from terminating, suspending or in any way interfering with the plaintiffs' contracts of employment with Ajas/SA Alliance Air.

2. A mandatory injunction/order against the first, second and fourth defendants to restore to AJAS/SA Alliance Air its slot at London Heathrow Airport Terminal I.

Both the above to remain in force until the final determination of this suit, (injunction *pendente lite*). These are the two issues that this Court will have now to determine. Other issues, such as a request to vacate the interim injunction granted on 12 October can only be considered by way of an application properly before the court.

Before I examine the two applications, I find it important to state, albeit briefly, the position of the law with regard to applications for temporary injunctions. Both Counsel have rightly stated what the position is. They cited several decided cases in support of their views. It is suffice to say that injunction pendent lite is granted discretionary by a court of competent jurisdiction. In so doing that Court must be satisfied that unless immediate action is taken, the applicant may suffer irreparable damage and further, that the main dispute in the case would be rendered nugatory. Together with the authorities cited by both Counsel, it is suffice to put the whole matter in a nutshell by quoting *en extenso* the words of Sir John Pennycuick in *Fellows v. Fisher* (1) *et seq*:

(1) Provided that the court is satisfied that there is a serious question to be tried, there is no rule that the party seeking an interlocutory injunction must show *prima facie* case.

(2) The court must consider whether the *balance of convenience* lies in favour of granting or refusing interlocutory relief.

(3) As to that, the court should first consider whether, if the plaintiff succeeds, he would be *adequately compensated by damages* for loss sustained between the application and the trial, in which case no interlocustory injunction should normally be granted.

(4) If *damages would not provide an adequate remedy* the court should consider whether if the plaintiff fails the defendant would be adequately compensated under the plaintiff's undertaking in damages, in which case there would be no reason on this ground to refuse an interlocutory injunction.

(5) Then one goes on to consider all other matters relevant to the balance of convenience, an important factor in the balance, should this otherwise be even, being preservation of the *status quo*.

(6) Finally and apparently, only when the balance still appears even, it may not be improper to take into account in tipping the balance the relative strength of each party's case as revealed by affidavit evidence.

The above undelined phrases seem to have been extensively discussed *inter alia* in the cases of *Giella v. Casamon Brown and Company Ltd* (2); *Kaare v. General Manager Mara Coop. Union (1984) Ltd* (3); *Evans Brothers Ltd v. Walter Bugoya* (4) and *Mkiwa Amrani v. Tabora Town Council* (5). In examining the two reliefs sought, I will take into account these settled principles of law.

I will now examine the first prayer – for injunction restraining the second defendant from terminating, suspending or in any way interfering with the plaintiffs' contracts of employment. The respondents seem to suggest that the whole case is an employment dispute to which this Court has no jurisdiction. With due respect, I differ with this argument. Examining the issues before the court one cannot fail to see the linkage, between economic, commercial and employees' interests. The said economic and/or commercial interests do affect not only the shareholders or the companies involved but also their employees both within and outside Tanzania.

The respondents admits that Ajas has suspended its activities following a resolution of a shareholders meeting. It is not under liquidation. Be that as it may, suspension of its activities has far reaching implications not only to the shareholders, as stated above, but all the way to the workers (therefore the applicants). It does not necessarily end up only with retrenchment but also with far reaching economic and commercial consequences. It is my view therefore that, some of these consequences may be irreparable to the parties. In the *Kaare* case, (*2*) Mapigano, J. (as he then was) clearly states:

> the court should consider whether there is an occasion to protect either of the parties from the species of injury known as "*irreparable*" before his right can be established ... by irreparable injury it is not meant that there must be no physical possibility of repairing the injury but merely that the injury would be material, for example one that could not be adequately remedied by damages...

That kind of injury could extend to psychological – the mental anguish that a party suffers by the mere knowledge that sooner than later he will lose his job.

It is equally important to note that this Court has jurisdiction in all maters enumerated under rule 2(1)-(XI) of GN 141 of 1999. The said Rule clearly states:

> Commercial case means a civil involving a matter considered to be of commercial significance, including *but not limited to* ... [emphasis supplied].

Taking into consideration the above underline provision and examined in the light of the issues before this Court it is my considered view that this application is properly before this Court and this Court has jurisdiction to hear it.

The above stated, are the applicants then entitled to the relief sought? It is rightly pointed out by the respondents that the same prayer is contained in the plaintiffs' main suit. As stated in the *Fellows v. Fisher* case (1) what the law requires for the court to be satisfied that there is a serious question to be tried. To that, I am satisfied

that such a question does exist. Then the court must consider whether the applicant will eventually be compensated – if successful – at the end of trial and whether that suffices. I am of the view that between now and the finality of the main case any thing may happen to the applicants that may affect them as stated above – materially, psychologically and the like. All that cannot be adequately compensated with the finality of the trial. There is need to protect them during this interim period. Therefore I concur with their application for a temporary injunction.

I would now consider the second limb of this application inter partes namely – mandatory injunction/order against the first, second and fourth defendants to restore Ajas/SA Alliance Air its slot at London Heathrow Terminal. I will examine firstly, the implications of this application to the fourth respondent. This respondent is described in the plaint as:

> ... the regional representative (for the whole of Tanzania) ... and coordinates activities of the first defendant and Ajas/SA Alliance Air... He supervises sales by the General Sales Agent, air operations, cargo, sales staff and overseas Dahaco staff while on flights of the first defendant and AJAS/SA Alliance Air ...

No mention, no linkage to the Heathrow slots is shown. I would right away, therefore, concur with counsel for the respondents that this (fourth) respondent cannot, be involved in the restoration of the London Heathrow slot.

The first and second defendants could be involved in the slot affair at Heathrow. The said slot is said to be the most profitable in so far as AJAS/SA Alliance Air London operations are concerned. Loss of the same (through the much referred to swap/grabbing) would have far reaching economic/business consequences referred to earlier. That may eventually lead to the loss of employment on the part of the applicants. As to details of this matter, I hope, evidence will be adduced at an appropriate stage of the proceedings. As of now, and taking note of Sir John Pennycuick's principle as enunciated in the

Fellow v. Fisher case (*supra*) that ..."as to that" the court should first consider whether, if the plaintiff succeeds he would be adequately compensated by damages for loss sustained between the application and the trial ... there is need for an order for the restoration to AJAS/SA Alliance Air of its slot at London Heathrow Terminal 1. In my earlier Ruling dated 12 October 2000, I did grant, a temporary injunction to restrain the first and second defendants from taking the two slots at London Heathrow Airport Terminal 1 belonging to AJAS/Alliance Air. The slot which is a subject matter of the instant ruling is a different one.

In summary, therefore, the following reliefs are granted in favour of the Applicants:

1. A temporary injunction restraining the second defendant/respondent from terminating, suspending or in any way interfering with the plaintiffs/ applicants contracts of employment with AJAS/SA Alliance Air.

2. The first and second defendants/respondents are ordered to restore to AJAS/SA Alliance Air its lot at London Heathrow Airport Terminal I.

Both the foregoing reliefs are subject o the provisions of Order XXXVII, rule 3 as amended by GN 508 of 1991. Each party to bear its costs of this application.

THOMAS JOSEPH KIMARO *v.* APAISARIA MARTIN CARL MKUMBO AND OSCAR CARL MUSHI

HIGH COURT OF TANZANIA AT MOSHI

(Munuo, J.)

MISCELLANEOUS CIVIL APPEAL No. 4 OF 2000

Civil Practice and Procedure – Appeals – Appeal against an order allowing objection to attachment proceedings – Whether the appeal is competent

Civil Practice and Procedure – Attachment proceedings – Objection to attachment – Whether an order allowing objection to attachment can be appealed against – Order XXI, rule 62 of the Civil Procedure Code 1966

Statutory provisions referred to:

1. Civil Procedure Code 1966, Order XXI, rule 62 and Order XXI, rule 57

Mr Jonathan, for the Respondents

JUDGMENT

(Delivered 24 November 2000)

Munuo, J.: The appeal is against objection of attachment proceedings under Order 21, rule 57 of the Civil Procedure Code 1966, which proceedings were allowed in Moshi District Court Miscellaneous Civil Application Number 130 of 1999.

Mr Jonathan, learned advocate for the first respondent, raised a preliminary objection stating that the appeal is incompetent. That is so. Order 21, rule 62 of bars appeals against objection proceedings by stating:

62. Where a claim or objection is preferred, the party against whom an order is made may institute a suit to establish the right which he

claims to the property in dispute but, subject to the result of such suit, if any, the order shall be conclusive.

Because the objection proceedings under Order 21, rule 57 are not appealable, the present appeal is incompetent. The appellant can, as stipulated under Order 21, rule 62, sue for title of the property he is contesting. In view of the above, the appeal is struck out with costs.

MWITA MARWA *v.* REPUBLIC

HIGH COURT OF TANZANIA
(*Mwanza District Registry*)
AT MUSOMA

(Mroso, J.)

CRIMINAL APPEAL No. 78 OF 1998

(From the judgment of the District Court of Tarime at Tarime, Kurwijila, Esq, in Criminal Case No. 426 of 1997)

Criminal Practice and Procedure – Trial within a trial – Trial within a trial to determine admissibility of a repudiated confession – Whether trial within a trial may be conducted by a District Court.

The appellant was convicted of armed robbery in the District Court. In convicting the appellant the trial magistrate took into consideration a cautioned statement in which the appellant confessed to committing the offence. The appellant had repudiated the statement, upon which the trial magistrate conducted a trial within a trial to determine the admissibility of the statement. The appellant's appeal to the High Court against his conviction was dismissed. In the course of his Judgment the judge considered whether the trial magistrate was required to conduct the trial within a trial.

Held: (i) There was no need for the trial magistrate to conduct a trial within a trial;

(ii) The practice of a trial within a trial is used only in High Court criminal trials when a judge sits with assessors.

Appeal dismissed

Mr Mcamanga, for the Respondent

JUDGMENT

(Dated 29 November 2000)

Mroso, J.: The appellant, Mwita Marwa, who was the second accused before the Trial Court, was prosecuted in the District Court of Tarime along with four others for offence of armed robbery. He was found guilty and convicted as charged and sentenced to thirty years imprisonment. He has been aggrieved by the conviction and sentence and appealed to the High Court.

In his petition of appeal he listed nine grounds intended to show that he was wrongly convicted. Most of those grounds of appeal relate to conflicting dates of the commission of the offence and on the number of the stolen head of cattle which were recovered from a cattle market in Kenya. Grounds 7 and 8 relate to a supposed confession made by the appellant and ground number 9 is a complaint that an identification parade was not mounted and that no Kenyan police or Kenyan Chief or civilians were called as witnesses at the trial.

It was not disputed that on the night of 26 November 1996 six head of cattle belonging to one Samwel Geweno were stolen and that in the course of the theft gunshots were fired and threats were made to the cattle owner. A young man aged 15 years, Mang'era Busena, was temporarily abducted by the bandits. They took him a distance away and kept him for about 30 minutes then set him free.

On 2 December 1996 the stolen cattle were seen at a cattle market in Kenya and the people who were intending to sell them took to flight when they saw the owner together with police.

According to his own evidence, the appellant was arrested on 17 January 1997. PW4 – page C. Bahati who arrested him did not give the date of arrest. At any rate the appellant was charged along with others with robbery.

It must be said that the evidence was not well recorded and the blame must go to the trial magistrate who did not appear to be very attentive and consequently recorded clearly wrong dates. For example, when recording the evidence of PW1 – Samwel Gimeno, he refers to 8 December 1996 and 8 December 1997 interchangeably, as the date he collected his cattle from Kenya. So, the confusion on dates is merely a result of inattention on the part of the trial magistrate and it does not, in my view, affect the credibility of the witnesses or detract from the weight of the evidence. I accord no significance to that discrepancy which I consider innocuous in the circumstances of the case.

I think the one important issue is the one of identification of the appellant as one of the bandits. Was there adequate, credible evidence to show that he was party to the robbery? With respect, I think there was such evidence. In the first place, it is apparent that the appellant and the complainant were not strangers. The appellant himself said he heard that the complainant's cattle had been stolen. A stranger would not bother with such information. It must be that the two knew each other.

Secondly, the young man Mang'era Busena said he was under the custody of the appellant and the other bandits for 30 minutes when they abducted him temporarily. There was moonlight and during that time he was able to identify the people who took him temporary prisoner.

At the cattle market in Kenya complainant saw appellant and his colleagues take to flight when they approached them. page C Bahati who tried to pursue the appellant and the other bandits said he identified the appellant. He was unable to apprehend any of them. When all

this evidence is considered together one is left in no doubt that the appellant was one of the band of robbers. His belated alibi that on 26 November 1996 he was honeymooning is a mere desperate attempt to escape the long arm of the law.

The trial magistrate took into consideration a cautioned statement in which the appellant is supposed to have confessed to committing the offence. However, the appellant repudiated it saying it was written by the police and he was forced to sign it. The magistrate conducted a trial within a trial with a view to deciding on the admissibility of the statement. The practice of a trial within a trial is used only in High Court trials because a trial judge (in criminal trials) sits with assessors who are lay people and are not conversant with the rules of evidence on admissibility of evidence. So, in order to avoid inadmissible evidence from being heard by the lay assessors the judge conducts a trial within a trial in the absence of the assessors with a view to ascertaining the admissibility or otherwise of a piece of evidence. If the trial within a trial shows that the evidence is inadmissible, then the evidence will be excluded and the assessors will not hear it, lest it prejudices their minds. If, on the other hand, it is clear from the trial within a trial, that the evidence is admissible, then it may be given in the presence of the assessors. Since the trial District Magistrate was not sitting with assessors there was no need for him to conduct a trial within a trial.

The trial magistrate found the confession admissible evidence but the appellant having repudiated it, there was need to look for corroborative evidence. But the magistrate does not appear to have realized of such need. Had he done so, however, he would have found such corroboration in the evidence of PW2 – Mang'era Busena and that of PW4 – page C. Bahati, to which I have already referred.

Let me finally say that the prosecution did not have to call the Kenya Police, or a Kenyan Chief or Kenyan Civilians to prove their case if they considered they had enough witnesses from Tanzania. Also, an identification parade was unnecessary in the circumstances.

For the reasons which I have attempted to give, this appeal is dismissed in that the conviction was well founded and the sentence imposed is the minimum under the law.

KASHINDYE MELI *v.* REPUBLIC

COURT OF APPEAL OF TANZANIA
AT MWANZA

(Kisanga, Lubuva and Lugakingira, JJ.A.)

CRIMINAL APPEAL No. 12 OF 1996

(From the decision of the High Court of Tanzania at Tabora, Mackanja, J., dated 20 November 1995, in Criminal Sessions Case No. 64 of 1990)

Evidence – Extra-judicial statement – Statement made to a Justice of the Peace in the presence of a court messenger and police – Whether statement was true and freely made.

Evidence – Extra-judicial statement – Uncorroborated extra-judicial statement – Appellant retracts the confession in the extra-judicial statement – Whether court may act on the retracted confession.

The High Court convicted the appellant of murder contrary to section 196 of the Penal Code, and sentenced him to death. He appealed against conviction and sentence. In the appeal he argued, firstly, that the trial judge erred in convicting him for murder on insufficient evidence and, secondly, that proper procedure was not followed in recording the extra –judicial statement made to the Justice of the Peace. At the trial the appellant had retracted the confession made in the statement given to the Justice of the Peace.

Held: (i) By the nature of the statement, the extra-judicial statement was true and freely made by the appellant, and it is now settled law that although it is dangerous to act upon a repudiated or retracted confession unless such confession is corroborated,

the court may still act upon such confession if it is satisfied that the confession could not but be true;

(iii) As the appellant clearly admitted killing the deceased in the extra-judicial statement which was accepted by the Trial Court as truthful, that was sufficient evidence for founding the conviction against the appellant.

Appeal dismissed

Cases referred to:

1) *Herman Nyigo v. Republic* [1995] T.L.R. 187

2) *Tuwamoi v. Uganda* [1967] EA 84

Statutory provisions referred to:

1. Penal Code Act, section 196

Mr Rutaisire, for the Appellant

Mr Mwampoma, for the Republic

JUDGMENT

(Dated 1 December 2000)

Lubuva, J.A.: The High Court (Mackanja, J.) sitting at Tabora convicted the appellant of the offence of murder contrary to section 196 of the Penal Code. He was sentenced to death. He is appealing to this Court against conviction and sentence.

Briefly stated, it was the prosecution case that the deceased, John Meli, the husband of Nduhile Gatulwa (PW1) who lived at Lamadi, Magu District left for Nzega on 28 October 1988 together with his brother, the appellant, Kashindye Meli. Sometime in November 1988, the appellant returned to Lamadi alone. When asked by PW1 about the deceased, the appellant said that the deceased had remained behind in Nzega and had sent for money for settling some problem. The appellant sold the deceased's six head of cattle for TZS. 65 000 and shortly left for a destination he did not disclose to PW1. Since then

the appellant did not return to his home at Lamadi in Magu District and the deceased was nowhere to be seen.

The appellant's conduct raised suspicion that led to his arrest at Bunda in April 1989. He admitted before Ntobi Meli (PW2), his brother, and PW1 to have killed the deceased at Ijanija village in Nzega. Consequently, he was charged with the murder of the deceased. He was convicted and sentenced to death.

The appellant has appealed to this Court. He is represented by Mr Rutaisire, learned Counsel. On the other hand Mr Mwampoma, learned State Attorney, appeared for the respondent Republic. In the memorandum of appeal three grounds were raised. However, at the commencement of the hearing of the appeal Mr Rutaisire argued only two grounds after abandoning the first ground. First, Mr Rutaisire contended that the learned trial judge erred in sustaining the conviction against the appellant for murder on insufficient evidence. Elaborating further he submitted that the case against the appellant is based on circumstantial evidence because no one saw the appellant killing the deceased. The only evidence that tends to link the appellant, he said, was the evidence of PW1 and PW2. According to these witnesses, he maintained, the appellant is alleged to have confessed killing the deceased.

The confession to PW1 and PW2, Mr Rutaisire went on in his submission, still would not advance the prosecution case any further. In the first place, he said at the time when the alleged confession was made to PW1 and PW2, the appellant was in police custody. In that case, he said the confession required independent corroborative evidence which was not available. In the circumstances, the fact that the appellant is alleged to have led the way to the scene of crime or that he sold cattle to raise TZS. 65 000 would be of no avail. Such evidence would not serve as independent corroborative evidence, Mr Rutaisire urged. Finally, Mr Rutaisire strongly discredited the extra-judicial statement of the appellant to PW4 the Justice of the Peace. The reason he contended was that proper procedure was not followed in recording the confessional statement.

We wish to deal first with the confession by the appellant to the witnesses PW1, PW2 and Detective Corporal (PW3). The learned trial judge found these as witnesses of truth. Being the Trial Court and having had the advantage of seeing the witnesses, we have no basis for doubting the credibility of these witnesses at the appellate stage. Even then it is trite principle that independent corroborative evidence is required to support the evidence of PW1, PW2 and PW3. Mr Mwampoma, learned State Attorney strongly urged that the appellant's conduct in raising TZS.65 000 by selling cattle and leading PW2 and PW3 to the scene of crime provided corroboration. With respect, we think the learned State Attorney is not correct.

It is common ground that at the time the appellant made the confession to PW1, PW2 and PW3, he was in custody. He had not admitted commission of the offence prior to his arrest and being placed under custody. It is to be observed that at the very outset when the cautioned statement was taken the appellant did not admit killing the deceased. At any rate, the cautioned statement was not tendered at the trial. Ordinarily, one would expect that if the appellant had actually admitted killing the deceased voluntarily, he would make some indication of the confession from the very start. For this reason, it is highly doubtful that the appellant after having been in police custody, his purported showing of the scene of crime and raising of the money was independently free. The possibility that he did so in order to avoid torture cannot be discounted. In the circumstances, we agree with Mr Rutaisire that the appellant's confession to PW1 and PW2 was not supported by independent corroborative evidence.

Another important aspect of the evidence against the appellant pertains to the extra-judicial statement exhibit page 1. Mr Rutaisire strongly criticized the procedure followed in taking the *extra-jurdicial* statement. According to him, Hilda Shija (PW4) the Primary Court Magistrate, as a Justice of the Peace did not comply with the formal procedure required in taking the statement. For instance, he said, the appellant made the confessional statement, Exhibit P1 in the presence of the court messenger and someone else. For this reason,

he insisted, the extra-judicial statement should therefore not be relied upon in convicting the appellant. It was not free and voluntary, he concluded. Countering this submission, Mr Mwampoma, learned State Attorney submitted that the extra-judicial statement was taken in due compliance with the procedure required. It was therefore free and voluntary, he emphasized.

Whether the Primary Court Magistrate (PW4) Hilda Shija followed the proper procedure required in taking the extra-judicial statement we need not labour much. From the record, page 25 of the typed script, the procedure followed is clearly shown. The questions asked to the appellant and his replies thereto indicate that the appellant was a free agent. What is more, the appellant was ably represented at the trial by counsel Mr Mahuna. There is no indication in the record of any objection against the admission of the statement exhibit page 1 on grounds of any irregularity. Again the complaint by Mr Rutaisire, learned counsel that the statement to PW4 was made in the presence of the court messenger and another person is not supported by the record. Worst still, at the conclusion of the evidence in chief by Hilda Shida (PW4), Justice of the Peace there was no cross examination by counsel for the appellant on any unsatisfactory aspect of the extra-judicial statement or the procedure followed in taking the statement. At this stage on appeal, Mr Rutaisire cannot therefore be heard to challenge the voluntary nature of the statement. As no doubt Mr Rutaisire is aware, at the stage when PW4 was giving evidence, if objection was raised against the admissibility of exhibit page 1, a trial within a trial could be held in order to determine if it was freely made. That was not done. In the circumstance, we are satisfied that the extra-judicial statement exhibit page 1 was freely and voluntarily made by the appellant.

At the trial, the appellant denied having traveled to Ijanija village in Nzega District with the deceased. He also retracted the confessional statement he had made to Hilda Shija (PW4) the Justice of Peace. He maintained that because of torture by the police he admitted in the statement that he had killed the deceased. He further said that as

a policeman had remained with the Justice of Peace together with the court messenger, he feared telling PW4 of the torture. The learned judge rejected the defence and accepted the confessional statement exhibit page 1 as voluntary and true.

Like the learned trial judge, we are firmly of the view that the appellant's extra-judicial statement (Exhibit page 1) was truthful. First, we can see no reason at all why the appellant could not tell PW4 of any torture by the police if he had been tortured. Secondly, and more importantly in the statement the details pertaining to the sequence of events leading to the death of the deceased are such that no one else other than a participant to the murder could do so. In minute details the statement outlined what happened from the time the appellant set out on the journey to Ijanija Nzega with the deceased, the sale of cattle to realize the money TZS. 65 000, the bargain with the hired killers of the deceased, how the deceased was killed; wrapping up the body in a sack and throwing it in a bush near a river. Such details we think can only be forthcoming from no other person than the one who witnessed or participated in the killing of the deceased. Here, the appellant admits hiring the killers of the deceased and being present at the killing. It is inconceivable that the appellant made the confession to the Justice of Peace because of torture and presence of a policeman when he made the statement. If that was so, how did he get all the details leading to the deceased's death. By the nature of the statement, we are satisfied that the extra-judicial statement was true and freely made by the appellant. The trial judge had, and we think correctly so found PW4, the Justice of Peace, a truthful witness.

As just observed in this case, contrary to the finding of the learned trial judge, there was no independent corroborative evidence to the confession of the appellant, the pertinent question is whether the conviction could be upheld solely on the uncorroborated extra-judicial statement. At the trial, the appellant retracted the confession. It is now settled law that although it is dangerous to act upon repudiated or retracted confession unless such confession is corroborated, the

court may act upon such confession if it is satisfied that the confession could not but be true. In the case of *Herman Nyigo v. Republic* (1), the appellant was convicted of murder on the basis of a retracted confession, the court in dismissing the appeal, reiterated this principle. Much earlier, the Court of Appeal for East Africa had held similar view in the case of *Tuwamoi v. Uganda* (2) when it said that:

> ... a Trial Court should accept any confession which has been retracted with caution and must before founding a conviction on such confession be fully satisfied in all the circumstances of the case that the confession is true.

Applying this principle to the present case, it is clear to us that the learned trial judge was aware of the danger of founding a conviction on uncorroborated evidence. He looked for corroboration in the evidence of PW1 and PW2, PW3 and the appellant's sale of cattle which as already stated was in our view not independent corroborative evidence. He was also satisfied that the confessional statement of the appellant to PW4, the Justice of the Peace could not but be true. This, we think, the learned judge was correct. The appellant having clearly admitted in the extra-judicial statement killing the deceased which was accepted by the Trial Court as truthful, we are satisfied that, that was sufficient evidence for founding the conviction against the appellant. All in all, and for the foregoing reasons, the appeal is dismissed in its entirely.

MWITA SIBORA v. REPUBLIC

COURT OF APPEAL OF TANZANIA AT MWANZA

(Kisanga, Lubuva and Lugakingira, JJ.A.)

CRIMINAL APPEAL No. 49 OF 1996

(From the Judgment and Order of the High Court of Tanzania at Mwanza, Chipeta, J. , in Criminal Appeal No. 22 of 1996)

Criminal Law – Robbery with violence – Appellant found in possession of the robbed bicycle ten days after the date of the robbery – Whether appellant was properly convicted – Section 286 of the Penal Code.

Criminal Practice and Procedure – Sentencing – Minimum sentences for robbery and for armed robbery – Section 5(b) of the Minimum Sentences Act as amended by Acts Number 10 of 1989 and 6 of 1994.

The appellant was convicted of the offence of robbery with violence and sentenced to 30 years imprisonment with 12 strokes of corporal punishment. His appeal to the High Court was dismissed but the sentence of imprisonment was reduced to 20 years. The evidence was that the complainant was robbed of his "Rolly" sports bicycle. Under the seat of the bicycle were the letters "HM", being initials of the complainant's name, Hussein Mtongori. The complainant was beaten to unconsciousness in the course of the robbery. Ten days later, the appellant was found in possession of the bicycle and was charged and convicted accordingly.

Held: (i) There was nothing on the record of evidence or the grounds of appeal upon which to fault the concurrent findings of the courts below.

(ii) The aspect of sentencing, however, attracted comment. The reduction of the sentence was made *per incuriam;* until 1994 section 5(*b*) of the Minimum Sentences Act provided for 15 years imprisonment for robbery and 30 years for armed robbery, but in 1994 the Act was further amended to provide for a minimum sentence of 15 years imprisonment for simple robbery and a minimum of 30 years imprisonment for armed robbery.

(iii) As the amendment came into effect on 18 March 1994 and the offence in this case was committed on 26 May 1994, the appellant ought to have been sentenced to a minimum of 30 years imprisonment.

Appeal allowed in part

Statutory provisions referred to:

1. Minimum Sentences Act as amended by Acts Number 10 of 1989 and 6 of 1994, section 5(b)
2. Penal Code (Chapter 16) read with the Minimum Sentences Act 1972, sections 285 and 286

JUDGMENT

(Dated 1 December 2000)

Lugakingira, J.A.: This is the second appeal from conviction and sentence for robbery with violence c/sections 285 and 286 of the Penal Code (Chapter 16) read with the Minimum Sentences Act 1972, as amended from time to time.

There is no substance in the appeal. There was evidence to the effect that on the evening of 26 May 1994, the complainant, PW3 Hussein Mtongori, was robbed of a blue colour "Rolly" sports bicycle by a person he did not know. In the course of the robbery, the complainant was battered to unconsciousness with an iron bar. Under the bicycle seat was a mark "HM", being the initials of the complainant's name. Ten days later, on 6 June, the appellant was apprehended with a bicycle of similar description and which the complainant identified as his stolen property. The appellant was accordingly charged. The Trial Court, after observing the bicycle, exhibit P2, and assessing the prosecution witnesses against the appellant's claim that exhibit P2 was not the bicycle he was arrested with, found that the appellant was the robber and convicted him accordingly. The conviction was affirmed by the High Court on first appeal. We can find nothing in the record of evidence or the grounds of appeal upon which to fault the concurrent

findings of the courts below. We think the conviction was merited on the basis of recent possession.

The aspect of sentencing, however, attracts comment, though not in the appellant's favour. The Trial Court sentenced the appellant to 30 years' imprisonment with 12 strokes of corporal punishment but the High Court took a different view of the appropriate sentence. It observed that the appellant was convicted of robbery with violence, rather than armed robbery, and stated that the minimum sentence for the former was imprisonment for 15 years. But the court was not minded to be lenient in view of the serious nature of the attack upon the complainant. According to the medical report, exhibit P1, the complainant was unconscious for four days and when he regained consciousness, he remained confused for a week. For this reason, the High Court reduced the sentence to 20 years instead of substituting 15 years.

We think the reduction was *per incuriam*. The position stated by the High Court was correct to the extent of the amendment of the Minimum Sentences Act by Number 10 of 1989. Following that amendment, paragraph (b) of section 5 of the Act provided for a term of 15 years for robbery while paragraph (*bb*) provided for a term of 30 years for armed robbery. That was the position until 1994 when the Act was further amended by Act Number 6 of that year. The latter amendment deleted paragraphs (*b*) and (*bb*) and substituted a new paragraph (*b*) with the subparagraphs as follows:

(b) Subject to subparagraph (ii) of this paragraph:

(i) any person who is convicted of robbery shall be sentenced to imprisonment for a term of not less than fifteen years;

(ii) if the offender is armed with any dangerous or offensive weapon or instrument or is in company with one or more persons, or if at or immediately before or immediately after the time of the robbery, he wounds, beats, strikes or uses any other personal violence to any person, he shall be sentenced to imprisonment for a term of not less than thirty years.

This amendment came into effect on 18 March 1994. As can be seen, the sentence of 30 years is no longer confined to armed robbery but applies to all robberies in which the offender is armed with a dangerous weapon or instrument, is in company with one or more persons, or where in the course of committing the robbery, the offender wounds, beats, strikes or uses any other personal violence to any person. In other words, all the ingredients of robbery with violence as set out in the second paragraph of section 286 of the Penal Code are now punishable with a minimum of 30 years. The term of 15 years remains reserved for what one might call simple robbery.

As just stated, Act Number 6 of 1994 came into effect on 18 March of that year. The offence in this case was committed on 26 May 1994; it was therefore within the ambit of the amendment.

Since there was use of personal violence to the complainant, and serious violence at that, the Trial Court correctly sentenced the appellant to 30 years' imprisonment. We believe the High Court would not have interfered with the sentence had the existence of Act Number 6 of 1994 been brought to its attention. It is proposed to rectify the position here.

Accordingly, the appeal against conviction falls and it is dismissed; the sentence is, on the other hand, rectified by reinstating the original term of 30 years and 12 strokes.

TANZANIA HARBOURS AUTHORITY v. MATHEW MTALAKULE AND 8 OTHERS

COURT OF APPEAL OF TANZANIA AT DAR ES SALAAM

(Ramadhani, Lugakingira and Mroso, JJ.A.)

CIVIL APPEAL No. 46 OF 1999

(From the Judgment of the High Court of Tanzania at Dar es Salaam, Mackanja, J.,dated 15 June 1999, in Civil Case No. 358 of 1998)

Civil Practice and Procedure – Judgment – Default judgment – Whether default judgment may be entered during mediation proceedings – Order VIIIA, rule 5 of the Civil Procedure Code 1966

Civil Practice and Procedure – Alternative Dispute Resolution – Notice of Mediation – Whether notice of mediation may be a basis for entering a default judgment

On June, 1999 after completion of pleadings the case came up for mediation. All the respondents, then plaintiffs, were present as was their advocate; the appellant, was represented by its advocate but none of its senior officers were present. The advocate of the appellant announced that he had full mandate to proceed with the mediation. The presiding judge upheld the objection of the advocate of the respondents that the absence of any principal officer of the appellant from the mediation proceedings was totally unjustified and entered judgment for the respondents with costs. Aggrieved the appellant appealed against that decision. The issue on appeal was whether the learned judge had any legal basis to enter a default judgment.

Held: (i) Where a party, its recognized agent or its advocate are all absent from the mediation conference without a good cause the court may make an order against the defaulting party as it deems fit, including an order for costs;

(ii) The clause regarding order for costs indicates that the legislature regarded an order for costs as being more serious than the other permissible costs;

(iii) A default judgment, being more serious, cannot be entered under Order VIIIA, rule 5 of the Civil Procedure Code 1966 during mediation proceedings, and a Notice of Mediation cannot be used for entering a default judgment.

Appeal allowed

Statutory provisions referred to:

1. Civil Procedure Code 1966, Order VIIIA, rule 5
2. Civil Procedure Rules, Order VIIIA

Mr Mbuna, for the Appellant

Mr Mjindo, for the Respondent

JUDGMENT

(Dated 1 December 2000)

Ramadhani, J.A.: This is an appeal from the Alternative Disputes Resolution (ADR) proceedings before the High Court at Dar es Salaam (Mackanja, J.). Pleadings were completed by 23 February 1999, and the Registrar High Court fixed 15 June 1999, as the mediation day. On that date all the nine respondents, who were plaintiffs, and their learned advocate, Mr Mwengela, were present but the appellant, then the defendant, was absent. None of the senior officers of the appellant corporation was present but their learned advocate, Mr Mchome, was present and read to proceed. He claimed that he had "been given full mandate to proceed with the mediation".

However, Mr Mwengela canvassed a diametrically opposite view and, praying for judgment in default, he said:

> We oppose that Mr Mchome has full mandate in these proceedings. Absence of a principal officer form the defendant is a way of avoiding the process. If a principal officer was present we could have discussed all the disparities in payment. The advocate is therefore not competent to negotiate a settlement.

That submission found purchase with learned judge who said:

> Because the absence of a principal officer from the defendant is totally unjustified I enter judgment with costs for the plaintiffs as prayed in the plaint.

The appellant is aggrieved by that decision. He came up with a notice of appeal containing five grounds of appeal and Mr Mbuna, learned advocate, argued them on behalf of the appellant. We are of the decided opinion that the grounds could be reduced to four:

1. The learned judge erred in finding that the learned advocate had no mandate to mediate on behalf of the appellant company.
2. A default judgment should not have been entered when there was an advocate representing the appellant and when pleadings had been completed.
3. There is no law, and none was cited, authorizing the learned judge to do what he did, that is, enter a default judgment.
4. The appellant had applied for leave to serve a third party notice to NPF and NSSF and so, a default judgment should not have been entered.

It is our considered opinion that the third ground of appeal as formulated above disposes of the matter conclusively. To put the issue differently: is there a legal basis for the learned judge to have done what he did, that is, enter a default judgment?

Mr Mbuna pointed out that mediation is under Order VIIIA of the Civil Procedure Rules as amended by Government Notice Number 422 of 1994. The learned advocate submitted that rule 5 governed the matter before the learned judge and he argued that that rule does not provided for what the learned judge did. Mr Mjindo in reply submitted that rule 5 given wide powers to a judge including ordering costs. He also referred to paragraph 5 of the Notice of Mediation which provides for judgment in default. To appreciate the problem facing us we have to quote Order VIIIA, rule 5 fully:

> Where a party to a case or the party's recognized agent or advocate fails without good cause to comply with a scheduling order, or to appear at a

conference held under sub-rule (1) of Rule 3 or is substantially unprepared to participate in such conference, the court shall make such orders against the defaulting or un-prepared party, agent or advocate as it deems fit, including an order for costs, unless there are exceptional circumstances for not making such orders.

It is abundantly clear to us that a judge can only act under that sub-rule if a party, its recognized agent and its advocate are all absent from a conference and without a good cause. In this case the party's advocate was present. So, the learned judge could not have acted under that sub-rule at all. That alone is enough to dispose of the matter but since a number of learned judges have done what was done in this case, we think we are duty bound to go further to settle this question once and for all, hopefully.

We have to consider what order a judge could give in case a party, its recognized agent and its advocate are all absent? That sub-rule provides that *a court shall make such orders against a defaulting or unprepared party, agent or advocate as it deems fit, including an order for costs*. Admittedly, there is not a list of the sort of orders that might be given. Equally, the court is given a very wide discretion of what orders it could give. The question is can a court order a default judgment? We think not. The clause "*including an order for costs*" indicates to us that the legislature regarded costs to be more serious than *"such orders"* a court could deem fit to give. It is abundantly obvious that a default judgment, and when it is against the defaulting party, is by far more serious than costs. So, default judgment cannot be given in such a situation.

Mr Mjindo referred us to a document titled "Notice of Mediation" whose paragraph 5 provides for default judgments. We do not know under what provision of the law that Notice of Mediation was made and, therefore, we cannot say that it has any legal value worth of consideration by this Court or any Court of law at all. So, the learned judge should not have considered that notice and use it to give a default judgment. We do not intend to say anything more on that

Notice of Mediation. We think that under Order VIIIA, rule 5, in case of a defaulting or an unprepared party, a court could give any of the following orders, that is to say:

(a) to adjourn the matter to another day; or

(b) that the mater should go for a hearing before another judge.

The court could also order costs together with any of the two orders mentioned above.

So, for the reasons given above we quash the default judgment of 15 June 1999, by Mackanja, J., and we order that the matter be placed before another judge for the hearing of the suit. The appeal is, therefore, allowed with costs.

LAEMTHONG RICE COMPANY LTD v. PRINCIPAL SECRETARY, MINISTRY OF FINANCE

COURT OF APPEAL OF TANZANIA
AT ZANZIBAR

(Kisanga, Ramadhani and Lugakingira, JJ.A.)

CIVIL APPEAL No. 91 OF 1998

(From the Ruling of the High Court of Zanzibar at Vuga, Dourado, J., dated 26 August 1998, in Miscellaneous Civil Application No. 2 of 1997)

Appeals – Leave to appeal – Whether leave to appeal may be granted by the court suo motu.

Civil Practice and Procedure – Correction of errors – Errors committed by parties in drawing up documents – Whether section 130 of the Civil Procedure Decree applies to correction of such errors – Procedure to follow in rendering corrections.

Court of Appeal Rules – Rule 43(a) of the Court of Appeal Rules providing for mode of applying for leave to appeal – Whether the rule makes it necessary to apply for leave to appeal – Whether overrides or adds to section 5(1)(c) of the Appellate Jurisdiction Act 1979 – Whether a judge can grant leave to appeal suo motu.

Limitation – Acknowledgment of time-barred debt and promise to pay it – Whether may give rise to a fresh period of limitation – Sections 19 and 29(a) of the Limitation Decree and section 25 of the Contract Decree.

Contract – Acknowledgment of time-barred debt with promise to pay – Whether may give rise to a fresh period of limitation – Section 25 of the Contract Decree Chapter 149.

Civil Practice and Procedure – Judge revokes and replaces his ex-parte judgment – Whether proper for a judge to do so – Principle of functus officio.

Civil Practice and Procedure – Decrees – Parties re-negotiate the court's decree – Whether there is any legal basis or precedent for such re-negotiation.

Civil Practice and Procedure – Litigant doubling as counsel for himself – Whether accords with accepted practice.

The appellant sued the respondent to recover a balance of price for goods sold and delivered. Upon the respondent failing to appear the High Court gave an *ex-parte* judgment in favour of the appellant. Then the appellant applied for setting aside the *ex-parte* judgment. The presiding judge made no order setting the ex-parte judgment aside; instead he permitted the parties to re-negotiate on the decretal amount. When no settlement could be reached the advocate for the appellant applied to the court to "restore" the *ex-parte* judgment. On 2 March the court purported to restore the judgment that had never been set aside. The restoration inspired the appellant to apply for execution of the decree. This was followed by an application for stay of execution made by the respondent and an application for review of the court's ruling that purportedly restored the *ex-parte* judgment. On 9 April the trial judge granted the application for stay and on 18 June he rejected the application for review. On 27 July the judge vacated the order for stay, ordering execution to proceed, but immediately suspended execution for a month to allow further negotiations. Since at the expiration of the month no settlement had been reached the judge ruled that the appellant be paid USD 15.5 million in full settlement. The court also ruled that if the decree holder

wished to appeal to the Court of Appeal permission was thereby granted. The appellant appealed to Court of Appeal against this ruling, without applying for leave to appeal, challenging the trial judge for variation of his earlier judgment and for not ordering execution of the decree.

Counsel for the respondent raised two preliminary objections, namely that there was no decree attached to the record of appeal and that leave to appeal had not been obtained because leave cannot be granted *suo motu*. With regard to the appeal itself counsel for the respondent submitted that the suit was time-barred. On the first ground of appeal counsel for appellant argued that the trial judge erred in permitting negotiations on the amount payable as if there was no judgment and decree, pointing out that since a decree existed the court had no further role to play but to execute that decree, because the judge was then *functus officio*.

Held: (i) While section 130 of the Civil Procedure Decree like section 96 of the Mainland's Civil Procedure Code 1966, applies to the correction of clerical and arithmetical mistakes in judgments, decrees or orders arising therein from any accidental slip or omission, the provision does not, however, apply to errors committed by the parties in drawing up documents, which should be amendable by the party concerned on application to the court;

(ii) Where, as in this case, the mistake occurs in a document prepared for presentation to the court, the application to amend should be made to this Court;

(iii) Section 5(1)(c) of the Appellate Jurisdiction Act 1979 does not predicate the grant of leave to appeal upon application being made; in other words, it does not exclude leave being granted *suo motu*;

(iv) What is required under section 5(1)(c) of that Act is leave of the High Court or Court of Appeal; it matters not how that leave is obtained but it would all depend on the circumstances of each case;

(v) Rule 43 of the Court of Appeal Rules 1979, provides for the mode of application for leave to appeal which is either informally or formally by chamber application, but not for the necessity to apply; the Rule does not add to or override the parent Act;

(vi) Since the judge did not wish the decree holder to go through a time-consuming application for leave to appeal and because an appeal was inevitable, he was right in granting leave to appeal *suo motu*;

(vii) Although the acknowledgment of debt was made after the expiration of the time of limitation, it was still capable of giving rise to a fresh period of limitation if section 19 of the Limitation Decree is read with section 29(a) of the same, and section 25 of the Contract Decree Chapter 149;

(viii) According to section 25(1)(c) of the Contract Decree an acknowledgment of debt made after the expiration of the period of limitation would give rise to a fresh period of limitation if it is coupled with a promise to pay the debt;

(ix) The Ministry's letter dated 15 July 1996 was an acknowledgment coupled with a promise to pay the debt within the meaning of section 25(1)(c) of the Contract Decree and therefore operated to give a fresh start to the period of limitation from the date of that letter, and since the suit was instituted only six months later, it was in time;

(x) Re-negotiation of the court's decree is something unheard of, hence what happened in this case was without basis in law or precedent; it was a travesty of the law and the whole exercise was illegal and incredible;

(xi) A judge becomes *functus officio* once he has given his original order and cannot depart from it in the absence of an application for review;

(xii) It does not accord with accepted practice for a litigant, which essentially Mr Patel was, to double as counsel for himself; it was improper for Mr Patel to assume the role he did in the High Court.

Appeal allowed

Cases referred to:

1) *Jewels and Antiques (T) Ltd v. NASACO* [1993] T.L.R. 107
2) *Zee Hotel Management Group v. Minister of Finance* [1997] T.L.R. 265
3) *Bibi Kisoko Medard v. Minister for Lands* [1983] T.L.R. 250
4) *Republic v. Philips* (1844) 1 Cox CC 17
5) *Robinson v. Palmar* (1851) 2 All ER 223
6) *Re West Hopetown Tea Company (1886)* ILR 9 All 180

7) *Akena Adoko Chambers v. Mohamed Maganga* [1980] T.L.R. 134
8) *The Registered Trustees Social Action Trust Fund v. Happy Sausages Ltd,* Civil Application Number 40 of 2000 (unreported)

Statutory provisions referred to:

1. Appellate Jurisdiction Act 1979, section 5(1)(c)
2. Limitation Decree sections 19 and 29(a)
3. Contract Decree Chapter 149, section 25
4. Mainland's Civil Procedure Code 1966, section 96
6. Civil Procedure Decree section 130
7. Court of Appeal Rules 1979, rule 43
8. Court Rules rule 43(*a*)
9. Zanzibar Limitation Decree (Chapter 12), Item 40 of the Schedule t

Dr Masumbuko Lamwa, for the Appellant

Dr Tenga, assisted by *Mr Mulamula,* for the Respondent

JUDGMENT

(Dated 18 December 2000)

Lugakingira, J.A.: In this appeal it is sought to quash the ruling of the High Court of Zanzibar made on 26 August 1998, which purported to revoke and replace an *ex-parte* judgment of that Court entered on 15 May 1997 in Civil Case Number 4 of 1997. That was a suit alleging breach of contract and instituted by the appellant. The appellant is an enterprise incorporated in Thailand with its registered office at 610/5-6 Songwad Road, Samphantwongse, in the City of Bangkok. A Zanzibar-based advocate, Mr Ajar Patel, appeared for the appellant in the High Court as agent under a Power of Attorney. The respondent was sued on behalf of the Government of Zanzibar.

On or about 23 July 1985, the respondent entered into a contract with the appellant company for the supply of 39 900 tonnes of rice worth USD 12 935 685. It was agreed that the price or any balance thereof would carry compound interest at 25% page A until full payment.

The rice was dully delivered in three shipments between 1986 and 1988 and there was part payment of the agreed price. The balance and the accumulated interest amounted to USD 69 044 651-24 as at January 1997. Efforts to secure settlement of the debt proved fruitless although the respondent did not deny the debt but actually acknowledged it on 15 July 1996. The appellant therefore instituted these proceedings in the High Court claiming the said sum of USD 69 044 651-24 together with interest thereon at 25% page A from 1 January 1997 until full payment. The respondent, though duly represented by the Attorney General's Chambers in Zanzibar, failed to file any defence due to his lack of co-operation with the Chambers. This led to the Chambers withdrawing in frustration and to an *ex-parte* judgment being entered on 16 May upon the evidence of Mr Patel.

Following this event, the respondent engaged the services of an advocate, Mr Theophan Mulamula, who filed Miscellaneous Application Number 47 of 1997 to set aside the *ex-parte* judgment. When the application came on for hearing on 22 July Mr Patel had this to say:

> We agree to set aside the *ex-parte* judgment on condition the parties re-negotiate the decretal amount and come to a satisfactory agreement within three months.

That marked the beginning of the problems of this case. The presiding judge (Dahoma, J.) made no order setting the *ex-parte* judgment aside, he adjourned the hearing of the application and fixed a mention for 17 December, to permit re-negotiation of the decretal amount as suggested by Mr Patel. Although the matter was mentioned three times thereafter, it was reported on each occasion that an agreement had not been reached. On 20 February 1998, the same Mr Patel applied to the court to "restore" the *ex parte* judgment for failure of a settlement.

Therefore, on 2 March, Dahoma, J. purported to restore the judgment although it had never been set aside. We consider it desirable to set out some portions of the ruling of 2 March in order to illustrate generally the ineptitude and confusion that characterized the proceedings before the High Court. The learned judge said:

> In the course of hearing the application to set aside *ex-parte* judgment there was a suggestion from the parties to adjourn the hearing of the application on condition that the parties re-negotiate the decretal amount and come to a satisfaction (*sic*) agreement within three months. This Court agreed to adjourn the application pending negotiations for settlement.
>
> The plaintiff has not been successful to meet the defendant and negotiate settlement and since there was no possibility of meeting the defendant, he prayed the *ex-parte* judgment be restored.
>
> Upon the best consideration that I have been able to give the case before this Court and regretting that the anticipated settlement has not been achieved and I see no prospect of such settlement or an end of it, I arrived at the following conclusion:
>
> It is ordered that the *ex-parte* judgment delivered on 16 May 1997 be restored.

Since the judgment had never been set aside, and the first of the above portions confirms this, the position is that the judgment remained throughout unaffected until it was purportedly restored. All the same, the above ruling gave rise to three matters. First, the appellant applied for execution of the decree on 3 April and listed the following assets for attachment: (i) all assets, wherever situate, of the People's Bank of Zanzibar; (ii) all ships belonging to the Zanzibar Port Authority/ State; (iii) Bwawani Hotel buildings; and (iv) such other assets, to be identified, of the judgment-debtor to the extent of the decretal amount. Second and third, on 7 April, Mr Mulamula applied for stay of execution of the decree vide Miscellaneous Application Number 31 of 1998 and for review of Justice Dahoma's ruling vide Miscellaneous Application Number 32 of 1998. On 9 April for a mention in order to fix "a firm date ... for the parties to get together ... to reach

agreement and pay the first installment." While fruitless negotiations were going on, Dourado, J. rejected the application for review on 18 June. On 27 July, he vacated the order for stay, ordering execution to proceed, but immediately suspended execution for a month to allow further negotiations.

At the expiration of the month, on 26 August, Mr Patel reported that agreement had not been reached and prayed for execution to proceed. Mr Mulamula confirmed the failure of negotiations. In attendance also was Mr Omar Sheha, the Principal Secretary (Finance), who added that the last figure the respondent was prepared to offer was USD 15.5 million. Mr Patel rejected it and said: "We don't agree. They are not in good faith, pay USD 20 million first. Then we talk." It seems the judge had reached the limit of his patience for he proceeded to write and deliver the following interesting ruling:

> I trust that I will never have to deal with a case like this. What is not in dispute is that the Zanzibar Government through the Minister of Finance ordered the rice and took delivery. What is in dispute is the amount to be paid.
>
> In the Memo of Understanding signed on 16 October 1991 the Minister of Finance acknowledged that USD 20 million was to be paid. It was witnessed by the page S. Mr Omar Sheha and the then Director of Finance Mr Julian Rafael. Later Minister Amina Salum said she signed it in error. This is unbelievable.
>
> In attempting to settle the matter Minister of Finance offered to pay USD 11 million plus interest at Euro rates – 30%. In response Laemthong rejected this and made a counter proposal of USD 102 645 097-18. First instalment USD 20 182 377-21. Balance of USD 82 462 719-92. This is an over-inflated claim which no one could support. The inflated figure includes interest at 25% page A Nowhere in the world could one earn this rate on dollar transactions.
>
> In order to get the matter settled once and for all I asked Mr Omar Sheha how far was the Government prepared to go above his faxed offer of 11 million dollars. He said his final offer was USD 15.5 million.

> I order that this amount be paid in full settlement.
>
> If not execution to proceed but not against Government funds with the People's Bank or against Government funds held abroad.
>
> I do not wish to deal with this case again. So if Decree-holder wishes to appeal to the Court of Appeal, permission is hereby given.
>
> Dated this 26 August 1998.
>
> Sgd.: W. Dourado
>
> Judge
>
> Supplementary order: USD 500 000 to be paid within 60 days. Balance will be worked out and presented to Court for approval.
>
> Dated 26 August 1998
>
> Sgd.: W. Dourado
>
> Judge

Pursuant to this ruling, Mr Patel drafted a decree which expressly states that the *ex-parte* judgment dated 16 May 1997 "is hereby revoked". The decree was signed by the judge. It is this ruling and decree which are the subject of appeal. The appeal was lodged by Mr Patel listing two grounds:

1. The trial judge erred in law and ought not to have varied his earlier judgment dated 16 May 1997.
2. The trial judge erred in law and ought to have ordered the execution as per the appellant's application dated 3 April 98.

The appeallant hence prays that the judgment dated 16 May 1997 be restored and that the High Court be directed to order its execution as per the appellant's application.

When the matter first came on for hearing at Zanzibar on 1 December 1999, Mr Patel appeared for the appellant while Dr Ringo Tenga appeared for the respondent assisted by Mr Mulamula. Something unusual then happened. An officer of the appellant company (one

Mr Chu) informed the court that the appellant had withdrawn instructions from Mr Patel and protested Mr Patel's appearance. There was an unpleasant tug-of-war, Mr Patel resisting his dismissal. Eventually Mr Patel withdrew and the hearing was adjourned to enable the appellant engage another counsel. The court next sat at Dar es Salaam on 17 March 2000 when the appellant was represented by Dr Masumbuko Lamwai. Dr Lamwai applied for an adjournment in order to prepare and file a supplementary record of appeal as the record filed by Mr Patel was incomprehensible and also contained some errors. In particular the notice of appeal and the extracted decree wrongly cited Miscellaneous Application Number 47 of 1998 as the proceeding in which the contested ruling was made. This error had earlier prompted Mr Mulamula to lodge a notice of preliminary objections to the appeal, first to the effect that the contested order was not attached.

The second objection was that the appellant had not applied for leave to appeal. After hearing Dr Lamwai, however, Dr Tenga conceded that the record of appeal was in serious confusion and acceded to Dr Lamwai's application, stating that he was in the circumstances not pressing the preliminary objections. Permission was accordingly granted to Dr Lamwai to file a supplementary record incorporating the necessary amendments.

The next sitting was at Zanzibar on 22 August and by then a supplementary record had been filed containing, among other things, a notice of appeal and a decree which cited Miscellaneous Application Number 2 of 1997 as the proceeding in which the impugned ruling was made, as well as Civil Case Number 4 of 1997 as the parent suit. It is necessary to explain here what happened in the High Court. Apart from the parent suit for which a record was opened, there were seven (7) interlocutory applications in the suit for which separate records were opened. For instance, Misc. Application Number 2 of 1997 was an application by Mr Patel for leave to appear as an agent for the appellant, while Misc. Application Number 47 of 1998 was an application to refer the dispute to an arbitrator. Each of these had its own file as did the rest. Because of his multiplicity of records,

parts of proceedings in one matter were transacted in the record of another matter. Hence, the proceedings culminating in the contested ruling, and the ruling itself, were transacted in the record for Misc. Application Number 2 of 1997 rather than the parent record of Civil Case Number 4 of 1997. What Dr Lamwai did, therefore, was to extract and put together in the supplementary record of appeal and the extracted decree duly amended to reflect the correct proceeding where they occurred or derived from.

It was a bit of a surprise to the court, therefore, when, despite Dr Lamwai's efforts, Dr Tenga reactivated the preliminary objections. He argued, first, that the decree was still not attached because the one on record still cited the wrong proceeding and, second, that leave to appeal had not been obtained because leave cannot be granted *suo motu*. He submitted in connection with the first objection that under section 130 of the Civil Procedure Decree (Chapter 8 of the Laws of Zanzibar), clerical errors may be corrected at any time by the court and cited *Jewels and Antiques (T) Ltd v. NASACO* (1), to support his argument. He charged that Dr Lamwai had, despite the adjournment, not appeared before the High Court to apply for corrections.

As regards the second objection, he cited *Zee Hotel Management Group v. Minister of Finance* (2). In reply Dr Lamwai referred to the confused nature of the record filed by Mr Patel and argued that since the matter was now on appeal, it was beyond the High Court to make corrections. On the second objection, he observed that the law was silent as to whether leave to appeal cannot be granted *suo motu*. Alternatively, he submitted that the order appealed from, after revoking the *ex-parte* judgment, gave rise to an original decree which was appealable without leave.

At the conclusion of arguments we promptly overruled Dr Tenga's objections and promised to give our reasons in this judgment. Meanwhile, we directed learned counsel to present written submission on the substantive appeal. Both counsel lodged their submissions in the time set by the court but Dr Lwamwai did not reply to the submissions

from the opposite side. We propose first to give reasons for overruling Dr Tenga's objections.

As stated, Mr Patel's appeal record was seriously and frustratingly confused. The use of eight files where one could have sufficed for all matters was a telling factor in the unfortunate state of that record. Bearing that in mind, we think, with respect, Dr Tenga's first objection is rather surprising. The extracted order or decree is now headed "Miscellaneous Application Number 2 of 1997" because the ruling from which it derives was made in that record. This was demonstrated to us beyond doubt when Dr Lamwai invited us at the hearing to look at the original record. That in the confused record of appeal the same order is headed "High Court Miscellaneous Application Number 47 of 1998", was certainly an error, and no doubt Mr Patel's error while drafting the decree; he made the same error on the notice of appeal. These, in our view, are not errors for correction by the High Court. Section 130 of the Civil Procedure Decree like section 96 of the Mainland's Civil Procedure Code, 1996, applies to the correction of clerical and arithmetical mistakes in judgments, decrees or orders or errors arising therein from any accidental slip or omission; that is to say, errors of the court involving the meaning or intendment of the judgment, decree or order which the court meant to pronounce.

The provision does not, however, apply to errors committed by the parties in drawing up documents, which should, to our understanding, be amendable by the party concerned on application to the court. Where, as in this case, the mistake occurs in a document prepared for presentation to this Court, the application to amend should be made to this Court. The case of *Jewels and Antiques*, while deciding that correction of errors is not subject to limitation of time, is not authority for the courts to correct errors committed by the parties. There was therefore no need for Dr Lamwai to return to the High Court for that purpose. Moreover, we think it would have been misleading and a misrepresentation of the true position to show simply that the documents in question related to a decision in Civil Case Number 4 of 1997 without citing Miscellaneous Application Number 2 of 1997

in whose record the decision was actually made. You cannot get away from reference to Miscellaneous Application Number 2 of 1997 without retrying the case all over. We were therefore satisfied that Dr Lamwai proceeded correctly as he did and that a proper decree was on record.

The second objection is no less surprising. The objection arose because, if one reverts to the ruling of Dourado, J., leave to appeal was granted *suo motu*. According to Dr Tenga, this was not proper leave but there should have been an application for it. We think that is straining section 5(1)(c) of the Appellate Jurisdiction Act 1979 which is relevant on this subject. The provision reads:

> (1) In civil proceedings, except where provided by any other written law for the time being in force, an appeal shall lie to the Court of Appeal :
>
> (c) with leave of the High Court or the Court of Appeal, against every other decree, order, judgment, decision or finding of the High Court.

We agree with Dr Lamwai that the provision does not predicate the grant of leave upon application being made; in other words, it does not exclude leave being granted *suo motu*. If the Legislature had intended otherwise, it could easily have said so. We see no reason to tamper with the liberality of the provision and to read into it a limitation which is not there, but we think whether or not there ought to be an application would depend on the circumstances of each case. In this case the judge well knew that this decision was unacceptable to the appellant which was therefore likely to appeal. He knew this because he made the ruling in defiance to Mr Patel's rejection of the respondent's offer. He did not wish the decree-holder to go through a time-consuming application for leave to appeal since an appeal was inevitable. We cannot fault the learned judge for being true to reality but we commend his action. This is not to say that we are unaware of rule 43(*a*) of the Court Rules which is also relevant in the matter. It states:

(a) where an appeal lies with the leave of the High Court, an application for leave may be made informally, when the decision against which it is desired to appeal is given, or by chamber summons according to the practice of the High Court, within fourteen days of the decision.

As a general rule, the provisions of a subsidiary legislation cannot override or add to the parent Act. In this case, too, rule 43 does not purport to add to the Act. It merely provides for the mode of application, for example either informally or by chamber summons, but not for the necessity to apply. The *Zee Hotel Management* case to which we were referred, is no authority in this context but it will be revisited in a fitting context later. We do not, on the other hand, have to go into whether the substituted decree became the original decree as the more burning question is whether it was a decree in the first place. The second objection is, in short, similarly untenable. What is required under section 5(1)(*c*) is leave of the High Court or the Court of Appeal; it matters not how that leave is obtained but it would all depend on the circumstances of each case. The circumstances of this case, not least the defiant manner is which the ruling was made, justified the step taken by the trial judge.

We now turn to the appeal. In his submissions Dr Tenga raised a question of limitation which it is necessary to consider first. As indicated earlier, Dr Lamwai did not reply to those submissions, so we did not have the advantage of his views on the matter, Dr Tenga points out that according to the plaint, the rice was supplied between 1986 and 1988. The suit was instituted on 22 January 1997. He draws attention to Item 40 of the Schedule to the Zanzibar Limitation Decree (Chapter 12), according to which the limitation period for a suit for the price of goods sold and delivered is three years from the date of delivery. Since this suit was instituted well over three years after 1988, he submits that it was hopelessly time-barred and should have been dismissed as required by section 3 of the said Decree. That provision states:

3(1) Subject to the provisions contained in sections 4 to 25 (inclusive), every suit instituted after the period of limitation prescribed therefor by the Schedule shall be dismissed although limitation has not been set up as a defence.

(1) A suit is instituted, in ordinary cases, when the plaint is presented to the proper officer; in the case of a pauper, when his application for leave to sue as a pauper is made; and, in the case of a claim against a company which is being wound up by the court, when the claimant first sends in his claim to the official liquidator.

Dr Tenga further argues that although the respondent acknowledged the debt in 1996, the acknowledgement was of no effect because it came after the period of limitation had expired. He relies on section 19(1) which states:

(1) Where, *before the expiration of the period prescribed* for a suit in respect of any property or right an acknowledgement of liability in respect of such property or right has been made in writing signed by the party against whom such property or right is claimed, or by some person through whom he derives title or liability, a fresh period of limitation shall be computed from the time when the acknowledgement was so signed. [emphasis supplied]

Generally, Dr Tenga argues that on the ground of limitation alone, the High Court had no jurisdiction to entertain the suit and invites this Court to hold so. The consent of the parties to the proceedings in ignorance of the law did not, he emphasizes, give jurisdiction to the High Court.

We are grateful to learned counsel for raising this issue and for his arguments in connection thereto. Indeed under Item 40 of the Schedule to the Limitation Decree the period of limitation for the price of goods sold and delivered, where no fixed period of credit is agreed upon, is three years from the date of the delivery of the goods; similarly under Item 41, the period is three years from the expiry of the agreed period of credit. In this case the moneys were "payable 360" days from date of Bill of Lading for each of the shipments effected." This, we believe, brings the suit under Item 41.

In all respects, the period of limitation had apparently long expired when the suit was instituted and this judgment would have been incomplete without addressing this issue. The question now is whether Dr Tenga's submissions prevail. Unfortunately, they do not. Although the acknowledgement of debt was made after the expiration of the time of limitation, it was still capable of giving rise to a fresh period of limitation if section 19 of the Limitation Decree is read with section 29(a) of the same and section 25 of the Contract Decree (Chapter 149). The former provides:

> 29. Nothing in this Decree shall:
>
> (a) affect the provisions of section 25 of the Contract Decree.

In turn, section 25(1)(c) of the Contract Decree states thus:

> 25(1) An agreement made without consideration is void, unless
>
> (c) it is a promise, made in writing and signed by a person to be charged therewith, or by his agent generally or specially authorized in that behalf, to pay wholly or in part a debt of which the creditor might have enforced payment but for the law for the limitation of suits. [emphasis mine]

According to this provision, an acknowledgement of debt made after the expiration of the period of limitation would give rise to a fresh period of limitation if it is coupled *with a promise* to pay the debt. **Chitaley and Rao** (Volume I, (38 ed), page 640 note 9), makes this observation in comments on section 19 of the Indian Limitation Act 1908 and says:

> Under this section an acknowledgement of liability in respect of a debt must be made before the expiry of the period of limitation, in order to give a fresh start of the limitation in respect of such debt. But by virtue of section 25 clause 3 of the Contract Act [equivalent] of Zanzibar's section 25(1)(c) cited above] a fresh period of limitation for a debt can be obtained even after the expiration of the original period, if there is a promise to pay such debt.

It is further stated on page 642:

> ... a promise under section 25 Clause 3 of the Contract Act need not be express. It may be implied; only, it must be implied otherwise than by a mere acknowledgement of liability. It is a matter of construction of each document whether it amounts to a mere acknowledgement of liability or contains a promise within the meaning of section 25 Clause 3 of the Contract Act.

In the case before us, the respondent wrote to the appellant company on 15 July 1996 acknowledging the debt; the question is whether the acknowledgement was coupled with a promise to pay so as to bring it within the ambit of section 25(1)(*c*) of the Contract Decree. We think it was, and for the avoidance of doubt, we set out the most pertinent part of the communication.

> ... we wish to kindly confirm that our letter of January 1996 is still valid and that the Government is committed to pay the debt. In this respect we wish to suggest the repayment period indicated in our previous letter be shifted to September 1996 and that your representative be advised to visit Zanzibar during September or October subject to prior confirmation [emphasis mine].

The letter was duly signed for the Principal Secretary and copied to another Ministry concerned in the affair. This letter is not a mere acknowledgement of liability, it is an express commitment to pay the debt as per the clause we have emphasized. Although the schedule of payment was subject to re-negotiation, that did not take away from the promise to pay. This letter, in our view, was an acknowledgement coupled with a promise to pay within the meaning of section 25(1)(*c*) of the Contract Decree. It therefore operated to give a fresh start to the period of limitation from 15 July 1996, the date it was signed. Since the suit was instituted on 22 January 1997, for example six months later, we are satisfied, and so hold, that it was in time. We will therefore proceed to the grounds of appeal.

The first ground is the basic one, the second being consequential to it. It takes issue with the ruling of Dourado, J. which purported

to revoke and replace his *ex-parte* judgment passed a year earlier. Dr Lamwai tries to demonstrate in his submissions that the *ex-parte* judgment and decree existed up to 26 August 1998 when the contentious ruling was made. He therefore argues that the trial judge erred in permitting negotiations on the amount payable as if there was no judgment and decree. He says that since a decree existed, the court had no more role to play, but to execute that decree, because it was then *functus officio*. He refers to *Bibi Kisoko Medard v. Minister for Lands* (3), as well as *Zee Hotel Management* (above), the latter being a case on all fours with the instant case.

Dr Tenga first takes issue with the record of appeal, stating that it is incomplete. We see no significance in this complaint since we were not disadvantaged by any omission in the record in the preparation of this judgment. If, however, the record was not to learned counsel's satisfaction, he was at liberty to file a supplementary record in accordance with rule 92(1) and (2). As regards the appeal, Dr Tenga's basic argument is that "the parties willingly abandoned the decree granted ... and were willing to re-negotiate the decretal amount." In his view, therefore, the contested decree was a consent decree. He refers to the application for review and contends that it was not concluded, but only conditionally rejected, and therefore concludes that the principle of *functus officio* does not arise in this case; the decree was in a sense yet to be finally determined. Regarding the second ground, he argues that given the existence of applications which sought to challenge the validity of the *ex-parte* judgment, it would have been unlawful for the High Court to order execution of the judgment.

The nature of the grounds of appeal permits that they be taken together. The arguments of learned counsel translate into the questions, namely, whether the *ex-parte* decree existed until it was purportedly revoked or whether it was properly vacated and replaced with a negotiated one.

On the first question, we are in agreement with Dr Lamwai that the original decree was in existence until it was purportedly revoked

and replaced. The review of the events carried out earlier in this Judgment demonstrates that position. We only differ with the learned counsel where he also contends that there was no application for review, for an application there was, save that it was directed at the ruling of Dahoma, J. which purported to restore the judgment.

Besides, Dr Tenga, although contending that "the parties willingly abandoned the decree," actually concedes that the decree subsisted for he also observes that "the court constantly gave conditional directives and orders which constantly produced the wrong illusion that the matter was *sub judice* and would be amenable to further consideration despite the existence of an Order of the Court." It is also curious for Dr Tenga to suggest that the application for review was not concluded merely because its rejection was followed by proposals for further negotiations. In our view, those proposals had no effect on the finality of the rejection, but that was yet another instance of the inadmissible acts in the proceedings. The moment the judge ruled rejecting the application, he was *functus officio* and could not, as it were, reopen the review exercise. In all considerations, therefore, the decree subsisted until it was purportedly revoked and replaced.

The above observation applies to the second issue: the parties could not re-negotiate the court's decree. That is something unheard of, hence what happened in this case was without basis in law or precedent; it was a travesty of the law. The trial judge promoted encouraged and even compelled re-negotiation of the decretal amount already granted by him. There is no provision in the Civil Procedure Decree which authorizes or countenances such negotiations but the whole exercise was illegal and incredible. Even if an agreement were reached, but there was actually none, it would have been void and of no effect. The only aspect which can be negotiated is the mode and manner of satisfying a decree but not the content of it.

When a decision is made and communicated to the parties, that marks the end of the court's duty. Oversights, errors of substance and after thoughts are not unheard of but, however burdening to the

conscience, the court cannot *suo motu* revisit its decision and replace it with another. The law appreciates this fully and provides in its body the machinery for remedying injustices. They include review, revision and appeal, and even setting an ex-parte decision aside. The justification for denying power to resume decisions is obvious. If decisions were to be altered at the maker's pleasure, there would be no certainty of judgment, an essential attribute of any credible system of justice. Trials would be a farce and decisions would be meaningless.

The handling of this case was, without exaggeration, farcical. We are particularly disturbed that this had to happen in this case, not so long after the same judge was warned against the same mistake. In *Zee Hotel Management* already referred to, and in which the present respondent was also respondent, the judge varied *suo motu* an order previously made by him in a scenario not unlike the present. The court took the opportunity to warn him that he was *functus officio* once he had given his original order and could not depart from it in the absence of an application for review. It beats imagination that he was soon at it again. The decisions of the court are meant to be followed except where they can be distinguished. We are satisfied that the judge was grossly in error when he revoked and replaced the *ex-parte* judgment.

Finally, we are unable to agree with Dr Tenga that there existed applications which militated against execution of the judgment. The application to set the judgment aside was admittedly never heard and, as already shown, the judgment was never set aside. However, the application suffered annihilation, if that be the appropriate term, in the course of Dahoma J.'s contradictory ruling of 2 March, 1998. In that ruling the judge first correctly observed that the application was adjourned to permit the parties to re-negotiate the decretal amount. But later on he changed course and treated the application as having been heard and the judgment as having been set aside for he went on to "restore" the judgment. Therefore, as far as the High Court was concerned, that was the end of that application.

The application to review Dahoma J.'s ruling was, as already seen, rejected by Dourado, J. as early as 18 June 1997. The application to refer the dispute to arbitration was misconceived as it came after judgment was entered. It was undoubtedly an alternative device to re-negotiate the decretal amount. The application to stay execution was first granted, then vacated and execution ordered to proceed, but execution was suspended for one month to enable yet more negotiations. At the expiration of the month, the contested ruling was made. The remaining applications are irrelevant and need not be mentioned. These events, in our view, do not testify to the High Court's inability to proceed with execution but the court simply did not wish to.

Before concluding, we wish to comment on another matter raised by Dr Tenga. It is about Mr Patel's role before the High Court. Mr Patel was granted leave to act as agent for the appellant but in no time he became agent, witness and advocate, all in one. This matter has exercised our minds. We think it does not accord with accepted practice for a litigant, which essentially Mr Patel, was, to double as counsel for himself. The position has apparently been inconsistent but we think this view represents the dominant thinking. From *R. v. Philips* (4) in England, to the Canadian case of *Robinson v. Palmer* (5), and the Indian case of *Re West Hopetown Tea Company* (6), the position is that where a barrister appears as a litigant in person, he does so as any ordinary member of the public and must not address the court from the advocates' table or in robes. The High Court in this country took the same position in *Akena Adoko Chambers v. Mohamed Maganga* (7) and that decision was approved recently by this Court in *The Registered Trustees Social Action Trust Fund v. Happy Sausages Ltd* (8) where the court further suggested some reasons for that position.

In the light of these instructive examples, we share Dr Tenga's discomfort and wish to state that it was improper for Mr Patel to assume the role he did in the High Court. As a party to the suit, he should have instructed another counsel to appear for him rather than

become counsel to himself. It is indeed tempting to add that Mr Patel was equally responsible for the difficulties of this case. It is he who, surprisingly, first came up with the suggestion to re-negotiate the decretal amount and kept up his enthusiasm to the very end. In the end we have difficulty judging how useful he was to his principal's cause. For the reasons we have endeavored to state, we find merit in this appeal and allow the same. The ruling of 26 August 1998 is quashed and set aside, and the High Court is directed to proceed and execute the *ex-parte* judgment of 16 May 1997. The appellant is granted costs here and below but it is directed that with the High Court proceedings, the expenses only of Mr Patel as a litigant will be reimbursed.

IDDI NZIMANO *v.* NATIONAL BANK OF COMMERCE

HIGH COURT OF TANZANIA
AT TABORA
(Mwita, J.)

CIVIL REFERENCE No. 2 OF 2000

(From the decision of the Court of Resident Magistrate at Tabora, Taxing Master)

Civil Practical and Procedure – Taxation – Whether taxing master may take into account unreceipted items – Rule 67 of the Advocates' Remuneration and Taxation of Costs Rules 1991 (GN Number 151 of 1991).

Civil Practice and Procedure – Taxation – Circumstances in which the court may remit matter to taxing master for review.

In March 1990 the respondent sued the applicant in the High Court to recover TZS. 998 699 being accumulated interest and loan extended to the applicant. On 22 December 1992 the matter was transferred to the Court of the Resident Magistrate where it

was filed as Civil Case Number 50 of 1992. On 2 December 1994 judgment was entered in favour of the applicant. The appeal by the respondent to the High Court was partly allowed and partly dismissed with an order that each party bear the costs of the appeal. A subsequent appeal by the respondent to the Court of Appeal was struck out on 4 December 1998. The applicant then filed his bill of costs on 12 December 1999 praying that it be taxed at TZS. 5 550 990. The taxing master taxed the bill at TZS. 232 500. The applicant referred the matter to the High Court. In his application for reference the applicant had three rounds: (a) that the taxing master erred in taxing off all the items prior to 1992; (b) the taxing master erred in taxing off travelling expenses from Dar es Salaam to Tabora and back and (c) the taxing master erred in taxing off 50% for items not supported by receipts.

Held: (i) The taxing master was entitled to tax off the Dar es Salaam – Tabora – Dar es Salaam travelling expenses as the applicant had given his residential address as Manyema Street, opposite Jumaa Mosque, Tabora, and had given no notice of change of address.

(ii) There is no provision in the rules stipulating that the taxing master must award 50% of all items not supported by receipts or vouchers.

(iii) As the taxing master was not in possession of the original record of the High Court between 1 March 1990 and 22 December 1992 which showed appearances, the taxing master did not have reasonably sufficient material before him on the basis of which he could act;

Order accordingly

Cases referred to:

(1) *Zuberi v. Returning Officer* [1973] EA 33

(2) *Thomas James Arthur v. Nyeri Electricity Undertaking* [1961] EA 492

(3) *Ali Nyanganda v. Emilian Kihwili* [1967] HCD n 177

Statutory provisions referred to:

1. Items – Rule of the Advocates' Remuneration and Taxation of Costs Rules 19N1 (G.N. Number 151 of 1991)

2. Advocate's Remuneration and Taxation of Costs Rules 1991 (N.N. Number 515 of 1991), rules 5, 67, 67(3).

Mr Boaz, for the Applicant

Mr Mtaki, for the Respondent

RULING

(Deliverd 5 January 2001)

Mwita J.: This is a reference under Rule 5 of the Advocate's Remuneration and Taxation of costs Rules 1991 (G.N. Number 515 of 1991) for an order that the taxing officer's decision be varied by this Court. At the hearing of this matter the applicant was represented by Mr Boaz, learned advocate. The respondent had the services of Mr Mtaki, learned advocate.

The brief background to the matter is as follows:

In March, 1990 the National Bank of Commerce (NBC) instituted a suit at this Court (civil case Number 9 of 1990) against Iddi H. Nzimano claiming TZS. 998 699 , the accumulated interest and loan extended to the said Iddi H. Nzimano by the NBC on 30 June 1989. On 22 December 1992 the suit was transferred by this court to the Court of RM Tabora where it was filed as RM'S Court Civil Case Number 50 of 1992. On 2 December 1994 the Court of the RM entered judgment in favour of Iddi H Nzimano and awarded him damages in respect of loss of profits and defamation. The NBC being dissatisfied with the Court of the RM'S decision, appealed to this Court.

Mchome, J., on 18 October 1995 partly allowed and partly dismissed the appeal and ordered each party to bear the costs of the appeal. Aggrieved by Mchome, J.'s decision, NBC appealed to the Court of Appeal (Civil Appeal Number 63 of 1997). The appeal was struck out with costs on 4 December 1998.

On 12 November 1999 Mr Boaz on behalf of Iddi H. Nzimano (the applicant) lodged the applicant's bill of costs for taxation praying that the costs be taxed at TZS. 5 550 990. .

The taxing officer taxed the costs at TZS. 232 500. The applicant was aggrieved by the taxing officer's decision. Hence this reference.

Taxation of costs is the system of scrutinising of bills of costs. The powers of the court in taxation of costs is threefold: first is the power conferred by statute, the statutory jurisdiction now contained in the Advocate's Remuneration and Taxation of Costs Rules 1991 (GN Number 515 of 1991). Secondly, the power to deal with advocates' bills of costs under its inherent jurisdiction over advocates as officers of the court; and thirdly, the normal jurisdiction of the court in dealing with contested claims.

Mr Boaz, in his affidavit in support of the reference, advanced three grounds as the basis for this Court interfering with the taxing officer's decision:

(a) That the taxing officer erred in law in taxing off all items prior to 1992.

(b) The taxing officer erred in law and fact when he taxed off travelling expenses between Dar es Salaam - Tabora - Dar es Salaam.

(c) The taxing officer erred in law and fact when he disallowed an addition of 50%.

I will start with ground (b) where it is alleged that the taxing officer was in error to tax off traveling expenses between Dar es Salaam - Tabora - Dar es Salaam. The bill of costs submitted for taxation shows that Iddi Nzimano (the applicant) is claiming disbursement in respect of transport between Dar es Salaam and Tabora, meals and bedding in the train, meals and accommodation while in Tabora in respect of 34 trips he allegedly made between the two urban centres for the period 23 June 90 to 5 September 1995. The taxing officer gave three reasons for taxing off the said expenses: first, because the expenses had no supporting documents; secondly because he

saw no necessity of the applicant traveling from Dar es Salaam when the pleadings indicate that his residential address was Manyema Street, opposite Jumaa Mosque, Tabora, and that when the applicant testified on 27 October 1994 he did not make any allusion that he was coming from Dar es Salaam and lastly that the applicant's advocate did not comply with the provisions of rule 67(3).

Rule 11 provides that the taxing officer shall allow all such fees, costs, charges and expenses as shall appear to him to have been necessary and proper, but no costs shall be allowed which appear to the Taxing officer to have been incurred or increased through over-caution, negligence or mistake, or by payment of special charges or expenses to witnesses or other persons, or by other unusual expenses.

It is clear, therefore, that costs which appear to the taxing officer to have been incurred or increased through over-caution, negligence or mistake or by payment of unusual expenses are to be disallowed by the taxing master. Disbursements must be vouched for: *Zuberi v. Returning Officer* (1). Rule 55 (1) provides:

> Receipts or vouchers for all disbursements charged in a bill of costs together with all documents or drafts or copies thereof shall be produced on taxation.

It is thus a mandatory rule that disbursements must be supported by appropriate documents.

Rule 67(3) provides:

> (i) When taxing costs, witnesses expenses shall be supported by a statement signed by the advocate and filed with the bill of costs stating:
>
> (ii) the place of abode and the condition quality, occupation; or
>
> (iii) rank in life of the witnesses or intended witnesses charged for; or
>
> (iv) the distance they have had to travel, the mode of travel, and if by rail the class in which such witnesses traveled for the purpose of attending the trial; and
>
> (v) whether to the knowledge or belief of the deponents they attended as witnesses in any other cause or case upon other business; and

> (vi) also that they were material and necessary witnesses for the party on the trial of the cause, and the notes of their evidence must be produced on taxation.

In the instant reference there are no documents to support the claim for disbursements; rule 67(3) was not complied with. In any case since there is no indication on record to show that the applicant had changed his residence from Tabora to Dar es Salaam, he must be taken to be a resident of Tabora. If the alleged expenses were incurred, then they were not necessary for the conduct of the case. They were unusual payments which were properly disallowed by the taxing master. I can see no merit in ground (b). With regard to ground (c), there is no provision in the rules stipulating that where there are expenses which can not be accounted for with receipts the taxing master should allow an addition of 50% for all items. Mr Boaz quoted no authority in support of such rule of practice, and I have been unable to find one. In any case in so far as it is mandatory that disbursements must be supported by appropriate documents, there can be no rule to the effect that where there are no supporting documents the taxing master should allow 50% addition on all items. This ground is also devoid of merit.

I must now consider the first ground of the reference which is to the effect that the taxing officer was in error in taxing off all items prior to 1992. Perusal of the taxing officer's ruling makes it clear that it is not correct to allege that the taxing officer taxed off all items prior to 1992. What was taxed off were only costs of attendances for the period 1990 to 1992. The reason being that there were no proceedings on record for the said period. For that reason the taxing officer was unable to follow the attendances.

Perusal of the original record in respect of High Court Civil Case Number 9 of 1990 indicates that the said suit as presented for filing on 1 March, 1990 and was transferred to the court of the RM on 22 December 1992. The proceedings for that period are intact.

What appears to have happened is that when the suit was transferred to the Court of the RM a duplicate file was opened and on it were

placed only the pleadings. It is this duplicate file which was dispatched to the Court of the RM and it is probably this duplicate file which the taxing officer inspected and found the proceedings missing.

The court does not as a general rule, interfere with the decision of the taxing officer on a question of fact or amount: *Thomas James Arthur v. Nyeri Electricity Undertaking* (2); *All Nyanganda v. Emilian Kihwili* (3). But where the taxing officer has not had reasonably sufficient material before him, or has taken into account matters which he should not have considered, or has not taken into account matters that she should have considered, or has given reasons that are incorrect or where he has acted upon a wrong principle the court may order a review.

In this matter the taxing officer taxed off the cost of attendances for the period 1990 to 1992 because there were no proceedings on record for the said period and was, therefore, unable to follow attendances. This was due to the fact that the taxing officer did not have the original record before him. It would be unfair to the applicant to have the cost or attendances for the said period taxed off.

For the above reason the matter is remitted to a taxing officer to review the taxation by taxing the cost of Court attendances for the period 1990 to 1992 on notice to the respondent.

MARIAM NDUNGURU v. KAMOGA BUKOLI AND OTHERS

HIGH COURT OF TANZANIA AT DAR ES SALAAM

(Kyando, J.)

CIVIL APPEAL No. 132 OF 2001

Civil Practice and Procedure – Judgment – Enforcement of judgment – Whether a judgment can be enforced against a person who was not a party to the case.

Judgment – Enforcement of judgment in personam – Judgment in personam and judgment in rem distinguished.

Civil Practice and Procedure – Execution proceedings – Successful litigant asserting right to land through execution proceedings against persons who were not parties to the suit – Whether assertion of new rights can be done through execution proceedings.

The appellant filed a suit against two defendants in the resident magistrate's Court seeking eviction of the two defendants, an order declaring them trespassers, an order of injunction as well as damages. She was successful. She then sought to enforce that judgment against the present respondents who were not parties to that suit.

Held: (i) This was a judgment *in personam*, described more accurately as a judgment *inter partes*, not a judgment *in rem*; it was a judgment against only the defendants in that suit;

(ii) As this was a judgment *in personam* (or *inter partes*), it cannot be enforced against a person who was not a partly to the proceeding leading to the judgment;

(iii) A judgment declaratory of the status of the appellant would have been a judgment *in rem*.

Appeal dismissed

Cases referred to:

1) *Town Director v. Daniel Sekao* [1988] T.L.R. 22

2) *Siki Askaris 83 KJ Kiluvia and 51 others*, CAT-Civil Appeal Number 3 of 1993 (unreported)

Statutory provision referred to:

1. Judicature and Application of Laws Ordinance Chapter 543, section 2(1)

Mr Maira, for the Appellant

Mr Mkatte, for the Respondents

JUDGMENT

(Delivered 1 February 2001)

Kyando, J.: This is an appeal from a ruling of the Court of the Resident Magistrate of Dar es salaam, at Kisutu, refusing to enforce a decree against the respondents herein who were not parties to the suit in which the decree was passed.

The facts of the matter are that in 1991 the appellant Mariam Nduguru instituted a suit, Civil Case Number 43 of 1991 in the Court of the Resident Magistrate at Kisutu, against Leonard Kamilius Ndunguru and Bosco M Mlowe. In the said suit she sought the following reliefs:

(i) An order of eviction of both Ndunguru and Mlowe, the defendants in the suit.

(ii) A declaration that both the defendants were trespassers on the suit .

(iii) An injunction to restrain the defendants jointly and severally and all their agents and servants.

(iv) Special damages in the sum of TZS. 1 200 000 with interest at 31% thereon from the date of the cause of action to that of judgment.

(v) General damage.

(vi) Interest on all the pecuniary reliefs

(vii) Costs and any other reliefs.

The suit was tried and at the conclusion of the trial the Magistrate (Kaganda RM as she then was) held that the plaintiff, now the appellant, was the rightful owner of the disputed land and that the defendants had no title to the land. Following this decision of the court the appellant proceeded to enforce it, i.e the decision, and it so happened that the respondents, who, as shown, had not been parties to the appellant's Civil Case Number 43 of 1991, were also occupants of the suit land. The appellant sought to execute the decision against them as well. They put up objections. In a ruling from which this appeal arises the court below held that not having been parties to the suit against Ndunguru and Mlowe, the appellant could not enforce the decision to that suit against the respondents and sustained their objections. The appellant was aggrieved by that holding, hence this appeal.

Both parties are represented: the appellant is represented by Mr Maira and the respondents by Mr Mkatte, both vastly experienced Senior Learned Counsel. They (counsel) have filed written submissions on the appeal.

The memorandum of appeal contains two grounds of appeal but the crucial one, in my view, is the first one which is this:

> ... the learned Resident Magistrate erred in law in not holding that the judgment of the Court in RM Civil Case Number 43 of 1991 operates *in rem* and therefore binds all trespassers, the respondents included.

Submitting on this ground Mr Maira states in part:

> Our first ground or complaint is that the learned trial Resident Magistate erred in law in holding as he did that the judgment of the Court in Civil Case Number 43 of 1991 which declared the appellant the legal owner of all that parcel of land comprised in the suit land property of the appellant to the exclusion of other persons in the world was not binding upon the respondents simply and solely on the basis that they were not joined as parties. It is our respectful submission that in terms of section 2(1) of the

Judicature and Application of Laws Ordinance a judgment of a court under the common Law of England which was imported to Tanganyika as aforesaid acts *in rem* and gives rights *in rem* and not *in person*.

Secondly, by section 18 of the Land Ordinance the appellant has always been the registered owner of this piece of land. Hence her right excludes anybody else in the world except, of course, under certain exceptions the President of the United Republic of Tanzania (see the *Town Director v. Daniel Sekao* (1).

In his submissions in reply Mr Mkatte does not seem to tackle head on the contention that the judgment in Civil Case Number 43 of 1991 binds the respondents. What he seems to gun for is compensation for unexhausted improvements which the respondents may have made on the suit land. He cites *Siki Askaris 83 KJ Kiluvia and 51 others* (2), in support of what he seeks for the respondents.

So can the decree in Civil Case Number 43 of 1991 be executed against the respondents? To answer this question one, I think, has to look at the relief's the appellant sought in the suit. Those reliefs are indicative of the nature of the appellant's suit. I have set out those reliefs herein above. They are all specifically against the defendants in the suit alone. There was not even a relief sought to declare the appellant the rightful owner of the suit land. The first relief, as can be seen, was for the eviction of the defendants from the suit land, the second was for a declaration that the defendants were trespassers on the land; the third sought an injunction to restrain the defendants and their agents and servants only and the rest were for damages, interest and costs. It is only in the judgment of the court in which the appellant was declared "the true owner of the suit land". Did this declaration extend to third parties such as the respondents herein in view of the reliefs? I do not think so. In view of the reliefs sought in the plaint the decision of the Trial Court must be construed to have been that the appellant was the true owner of the land as against the defendants in the suit only.

So in this sense the judgment of the court was a judgment in *personam*, against the defendants only, and not *in rem*. And it is wrong, in my view, to contend as it is contended here on behalf of the appellant, that under the Judicature and Application of Laws Ordinance or under the common law of England as introduced into this country by the Judicature and Application of Laws Ordinance there cannot be a judgment in *personam*. The common law, to my understanding, recognises both judgments *in rem* and judgments in *personam*. It all depends on the nature of the proceedings in which the particular type of judgment is sought. Thus a judgment in an ordinary action of contract or tort will be a judgment in *personam* or, more accurately, a judgment *inter partes*; a judgment declaratory of status would be a judgment *in rem*. As seen above, the reliefs in the present case indicate that the suit was founded on trespass; which is tort. It was sought in it that the defendants be declared to have been trespassers on the suit land and therefore they should be evicted from there and be made to pay compensation for the trespass. The judgment in the suit was a judgment in *personam*, and not a judgment *in rem*, as already hinted above. The first ground of appeal in this appeal therefore is determined against the appellant.

In the second ground of appeal it is contended that the learned magistrate granted title to land "which was in occupation of the appellant to the respondents who have all along been nothing but trespassers". I do not think that this was the exact effect of the learned magistrate's ruling. As stated already the respondents objected to execution against them. The magistrate upheld the objection and advised the appellant to bring actions against the respondents so the rights of all the parties in respect of the land could be investigated and determined on. He said:

So that their (the respondents) objection is allowed only to an extent that the decree holder is at liberty to sue the objectors in connection with this matter in another suit any time from now but subject to limitation.

This was not, to any stretch of the imagination, conferring titles on the respondents over the appellant's land. I am of the view, as was the learned magistrate, that the appellant, as she did with the defendants in Civil Case Number 43 of 1991, should institute suits to recover possession of her land from the respondents and it is in those suits that her rights against the respondents will be properly established or determined on. She cannot assert those rights in these execution proceedings nor, too, can the respondents assert their rights to compensation for unexhausted improvements in this kind of proceedings as their learned counsel is attempting to do. They, too, if they desire to assert their rights to compensation, should do so by initiating proper proceedings, i.e suits, in court. I determine the second ground of appeal against the appellant for the stated reason as well and in the final result, this appeal fails and it is dismissed with costs.

CRDB BANK LIMITED *v.* NBC HOLDING CORPORATION AND OTHERS

HIGH COURT OF TANZANIA
(*Commercial Division*)
AT DAR ES SALAAM
(Kalegeya, J.)

COMMERCIAL CASE No. 7 OF 2000

Advocates – Negligence by advocate – Advocate negligently fails to file written submissions as ordered by the court – Effect of that failure on his clients' case

Both parties in these proceedings filed preliminary objections. They were each ordered to file their written arguments by 30 November 2000, replies by 14 December 2000, rejoinders, if any, by 22 December 2000; and the ruling to be given on 6 January 2001.

The defendant duly complied with the first order, but the plaintiff did not and instead, on the day scheduled for the ruling, prayed for extension of time within which to act. The failure to file the submission was attributed to mere negligence on the part of the advocate for the plaintiff.

Held: (i) Counsel's negligence in failure to comply with rules which prescribe the taking of essential steps in the process within a prescribed time is not a barrage to the court in deciding to exercise its discretion to extend time;

(ii) The benefits behind the assistance to be rendered to the court by tendering the submissions for the ends of justice outweighs the otherwise technical stand which would be rendered by a refusal to exercise the discretion simply because of the counsel's negligence.

Order accordingly

Cases referred to:

(1) *Nicholas Perkins v. Car and General(T) Ltd*, HC – DSM – Civil Case Number 39 of 1994 (unreported)

(2) *Ally Mohamed v. Sara Yona Mganga*, HC – DSM – Civil Appeal Number 38 of 1992 (unreported)

(3) *Institute of Finance Management v. Simon Manyaki*, CAT – Civil Application Number 13 of 1987 (unreported)

(4) *Godwin Ndewesi and another v. Tanzania Audit Cooporation*, CAT – Civil Application Number 57 of 1994 (unreported)

(5) *Ratman v. Curasamy and another* [1964] 3 All ER 935

(6) *South India Corp.(T) Private Ltd v. J.J. Stanly and Sons Ltd.*, [1968] HCD n.336

(7) *Abass G. Essaji v. Gordkhan Dewji Solanki* [1967] HCD n. 279.

(8) *Felix Tumbo Kissima v. Tanzania Telecommunications Ltd and another* CAT – Civil Application Number 1 of 1997 (unreported)

Statutory provision referred to:

1. Civil Procedure Code, Order 43(2)

Mr C Tenga, for the Plaintiff

Captain Kameja, for the Defendants

RULING

(Dated 8 February 2001)

Kalegeya, J.: Having failed to file written submissions within the time prescribed, Mr Cuthbert Tenga, Advocate, for the Plaintiff is praying for extension of time within which to act. The application is supported by his own affidavit. Captain Kameja, Advocate, for the defendants vigorously resists the application.

Parties found themselves tussling in the process of executing the order of this Court dated 16 November 2000. The proceedings of the court on that date run as follows:

> Court: Arguments on preliminary objections to be made by way of written submissions
>
> Order: (i) As both parties have preliminary objections each to file submissions on respective objections by 30 November 2000
>
> (ii) Replies from respective parties by 14 December 2000
>
> (iii) Final rejoinders, if any, by 22 December 2000
>
> (iv) Ruling on 12 January 2001 as I will be back from leave on 6 December 2001

The defendant duly complied with the order in (i) above. The Plaintiff did not hence the present application.

Mr Tenga tries to explain his failure to comply with the order by calling to his aid *"human error"* and inadvertency. Submitting, he implored,

> ..., inadvertently we could not file the submissions as directed due to misunderstanding of the court's order as there were two preliminary objections. It was not clear as to who shall start. It is basically human error which occasioned the disadvantage to the other party) ...

Paragraph 8 of his affidavit is again clear on this. It urges:

> ... the confusion as to the order of filing submissions was not deliberate but quite inadvertent on our part, resulted out of misreading the order ...

On the date when the order was made present in court was another Tenga (Dr Tenga) but the present Tenga (Cuthbert) does admit that the relevant file and the order were passed over to him by Dr Tenga in the manner quoted above.

As naturally expected, the opposite side represented by Capt. Kameja brands this as nothing else but sheer negligence. In his affidavit, Captain Kameja attacks and insists.

> What Mr Cuthbert calls 'inadvertent' confusion and misreading of the order is in fact negligence. It is only negligence which can account for the fact that not only did the Plaintiff fail to file the submissions on its own preliminary objections but also failed to file its Reply to the defendants submissions served on the Plaintiff in good time.

From the above I should outrightly state that indeed, as rightly pointed out by Capt. Kameja, the Plaintiff's Counsel's behaviour cannot be accounted for anything else save negligence. The order was clear in itself and needed no interpretation. Admittedly, Cuthbert was not in court when it was made, but even assuming, for the sake of argument, that he didn't grasp its import, why didn't he seek clarification in time either from the court or the opposite Counsel (assuming Dr Tenga was not available)? Mr Tenga, in paragraph 6 of his affidavit states that he came to appreciate the import of the order from clarifications made by Mr Rwechungura, one of the Advocates of the firm representing defendant but does not tell us as to when this took place. If indeed this took place as alleged it is a telling evidence that it was already late in the day otherwise he would have complied with the order. In any case, again as justifiably posed by Captain Kameja, why didn't the Applicants' Counsel attend to the other leg of the matter - effect reply to the defendant's submission filed and served on him in time? Clearly, we should not waste time by labouring on a matter which is very clear. The Counsel for the Plaintiff/Applicant is fitly shrouded

in pure negligence. While still on this I should make the following observation.

During the arguments, supported by their respective affidavits, the Counsel were at variance as regards who contacted the other first - Mr Cuthbert Tenga or Mr Rwechungura (on clarification of the Court Order). Mr Tenga maintained that he did while Capt. Kameja insisted that it was Mr Rwechungura. Now, the interesting matter which attracted my decision to make an observation is not who among the two has a meritorious argument but rather it is Mr Tenga's submission that Capt. Kameja's evidence as per his affidavit should totally be disregarded because during his submission he did not expressly state that he was praying to have the affidavit adopted as part of his submission as he himself did.

When he commenced his submission Mr Tenga stated that he didn't wish to repeat what is contained in the affidavit but would just make some clarifications and that therefore he adopts the said, affidavit. Capt. Kameja also did the same except that he did not explicitly state that he was adopting his affidavit. Mr Tenga argued then that failure by Captain Kameja to so state excludes the affidavits from the court proceedings.

Mr Tenga's argument is novel and interesting but, with respect, I stand in the opposite camp on this. The law provides that unless the court gives leave for an application to be made orally or by joint memorandum signed by all parties or by any other mode found appropriate having regard to the prevailing circumstances, all applications to the court shall be by *"way of chamber summons supported by affidavit"* (Order 43(2) Civil Procedure Code). And, it is trite law that such affidavit is evidence in the matter. That being the case it would defeat logic to say that in an application, failure by a party to state:

> I adopt my affidavit

excludes it from the court proceedings. Now and again Counsel and parties, as did Mr Tenga in this case, are heard urging:

> I pray to adopt the affidavit filed in support of the application.

In my view this is generally unnecessary because as I said earlier on, the affidavit is the very evidence which backs up the application and it can't be separated from the chamber summons upon which the application is pegged. The catch phrase. "1 pray to adopt the affidavit" is intended to save the party from being repetitious during the submission. Unless it is for purposes of clarification it would serve no purposes to detail what is already on record. Contrary to Mr Tenga's proposition, there is nothing wrong therefore with Capt. Kameja's failure to use the catch phrase. *"I adopt the affidavit"*

Turning back to core issue. having concluded that the Plaintiff/ Applicant's Counsel was purely negligent. The only question before us is what are the consequences thereof. Captain Kameja is all out urging.

Tthe applicant is invoking this Court to use its discretion to extend time but that discretion can't be exercised to a party who has been negligent a nd prays for dismissal of the application. Appreciating that such dismissal may cause sufferings upon the plaintiff, Capt. Kameja goes on;

> ...suffering by Plaintiff is not good cause for extending time and that a client may suffer due to the advocate 's negligence

The question is whether a party to a case should be penalised for the negligence of the Counsel.

I have not come across an authority on exactly similar facts but I am convinced that we can draw an analogy from judicial pronouncements on negligence by Counsel in failing to comply with rules by taking essential steps in the court process necessitating applications for extension of time. I can best paint the situation by quoting from a ruling in *Nicholas Perkins v. Car and General (T) Ltd (1)* where I had occasion to state, making reference to various cases, as follows:

> We have conflicting decisions on the matter. In the case *of Ally Mohamed v. Sarah Yona Mganga* (2) and *the Institute of Finance Management*

v. Simon Manyaki (3) it was held that delay in instituting an appeal and seeking extension of time in which to take the necessary step which is caused by an advocate's negligence can never be a sufficient reason to extend time. In Manyaki case, Kisanga, J.A. observed as follows:

> ... Counsel was not at all diligent in handling this matter. She was obviously inactive too and there were inordinate delays in performance of her duty. In some cases she gave lame or unacceptable explanation for failing to do what she ought to have done, and, in others none at all ... I find Counsel's lapses here to be of a fundamental nature as would not warrant the exercise of this Court's discretion in favour of granting extension to time sought

The extension was refused.

In *Godwin Ndewesi and Kalori Ishengoma v. Tanzania Audit Corporation* (4) the same view was held, and cited a persuasive authority of *Ratman v. Curasamy and another*, 3 [1964] All ER at 935, with approval where it stated:

> The Rules of Court must prima facie be obeyed and, in order to justify a court in extending time during which some step in procedure requires to be taken there must be some material on which the court can exercise its discretion. If the law were otherwise any party in breach would have an unqualified right of extension of time which would defeat the purpose of the rule which is to provide a time table for the conduct of litigation.

In the past however, the HC had held the contrary view regarding the question of extension of time to lodge an appeal. In *South India, Corporation (T) Private Ltd v. JJ Stanly and Sons Ltd* (6), among others, it had been held that "Mistakes of a legal Counsel may amount to sufficient reason". The same view was held in *Abass G Essaji v. Gordkhan Dewji Solanki* (7) where Georges, C.J. held:

> Justice will best be served by not barring the appellant's application for extension of time because of Counsel's error.

In the latest decision of the Court of Appeal similar stand (what I may call the liberal approach) was reiterated. In *Felix Tumbo Kissima*

v. TTC Ltd and another (8), DSM Registry, unreported. Mfaliia, J.A,. in an application for leave to file the appeal out of time, considered and discussed the effect of an advocate's negligence in taking the necessary action for pursuing his client's case. The advocate's negligence in that case was described as "*appalling*." His Lordship held that "this constituted sufficient reasons for delaying in lodging the appeal.

I am bound by the Court of Appeal decisions. However in this case where there are two conflicting approaches I am at liberty to follow any, and in my view I subscribe to the liberal view as followed by Mfalila, J.A. in *Kisima* case.

I have quoted at length above to show that even the highest Court of the land, contrary to Capt. Kameja's proposition, appreciates that a Counsel's negligence in failure to comply with rules which prescribe the taking of essential steps in the process within a prescribed time is not a barrage to the court in deciding to exercise its discretion to extend time. Now, if such an allowance can be given where breach of the rules were occasioned by the Counsel's negligence, what about in situations where breach complained about concerns not failure to comply with Rules but the time frame set by the court itself? I hold that a court can justifiably exercise its discretion in that regard.

Indeed Mr Tenga was negligent. However, he is urging for extension of time to file documents which may assist the court to reach a just decision. It is not Mr Tenga's negligence but his client's case, which is being prosecuted. In my view the benefits behind the assistance to be rendered to the court by the tendering of the submissions for the ends of justice outweighs the otherwise technical stand which would be rendered by a refusal to exercise the discretion simply because of the Counsel's negligence. For the reasons stated, the application stands allowed. The submissions are to be filed today. However, I award costs to the defendant/respondents.

NATIONAL BUREAU DE CHANGE LTD v. TANZANIA PETROLEUM PRODUCTS LTD AND 3 OTHERS

HIGH COURT OF TANZANIA
(*Commercial Division*)
AT DAR ES SALAAM

(Kalegeya, J.)

COMMERCIAL CASE No. 25 OF 2000

(From the Decree of the High Court-Commercial Division, at Dar es Salaam Kalegeya, J.)

Civil Practice and Procedure – Stay of Execution – Application for Stay of Execution – No reasonable ground to stay execution – Whether court may grant the application for stay.

Banking – Mortgages – Mortgagee's right to sell mortgaged property – Whether mortgagee may sell property other than that listed in the agreement to top up the money due.

The applicant the first judgment debtor, obtained on overdraft from the respondent, National *Bureau de* Change Ltd., secured by a debenture over the first applicant's assets, a guarantee by the second applicant with legal mortgage over plot number 237 and 239 Block B Mikocheni, and assets and chattels of the third and fourth applicants. The applicant defaulted. The respondent advertised to sell the property on the two plots and also obtained a decree to sell 2 fuel carrying wagons lying at the Engen Depot, Kigoma, reportedly belonging to the first applicant. The first applicant then filed this application with prayers to stay the execution of the decree on the grounds that the consignment on the wagons was not his, and further that there was a clause in the settlement Agreement which creates a new contractual obligation in the execution of the decree.

Held: (i) There is nothing barring the respondent from looking around in search of the applicant's other property to satisfy the decree.

(ii) The clause in the settlement Agreement did not create a contractual obligation that in execution, first recourse must be had to the mortgaged plots and that the other assets of the first respondent could not be attached until after the sale proceeds had been found insufficient.

Application dismissed.

Mr Galikana, for the Applicant

Mr Kalokola, for the Respondent

RULING

(Delivered 13 February 2001)

Kalegaya, J.: The applicant who is the first Judgment debtor in this matter is before this Court, as per his Chamber Summons, urging,

1. That the execution of the decree be stayed pending the result of the application.
2. That the 89,052 litres of Petroleum products contained in truck/ wagon number PTB 90078 and PTB 90001 at Engen Kigoma Depot be restored to the possession of the Applicant/Judgment Debtor pending the result of the matter in the Commercial Court.
3. Costs of and incidentals to this application.
4. Any other relief the Honourable Court may deem necessary and or fit to grant.

In support thereof is an affidavit of Wenene Martine, the Applicant's Managing Director. The following are facts leading to this state of affairs. On 14 August 2000 the parties recorded a settlement Agreement by which the defendants were to pay the plaintiff a total sum of TZS. 80 074 108-70 payable in instalments. Paragraph 5 of the settlement Agreement runs as under:

> Failure to perform as per this agreement the plaintiff shall proceed to dispose of the mortgaged properties on plots numbers 237 and 239 Block

B Mikocheni, and in the event the sale proceeds therefrom shall not satisfy the debt payment, assets and chattels of the third and fourth defendants shall as well be sold to top-up.

The applicant/first Judgment debtor had obtained an overdraft facility from respondent. The facility had been secured by the debenture over first defendant's assets, a guarantee of the second Judgment debtor with legal mortgage over plots number 237 Block B Mikocheni and so are assets and chattels of the third and fourth Judgment debtors.

The Judgment-debtors failed to honour the settlement agreement. The decree-holder/respondent then advertised for sale the property on the two plots. However, todate the same have not been sold. Meanwhile the decree holder got wind of 2 wagons carrying fuel [wagon number PTB 90078 and PTB 90001], lying at Engen depot, Kigoma, reportedly belonging to the first Judgment-debtor. On 9 January 2001 the decree holder applied and secured from this Court an order for attachment and sale of the fuel consignment. Attachment was effected and this prompted the filing of chamber summons by the first Judgment debtor with prayers as quoted above.

Mr Galikano and Mr Kalokola, Advocates, represented the first Judgment-debtor/applicant and decree-holder/respondent, respectively,

As a basis for the application, Mr Galikano, supported by Wenene's affidavit, argued that the fuel consignment is the property of Mobil while his client was a mere carrier; and also that they could not resort to this mode of execution without complying with paragraph 5 of the Settlement Agreement quoted above allegedly because that would be breaching the agreement.

On the other hand, Mr Kalokola insists that the fuel belongs to first judgment-debtor, and that paragraph 5 of the Settlement Agreement cannot bar other steps to recover the money because the highest bidder to the mortgaged property had only offered TZS. 22 000 000.

What evidence is there to aid us decide on this matter? Apart from the applicant's affidavit and the respondent's counter-affidavit

which speak the opposite of each we have a receipt issued to applicant by Tanzania Railways Corporation [Number A223537 dated 9 November 2000] upon payment of TZS. 4 392 000 as deposit for 2 wagons (PTBs); metre tickets issued on 10 November 2000 by Gapco showing that 2 wagons [Numbers PTB 90078 and PTB 90001] were loaded with fuel "sold to Mobil"; an Export Delivery Note by Mobil showing that the consignee of the fuel in question was the first Judgment-debtor, and copy of a letter from Engen Kigoma addressed to applicant positively replying to a request to have its fuel [100 MT of Premium] temporarily stored at its Deport. For clarification, an official from Gapco where the fuel was loaded was called as a witness.

Now, let us turn to the arguments. I will start with the argument that the respondent could not have proceeded with execution on other properties of the judgment-debtor without first disposing of the mortgaged property. In fact, the applicant went on to disclose of the existence of another property by producing a title deed of a plot in Mwanza although no attempt was made to show whether the same is developed or not.

With respect to Mr Galikano there is no law which bars execution in the manner taken up by respondent. It is true that paragraph five of the "Settlement Agreement" states that failure to pay will attract sale of the mortgaged property but this does not create a new contractual obligation in the execution. Here, the core issue is the debt liability existing on the Judgment-debtors. The decree is not for property but for a sum of money. What is relevant here is how should the decree-holder go about recovering its money (TZS. 80 074 108). The decree-holder, through the voice of its advocate, unchallengedly, stated that the property in question attracted only TZS. 22 Million and this made them hesitate in view of the total sum due. In such situation there is nothing barring the decree-holder from looking around in search of the Judgment-debtor 's other property to satisfy the decree. Does Mr Galikano suggest that in a situation where no one shows a spec of interest in the mortgaged property, hence failing to attract any buyer at all, the decree-holder would remain with a

dead decree and barred from looking for other means of executing the same on the judgment-debtor, even if the latter has other obvious properties or is loaded with fat accounts? The absurdity of this needs no orchestration.

We now turn to the other arguments that the fuel consignment belongs to Mobil. I should pose here and observe that the prayers are not for raising of the attachment as such but for "stay of execution" of the decree (possibly meaning disposal of the fuel consignment) pending the results of the application; and restoration of the fuel into possession of Applicant pending the result of the matter in the Commercial Court. I carefully went through the file but my eyes did not land me on any application other than the one leading to this ruling.

In order to succeed the applicant should have established the existence of that application. This would have satisfied the court that there is a cause of action being pursued and that it is not a sheer time buying tactic. The Applicant should also have established that third party interests do exist in the fuel, i.e., ownership by Mobil as claimed.

None of the above was proved. The metre tickets relied upon by Applicant were extensively explained by the only witness, Gapco official. These are mere internal documents showing the quantity of fuel pumped from Mobil stock. Gapco is a custodian of Mobil fuel for a fee as it does for other companies. When Mobil sells fuel to its customers it simply issues a loading order to Gapco and the latter complies by issuing the fuel. This witness, Baston Eric Mungi, a Terminal Manager with Gapco Tanzania Ltd, was emphatic that to him the consignee indicated on the loading order is the owner of the fuel.

Applicant seemed to rely heavily on the words "sold to Mobil" on the metre tickets. Again, the witness unchallengedly explained: Metre tickets are pre-printed as they come with metre machines. The word "sold" is printed. When fuel is loaded as per mobil order

they indicate "sold to Mobil' because that is its stock and it is for record purposes only-to show how much fuel has been pumped out. It does not mean that Gapco has sold fuel to Mobil because it cannot sell to Mobil what is theirs already. Gapco is simply a custodian.

In paragraph 12 of Wenene's affidavit it is stated:

> ... the property attached is not in the ownership of applicant for the same was sold to Mobil and the applicant was mere forwarding, clearing and transporting agent from Gapco Dar es Salaam to Engen Kigoma Depot.

It does not require a mind of an expert to see and conclude that the above quoted contradicts the testimony of Mungi (Gapco official). The fuel could not have been sold to Mobil as Mobil could not buy its own fuel. The words "sold to Mobil" have sufficiently been explained. Again, if Applicant's duty in this transaction was simply that of a forwarding agent, and if, as per contents of paragraph 12 that duty ended with the arrival of the fuel at Engen Depot, Kigoma, which it did, wouldn't common sense dictate that Mobil would have been the one who should have raised a hullabaloo? Indeed. Mobil should have been the one to front an objection to attachment. Contrary to this, they are dead silent! Why should the applicant who has already completed its assignment – carrying the fuel from Dar es Salaam to the allegedly contracted destination, Engen Depot, Kigoma – take the pains and trouble at all? It would have been a bit different (on this point alone) if the fuel had been intercepted on the way.

What about the title appearing on the Export Delivery Note branding applicant as a "Consignee"? Does this term in the circumstance exclude ownership? In my considered view it doesn't. **Baron's Law Dictionary** (referred to by Mr Kalokola) defines the term "Consignee" as follows:

> a person to whom goods are shipped for sale under a consignment contract; one to whom a carrier may lawfully make delivery in accordance with his contract of carriage; the person named in a bill of lading to whom or to whose order the bill promises delivery.

Black's Law Dictionary defines the same term in the following words:

consignee. One to whom a consignment is made. Person named in bill of lading to whom or to whose order the bill promises delivery.

In a commercial use, 'consignee' means one to whom a consignment may be made, a person to whom goods are shipped for sale, or one to whom a carrier may lawfully make delivery in accordance with his contract of carriage, or one to whom goods are consigned, shipped or otherwise transmitted.

The above definitions clearly do not exclude the owner of goods from being addressed as a consignee. It depends on facts of a particular case. In the case at hand the Applicant does not allege existence of any special contract between them and Mobil save that of transportation. However, other factors contradict this. For example, Applicant alleged that the fuel was sold to Mobil. It has sufficiently been demonstrated that Mobil could not have bought its own fuel. Therefore on this the applicant nets itself in pure lies. Again, as already stated it is not of less significance that the Gapco official is on record insisting that those to whom Mobil sold fuel as per loading order were addressed as consignees. All the above brings us to the following conclusion.

Having carefully analysed the evidence before me I am satisfied that the Applicant has not sufficiently laid grounds entitling it to the prayers sought in its chamber summons. Apart from the obvious that it was the Applicant's duty to prove that it is not the owner of the fuel in question because it is trite law that he who alleges has to prove, the respondent's version, supported, among others, by the TRC receipt, the Export Delivery Note and Gapco official's testimony, that the said Applicant is the owner, remains unscratched. In the premises I hold that the prayers fronted and quoted at the beginning of this ruling have no base upon which to stand. The Application is dismissed accordingly.

FELIX MSELLE v. MINISTER FOR LABOUR AND YOUTH AND THREE OTHERS

HIGH COURT OF TANZANIA AT DAR ES SALAAM

(Kyando, J.)

MISCELLANEOUS CIVIL CAUSE No. 84 OF 2000

Administrative Law - Judicial review of administrative action – Nature and Source of the jurisdiction of the High Court in judicial review of administrative action.

Judicial Review – Judicial review of administrative action – Application for judicial review of decisions made by respondents in a private contractual relationship – Whether judicial review is applicable.

Natural Justice – Right to be heard - Minister acts on additional information received ex-parte and decides appeal without first disclosing it to the other party – Breach of natural justice.

The applicant was an employee of the fourth respondent who then decided to terminate the employment. The applicant referred the matter to the Labour Conciliation Board which ordered his reinstatement. The fourth respondent appealed to the Minister, the first respondent, who reversed the decision of the Conciliation Board and confirmed the termination. The applicant then brought this application for judicial review of both the decision of the Minister and the decision of the fourth respondent on the grounds of breach of natural justice and unreasonableness.

Held: (i) Judicial review of administrative action is the power or process by which the High Court exercises its supervisory jurisdiction over proceedings and decisions of inferior tribunals or other authorities, bodies or persons charged with the performance of public acts and duties; this power is not statutory but inherent in the High Court;

(ii) The public law nature of the orders of *certiorari* and *mandamus* means that they will not issue for the enforcement of a merely private law right such as arising from the relationship between the applicant and the four respondents which was a

purely private contractual relationship; those orders, therefore, cannot be issued against the third and fourth respondents in this case;

(iii) As the Minister received from the fourth respondent detailed additional information relating to the appeal before him, and that information was not disclosed to the applicant, and the Minister acted on this additional information in reaching his decision, the Minister's decision was made in breach of the applicant's right to be heard.

(iv) The Minister's decision is rescinded and the Minister is directed to re-hear the appeal according to law.

Orders accordingly

Cases referred to:

1) *Board of Education v. Rice* [1911] AC 179

2) *Errington v. Minister for Health* [1935] 1 KB 249

3) *Assistant Registrar of Buildings v. Fredrick G Kibwana* [1987] T.L.R. 84.

4) *Hans Wolfgang Golcher v. General Manager of Morogoro Canvas Mill Ltd* [1987] T.L.R. 78

5) *Republic v. British Broadcasting Corporation, ex parte Lavelle* [1983]1 All ER 241

6) *Republic v. East Berkshire Health Authority, ex parte Walsh* [1985] QB 152

7) *Republic v. Uxbridge Justices ex parte Howard Mills* [1983] 1 All ER 530

Mr Nshala, for the Applicant

Mr Ngwembe and *Miss Otaru,* for the first and second Respondents

Mr Kariwa, for the third and fourth Respondents

RULING

(Deliverd 23 February 2001)

Kyando, J.: This is an application for the prerogative orders of *certiorari* and *mandamus* in respect of decisions of the fourth and first respondents to respectively terminate the employment of the applicant as a Clerk with the fourth respondent and reverse the decision of the Conciliation Board which had directed the applicant's reinstatement in his said employment. The application is by Chamber Summons supported by an affidavit of the applicant and the respondents have filed counter affidavits. It, for example, the application, is accompanied by a Statement as well-as is usual. Both sides are represented and Counsel have filed written submissions on the application. In addition I had the opportunity to hear oral clarifications from the parties and their respective Counsel on some matters in respect of which I felt clarification was needed.

Briefly, the applicant was an employee of the fourth respondent, which, according to the filed papers, includes the third respondent as well. He was employed as a clerk as from 1 December 1994. He was confirmed in his position on 8 July 1995, and on 23 February 1996 he earned a promotion to section Head. Then between August and September 1998, there was a rather fast development of events which culminated into the applicant's loss of his employment. These were that on 27 August 1998 the applicant received an internal memorandum from his Branch Manager requiring him to take up, temporarily, cashier's responsibilities. The memorandum reads in part:

> Sub: Assignment of Cashier's Duties:
>
> As discussed this morning you are required to attend to cashiering duties to fill a vacancy left by two sick cashiers. This is a temporary arrangement to ensure that the bank continues to give satisfactory services to its customers. Please report to the Cash Office immediately. Otherwise, please let us have your reason for not taking up this assignment.

Clive Shonga

Branch Manager.

To the above memorandum the applicant responded by sending an Internal Memorandum which is dated 27 August 1998, and reads:

Trust Bank (Tanzania) Limited

Head Office

Internal Memorandum

To: Branch Manager,

Samora Avenue Branch,

Dar es Salaam.

From: Felix Mselle,

Samora Avenue Branch. Stamp

Dar Es Salaam.

Date: 27 August 1998

SUBJECT: ASSIGNMENT OF CASHIER'S DUTIES

I understand that cashiering duty is a must to everyone in the Bank at the same time it has to be handled smoothly and in a more organized manner.

Honestly, I am seriously suffering from diabetes and high blood pressure which rise from time to time due to tension, depressions, overworking and sometimes diets (medical report can testify if need be).

Cash handling needs a lot of concentrations which again lead to rise of blood level and high blood pressure simultaneously. My thinking capacity has been reduced due to long outstanding complications of the said cases. All these problems can lead to not only a big loss to the Bank in case of cash handling but also distortion of blood levels (diabetes and hbp). To regain control is a big problem it may take two to three months, under very tense doctor consultations and medications. In order not cause cash shortages as a result of body complications which leads to frequent visits to hospitals, I kindly request you to release me from the said assignment.

Please accept this under medical and humatarian grounds otherwise I could do the job as I happened to do in the past. Also for the progress of Bank as well as myself allow me to participate in any other duties.

Thanks in advance,

Yours faithfully,

Sgd.:

F Mselle

In response to the above memo, the fourth respondent served on the applicant another Internal Memorandum which reads thus:

Trust Bank (Tanzania) Limited

Samora Branch

Internal Memorandum

TO: Mr Felix Mselle,

Samora Avenue Branch

From: Branch Manager,

Samora Avenue Branch

Date: 29 August 1998

Sub: Assignment of Cashier's Duties

With reference to your response of 27 August 1998 wherein you requested to be released from cashiering assignment we wish to advise as follows:

1. Your employment terms were those of general banking clerk, which meant that your assignments were to be within clerical capacity inclusive of cashiering duties.

2. You had agreed to serve in any department and anywhere the Bank represented within the country.

3. You had agreed to carry out at all times during your employment with the Bank all proper orders and instructions of the Bank and obey and observe all the regulations applicable to an employee and

prescribed by competent Authority of the Bank. Contrary to the above, and inspite of instructions communicated verbally to you earlier on you have still not complied with my written directive later in the day requiring you to report to Cash Office, so that you may take up the cash duty assignment. Instead you are asking management to release you from a task that you have not taken up in the first place. In order to substantiate your claims you advanced ill health as the main reason for refusal. However, it is clear that your limitations if there are any had not been advised to management prior to the aforementioned assignment.

In view of the above therefore, management wishes to advise you that it views your non-observance of Rules and Regulations as constituting serious misconduct and insubordination on your part. Therefore, management wishes to inform you that it has rejected your request as such are required to give reasons within 3 days of the date of this memo letter as to why management should not take stern disciplinary action against you for not complying to a lawful order.

Please be guided accordingly.

Clive Shonga

Branch Manager

CC: Manager,

Personnel and Administration

CC: Deputy General Manager.

The applicant replied to the above letter by his letter of 31 August 1998. The letter is long but in it the applicant narrates his working history in the fourth respondent and his great contribution to its establishment and later operations. He also gives examples of losses he had incurred when working with his previous employer, apparently another financial institution, due to his health condition. He explains further that his health condition had been known well before the exchange of letters under consideration started and that other members

of management decided, because of his ill health, to locate him in the section or department he was at the time working instead of the Cashiers Department. He ends up by stating:

The history of TBT (fourth respondent) will keep on remembering me for the great things I did from root to the peak from the mainland up to Island with the vision of the year 2000 a lot of ambitions and expectations.

Mr Branch Manager, to finish I didn't comply to your lawful order because of awareness of what could happen mainly unnecessary shortage which could be sustained due to inexperienced cashier.

To this letter the fourth respondent replied by giving the applicant a letter of termination of his employment with it. The letter is as follows:

Trust Bank (Tanzania) Limited

BM/hs/HO December 1998 4 September 1998 1 September 1998

Mr Felix Mselle,

PO Box 21451,

Dar es Salaam.

Mr Mselle,

Re: Termination

The management wishes to inform you that the explanation given by you vide your letter dated 31 August 1998 regarding your refusal to carry out lawful assignment of cashier's duties assigned to you by your immediate superior is not satisfactory.

Even after management had wanted to discuss the issue with you, still you were discovered to be absent from work without notice/permission from your superiors on 1 September 1998. In view of the aforesaid, the management has been left with no option but to terminate your services with effect from 1 September, 1998.

You will be paid one month salary in lieu of notice, and

You will also be paid 26 days leave being 8 days 1997 f 1998 leave and prorata for 1998 of 1999 being 18 days.

Your loan balance outstanding todate is TZS. 528 968-56 plus interest which will be deducted from your terminal benefits and balance you are required to make good immediately.

You are also required to surrender the following banks properties:

Identity Card

Cheque book and all unused cheque leaves.

Kindly sign the duplicate of this letter as your acknowledgment for our records.

Yours Sincerely,

Sgd	Sgd
B. Minja	Dr SK.Bose
Manager, Personnel	By General Manager
and Admin	

The applicant was aggrieved by the termination and appealed to the Conciliation Board, Dar es Salaam. The Board allowed his appeal. It directed his reinstatement but the fourth respondent, aggrieved by the decision of the Board appealed also to the Minister for Labour and Youth, the first respondent herein. It succeeded in the appeal and the Minister reversed the decision of the Conciliation Board holding as follows:

.... Mfanyakazi huyo aachishwe kazi kwa sababu hakuna uthibitisho kama alikuwa anaumwa. Hivyo mfanyakazi kakataa kazi kisheria hakuwa na sababu za msingi.

The applicant then decided to bring this application challenging the decisions of the Minister and the fourth respondent.

Three grounds for the application have been set out in the accompanying statement. Three are (a) failure of natural justice,

(b) bias and (c) unreasonableness .... Failure of natural justice has two subgrounds, the first one being that the decision by the fourth responded to terminate the services of the applicant was taken without affording the applicant the right to be heard and the second one being that, "The first respondent invited and considered additional information from the third (fourth) respondent which despite of the fact that the said additional information contradicted even the appeals preferred before him by the third (fourth) respondent he relied on the said (*sic*!) affording the applicant the chance to respond to the same and thus deciding his fate without affording him the right to be heard.

Concerning bias it is averred that while passing (*sic*!) the decision to terminate the services of the applicant, one member of the panel constituted acted as the prosecutor, the witness, and judge contrary to the cardinal principles of natural justice. And concerning unreasonableness it is averred as follows in the applicant's statement:

That the decision by the first respondent and third was unreasonable; that no reasonable authority can arrive at the same because:

(i) The delicate state of health of the applicant was well known to the respondents but this fact was not even taken into account by them while deciding to terminate his services;

(ii) The fact that the applicant had declined a high pay if he had agreed to work as Clerk was known to the third respondent because of his delicate state of health despite of that the third respondent out of spite and reasons known to itself decided to force him to undertake a risk job that could have caused a great loss of the third respondent.

(iii) The punishment meted to the applicant by the third respondent was excessive and contrary to the law and hence unreasonable and unwarranted; the first respondent acting reasonably would have seen that glaring fact;

(ii) That the Minister acted unreasonably when he accepted additional information from the third respondent while denying the same right to the applicant and since the said additional information

contained contradictory information to the Appeal preferred to him by the third respondent, the Minister had he acted reasonably would have upheld the decision of the Labour Conciliation Board. That, unfortunately, was not the case.

The respondents deny all the above averments and pray that the applicant's application be dismissed.

The orders of *certiorari* and *mandamus* being sought in this application are public law remedies. They are remedies falling within the generic team "judicial review of administrative action." This, i.e., judicial review of administrative action, is the power or process by which the High Court exercises its supervisory jurisdiction over proceedings and decisions of inferior tribunals or other authorities, bodies or persons who carry out quasi-judicial functions or who are charged with the performance of public acts and duties. This power is not statutory but inherent in the court and has taken many generations to evolve. *Certiorari* issues to quash a determination or decision which has been made in excess or lack of jurisdiction, error on the face of the record, breach of the rules of natural justice or where a determination was procured by fraud, collusion or perjury. *Mandamus* lies to any person or body in respect of anything that appertains to his or their office and is in the nature of a public duty also. It is a command issuing from the High Court directed to any person or corporation requiring him or them to do some particular thing therein specified which appertains to his or their office and is in the nature of a public duty. *Mandamus*, in other words, is granted to command the performance of duties of a public nature.

The public law nature of the orders of *certiorari* and *mandamus* means that they will not issue for a private purpose, i.e., for the enforcement of a merely private law right. Whether they can lie in this case against the decision of the third and fourth respondents to terminate the applicant's employment, therefore is a matter I propose to revert to presently in the course of this ruling. At the moment I propose to move on to a brief examination of the elements constituting

natural justice set out in one of grounds upon which this application is based. "Natural justice" falls under the following headings which are implicit in this concept: (a) that no man shall be a judge in his own case (*nemo judex in causa sua*) and (b) that no man shall be condemned unheard (*audi alteram partem*). These two principles are what are called the rules of natural justice and they must be observed by Courts, tribunals and all persons and bodies having the duty to carry out public duties which impinge on legally recognized interests. The *audi alteran* partem principle required *inter alia* that:

1. Parties liable to be directly affected by the outcome of an adjudicated controversy should be given prior notification of the action proposed to be taken of the time and place of any hearing that is to be conducted, and of the charge or case they will be called upon to meet. The particulars set out in the notice should be sufficiently explicit to enable the interested parties to understand the case they have to meet and to prepare their answer and their own cases.

2. A person or body determining a justiciable controversy between parties must give each party a fair opportunity to put his own case and to correct or contradict any relevant statement prejudicial to his view: See e.g. *Board of Education v. Rice* (1).

3. Evidential material obtained from an outside source must be disclosed for comment and in the absence of express authority and adjudicating person or authority must not receive evidence *ex-parte* and fail to disclose it to an interested party: *Board of Education v. Rice* (*supra*); *Errington v. Minister for Health* (2).

Having settled all the major principles governing the prerogative orders of *certiorari* and *mandamus* and the rules of natural justice of the right to a fair hearing, I revert now to the question I posed earlier on above, for example whether or not *certiorari* and *mandamus* can lie against the fourth (and third) respondent in this case. This question arises because, looking at the applicant's case as a whole the major thrust of the challenge it makes is against the decision of the fourth respondent of terminating his employment. So will *certiorari*

and *mandamus* lie against the fourth (and third) respondent? In the case of *The Assistant Registrar of Buildings v. Fredrick G Kibwana* (3), the Court of Appeal of Tanzania held:

> *Certiorari* being a discretionary remedy for the courts to issue, it cannot be issued in a case where there is already a contractual relationship between landlord and tenant – relationship of commercial or business nature. Recourse to a court of law to adjudicate on breaches of contract would be a better procedure.

See also *Hans Wolgang Golcher v. General Manager of Morogoro Canvas Mill Limited* (4), to the same effect in respect of both *certiorari* and *mandamus*).

Also in *Halsbury's Laws of England*, (4 ed) Volume 1(1), basing on *Republic v. BBC exp Lavelle* (5) and *Republic v. Ease Berkshire Health Authority, ex parte Walsh* (6), it is stated:

> ... where the disciplinary appeal procedure set up by the British Broadcasting Corporation, it was a procedure of purely private or domestic character. Private employment is clearly outside the realms of judicial review, Employment by a public body does not per se inject an element of public law; nor does the fact that an employee is in higher grade or is an 'Officer.'

To come now to the present case, as shown above already, the reliefs sought by the applicant are *inter alia* that by *certiorari* I quash the decision of the fourth (and third) respondent of terminating the applicant's employment and by *mandamus* I compel the third and fourth respondents to reinstate the applicant in his employment without any conditions. On the principles governing the grant of certiorari and *mandamus* set out hereinabove, I cannot possibly issue *certiorari* and *mandamus* against the third and fourth respondents. The relationship between the applicant and these respondents was a purely private contractual relationship. Judicial review is inapplicable to disciplinary decisions arising from that kind of relationship. I must, as I hereby do, refuse therefore to exercise the power of judicial review in respect of the decisions made by the fourth (and third) respondent in this case.

This of course does not mean that the applicant has altogether no remedy against these respondents in respect of those decisions; as indicated, he can proceed by way of an ordinary action for, say a declaration that he was wrongfully dismissed from his employment, or for breach of the contract of employment and damages etc. In so far as the present application is concerned, however, I will concern myself only with the decision of the Minister on appeal to him. This is because, as noted, the Minister was performing a statutory or public duty when dealing with the appeal.

The main complaint concerning the decision of the Minister is that he (the Minister) considered additional information from the fourth respondent without affording the applicant the opportunity to be availed that information. According to the filed documents, the sequence of filing representations to the Minister was that the fourth respondent, who was the appellant, sent a letter of appeal to the Minister. A copy of the letter is annexed to ... the affidavit in support of the application (Annexture 'G' of 21 May 1999) and it reads:

> Rufani Kwa Waziri Wa Kazi Na Maendeleo Ya Vijana
>
> Baraza limeamua Ndugu Felix Mselle arudishwe kazini kwa sababu ati mfanyakazi/mrufaniwa hakupewa nafasi ya kujitetea.
>
> Mheshimiwa Waziri, Baraza limeshindwa kuzingatia ushahidi uliotolewa mbele yake kwamba mrufaniwa alipatiwa nafasi ya kujieleza tena kwa maandishi kwa barua yako (*sic*) ya tarehe 31 August 1998.
>
> Ukweli huu umesema wazi hata katika barua ya mrufani ya kumwachisha kazi mrufaniwa ya tarehe 1 September 1998. Nakala ya barua zote mbili zinaambatanishwa kama kielelezo. Aidha Baraza limejielekeza vibaya kwa kuzua kikao kisichokuwepo kwani hakuna kikao chochote kilichokaa bila mrufaniwa kuwepo. Kilichotokea ni kwamba baada ya kujieleza kwa maandishi, menejiment ilikata shauri juu ya hatima yake kwa misingi ya utetezi wa maandishi uliotolewa na mrufaniwa. Na kwa kufanya hivyo mrufani hakukiuka sheria yoyote.

Tunakuomba Mh. Waziri utumie madaraka uliyopewa chini ya Sheria ya Usalama Kazini na utengue uamuzi wa Baraza la Usuluhishi ili hatua ya kumwachisha kazi mrufaniwa uithibitishe.

B. Minja

Meneja Utumishi Na Utawala

To the above letter or appeal the applicant sent a long response to the Minister dated 8 June 1999 (Annex 'H' to the affidavit in support) challenging the appeal and the letter was copied, amongst others, to the Managing Director of the fourth respondent. Following the applicant's letter responding to the appeal of the fourth respondents to the Minister, the fourth respondent sent the letter of additional information which has brought about the tussle now being considered. The letter is dated 13 July 1999 (Annex 'I' to the affidavit in support) and reads, in part:

> We refer to our appeal Reference Number DAR/BLU/253 dated 24 (*sic*) May 1999 in respect of Mr Felix Mselle which we believe is receiving your consideration.
>
> We now send herewith some additional information with intention that the same will facilitate you in taking a decision in the matter.

The letter is signed by the Deputy General Manager and to it is annexed a detailed statement of the dispute between the appellant and the fourth respondent. It backgrounds the problem/dispute, comments on the fourth respondent's side of the case, the defence of the applicant, the decision of the Conciliation Board and makes a conclusion which reads:

> "Conclusion"
>
> From the above analysis the truth emerges that the action taken by the employer to remove Mr Mselle from his post (by terminating his services) was appropriate and legal. It is also transparently clear that the Board erred in believing the employee's testimony and ignores the clear truth presented by the employer. Under such circumstances the action of the employer to seek justice by appealing to the Minister for Labour and Youth Development is highly commendable.

Following the above letter the Minister made his decision which is now being impugned. It is the applicant's complaint that this letter, of "additional information" was never shown to him by the Minister and he was not afforded the opportunity to answer or contradict it. In reply the first respondent, the Minister, says that the letter (of "additional information") was only a submission in reply to the applicant's submissions and the applicant had no right, apparently, to be supplied with a copy of it. It is contended by Mr Ngwembe, learned State Attorney, in his submissions on behalf of the first respondent, for example the Minister, on this point,

> ... the applicant ... has alleged that the first respondent failed to give time to the applicant to respond on the additional submissions by the third respondent. In reply we wish to submit that the argument is unmeritorious and contains no legal validity because it is a normal legal procedure that the plaintiff or applicant presents his/her case, then the defendant/respondents responds on the allegations and thereafter the plaintiff or applicant is given another chance to conclude his case. This is normal Court practice. The same is not barred to be applied by either the Minister for Labour or Conciliation Board for there is no hard rule of procedure provided in the Security of Employment Act 1964, which the Minister ought to follow. The Minister is bound by the principles of natural justice to give each party the right to be heard. Indeed both parties were given a chance to be heard ...

It is true that the Minister does not have any hard and fast rules of procedure to follow pertaining to the conduct of the hearing of an appeal in a matter such as the one from which this matter arises. He is not expected to adopt the rigorous rules of procedure followed in judicial proceedings. Nonetheless, he is expected to adopt rules of procedure which ensure justice to both sides to the appeal before him. If a party to such an appeal has submitted a representation to him the other party has to know about this and be given an opportunity

to respond to it. Even in normal judicial settings, a party is entitled to be supplied with all copies of written submissions filed by the other party. Thus he is entitled to receive a copy of submissions of even the final reply of the party if one has been filed.

But was the document characterized by the first respondent as having been a mere reply by the third and fourth respondents to the applicant's submissions truly a mere reply? The fourth respondent itself does not say so in its forwarding letter of the said document. It says instead that it was "additional information," –"with intention that the same will facilitate you (the Minister) in taking a decision in the matter." And looking at the said document what it contains is really the fuller statement of the third and fourth respondents' case to the Minister than the brief statement contained in the document reproduced above submitting the appeal. The applicant had all the entitlement in my view, to be availed of a copy of it therefore. The real case against him on appeal was stated there. By not supplying him with a copy of this document and by not affording him the opportunity to answer to it the Minister's decision was arrived at clearly in breach of the second and third requirement set out hereinabove for the *audi alteram partem* principle.

What result for this breach? There are three alternative courses of action a court may take in proceedings for prerogative remedies. These are:

1. To refuse to exercise its discretion to quash the impugned decision or action, prerogative remedies, being, as already shown only discretionary in nature.

2. To grant the remedies and quash the decision being impugned.

3. To remit the matter back to the authority, body or person who made the impugned decision for a rehearing of it according to law. This latter approach is supported by decisions such as the one in *Republic v. Uxbridge Justices ex parte Howard – Mills* (7). Also in **Halsbury's Laws of England** (*supra*) at page 193 it is stated, "The effect of failure to accord an adequate hearing or opportunity to be heard prior to a decision may be repaired by rescission or suspension of the original decision followed by a full and fair hearing or rehearing.

In this matter I think the third alternative above would be the appropriate one. The Minister did not conduct a full hearing, he acted on additional information supplied by the fourth respondent which the applicant was not aware of and in respect of which he (the applicant) was given no opportunity to answer or comment on. This information was received *ex-parte* by the Minister and his decision could be characterized to have been an *ex-parte* decision. I hereby rescind that decision therefore and direct a rehearing of the appeal by the Minister. In particular the Minister is to give a copy of the "additional written information" of the fourth respondent and give him an opportunity to respond to it. Then he should proceed to make his decision afresh in the appeal – on the basis of material supplied by all the parties to him, to the appeal by the fourth respondent, the defence of the applicant, "the additional information" and the response of the applicant to the additional information together with the decision, of course, of the Conciliation Board.

In view of this decision which I have made, there is no need to consider the ground of unreasonableness. I refrain from considering and making a determination on that ground lest I prejudice the Minister when he rehears the appeal as directed above.

Minister's decision rescinded. Rehearing of the appeal made to him directed.